VISUAL BOOK GUIDE: what your annotated book should look like

Why this exists: in an open-book exam you don't need to memorise theories. You need to **know where they are** and find them in seconds. Each page of this guide shows a **real page of your book**, exactly as it looks, with:

- **Coloured boxes** = what to highlight, in which colour
- **Coloured flag** on the right edge = the sticky tab to stick on that page (write the label on it)
- **Blue handwriting box** = what to write in the margin (arrow shows where)
- **Right-hand panel** = what the page is about in plain English + when to use it in the exam

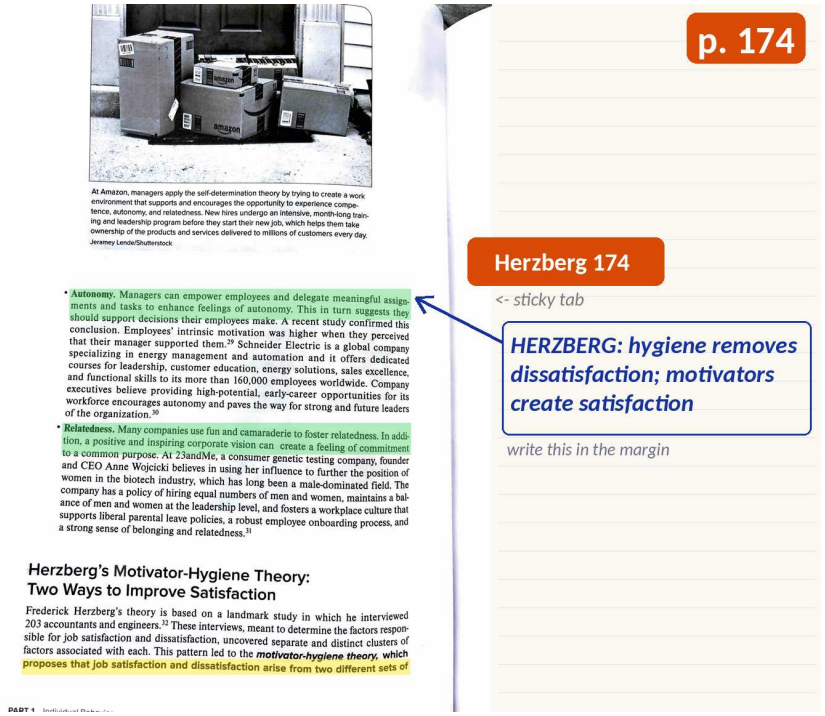
Highlighter colours

	YELLOW	definitions: exact words to quote
	GREEN	lists & frameworks
	PINK	Indian / company examples
	BLUE	research numbers

Sticky-tab colours (one per module)

M1 BLUE | **M2 GREEN** | **M3 PURPLE** | **M4 ORANGE**

M5 TEAL | **RED: 3-step + Framework** | **PINK: Indian cases**

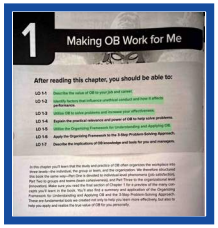


Example: book page 174 (Herzberg), fully annotated

How to work through it (about 3–4 hours): open your book next to this guide, go page by page, copy the highlights, tab and note, then move on. Pages shown **greyed out** in the chapter maps can be skipped or skimmed. Finally copy the master index (last page) onto the inside front cover.

MAP • Chapter 1 • Making OB Work for Me

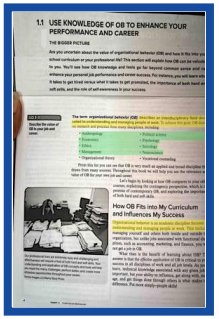
where is what: coloured = annotate · grey = skim/skip



p. 2
M1 opener



p. 3
skim



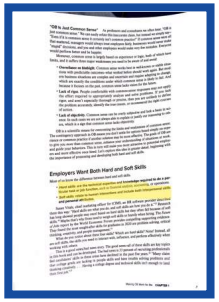
p. 4
OB def 4



p. 5
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p. 6
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p. 7
Common sense v...



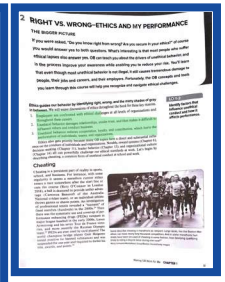
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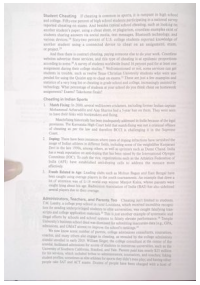
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p. 10
Hired vs promo...



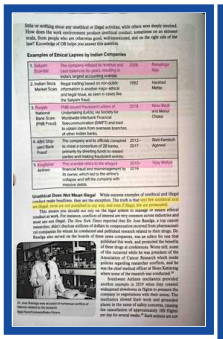
p. 11
Ethics 11



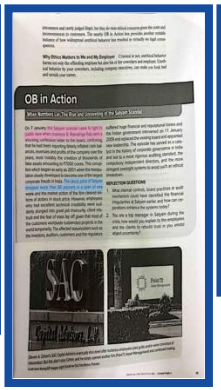
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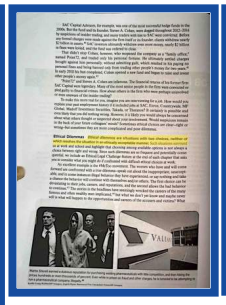
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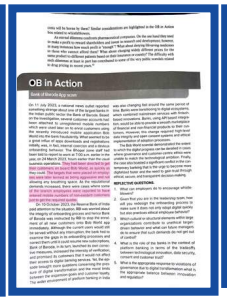
p. 14
Indian ethical...



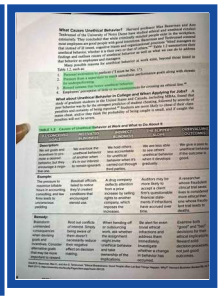
p. 15
OB in Action



p. 16
Ethical dilemm...



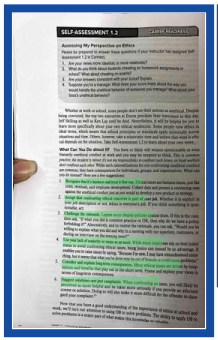
p. 17
BoB case 17



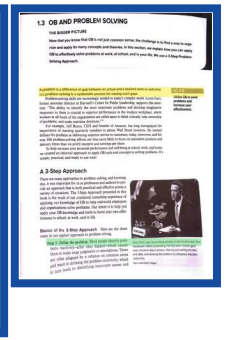
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Table 1.2



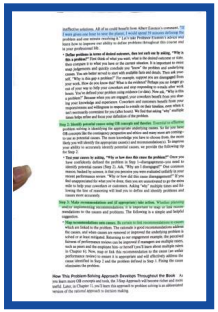
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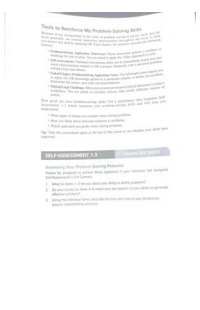
p. 20
What can YOU d...



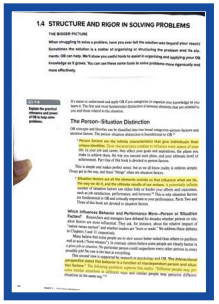
p. 21
3-STEP 21



p. 22
Steps 1-3 expl...



p. 23
skim



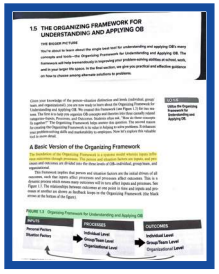
p. 24
Person-sit 24



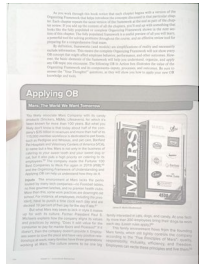
p. 25
skim



p. 26
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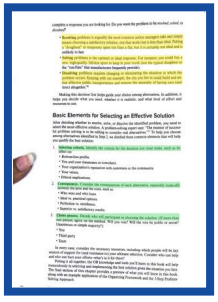
p. 27
FRAMEWORK 27



p. 28
skim



p. 29
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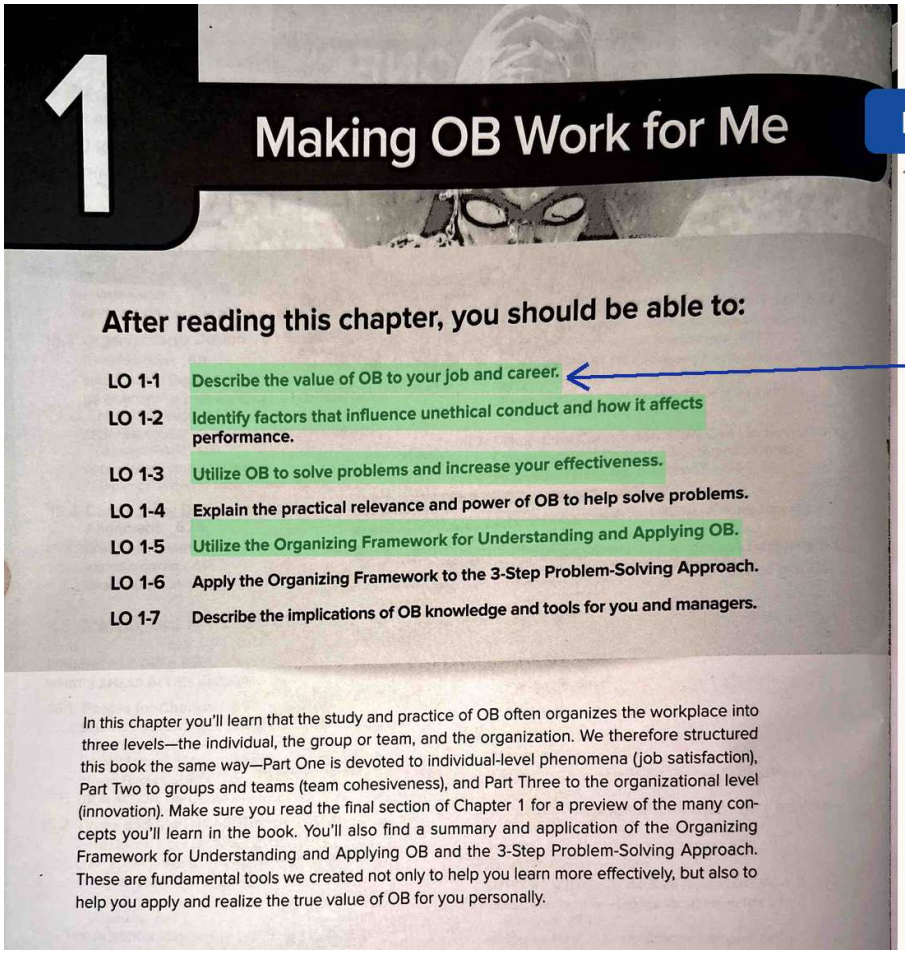


p. 30
Resolve, solve...



p. 31
skim

p. 2 · Chapter 1 opener: Learning objectives



1

Making OB Work for Me

After reading this chapter, you should be able to:

LO 1-1	Describe the value of OB to your job and career.
LO 1-2	Identify factors that influence unethical conduct and how it affects performance.
LO 1-3	Utilize OB to solve problems and increase your effectiveness.
LO 1-4	Explain the practical relevance and power of OB to help solve problems.
LO 1-5	Utilize the Organizing Framework for Understanding and Applying OB.
LO 1-6	Apply the Organizing Framework to the 3-Step Problem-Solving Approach.
LO 1-7	Describe the implications of OB knowledge and tools for you and managers.

In this chapter you'll learn that the study and practice of OB often organizes the workplace into three levels—the individual, the group or team, and the organization. We therefore structured this book the same way—Part One is devoted to individual-level phenomena (job satisfaction), Part Two to groups and teams (team cohesiveness), and Part Three to the organizational level (innovation). Make sure you read the final section of Chapter 1 for a preview of the many concepts you'll learn in the book. You'll also find a summary and application of the Organizing Framework for Understanding and Applying OB and the 3-Step Problem-Solving Approach. These are fundamental tools we created not only to help you learn more effectively, but also to help you apply and realize the true value of OB for you personally.

p. 2

M1 start

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M1 = Ch 1 + R1 (Indiana DOR) + R2 (Carucci) + handouts (Starbucks, Infosys/Jet)

write this in the margin

p. 2

WHAT'S ON THIS PAGE

First page of Ch 1. Lists the 7 learning objectives (LO 1-1 to 1-7).

USE IT IN THE EXAM FOR

Your Module 1 entry point. Write the module's readings & cases here.

STICKY TAB

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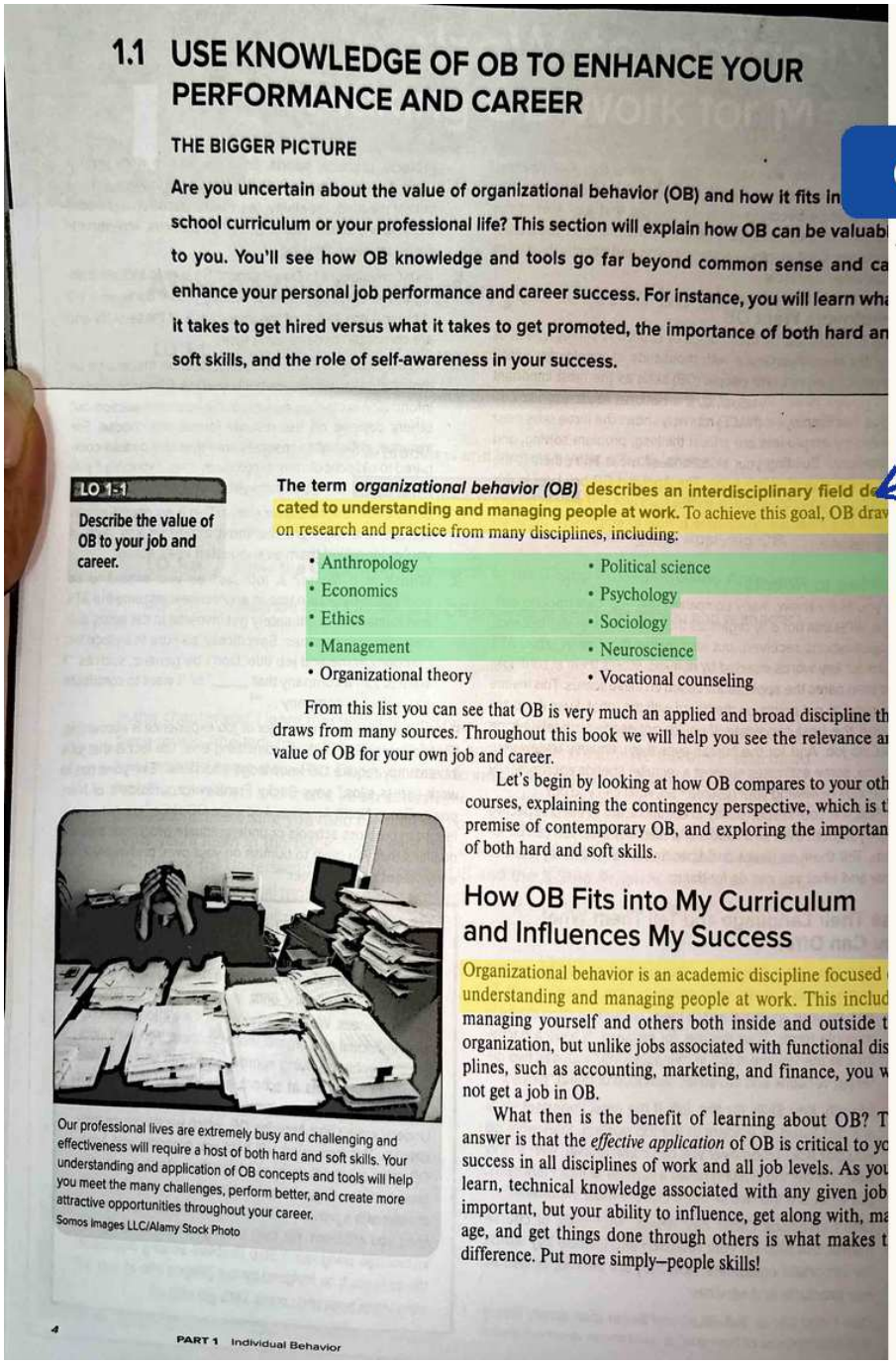
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M1 = Ch 1 + R1 (Indiana DOR) + R2 (Carucci) + handouts (Starbucks, Infosys/Jet)

HIGHLIGHT COLOURS ON THIS PAGE

Green = lists & frameworks

p. 4 • 1.1 What is OB? (definition + disciplines)



1.1 USE KNOWLEDGE OF OB TO ENHANCE YOUR PERFORMANCE AND CAREER

THE BIGGER PICTURE

Are you uncertain about the value of organizational behavior (OB) and how it fits in
school curriculum or your professional life? This section will explain how OB can be valuab
to you. You'll see how OB knowledge and tools go far beyond common sense and ca
enhance your personal job performance and career success. For instance, you will learn wha
it takes to get hired versus what it takes to get promoted, the importance of both hard an
soft skills, and the role of self-awareness in your success.

LO 1-1
Describe the value of OB to your job and career.

The term *organizational behavior (OB)* describes an interdisciplinary field de
cated to understanding and managing people at work. To achieve this goal, OB drav
on research and practice from many disciplines, including:

- Anthropology
- Economics
- Ethics
- Management
- Organizational theory
- Political science
- Psychology
- Sociology
- Neuroscience
- Vocational counseling

From this list you can see that OB is very much an applied and broad discipline th
draws from many sources. Throughout this book we will help you see the relevance a
value of OB for your own job and career.

Let's begin by looking at how OB compares to your oth
courses, explaining the contingency perspective, which is t
premise of contemporary OB, and exploring the importan
of both hard and soft skills.

Our professional lives are extremely busy and challenging and effectiveness will require a host of both hard and soft skills. Your understanding and application of OB concepts and tools will help you meet the many challenges, perform better, and create more attractive opportunities throughout your career.
Somos Images LLC/Alamy Stock Photo

How OB Fits into My Curriculum and Influences My Success

Organizational behavior is an academic discipline focused
understanding and managing people at work. This includ
managing yourself and others both inside and outside t
organization, but unlike jobs associated with functional dis
plines, such as accounting, marketing, and finance, you w
not get a job in OB.

What then is the benefit of learning about OB? T
answer is that the *effective application* of OB is critical to yc
success in all disciplines of work and all job levels. As you
learn, technical knowledge associated with any given job
important, but your ability to influence, get along with, ma
age, and get things done through others is what makes t
difference. Put more simply—people skills!

4 PART 1 Individual Behavior

p. 4

OB def 4

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Robbins: individuals, groups & STRUCTURE -> org effectiveness 3 levels: indiv / group / org

write this in the margin

p. 4

WHAT'S ON THIS PAGE

Defines OB and lists the disciplines it draws from (psychology, sociology…).

USE IT IN THE EXAM FOR

Any 'what is OB / why study OB' question starts here.

STICKY TAB

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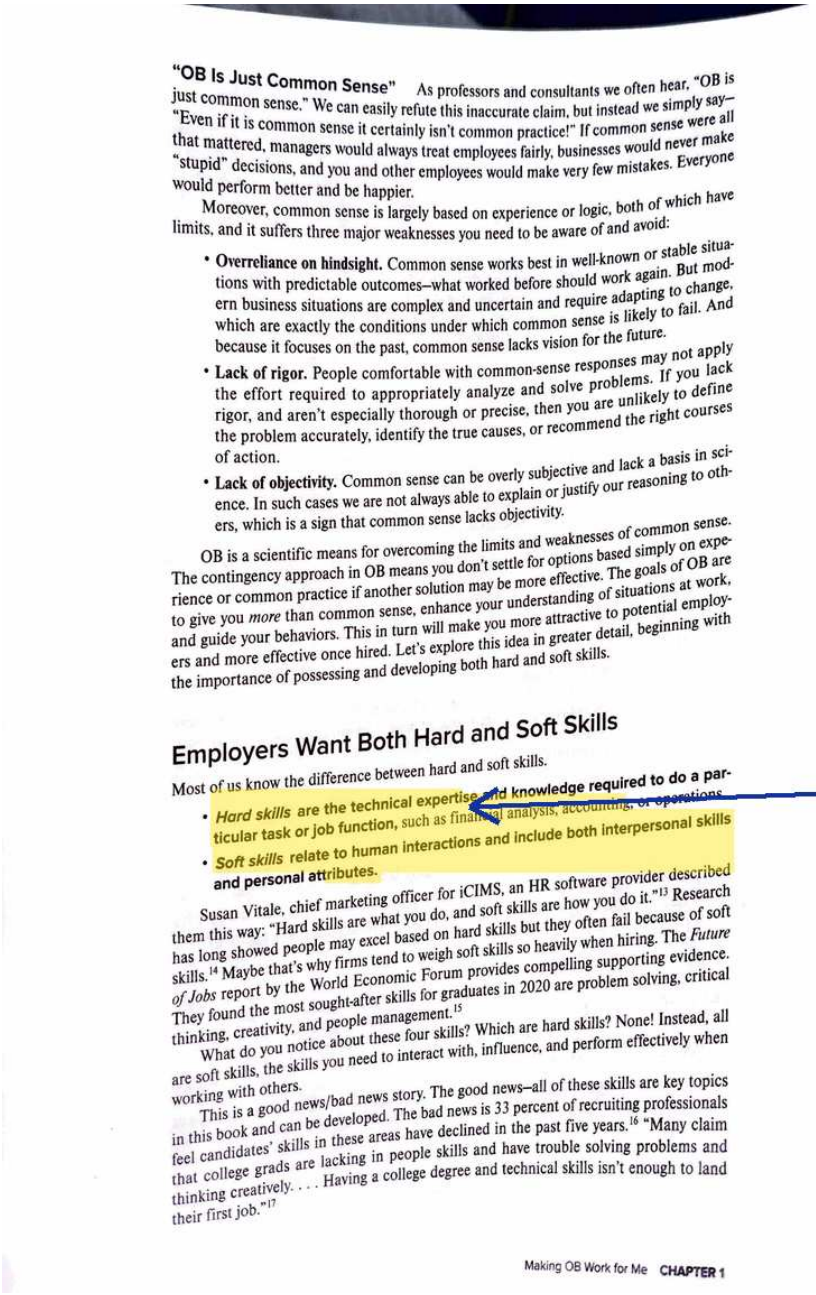
Robbins: individuals, groups & STRUCTURE -> org effectiveness 3 levels: indiv / group / org

HIGHLIGHT COLOURS ON THIS PAGE

Yellow = definitions: exact words to quote

Green = lists & frameworks

p. 7 · Common sense vs OB; hard vs soft skills



"OB Is Just Common Sense" As professors and consultants we often hear, "OB is just common sense." We can easily refute this inaccurate claim, but instead we simply say—"Even if it is common sense it certainly isn't common practice!" If common sense were all that mattered, managers would always treat employees fairly, businesses would never make "stupid" decisions, and you and other employees would make very few mistakes. Everyone would perform better and be happier.

Moreover, common sense is largely based on experience or logic, both of which have limits, and it suffers three major weaknesses you need to be aware of and avoid:

- **Overreliance on hindsight.** Common sense works best in well-known or stable situations with predictable outcomes–what worked before should work again. But modern business situations are complex and uncertain and require adapting to change, which are exactly the conditions under which common sense is likely to fail. And because it focuses on the past, common sense lacks vision for the future.
- **Lack of rigor.** People comfortable with common-sense responses may not apply the effort required to appropriately analyze and solve problems. If you lack rigor, and aren't especially thorough or precise, then you are unlikely to define the problem accurately, identify the true causes, or recommend the right courses of action.
- **Lack of objectivity.** Common sense can be overly subjective and lack a basis in science. In such cases we are not always able to explain or justify our reasoning to others, which is a sign that common sense lacks objectivity.

OB is a scientific means for overcoming the limits and weaknesses of common sense. The contingency approach in OB means you don't settle for options based simply on experience or common practice if another solution may be more effective. The goals of OB are to give you *more* than common sense, enhance your understanding of situations at work, and guide your behaviors. This in turn will make you more attractive to potential employers and more effective once hired. Let's explore this idea in greater detail, beginning with the importance of possessing and developing both hard and soft skills.

Employers Want Both Hard and Soft Skills

Most of us know the difference between hard and soft skills.

- ***Hard skills*** **are the technical expertise and knowledge required to do a particular task or job function,** such as financial analysis, accounting, or operations
- ***Soft skills*** **relate to human interactions and include both interpersonal skills and personal attributes.**

Susan Vitale, chief marketing officer for iCIMS, an HR software provider described them this way: "Hard skills are what you do, and soft skills are how you do it."[13] Research has long showed people may excel based on hard skills but they often fail because of soft skills.[14] Maybe that's why firms tend to weigh soft skills so heavily when hiring. The *Future of Jobs* report by the World Economic Forum provides compelling supporting evidence. They found the most sought-after skills for graduates in 2020 are problem solving, critical thinking, creativity, and people management.[15]

What do you notice about these four skills? Which are hard skills? None! Instead, all are soft skills, the skills you need to interact with, influence, and perform effectively when working with others.

This is a good news/bad news story. The good news–all of these skills are key topics in this book and can be developed. The bad news is 33 percent of recruiting professionals feel candidates' skills in these areas have declined in the past five years.[16] "Many claim that college grads are lacking in people skills and have trouble solving problems and thinking creatively. . . . Having a college degree and technical skills isn't enough to land their first job."[17]

p. 7

Common sense fails: hindsight, no rigor, no objectivity
Iceberg: hidden attitudes, norms, politics sink ships

write this in the margin

p. 7

WHAT'S ON THIS PAGE

Why OB is more than common sense; hard skills vs soft skills.

USE IT IN THE EXAM FOR

Use when asked why systematic study beats intuition.

WRITE IN THE MARGIN

Common sense fails: hindsight, no rigor, no objectivity
Iceberg: hidden attitudes, norms, politics sink ships

HIGHLIGHT COLOURS ON THIS PAGE

Yellow = definitions: exact words to quote

p. 10 · Hired vs promoted; Figure 1.1 skills by job level

deciding factor—all of you are top performers. Instead, it may be your perceived ability to directly or indirectly manage others!

Roxanne Hori, an associate dean at New York University's Stern School of Business, echoes this argument: "Yes, your knowledge of the functional area you're pursuing is important. But to succeed longer term . . . having strong team skills and knowing how to build and manage relationships were seen as just as important." One executive she interviewed suggested that students should "take as much organizational behavior coursework as possible . . . because as you move into leadership roles, the key skills that will determine your success will be around your ability to interact with others in a highly effective fashion."[22] As authors of this book, we agree, but more Importantly we hope after learning the power of OB you'll agree too.

Some career experts, such as Chrissy Scivicque, the CEO of a career coaching and training firm and writer for *Forbes* and *The Wall Street Journal*, go so far as to say that most people have the technical skills to succeed at higher-level jobs. And even if some new technical knowledge is needed it generally is easy to learn. However, as you rise through the hierarchy your job generally will require a more developed set of soft skills, such as communication, emotional intelligence, ethics, and stress management.[23]

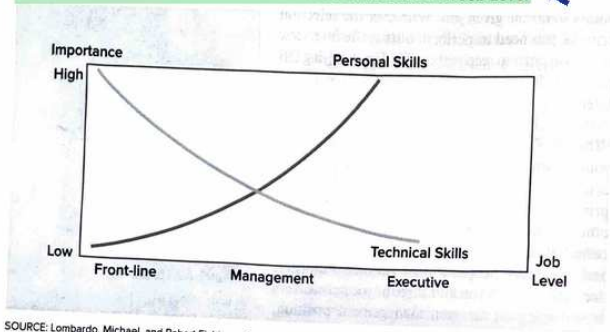
We make this point visually in Figure 1.1. It illustrates how technical or job-specific skills decline in importance as you move to levels of higher responsibility, while personal skills increase.

Performance Gives Me Credibility Performance matters because it gives you credibility with your peers and those you may manage. Be aware that early in your career your bosses will be looking for more than your job performance. They also will evaluate your management potential, and their opinion will affect your future opportunities. So even in a non-management position you need to know how to:

- Apply different motivational tools (Chapter 5).
- Provide constructive feedback (Chapter 6).
- Develop and lead productive teams (Chapters 8 and 13).
- Understand and manage organizational culture and change (Chapters 14 and 16).

Knowledge of OB, therefore, is critical to your individual performance, your ability to work with and manage others, and your career success (promotions, pay raises, increased opportunities). As you may already know, ethics can similarly make or break you at every step of your career, which is why we cover it next.

FIGURE 1.1 Relative Importance of Different Skills Based on Job Level



SOURCE: Lombardo, Michael, and Robert Eichinger. *Preventing Derailment: What To Do Before It's Too Late.* North California: Center for Creative Leadership, 1989.

p. 10

Katz: technical / human / conceptual skills
Starbucks 'Alex' = task-only manager -> PEOPLE problem

write this in the margin

p. 10

WHAT'S ON THIS PAGE

Promotion depends on managing people; Fig 1.1 shows technical skills fall and personal skills rise with level.

USE IT IN THE EXAM FOR

People-management answers (Starbucks handout).

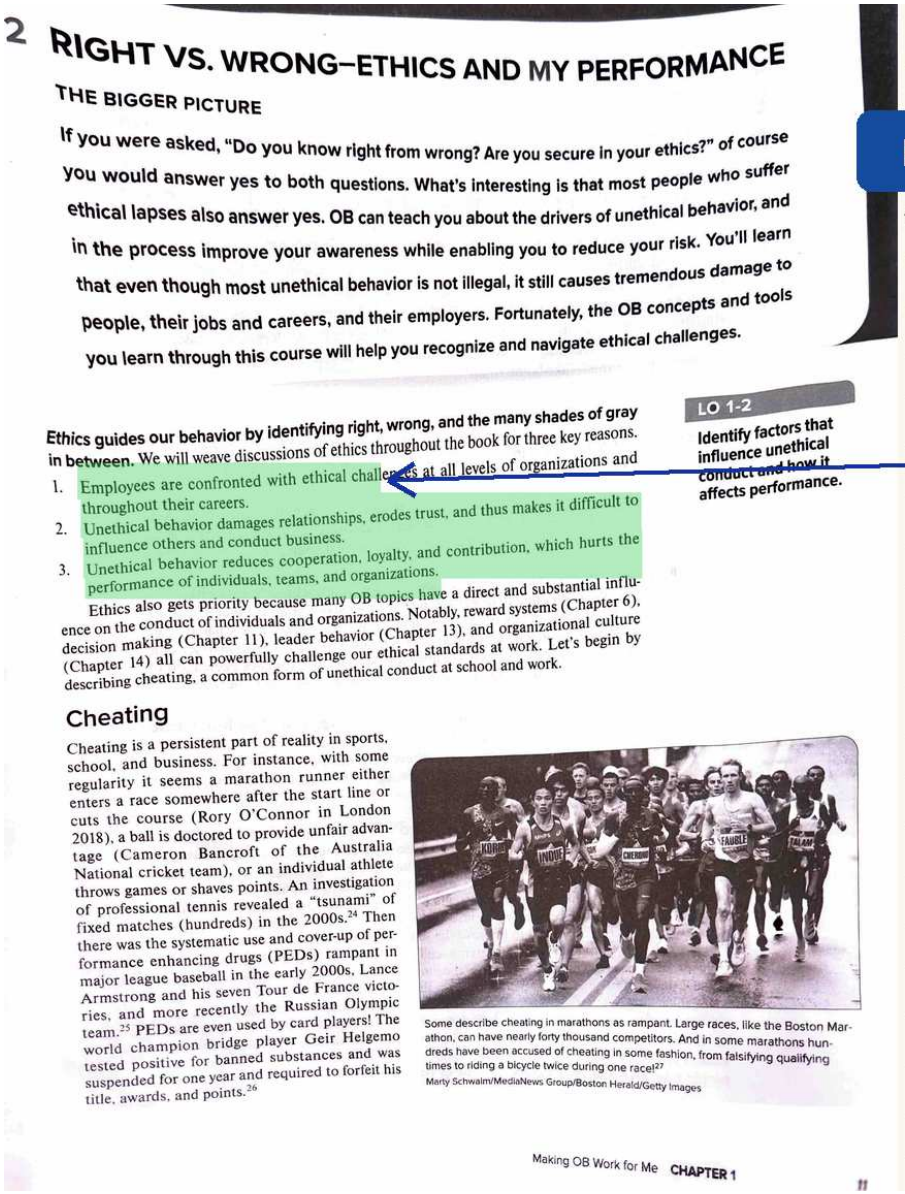
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Katz: technical / human / conceptual skills
Starbucks 'Alex' = task-only manager -> PEOPLE problem

HIGHLIGHT COLOURS ON THIS PAGE

Green = lists & frameworks

p. 11 · 1.2 Ethics & my performance: 3 reasons ethics matters



2 RIGHT VS. WRONG—ETHICS AND MY PERFORMANCE

THE BIGGER PICTURE

If you were asked, "Do you know right from wrong? Are you secure in your ethics?" of course you would answer yes to both questions. What's interesting is that most people who suffer ethical lapses also answer yes. OB can teach you about the drivers of unethical behavior, and in the process improve your awareness while enabling you to reduce your risk. You'll learn that even though most unethical behavior is not illegal, it still causes tremendous damage to people, their jobs and careers, and their employers. Fortunately, the OB concepts and tools you learn through this course will help you recognize and navigate ethical challenges.

LO 1-2 Identify factors that influence unethical conduct and how it affects performance.

Ethics guides our behavior by identifying right, wrong, and the many shades of gray in between. We will weave discussions of ethics throughout the book for three key reasons.

1. Employees are confronted with ethical challenges at all levels of organizations and throughout their careers.
2. Unethical behavior damages relationships, erodes trust, and thus makes it difficult to influence others and conduct business.
3. Unethical behavior reduces cooperation, loyalty, and contribution, which hurts the performance of individuals, teams, and organizations.

Ethics also gets priority because many OB topics have a direct and substantial influence on the conduct of individuals and organizations. Notably, reward systems (Chapter 6), decision making (Chapter 11), leader behavior (Chapter 13), and organizational culture (Chapter 14) all can powerfully challenge our ethical standards at work. Let's begin by describing cheating, a common form of unethical conduct at school and work.

Cheating

Cheating is a persistent part of reality in sports, school, and business. For instance, with some regularity it seems a marathon runner either enters a race somewhere after the start line or cuts the course (Rory O'Connor in London 2018), a ball is doctored to provide unfair advantage (Cameron Bancroft of the Australia National cricket team), or an individual athlete throws games or shaves points. An investigation of professional tennis revealed a "tsunami" of fixed matches (hundreds) in the 2000s.[24] Then there was the systematic use and cover-up of performance enhancing drugs (PEDs) rampant in major league baseball in the early 2000s, Lance Armstrong and his seven Tour de France victories, and more recently the Russian Olympic team.[25] PEDs are even used by card players! The world champion bridge player Geir Helgemo tested positive for banned substances and was suspended for one year and required to forfeit his title, awards, and points.[26]

Some describe cheating in marathons as rampant. Large races, like the Boston Marathon, can have nearly forty thousand competitors. And in some marathons hundreds have been accused of cheating in some fashion, from falsifying qualifying times to riding a bicycle twice during one race![27]

Marty Schwalm/MediaNews Group/Boston Herald/Getty Images

Making OB Work for Me CHAPTER 1

p. 11

Ethics 11

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Indian cases: Satyam p.15, Bank of Baroda p.17, PNB / Kingfisher p.14

write this in the margin

p. 11

WHAT'S ON THIS PAGE

Why ethics matters (3 numbered reasons) and the start of 'Cheating'.

USE IT IN THE EXAM FOR

Start of every ethics answer.

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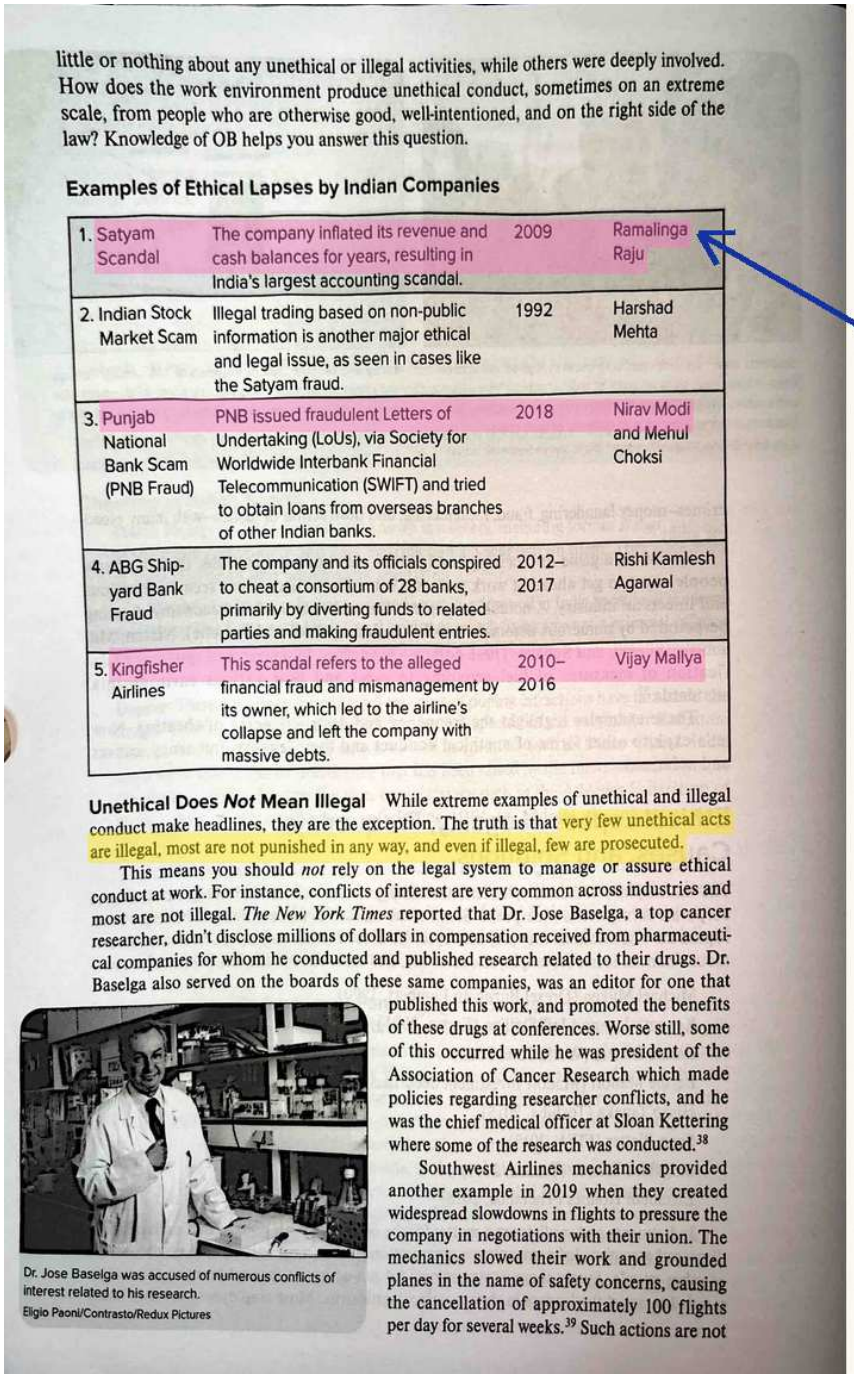
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WRITE IN THE MARGIN

Indian cases: Satyam p.15, Bank of Baroda p.17, PNB / Kingfisher p.14

HIGHLIGHT COLOURS ON THIS PAGE

Green = lists & frameworks



little or nothing about any unethical or illegal activities, while others were deeply involved. How does the work environment produce unethical conduct, sometimes on an extreme scale, from people who are otherwise good, well-intentioned, and on the right side of the law? Knowledge of OB helps you answer this question.

Examples of Ethical Lapses by Indian Companies

1. Satyam Scandal	The company inflated its revenue and cash balances for years, resulting in India's largest accounting scandal.	2009	Ramalinga Raju
2. Indian Stock Market Scam	Illegal trading based on non-public information is another major ethical and legal issue, as seen in cases like the Satyam fraud.	1992	Harshad Mehta
3. Punjab National Bank Scam (PNB Fraud)	PNB issued fraudulent Letters of Undertaking (LoUs), via Society for Worldwide Interbank Financial Telecommunication (SWIFT) and tried to obtain loans from overseas branches of other Indian banks.	2018	Nirav Modi and Mehul Choksi
4. ABG Shipyard Bank Fraud	The company and its officials conspired to cheat a consortium of 28 banks, primarily by diverting funds to related parties and making fraudulent entries.	2012–2017	Rishi Kamlesh Agarwal
5. Kingfisher Airlines	This scandal refers to the alleged financial fraud and mismanagement by its owner, which led to the airline's collapse and left the company with massive debts.	2010–2016	Vijay Mallya

Unethical Does *Not* Mean Illegal While extreme examples of unethical and illegal conduct make headlines, they are the exception. The truth is that very few unethical acts are illegal, most are not punished in any way, and even if illegal, few are prosecuted.

This means you should *not* rely on the legal system to manage or assure ethical conduct at work. For instance, conflicts of interest are very common across industries and most are not illegal. *The New York Times* reported that Dr. Jose Baselga, a top cancer researcher, didn't disclose millions of dollars in compensation received from pharmaceutical companies for whom he conducted and published research related to their drugs. Dr. Baselga also served on the boards of these same companies, was an editor for one that published this work, and promoted the benefits of these drugs at conferences. Worse still, some of this occurred while he was president of the Association of Cancer Research which made policies regarding researcher conflicts, and he was the chief medical officer at Sloan Kettering where some of the research was conducted.[38]

Dr. Jose Baselga was accused of numerous conflicts of interest related to his research.
Eligio Paoni/Contrasto/Redux Pictures

Southwest Airlines mechanics provided another example in 2019 when they created widespread slowdowns in flights to pressure the company in negotiations with their union. The mechanics slowed their work and grounded planes in the name of safety concerns, causing the cancellation of approximately 100 flights per day for several weeks.[39] Such actions are not

p. 14

Jet Airways 2019 = OB-HR failure: unfair pay, no comms, no change mgmt (handout 5)

write this in the margin

p. 14

WHAT'S ON THIS PAGE

Table of Indian scandals (Satyam, PNB, Kingfisher…) and the key point that most unethical acts are legal.

USE IT IN THE EXAM FOR

Indian examples for ethics essays.

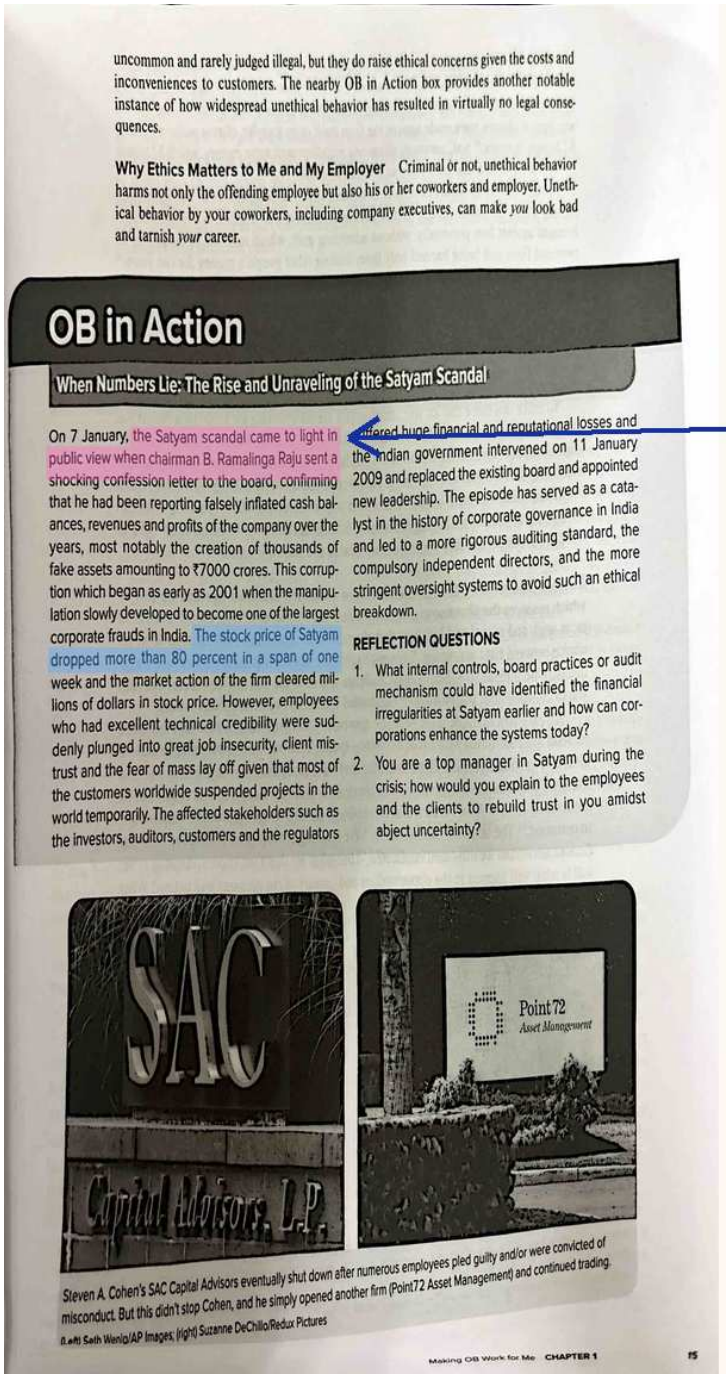
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Jet Airways 2019 = OB-HR failure: unfair pay, no comms, no change mgmt (handout 5)

HIGHLIGHT COLOURS ON THIS PAGE

- Yellow = definitions: exact words to quote
- Pink = Indian / company examples

p. 15 · OB in Action: Satyam scandal



uncommon and rarely judged illegal, but they do raise ethical concerns given the costs and inconveniences to customers. The nearby OB in Action box provides another notable instance of how widespread unethical behavior has resulted in virtually no legal consequences.

Why Ethics Matters to Me and My Employer Criminal or not, unethical behavior harms not only the offending employee but also his or her coworkers and employer. Unethical behavior by your coworkers, including company executives, can make *you* look bad and tarnish *your* career.

OB in Action

When Numbers Lie: The Rise and Unraveling of the Satyam Scandal

On 7 January, the Satyam scandal came to light in public view when chairman B. Ramalinga Raju sent a shocking confession letter to the board, confirming that he had been reporting falsely inflated cash balances, revenues and profits of the company over the years, most notably the creation of thousands of fake assets amounting to ₹7000 crores. This corruption which began as early as 2001 when the manipulation slowly developed to become one of the largest corporate frauds in India. The stock price of Satyam dropped more than 80 percent in a span of one week and the market action of the firm cleared millions of dollars in stock price. However, employees who had excellent technical credibility were suddenly plunged into great job insecurity, client mistrust and the fear of mass lay off given that most of the customers worldwide suspended projects in the world temporarily. The affected stakeholders such as the investors, auditors, customers and the regulators suffered huge financial and reputational losses and the Indian government intervened on 11 January 2009 and replaced the existing board and appointed new leadership. The episode has served as a catalyst in the history of corporate governance in India and led to a more rigorous auditing standard, the compulsory independent directors, and the more stringent oversight systems to avoid such an ethical breakdown.

REFLECTION QUESTIONS

1. What internal controls, board practices or audit mechanism could have identified the financial irregularities at Satyam earlier and how can corporations enhance the systems today?
2. You are a top manager in Satyam during the crisis; how would you explain to the employees and the clients to rebuild trust in you amidst abject uncertainty?

Steven A. Cohen's SAC Capital Advisors eventually shut down after numerous employees pled guilty and/or were convicted of misconduct. But this didn't stop Cohen, and he simply opened another firm (Point72 Asset Management) and continued trading.

(Left) Seth Wenig/AP Images; (right) Suzanne DeChillo/Redux Pictures

p. 15

Causes (Table 1.2): slippery slope + overvaluing outcomes

write this in the margin

p. 15

WHAT'S ON THIS PAGE

Box on the Satyam fraud (Rs 7000 crore fake assets, board replaced, governance reforms).

USE IT IN THE EXAM FOR

Example of slippery slope & motivated blindness.

WRITE IN THE MARGIN

Causes (Table 1.2): slippery slope + overvaluing outcomes

HIGHLIGHT COLOURS ON THIS PAGE

- Pink = Indian / company examples
- Blue = research numbers

p. 16 · Ethical dilemmas (#MeToo)

SAC Capital Advisors, for example, was one of the most successful hedge funds in the 2000s. But the fund and its founder, Steven A. Cohen, were dogged throughout 2012–2016 by suspicions of insider trading, and many traders with ties to SAC were convicted. Before any formal charges were made against the firm itself or its founder, clients withdrew nearly $2 billion in assets.[40] SAC investors ultimately withdrew even more money, nearly $2 billion in fines were levied, and the fund was ordered to close.

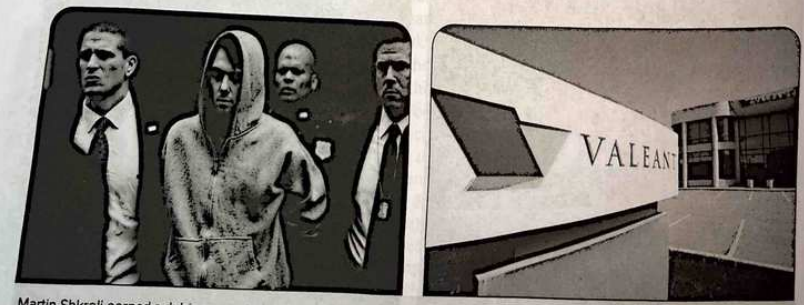
That didn't stop Cohen, however, who reopened the company as a "family office," named Point72, and traded only his personal fortune. He ultimately settled charges brought against him personally, without admitting guilt, which resulted in his paying no personal fines and being banned only from trading other people's money for two years.[41] In early 2018 his ban completed, Cohen opened a new fund and began to raise and invest other people's money again.[42]

"Point72" and Steven A. Cohen are infamous. The financial returns of his former firm SAC Capital were legendary. Many of the most senior people in the firm were convicted or pled guilty to financial crimes. How about others in the firm who were perhaps uninvolved or even unaware of the insider trading?

To make this more real for you, imagine you are interviewing for a job. How would you explain your past employment history if it included jobs at SAC, Enron, Countrywide, MF Global, Madoff Investment Securities, Takada, or Theranos? It certainly is possible and even likely that you did nothing wrong. However, it *is* likely you would always be concerned about what others thought or suspected about your involvement. Would suspicions remain in the back of your future colleagues' minds? Sometimes ethical choices are clear—right or wrong—but sometimes they are more complicated and pose dilemmas.

Ethical Dilemmas ***Ethical dilemmas*** **are situations with two choices, neither of which resolves the situation in an ethically acceptable manner.** Such situations surround us at work and school and highlight that choosing among available options is not always a choice between right and wrong. Since such dilemmas are so frequent and potentially consequential, we include an Ethical/Legal Challenge feature at the end of each chapter that asks you to consider what you might do if confronted with difficult ethical choices at work.

An excellent example is the #MeToo movement. The women who have and will come forward are confronted with a true dilemma—speak out about the inappropriate, unacceptable, and in some instances illegal behavior they have experienced, or say nothing and take a chance the behavior will continue with themselves and/or others. The first choice can be devastating to their jobs, careers, and reputations, and the second allows the bad behavior to continue.[43] The stories in the headlines have seemingly wrecked the careers of the many famous and often wealthy men implicated,[44] but what we don't yet know and maybe never will is what will happen to the opportunities and careers of the accusers and victims? What



Martin Shkreli earned a dubious reputation for purchasing existing pharmaceuticals with little competition, and then hiking the prices hundreds or even thousands of percent. Even while in prison on fraud and other charges, he is rumored to be attempting to run a pharmaceutical company, illegally.[46]

(Left) Craig Ruttle/AP Images; (right) Ryan Remiorz/The Canadian Press/AP Images

p. 16

Dilemma eg. Prudence: family vs career (double bind)

write this in the margin

p. 16

WHAT'S ON THIS PAGE

SAC Capital story and the DEFINITION of an ethical dilemma.

USE IT IN THE EXAM FOR

Define 'ethical dilemma' word for word.

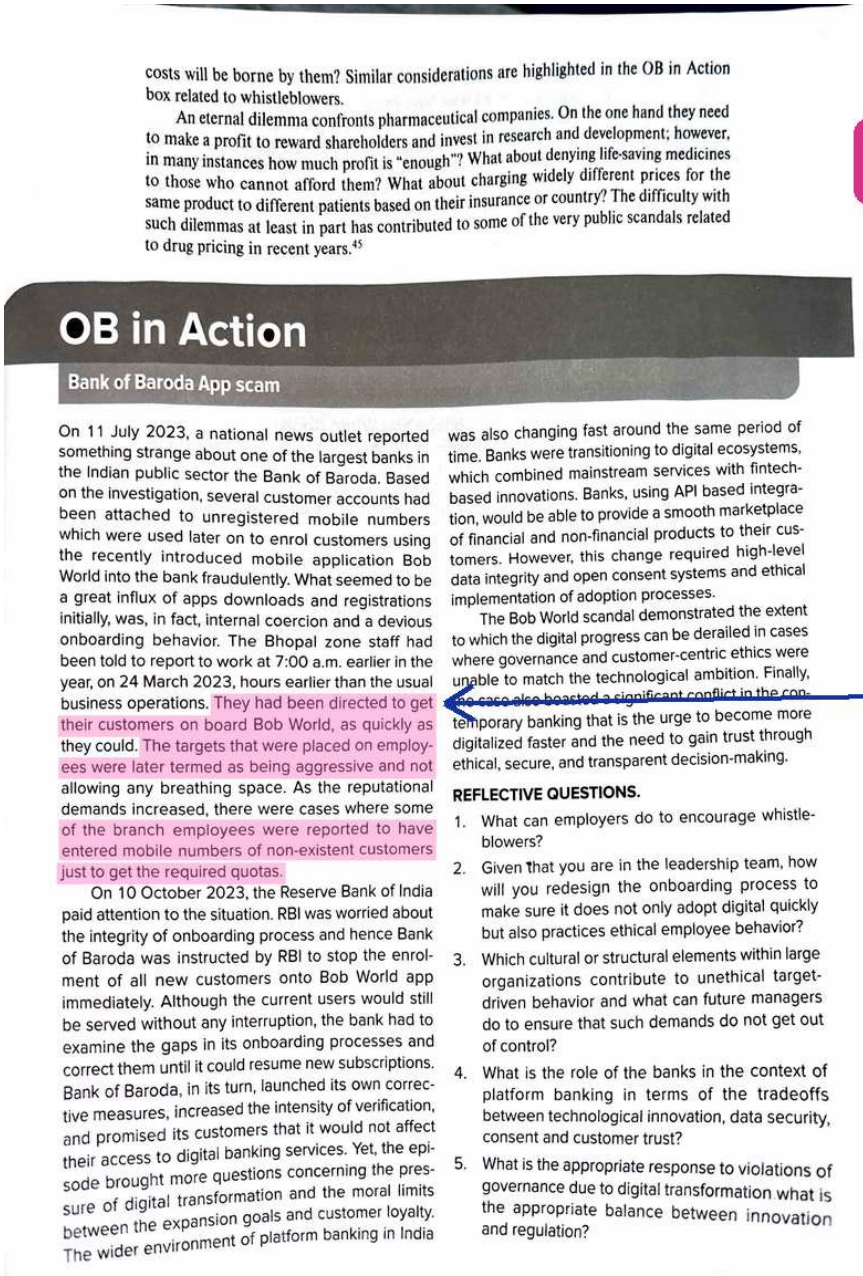
WRITE IN THE MARGIN

Dilemma eg. Prudence: family vs career (double bind)

HIGHLIGHT COLOURS ON THIS PAGE

Yellow = definitions: exact words to quote

p. 17 · OB in Action: Bank of Baroda 'bob World' app scam



costs will be borne by them? Similar considerations are highlighted in the OB in Action box related to whistleblowers.

An eternal dilemma confronts pharmaceutical companies. On the one hand they need to make a profit to reward shareholders and invest in research and development; however, in many instances how much profit is "enough"? What about denying life-saving medicines to those who cannot afford them? What about charging widely different prices for the same product to different patients based on their insurance or country? The difficulty with such dilemmas at least in part has contributed to some of the very public scandals related to drug pricing in recent years.[45]

OB in Action

Bank of Baroda App scam

On 11 July 2023, a national news outlet reported something strange about one of the largest banks in the Indian public sector the Bank of Baroda. Based on the investigation, several customer accounts had been attached to unregistered mobile numbers which were used later on to enrol customers using the recently introduced mobile application Bob World into the bank fraudulently. What seemed to be a great influx of apps downloads and registrations initially, was, in fact, internal coercion and a devious onboarding behavior. The Bhopal zone staff had been told to report to work at 7:00 a.m. earlier in the year, on 24 March 2023, hours earlier than the usual business operations. They had been directed to get their customers on board Bob World, as quickly as they could. The targets that were placed on employees were later termed as being aggressive and not allowing any breathing space. As the reputational demands increased, there were cases where some of the branch employees were reported to have entered mobile numbers of non-existent customers just to get the required quotas.

On 10 October 2023, the Reserve Bank of India paid attention to the situation. RBI was worried about the integrity of onboarding process and hence Bank of Baroda was instructed by RBI to stop the enrolment of all new customers onto Bob World app immediately. Although the current users would still be served without any interruption, the bank had to examine the gaps in its onboarding processes and correct them until it could resume new subscriptions. Bank of Baroda, in its turn, launched its own corrective measures, increased the intensity of verification, and promised its customers that it would not affect their access to digital banking services. Yet, the episode brought more questions concerning the pressure of digital transformation and the moral limits between the expansion goals and customer loyalty. The wider environment of platform banking in India was also changing fast around the same period of time. Banks were transitioning to digital ecosystems, which combined mainstream services with fintech-based innovations. Banks, using API based integration, would be able to provide a smooth marketplace of financial and non-financial products to their customers. However, this change required high-level data integrity and open consent systems and ethical implementation of adoption processes.

The Bob World scandal demonstrated the extent to which the digital progress can be derailed in cases where governance and customer-centric ethics were unable to match the technological ambition. Finally, the case also boasted a significant conflict in the contemporary banking that is the urge to become more digitalized faster and the need to gain trust through ethical, secure, and transparent decision-making.

REFLECTIVE QUESTIONS.

1. What can employers do to encourage whistleblowers?
2. Given that you are in the leadership team, how will you redesign the onboarding process to make sure it does not only adopt digital quickly but also practices ethical employee behavior?
3. Which cultural or structural elements within large organizations contribute to unethical target-driven behavior and what can future managers do to ensure that such demands do not get out of control?
4. What is the role of the banks in the context of platform banking in terms of the tradeoffs between technological innovation, data security, consent and customer trust?
5. What is the appropriate response to violations of governance due to digital transformation what is the appropriate balance between innovation and regulation?

p. 17

BoB case 17

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= ILL-CONCEIVED GOALS (p.18)
+ goal-setting risk (VW p.188)
Fix: reward process,
not just numbers

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p. 17

WHAT'S ON THIS PAGE

Staff given aggressive app-enrolment targets entered fake mobile numbers; RBI stopped onboarding.

USE IT IN THE EXAM FOR

Best Indian example for unethical behaviour caused by targets.

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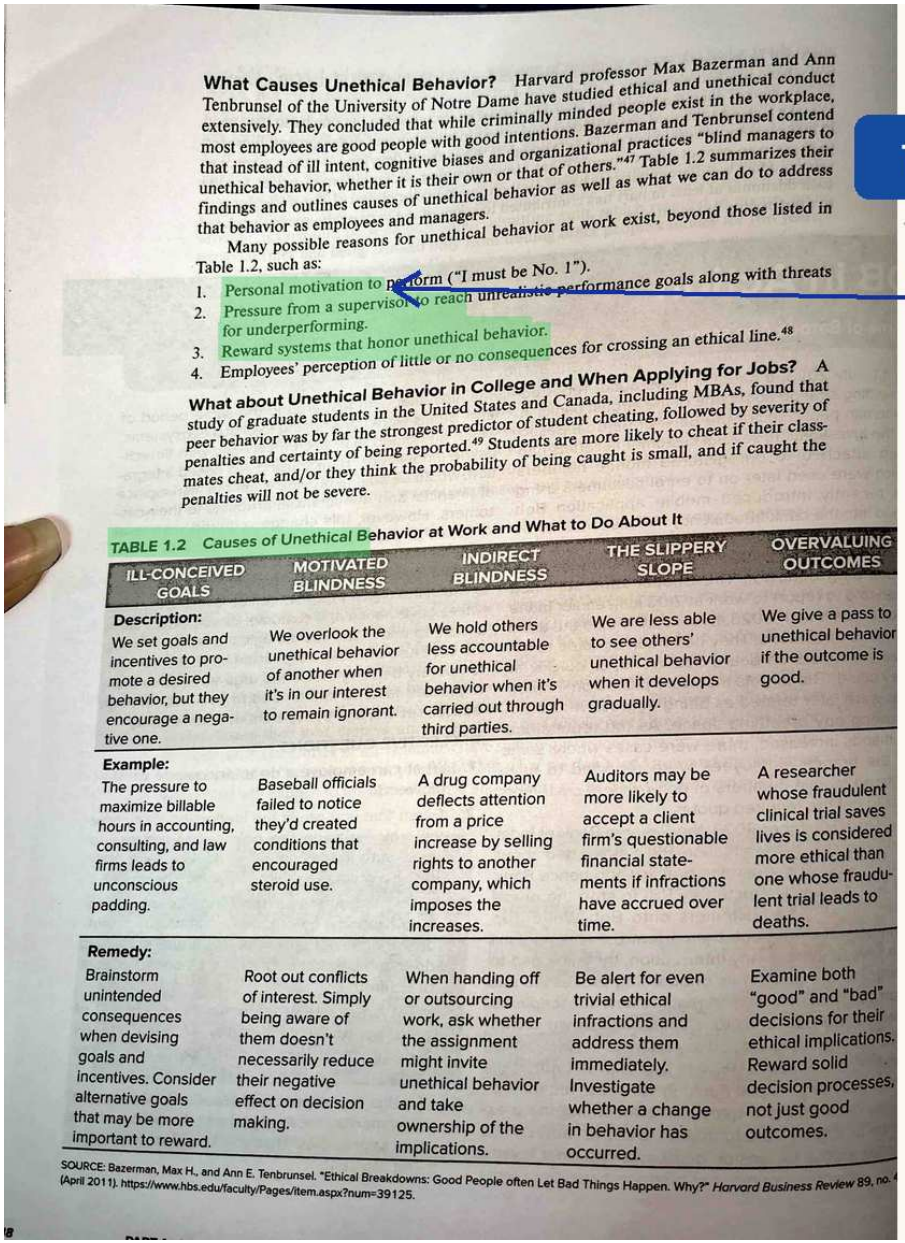
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= ILL-CONCEIVED GOALS (p.18)
+ goal-setting risk (VW p.188)
Fix: reward process,
not just numbers

HIGHLIGHT COLOURS ON THIS PAGE

Pink = Indian / company examples

p. 18 · What causes unethical behaviour? TABLE 1.2



What Causes Unethical Behavior? Harvard professor Max Bazerman and Ann Tenbrunsel of the University of Notre Dame have studied ethical and unethical conduct extensively. They concluded that while criminally minded people exist in the workplace, most employees are good people with good intentions. Bazerman and Tenbrunsel contend that instead of ill intent, cognitive biases and organizational practices "blind managers to unethical behavior, whether it is their own or that of others."[47] Table 1.2 summarizes their findings and outlines causes of unethical behavior as well as what we can do to address that behavior as employees and managers.

Many possible reasons for unethical behavior at work exist, beyond those listed in Table 1.2, such as:

1. Personal motivation to perform ("I must be No. 1").
2. Pressure from a supervisor to reach unrealistic performance goals along with threats for underperforming.
3. Reward systems that honor unethical behavior.
4. Employees' perception of little or no consequences for crossing an ethical line.[48]

What about Unethical Behavior in College and When Applying for Jobs? A study of graduate students in the United States and Canada, including MBAs, found that peer behavior was by far the strongest predictor of student cheating, followed by severity of penalties and certainty of being reported.[49] Students are more likely to cheat if their classmates cheat, and/or they think the probability of being caught is small, and if caught the penalties will not be severe.

TABLE 1.2 Causes of Unethical Behavior at Work and What to Do About It

	ILL-CONCEIVED GOALS	MOTIVATED BLINDNESS	INDIRECT BLINDNESS	THE SLIPPERY SLOPE	OVERVALUING OUTCOMES
Description:	We set goals and incentives to promote a desired behavior, but they encourage a negative one.	We overlook the unethical behavior of another when it's in our interest to remain ignorant.	We hold others less accountable for unethical behavior when it's carried out through third parties.	We are less able to see others' unethical behavior when it develops gradually.	We give a pass to unethical behavior if the outcome is good.
Example:	The pressure to maximize billable hours in accounting, consulting, and law firms leads to unconscious padding.	Baseball officials failed to notice they'd created conditions that encouraged steroid use.	A drug company deflects attention from a price increase by selling rights to another company, which imposes the increases.	Auditors may be more likely to accept a client firm's questionable financial statements if infractions have accrued over time.	A researcher whose fraudulent clinical trial saves lives is considered more ethical than one whose fraudulent trial leads to deaths.
Remedy:	Brainstorm unintended consequences when devising goals and incentives. Consider alternative goals that may be more important to reward.	Root out conflicts of interest. Simply being aware of them doesn't necessarily reduce their negative effect on decision making.	When handing off or outsourcing work, ask whether the assignment might invite unethical behavior and take ownership of the implications.	Be alert for even trivial ethical infractions and address them immediately. Investigate whether a change in behavior has occurred.	Examine both "good" and "bad" decisions for their ethical implications. Reward solid decision processes, not just good outcomes.

SOURCE: Bazerman, Max H., and Ann E. Tenbrunsel. "Ethical Breakdowns: Good People often Let Bad Things Happen. Why?" *Harvard Business Review* 89, no. 4 (April 2011). https://www.hbs.edu/faculty/Pages/item.aspx?num=39125.

p. 18

Table 1.2

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ANSWER TEMPLATE:
cause -> example -> remedy
Peer behaviour = strongest predictor of cheating

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p. 18

WHAT'S ON THIS PAGE

Bazerman & Tenbrunsel: 5 causes (ill-conceived goals, motivated blindness, indirect blindness, slippery slope, overvaluing outcomes) with examples and remedies.

USE IT IN THE EXAM FOR

Q: 'Why do good people act unethically?'

STICKY TAB

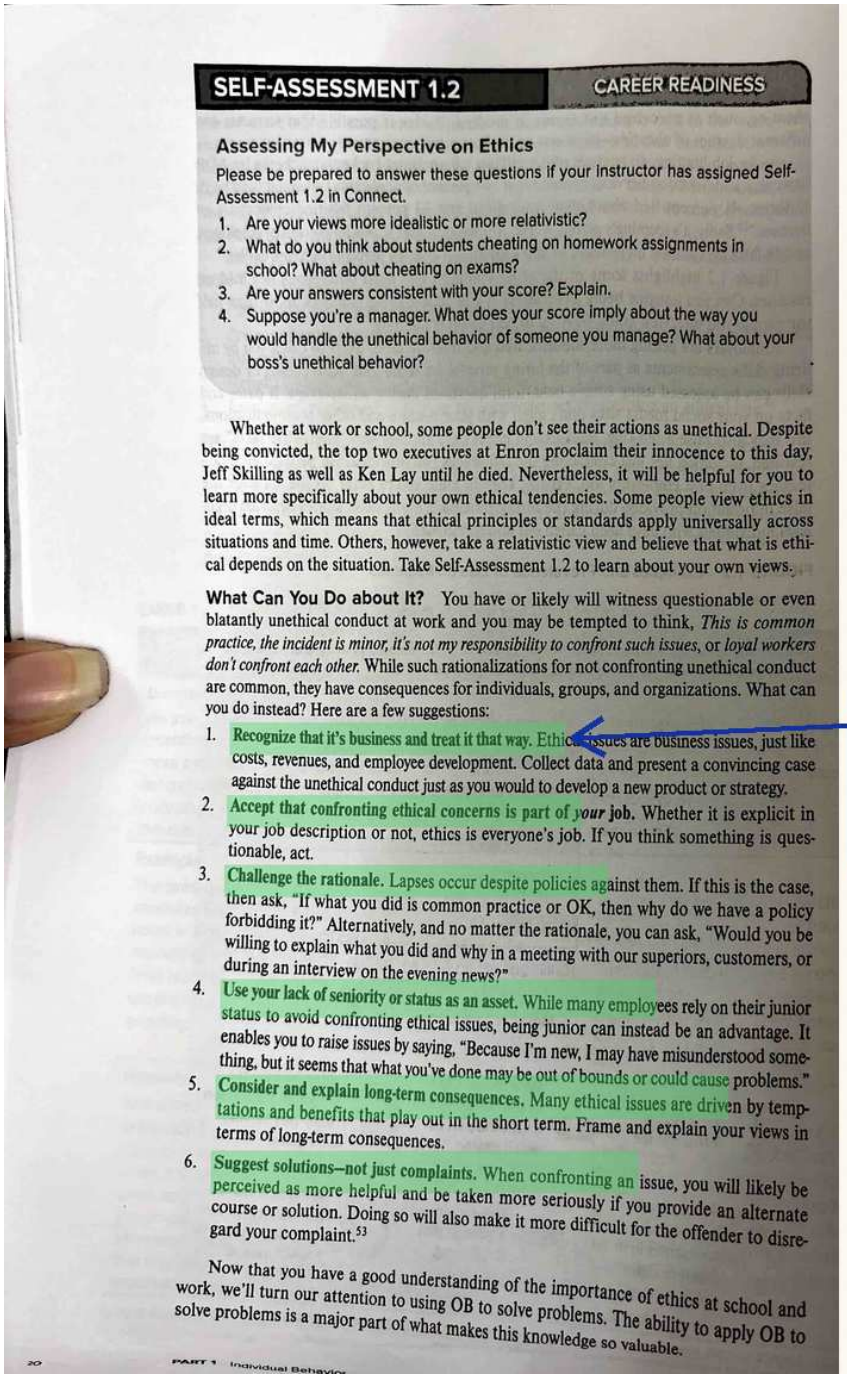
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ANSWER TEMPLATE:
cause -> example -> remedy
Peer behaviour = strongest predictor of cheating

HIGHLIGHT COLOURS ON THIS PAGE

Green = lists & frameworks



SELF-ASSESSMENT 1.2 CAREER READINESS

Assessing My Perspective on Ethics

Please be prepared to answer these questions if your instructor has assigned Self-Assessment 1.2 in Connect.

1. Are your views more idealistic or more relativistic?
2. What do you think about students cheating on homework assignments in school? What about cheating on exams?
3. Are your answers consistent with your score? Explain.
4. Suppose you're a manager. What does your score imply about the way you would handle the unethical behavior of someone you manage? What about your boss's unethical behavior?

Whether at work or school, some people don't see their actions as unethical. Despite being convicted, the top two executives at Enron proclaim their innocence to this day, Jeff Skilling as well as Ken Lay until he died. Nevertheless, it will be helpful for you to learn more specifically about your own ethical tendencies. Some people view ethics in ideal terms, which means that ethical principles or standards apply universally across situations and time. Others, however, take a relativistic view and believe that what is ethical depends on the situation. Take Self-Assessment 1.2 to learn about your own views.

What Can You Do about It? You have or likely will witness questionable or even blatantly unethical conduct at work and you may be tempted to think, *This is common practice, the incident is minor, it's not my responsibility to confront such issues,* or *loyal workers don't confront each other.* While such rationalizations for not confronting unethical conduct are common, they have consequences for individuals, groups, and organizations. What can you do instead? Here are a few suggestions:

1. **Recognize that it's business and treat it that way.** Ethical issues are business issues, just like costs, revenues, and employee development. Collect data and present a convincing case against the unethical conduct just as you would to develop a new product or strategy.
2. **Accept that confronting ethical concerns is part of *your* job.** Whether it is explicit in your job description or not, ethics is everyone's job. If you think something is questionable, act.
3. **Challenge the rationale.** Lapses occur despite policies against them. If this is the case, then ask, "If what you did is common practice or OK, then why do we have a policy forbidding it?" Alternatively, and no matter the rationale, you can ask, "Would you be willing to explain what you did and why in a meeting with our superiors, customers, or during an interview on the evening news?"
4. **Use your lack of seniority or status as an asset.** While many employees rely on their junior status to avoid confronting ethical issues, being junior can instead be an advantage. It enables you to raise issues by saying, "Because I'm new, I may have misunderstood something, but it seems that what you've done may be out of bounds or could cause problems."
5. **Consider and explain long-term consequences.** Many ethical issues are driven by temptations and benefits that play out in the short term. Frame and explain your views in terms of long-term consequences.
6. **Suggest solutions—not just complaints.** When confronting an issue, you will likely be perceived as more helpful and be taken more seriously if you provide an alternate course or solution. Doing so will also make it more difficult for the offender to disregard your complaint.[53]

Now that you have a good understanding of the importance of ethics at school and work, we'll turn our attention to using OB to solve problems. The ability to apply OB to solve problems is a major part of what makes this knowledge so valuable.

20 PART 1 Individual Behavior

p. 20

R2 Carucci (destructive behaviour):
1 origin stories 2 inner narrative
3 need it serves 4 new narrative
(Andy: 'safe even in silence')

write this in the margin

p. 20

WHAT'S ON THIS PAGE

Six suggestions: treat it as business, accept it's your job, challenge the rationale, use junior status, explain long-term consequences, suggest solutions.

USE IT IN THE EXAM FOR

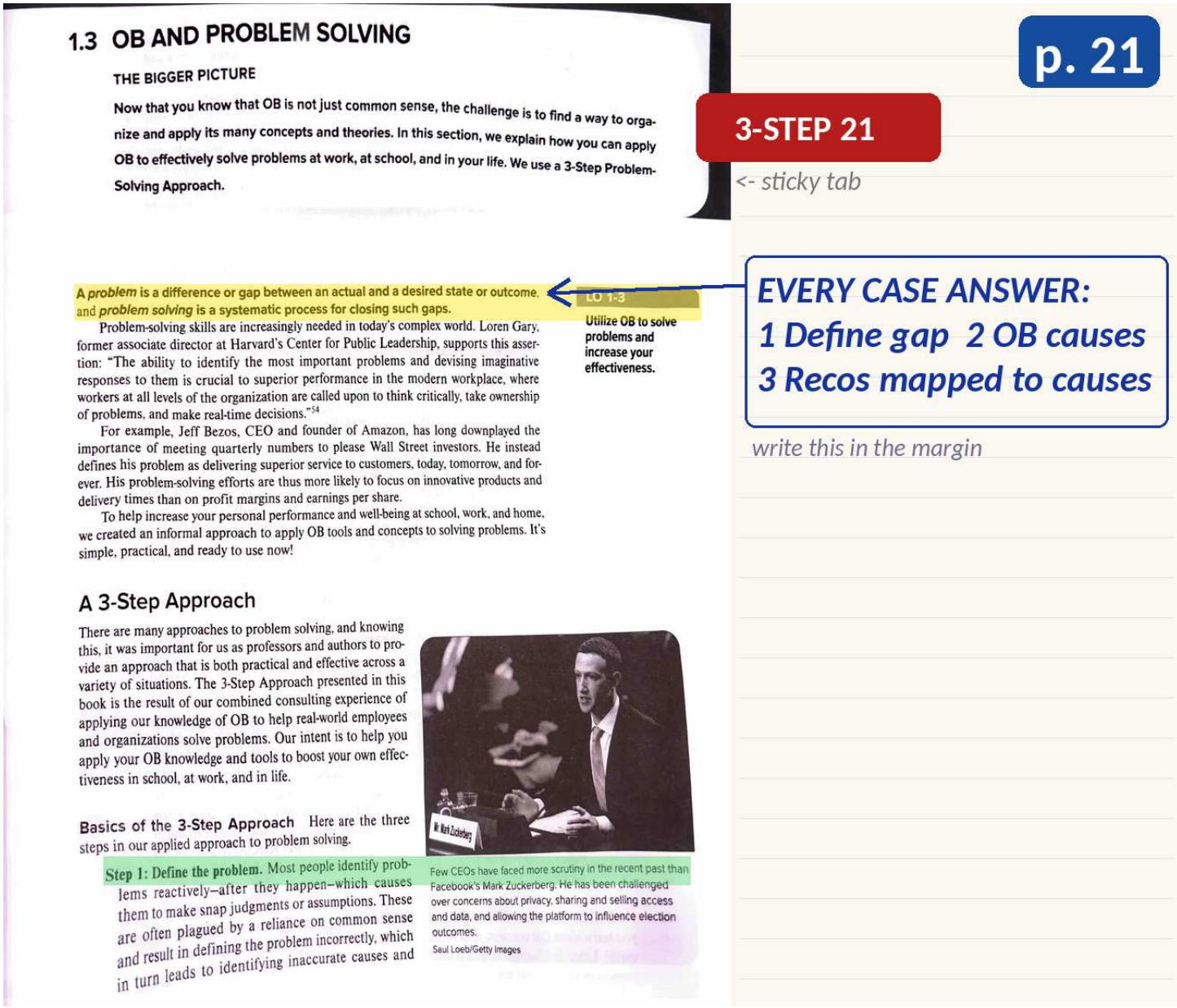
Recommendations section of ethics answers.

WRITE IN THE MARGIN

R2 Carucci (destructive behaviour):
1 origin stories 2 inner narrative
3 need it serves 4 new narrative
(Andy: 'safe even in silence')

HIGHLIGHT COLOURS ON THIS PAGE

Green = lists & frameworks



1.3 OB AND PROBLEM SOLVING

THE BIGGER PICTURE

Now that you know that OB is not just common sense, the challenge is to find a way to organize and apply its many concepts and theories. In this section, we explain how you can apply OB to effectively solve problems at work, at school, and in your life. We use a 3-Step Problem-Solving Approach.

A *problem* is a difference or gap between an actual and a desired state or outcome, and *problem solving* is a systematic process for closing such gaps.

LO 1-3

Utilize OB to solve problems and increase your effectiveness.

Problem-solving skills are increasingly needed in today's complex world. Loren Gary, former associate director at Harvard's Center for Public Leadership, supports this assertion: "The ability to identify the most important problems and devising imaginative responses to them is crucial to superior performance in the modern workplace, where workers at all levels of the organization are called upon to think critically, take ownership of problems, and make real-time decisions."[54]

For example, Jeff Bezos, CEO and founder of Amazon, has long downplayed the importance of meeting quarterly numbers to please Wall Street investors. He instead defines his problem as delivering superior service to customers, today, tomorrow, and forever. His problem-solving efforts are thus more likely to focus on innovative products and delivery times than on profit margins and earnings per share.

To help increase your personal performance and well-being at school, work, and home, we created an informal approach to apply OB tools and concepts to solving problems. It's simple, practical, and ready to use now!

A 3-Step Approach

There are many approaches to problem solving, and knowing this, it was important for us as professors and authors to provide an approach that is both practical and effective across a variety of situations. The 3-Step Approach presented in this book is the result of our combined consulting experience of applying our knowledge of OB to help real-world employees and organizations solve problems. Our intent is to help you apply your OB knowledge and tools to boost your own effectiveness in school, at work, and in life.

Few CEOs have faced more scrutiny in the recent past than Facebook's Mark Zuckerberg. He has been challenged over concerns about privacy, sharing and selling access and data, and allowing the platform to influence election outcomes.

Saul Loeb/Getty Images

Basics of the 3-Step Approach Here are the three steps in our applied approach to problem solving.

Step 1: Define the problem. Most people identify problems reactively—after they happen—which causes them to make snap judgments or assumptions. These are often plagued by a reliance on common sense and result in defining the problem incorrectly, which in turn leads to identifying inaccurate causes and

p. 21

3-STEP 21

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EVERY CASE ANSWER:
1 Define gap 2 OB causes
3 Recos mapped to causes

write this in the margin

p. 21

WHAT'S ON THIS PAGE

Defines a problem (gap between actual and desired) and starts the 3-Step Problem-Solving Approach.

USE IT IN THE EXAM FOR

The structure of every case answer.

STICKY TAB

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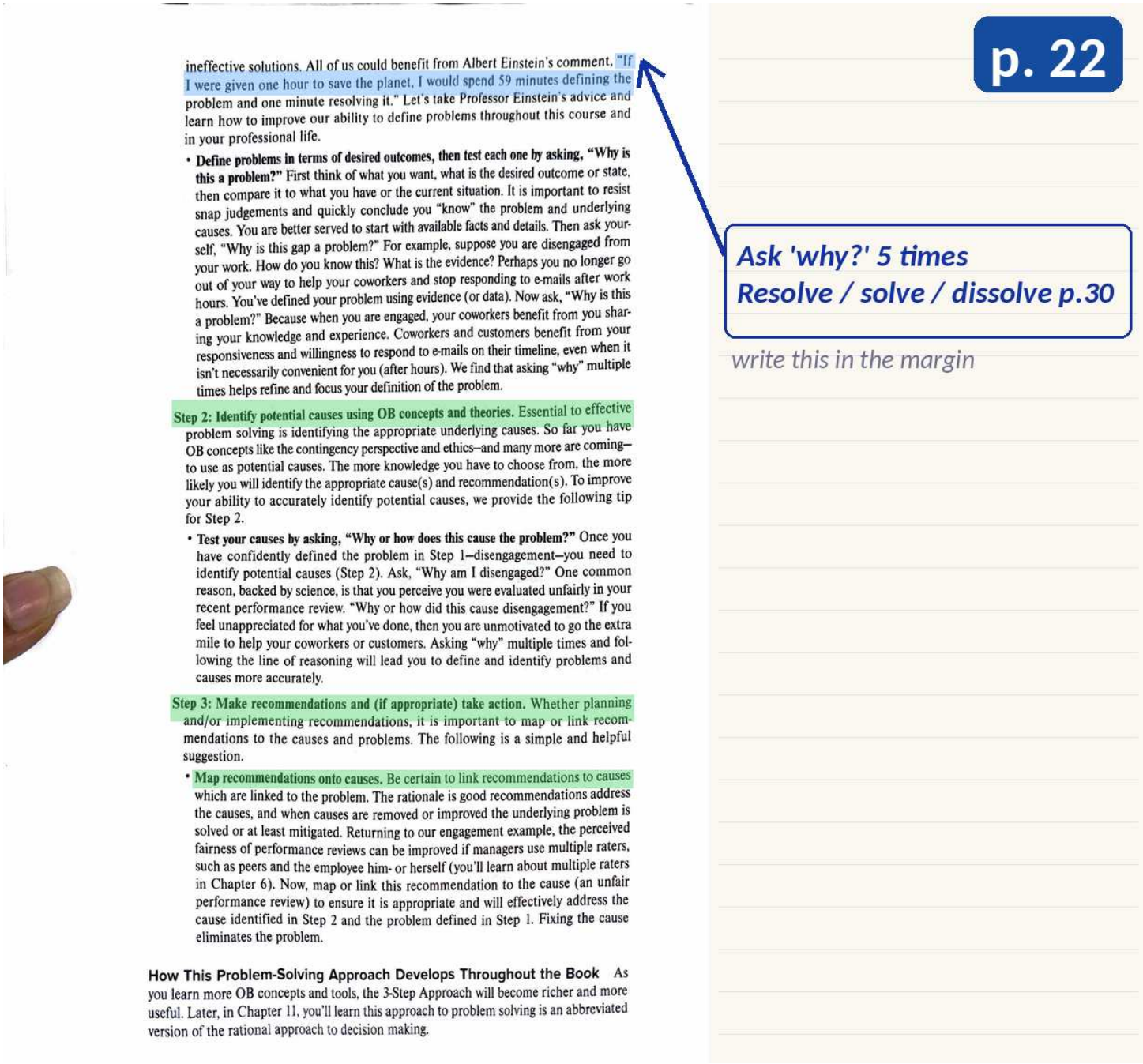
EVERY CASE ANSWER:
1 Define gap 2 OB causes
3 Recos mapped to causes

HIGHLIGHT COLOURS ON THIS PAGE

Yellow = definitions: exact words to quote

Green = lists & frameworks

p. 22 · Steps 1-3 explained with tips



ineffective solutions. All of us could benefit from Albert Einstein's comment, "If I were given one hour to save the planet, I would spend 59 minutes defining the problem and one minute resolving it." Let's take Professor Einstein's advice and learn how to improve our ability to define problems throughout this course and in your professional life.

- **Define problems in terms of desired outcomes, then test each one by asking, "Why is this a problem?"** First think of what you want, what is the desired outcome or state, then compare it to what you have or the current situation. It is important to resist snap judgements and quickly conclude you "know" the problem and underlying causes. You are better served to start with available facts and details. Then ask yourself, "Why is this gap a problem?" For example, suppose you are disengaged from your work. How do you know this? What is the evidence? Perhaps you no longer go out of your way to help your coworkers and stop responding to e-mails after work hours. You've defined your problem using evidence (or data). Now ask, "Why is this a problem?" Because when you are engaged, your coworkers benefit from you sharing your knowledge and experience. Coworkers and customers benefit from your responsiveness and willingness to respond to e-mails on their timeline, even when it isn't necessarily convenient for you (after hours). We find that asking "why" multiple times helps refine and focus your definition of the problem.

Step 2: Identify potential causes using OB concepts and theories. Essential to effective problem solving is identifying the appropriate underlying causes. So far you have OB concepts like the contingency perspective and ethics–and many more are coming–to use as potential causes. The more knowledge you have to choose from, the more likely you will identify the appropriate cause(s) and recommendation(s). To improve your ability to accurately identify potential causes, we provide the following tip for Step 2.

- **Test your causes by asking, "Why or how does this cause the problem?"** Once you have confidently defined the problem in Step 1–disengagement–you need to identify potential causes (Step 2). Ask, "Why am I disengaged?" One common reason, backed by science, is that you perceive you were evaluated unfairly in your recent performance review. "Why or how did this cause disengagement?" If you feel unappreciated for what you've done, then you are unmotivated to go the extra mile to help your coworkers or customers. Asking "why" multiple times and following the line of reasoning will lead you to define and identify problems and causes more accurately.

Step 3: Make recommendations and (if appropriate) take action. Whether planning and/or implementing recommendations, it is important to map or link recommendations to the causes and problems. The following is a simple and helpful suggestion.

- **Map recommendations onto causes.** Be certain to link recommendations to causes which are linked to the problem. The rationale is good recommendations address the causes, and when causes are removed or improved the underlying problem is solved or at least mitigated. Returning to our engagement example, the perceived fairness of performance reviews can be improved if managers use multiple raters, such as peers and the employee him- or herself (you'll learn about multiple raters in Chapter 6). Now, map or link this recommendation to the cause (an unfair performance review) to ensure it is appropriate and will effectively address the cause identified in Step 2 and the problem defined in Step 1. Fixing the cause eliminates the problem.

How This Problem-Solving Approach Develops Throughout the Book As you learn more OB concepts and tools, the 3-Step Approach will become richer and more useful. Later, in Chapter 11, you'll learn this approach to problem solving is an abbreviated version of the rational approach to decision making.

p. 22

Ask 'why?' 5 times
Resolve / solve / dissolve p.30

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p. 22

WHAT'S ON THIS PAGE

Einstein's '59 minutes defining'; tips for each step (ask 'why?', map recommendations onto causes).

USE IT IN THE EXAM FOR

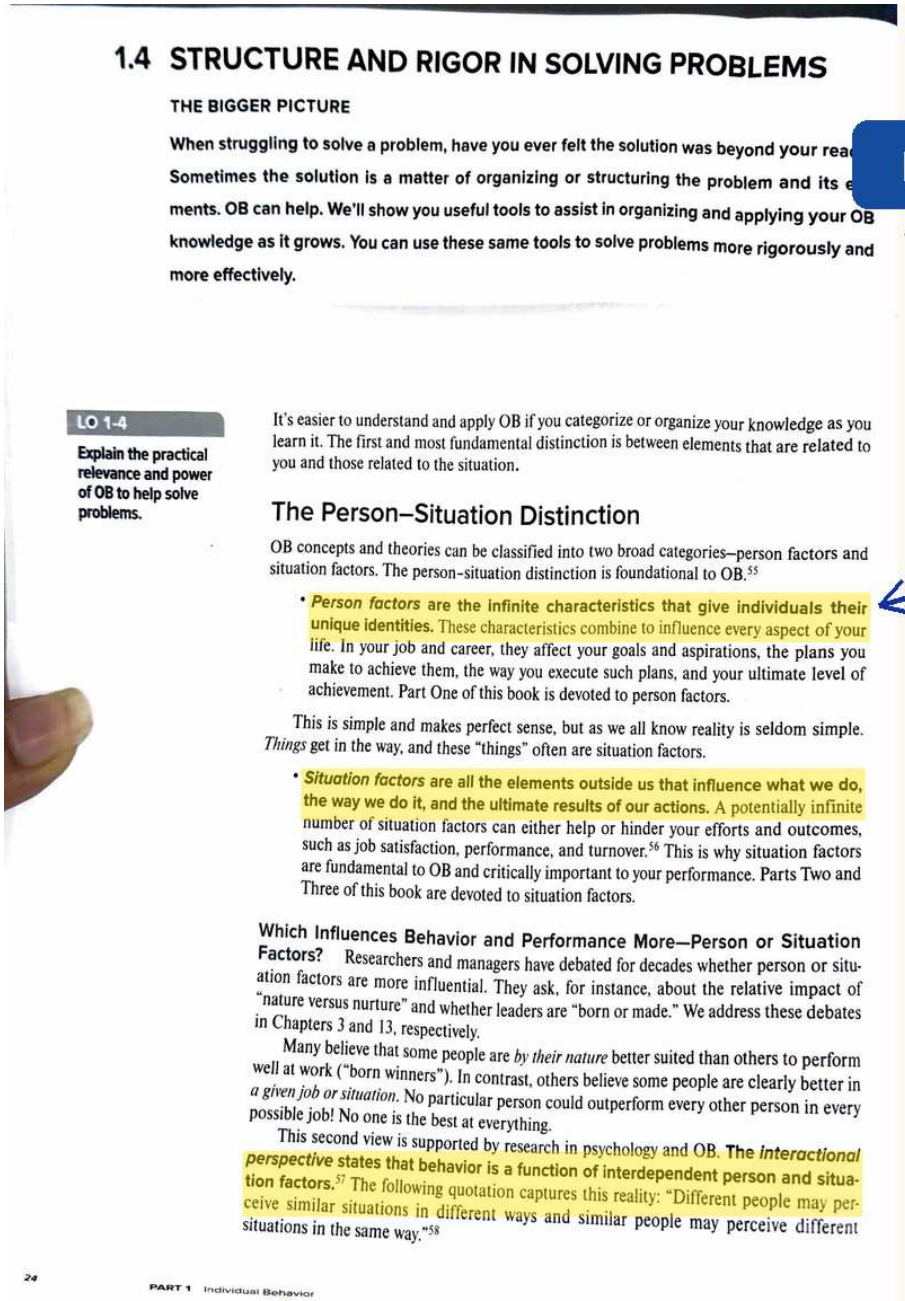
Quote the tips to show rigour.

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Ask 'why?' 5 times
Resolve / solve / dissolve p.30

HIGHLIGHT COLOURS ON THIS PAGE

- Green = lists & frameworks
- Blue = research numbers



1.4 STRUCTURE AND RIGOR IN SOLVING PROBLEMS

THE BIGGER PICTURE

When struggling to solve a problem, have you ever felt the solution was beyond your rea
Sometimes the solution is a matter of organizing or structuring the problem and its e
ments. OB can help. We'll show you useful tools to assist in organizing and applying your OB
knowledge as it grows. You can use these same tools to solve problems more rigorously and
more effectively.

LO 1-4

Explain the practical relevance and power of OB to help solve problems.

It's easier to understand and apply OB if you categorize or organize your knowledge as you learn it. The first and most fundamental distinction is between elements that are related to you and those related to the situation.

The Person–Situation Distinction

OB concepts and theories can be classified into two broad categories—person factors and situation factors. The person-situation distinction is foundational to OB.[55]

- ***Person factors*** **are the infinite characteristics that give individuals their unique identities.** These characteristics combine to influence every aspect of your life. In your job and career, they affect your goals and aspirations, the plans you make to achieve them, the way you execute such plans, and your ultimate level of achievement. Part One of this book is devoted to person factors.

This is simple and makes perfect sense, but as we all know reality is seldom simple. *Things* get in the way, and these "things" often are situation factors.

- ***Situation factors*** **are all the elements outside us that influence what we do, the way we do it, and the ultimate results of our actions.** A potentially infinite number of situation factors can either help or hinder your efforts and outcomes, such as job satisfaction, performance, and turnover.[56] This is why situation factors are fundamental to OB and critically important to your performance. Parts Two and Three of this book are devoted to situation factors.

Which Influences Behavior and Performance More—Person or Situation Factors? Researchers and managers have debated for decades whether person or situation factors are more influential. They ask, for instance, about the relative impact of "nature versus nurture" and whether leaders are "born or made." We address these debates in Chapters 3 and 13, respectively.

Many believe that some people are *by their nature* better suited than others to perform well at work ("born winners"). In contrast, others believe some people are clearly better in *a given job or situation*. No particular person could outperform every other person in every possible job! No one is the best at everything.

This second view is supported by research in psychology and OB. **The *interactional perspective* states that behavior is a function of interdependent person and situation factors.**[57] The following quotation captures this reality: "Different people may perceive similar situations in different ways and similar people may perceive different situations in the same way."[58]

24 PART 1 Individual Behavior

p. 24

Person-sit 24

<- sticky tab

Handout: diagnose, don't label 'lazy' employee -> check personality, perception, attitude, motivation, emotions, group, leader, culture

write this in the margin

p. 24

WHAT'S ON THIS PAGE

Person factors vs situation factors; interactional perspective (behaviour = person x situation).

USE IT IN THE EXAM FOR

Classify causes as person vs situation in every answer.

STICKY TAB

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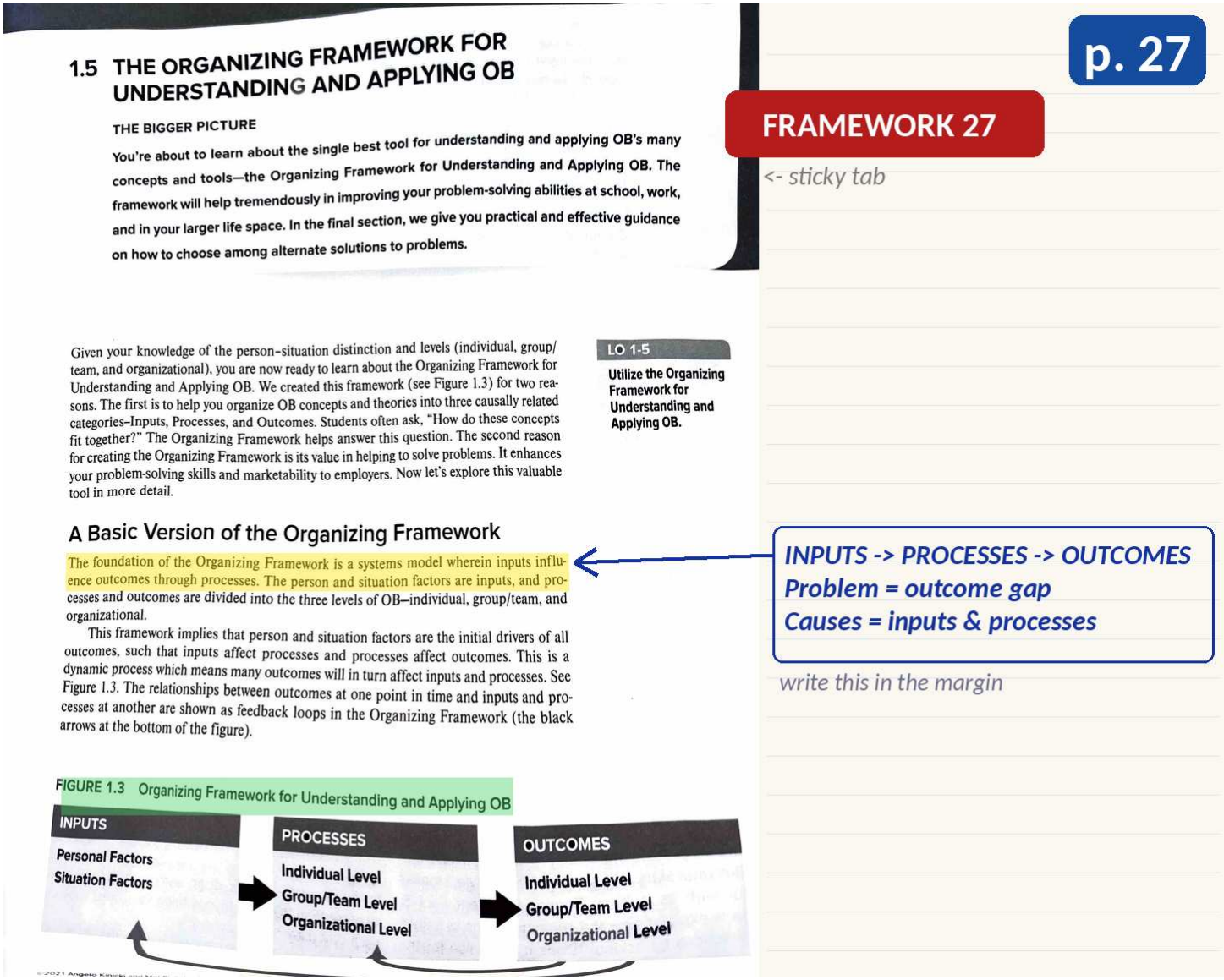
WRITE IN THE MARGIN

Handout: diagnose, don't label 'lazy' employee -> check personality, perception, attitude, motivation, emotions, group, leader, culture

HIGHLIGHT COLOURS ON THIS PAGE

Yellow = definitions: exact words to quote

p. 27 · 1.5 The ORGANIZING FRAMEWORK (Figure 1.3)



1.5 THE ORGANIZING FRAMEWORK FOR UNDERSTANDING AND APPLYING OB

THE BIGGER PICTURE

You're about to learn about the single best tool for understanding and applying OB's many concepts and tools—the Organizing Framework for Understanding and Applying OB. The framework will help tremendously in improving your problem-solving abilities at school, work, and in your larger life space. In the final section, we give you practical and effective guidance on how to choose among alternate solutions to problems.

Given your knowledge of the person–situation distinction and levels (individual, group/team, and organizational), you are now ready to learn about the Organizing Framework for Understanding and Applying OB. We created this framework (see Figure 1.3) for two reasons. The first is to help you organize OB concepts and theories into three causally related categories–Inputs, Processes, and Outcomes. Students often ask, "How do these concepts fit together?" The Organizing Framework helps answer this question. The second reason for creating the Organizing Framework is its value in helping to solve problems. It enhances your problem-solving skills and marketability to employers. Now let's explore this valuable tool in more detail.

LO 1-5 Utilize the Organizing Framework for Understanding and Applying OB.

A Basic Version of the Organizing Framework

The foundation of the Organizing Framework is a systems model wherein inputs influence outcomes through processes. The person and situation factors are inputs, and processes and outcomes are divided into the three levels of OB–individual, group/team, and organizational.

This framework implies that person and situation factors are the initial drivers of all outcomes, such that inputs affect processes and processes affect outcomes. This is a dynamic process which means many outcomes will in turn affect inputs and processes. See Figure 1.3. The relationships between outcomes at one point in time and inputs and processes at another are shown as feedback loops in the Organizing Framework (the black arrows at the bottom of the figure).

FIGURE 1.3 Organizing Framework for Understanding and Applying OB

p. 27

FRAMEWORK 27

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INPUTS -> PROCESSES -> OUTCOMES
Problem = outcome gap
Causes = inputs & processes

write this in the margin

p. 27

WHAT'S ON THIS PAGE

Inputs (person + situation) -> Processes (individual, group, org) -> Outcomes (individual, group, org), with feedback loops.

USE IT IN THE EXAM FOR

Draw this diagram in long answers.

STICKY TAB

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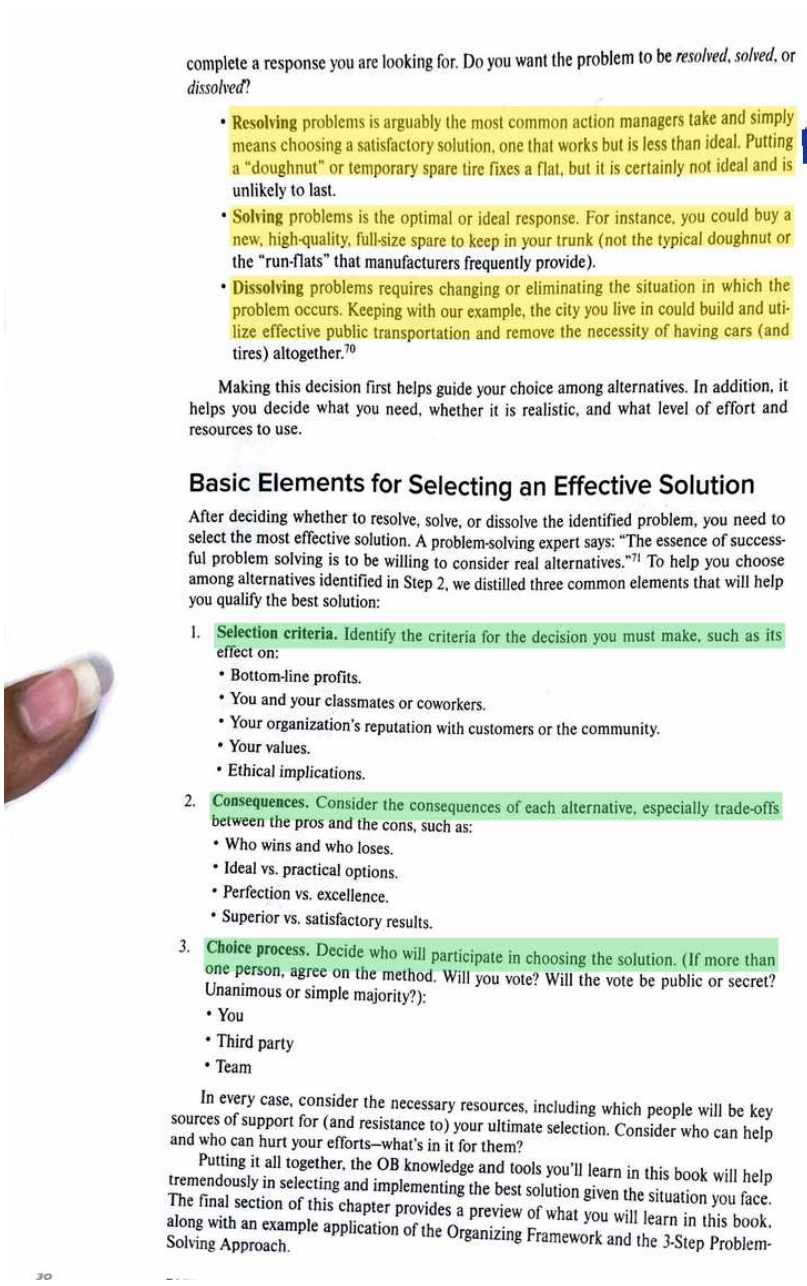
WRITE IN THE MARGIN

INPUTS -> PROCESSES -> OUTCOMES
Problem = outcome gap
Causes = inputs & processes

HIGHLIGHT COLOURS ON THIS PAGE

Yellow = definitions: exact words to quote
Green = lists & frameworks

p. 30 · Resolve, solve, dissolve + selecting a solution



complete a response you are looking for. Do you want the problem to be *resolved*, *solved*, or *dissolved*?

- **Resolving** problems is arguably the most common action managers take and simply means choosing a satisfactory solution, one that works but is less than ideal. Putting a "doughnut" or temporary spare tire fixes a flat, but it is certainly not ideal and is unlikely to last.
- **Solving** problems is the optimal or ideal response. For instance, you could buy a new, high-quality, full-size spare to keep in your trunk (not the typical doughnut or the "run-flats" that manufacturers frequently provide).
- **Dissolving** problems requires changing or eliminating the situation in which the problem occurs. Keeping with our example, the city you live in could build and utilize effective public transportation and remove the necessity of having cars (and tires) altogether.[70]

Making this decision first helps guide your choice among alternatives. In addition, it helps you decide what you need, whether it is realistic, and what level of effort and resources to use.

Basic Elements for Selecting an Effective Solution

After deciding whether to resolve, solve, or dissolve the identified problem, you need to select the most effective solution. A problem-solving expert says: "The essence of successful problem solving is to be willing to consider real alternatives."[71] To help you choose among alternatives identified in Step 2, we distilled three common elements that will help you qualify the best solution:

1. **Selection criteria.** Identify the criteria for the decision you must make, such as its effect on:
   - Bottom-line profits.
   - You and your classmates or coworkers.
   - Your organization's reputation with customers or the community.
   - Your values.
   - Ethical implications.
2. **Consequences.** Consider the consequences of each alternative, especially trade-offs between the pros and the cons, such as:
   - Who wins and who loses.
   - Ideal vs. practical options.
   - Perfection vs. excellence.
   - Superior vs. satisfactory results.
3. **Choice process.** Decide who will participate in choosing the solution. (If more than one person, agree on the method. Will you vote? Will the vote be public or secret? Unanimous or simple majority?):
   - You
   - Third party
   - Team

In every case, consider the necessary resources, including which people will be key sources of support for (and resistance to) your ultimate selection. Consider who can help and who can hurt your efforts—what's in it for them?

Putting it all together, the OB knowledge and tools you'll learn in this book will help tremendously in selecting and implementing the best solution given the situation you face. The final section of this chapter provides a preview of what you will learn in this book, along with an example application of the Organizing Framework and the 3-Step Problem-Solving Approach.

p. 30

Say in answers: 'I recommend we SOLVE (not just resolve) this by...'

write this in the margin

p. 30

WHAT'S ON THIS PAGE

Three ways to respond to a problem and three elements for choosing a solution (criteria, consequences, choice process).

USE IT IN THE EXAM FOR

Strengthens the recommendation part.

WRITE IN THE MARGIN

Say in answers: 'I recommend we SOLVE (not just resolve) this by...'

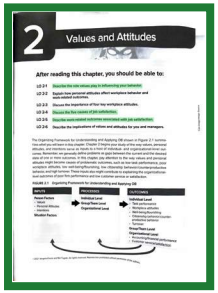
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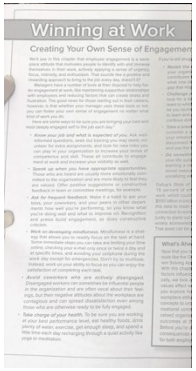
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MAP • Chapter 2 • Values and Attitudes

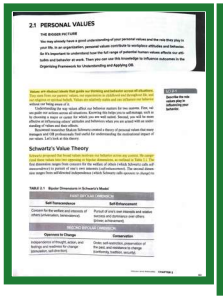
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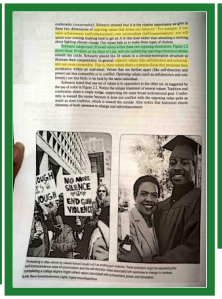
p. 41
M2 opener



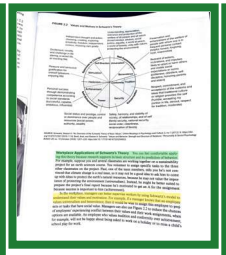
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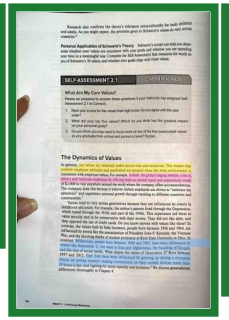
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Values 43



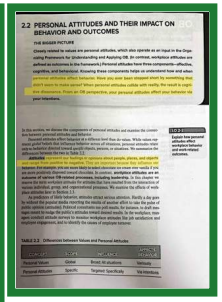
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Schwartz's 10 ...



p. 45
Figure 2.2 Sch...



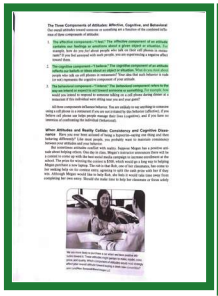
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Dynamics of va...



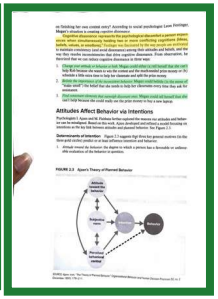
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Attitudes 47



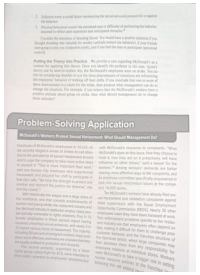
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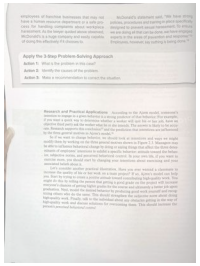
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ABC



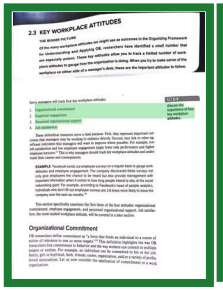
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COGNITIVE DISS...



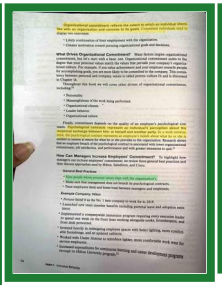
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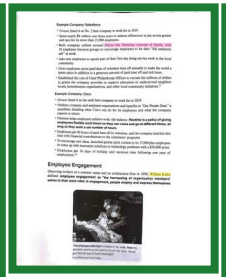
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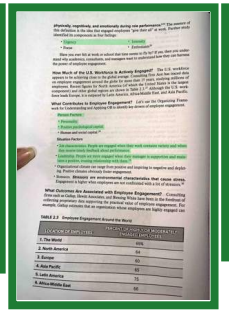
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4 attitudes 53



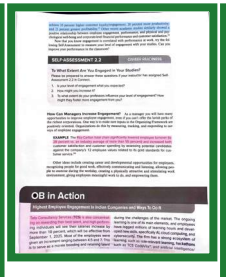
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Organisational...



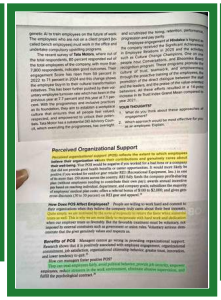
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Salesforce, Ci...



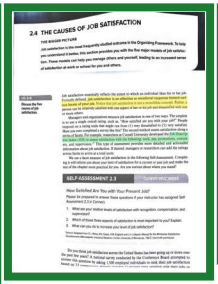
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Engagement



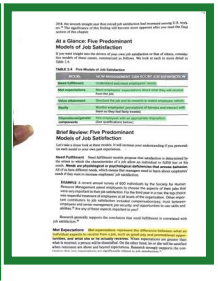
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Engagement out...



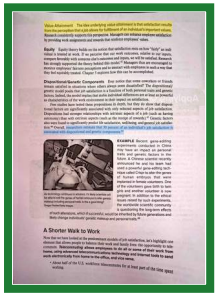
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PERCEIVED ORGA...



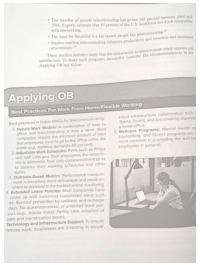
p. 59
Job sat 59



p. 60
TABLE 2.4



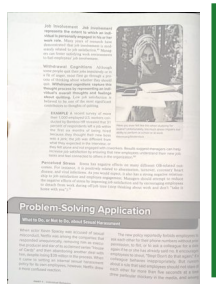
p. 61
Value attainme...



p. 62
skim



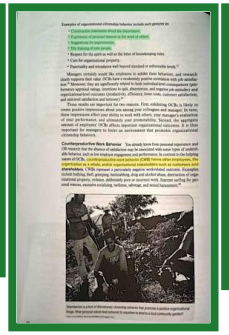
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JS outcomes 63



p. 64
skim



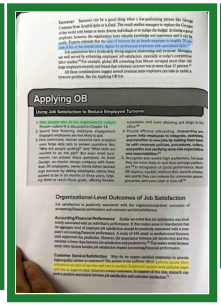
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Satisfaction-p...



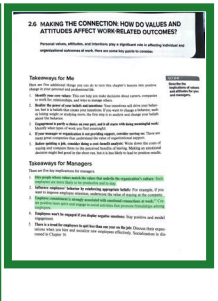
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OCB examples



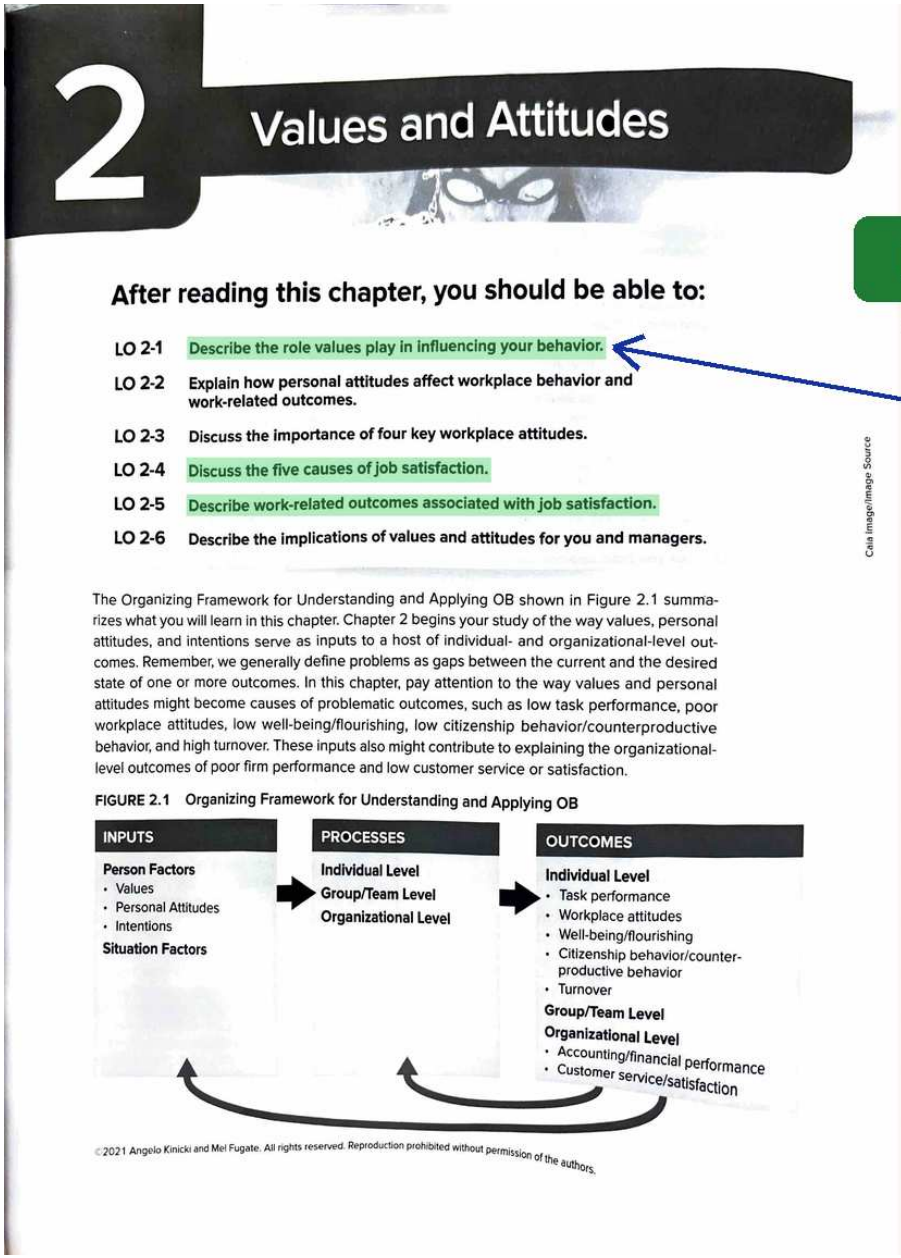
p. 67
India CWB 67



p. 68
Turnover



p. 69
2.6 Takeaways ...



2 Values and Attitudes

After reading this chapter, you should be able to:

LO 2-1 Describe the role values play in influencing your behavior.

LO 2-2 Explain how personal attitudes affect workplace behavior and work-related outcomes.

LO 2-3 Discuss the importance of four key workplace attitudes.

LO 2-4 Discuss the five causes of job satisfaction.

LO 2-5 Describe work-related outcomes associated with job satisfaction.

LO 2-6 Describe the implications of values and attitudes for you and managers.

The Organizing Framework for Understanding and Applying OB shown in Figure 2.1 summarizes what you will learn in this chapter. Chapter 2 begins your study of the way values, personal attitudes, and intentions serve as inputs to a host of individual- and organizational-level outcomes. Remember, we generally define problems as gaps between the current and the desired state of one or more outcomes. In this chapter, pay attention to the way values and personal attitudes might become causes of problematic outcomes, such as low task performance, poor workplace attitudes, low well-being/flourishing, low citizenship behavior/counterproductive behavior, and high turnover. These inputs also might contribute to explaining the organizational-level outcomes of poor firm performance and low customer service or satisfaction.

FIGURE 2.1 Organizing Framework for Understanding and Applying OB

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p. 41

M2 start

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M2 = Ch 2 + Schwartz/Hofstede/GLOBE PPT + McKinsey Great Attrition (copy blocks on p.70-75)

write this in the margin

p. 41

WHAT'S ON THIS PAGE

Learning objectives LO 2-1 to 2-6 and Figure 2.1 (values, attitudes, intentions -> outcomes).

USE IT IN THE EXAM FOR

Module 2 entry point.

STICKY TAB

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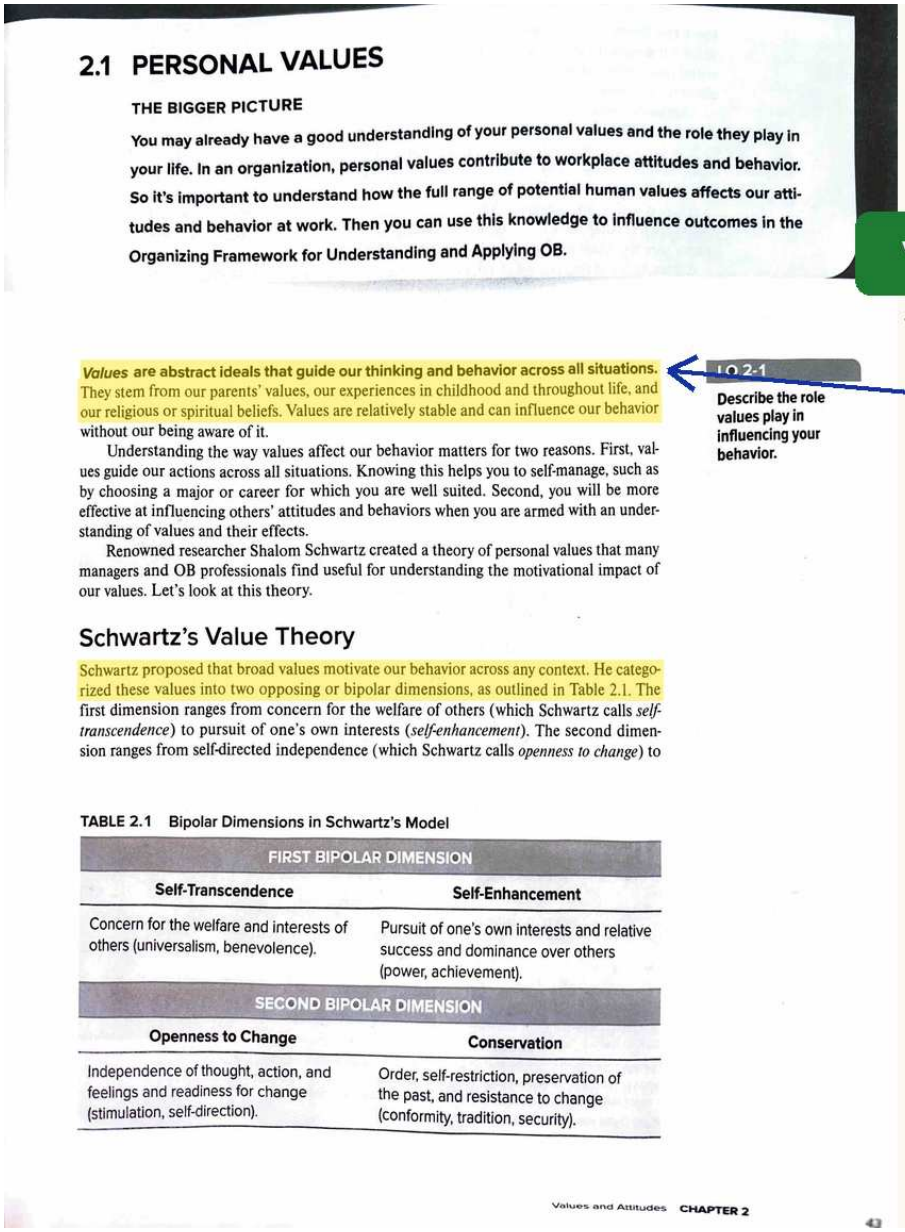
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Green = lists & frameworks

p. 43 • 2.1 Personal VALUES + Schwartz Table 2.1



2.1 PERSONAL VALUES

THE BIGGER PICTURE

You may already have a good understanding of your personal values and the role they play in your life. In an organization, personal values contribute to workplace attitudes and behavior. So it's important to understand how the full range of potential human values affects our attitudes and behavior at work. Then you can use this knowledge to influence outcomes in the Organizing Framework for Understanding and Applying OB.

Values are abstract ideals that guide our thinking and behavior across all situations. They stem from our parents' values, our experiences in childhood and throughout life, and our religious or spiritual beliefs. Values are relatively stable and can influence our behavior without our being aware of it.

LO 2-1 Describe the role values play in influencing your behavior.

Understanding the way values affect our behavior matters for two reasons. First, values guide our actions across all situations. Knowing this helps you to self-manage, such as by choosing a major or career for which you are well suited. Second, you will be more effective at influencing others' attitudes and behaviors when you are armed with an understanding of values and their effects.

Renowned researcher Shalom Schwartz created a theory of personal values that many managers and OB professionals find useful for understanding the motivational impact of our values. Let's look at this theory.

Schwartz's Value Theory

Schwartz proposed that broad values motivate our behavior across any context. He categorized these values into two opposing or bipolar dimensions, as outlined in Table 2.1. The first dimension ranges from concern for the welfare of others (which Schwartz calls *self-transcendence*) to pursuit of one's own interests (*self-enhancement*). The second dimension ranges from self-directed independence (which Schwartz calls *openness to change*) to

TABLE 2.1 Bipolar Dimensions in Schwartz's Model

FIRST BIPOLAR DIMENSION	
Self-Transcendence	**Self-Enhancement**
Concern for the welfare and interests of others (universalism, benevolence).	Pursuit of one's own interests and relative success and dominance over others (power, achievement).
SECOND BIPOLAR DIMENSION	
Openness to Change	**Conservation**
Independence of thought, action, and feelings and readiness for change (stimulation, self-direction).	Order, self-restriction, preservation of the past, and resistance to change (conformity, tradition, security).

Values and Attitudes CHAPTER 2

p. 43

Values 43

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Rokeach: TERMINAL (end-states)
vs INSTRUMENTAL (means)
Value system = hierarchy

write this in the margin

p. 43

WHAT'S ON THIS PAGE

Definition of values, where they come from, and the two bipolar dimensions of Schwartz's theory.

USE IT IN THE EXAM FOR

Define values; start Schwartz.

STICKY TAB

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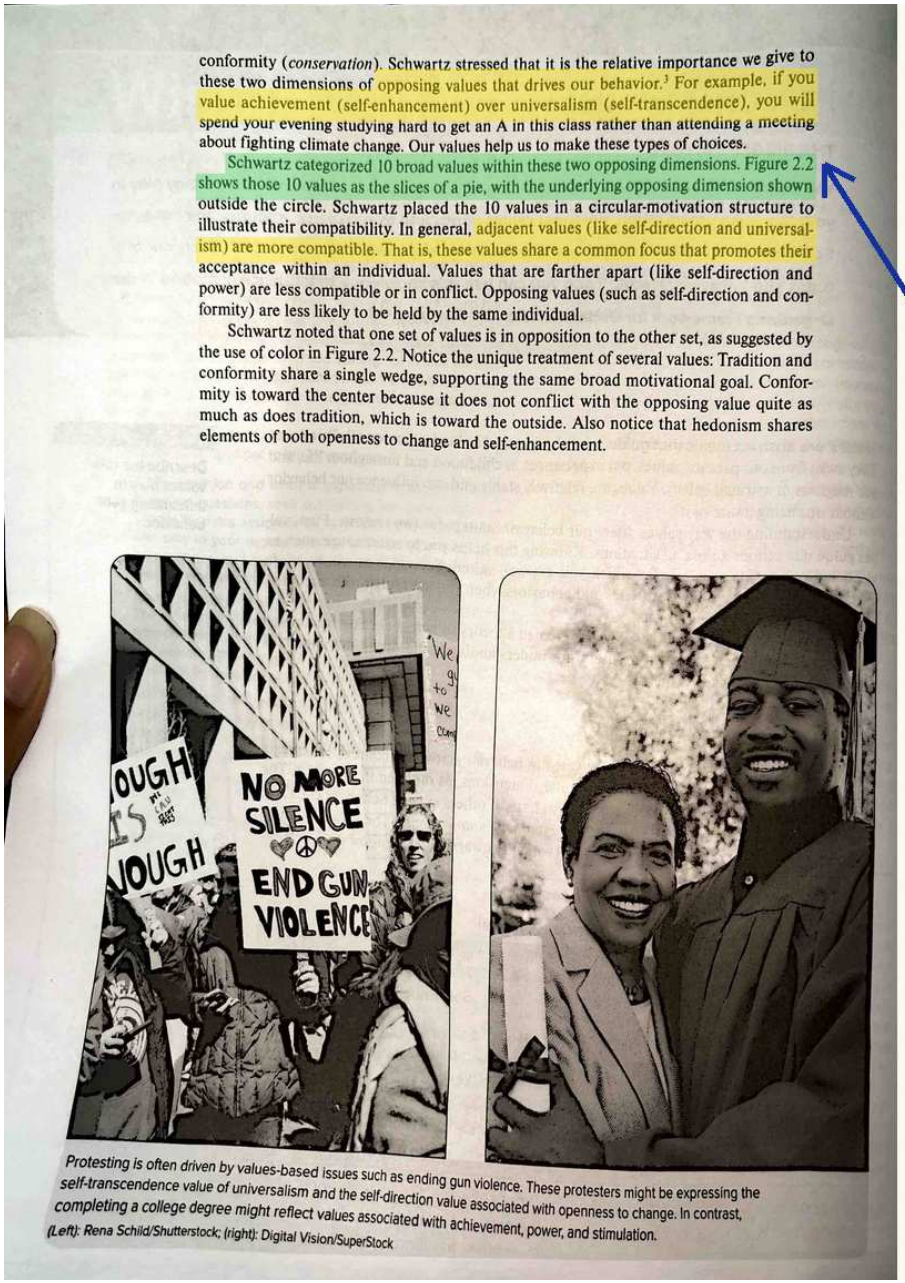
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Rokeach: TERMINAL (end-states)
vs INSTRUMENTAL (means)
Value system = hierarchy

HIGHLIGHT COLOURS ON THIS PAGE

Yellow = definitions: exact words to quote

p. 44 · Schwartz's 10 values: adjacent = compatible



conformity (*conservation*). Schwartz stressed that it is the relative importance we give to these two dimensions of opposing values that drives our behavior.[3] For example, if you value achievement (self-enhancement) over universalism (self-transcendence), you will spend your evening studying hard to get an A in this class rather than attending a meeting about fighting climate change. Our values help us to make these types of choices.

Schwartz categorized 10 broad values within these two opposing dimensions. Figure 2.2 shows those 10 values as the slices of a pie, with the underlying opposing dimension shown outside the circle. Schwartz placed the 10 values in a circular-motivation structure to illustrate their compatibility. In general, adjacent values (like self-direction and universalism) are more compatible. That is, these values share a common focus that promotes their acceptance within an individual. Values that are farther apart (like self-direction and power) are less compatible or in conflict. Opposing values (such as self-direction and conformity) are less likely to be held by the same individual.

Schwartz noted that one set of values is in opposition to the other set, as suggested by the use of color in Figure 2.2. Notice the unique treatment of several values: Tradition and conformity share a single wedge, supporting the same broad motivational goal. Conformity is toward the center because it does not conflict with the opposing value quite as much as does tradition, which is toward the outside. Also notice that hedonism shares elements of both openness to change and self-enhancement.

Protesting is often driven by values-based issues such as ending gun violence. These protesters might be expressing the self-transcendence value of universalism and the self-direction value associated with openness to change. In contrast, completing a college degree might reflect values associated with achievement, power, and stimulation.

(Left): Rena Schild/Shutterstock; (right): Digital Vision/SuperStock

p. 44

HOFSTEDE 6: power distance, indiv-collectivism, uncertainty avoidance, masc-fem, long-term, indulgence (country level!)

write this in the margin

p. 44

WHAT'S ON THIS PAGE

10 values in a circle; adjacent values are compatible, opposite values conflict.

USE IT IN THE EXAM FOR

Write Hofstede here (not in book).

WRITE IN THE MARGIN

HOFSTEDE 6: power distance, indiv-collectivism, uncertainty avoidance, masc-fem, long-term, indulgence (country level!)

HIGHLIGHT COLOURS ON THIS PAGE

- Yellow = definitions: exact words to quote
- Green = lists & frameworks

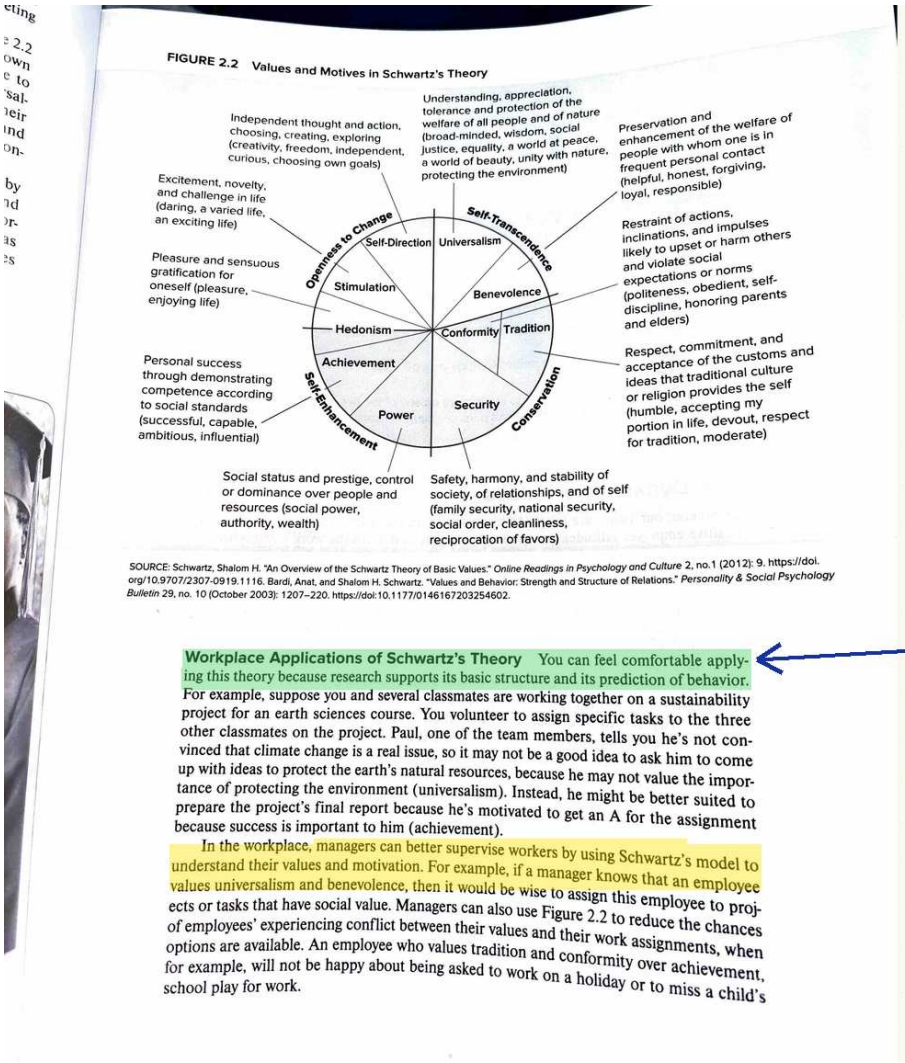


FIGURE 2.2 Values and Motives in Schwartz's Theory

SOURCE: Schwartz, Shalom H. "An Overview of the Schwartz Theory of Basic Values." *Online Readings in Psychology and Culture* 2, no.1 (2012): 9. https://doi.org/10.9707/2307-0919.1116. Bardi, Anat, and Shalom H. Schwartz. "Values and Behavior: Strength and Structure of Relations." *Personality & Social Psychology Bulletin* 29, no. 10 (October 2003): 1207–220. https://doi:10.1177/0146167203254602.

Workplace Applications of Schwartz's Theory You can feel comfortable applying this theory because research supports its basic structure and its prediction of behavior. For example, suppose you and several classmates are working together on a sustainability project for an earth sciences course. You volunteer to assign specific tasks to the three other classmates on the project. Paul, one of the team members, tells you he's not convinced that climate change is a real issue, so it may not be a good idea to ask him to come up with ideas to protect the earth's natural resources, because he may not value the importance of protecting the environment (universalism). Instead, he might be better suited to prepare the project's final report because he's motivated to get an A for the assignment because success is important to him (achievement).

In the workplace, managers can better supervise workers by using Schwartz's model to understand their values and motivation. For example, if a manager knows that an employee values universalism and benevolence, then it would be wise to assign this employee to projects or tasks that have social value. Managers can also use Figure 2.2 to reduce the chances of employees' experiencing conflict between their values and their work assignments, when options are available. An employee who values tradition and conformity over achievement, for example, will not be happy about being asked to work on a holiday or to miss a child's school play for work.

p. 45

GLOBE: 9 culture dims + 6 leader styles; practices ('as is') vs values ('should be')

write this in the margin

p. 45

WHAT'S ON THIS PAGE

The Schwartz circle diagram with meanings, then the 'Paul' example of assigning tasks by values.

USE IT IN THE EXAM FOR

Diagram to sketch in an answer.

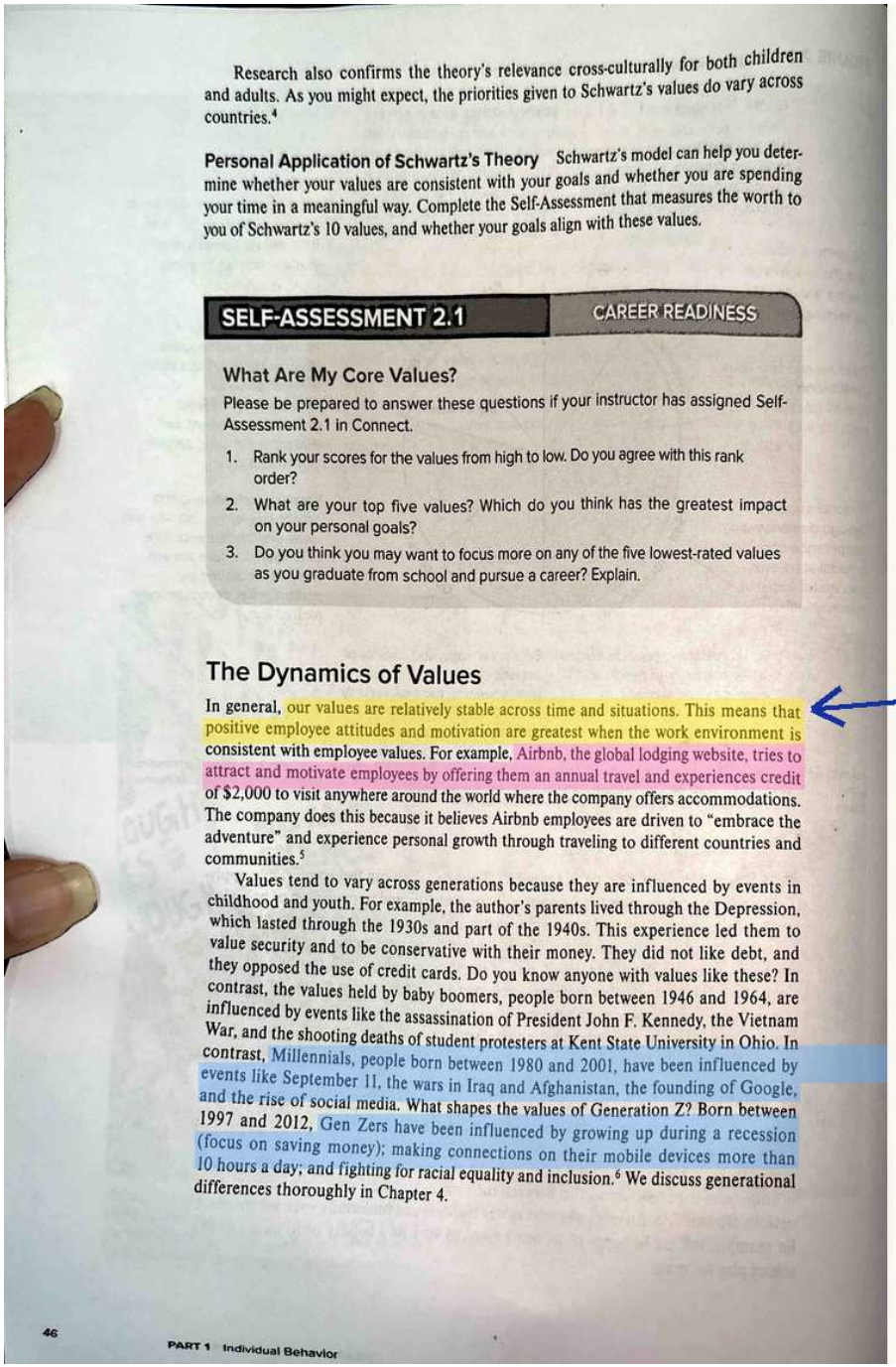
WRITE IN THE MARGIN

GLOBE: 9 culture dims + 6 leader styles; practices ('as is') vs values ('should be')

HIGHLIGHT COLOURS ON THIS PAGE

Yellow = definitions: exact words to quote

Green = lists & frameworks



Research also confirms the theory's relevance cross-culturally for both children and adults. As you might expect, the priorities given to Schwartz's values do vary across countries.[4]

Personal Application of Schwartz's Theory Schwartz's model can help you determine whether your values are consistent with your goals and whether you are spending your time in a meaningful way. Complete the Self-Assessment that measures the worth to you of Schwartz's 10 values, and whether your goals align with these values.

SELF-ASSESSMENT 2.1 CAREER READINESS

What Are My Core Values?

Please be prepared to answer these questions if your instructor has assigned Self-Assessment 2.1 in Connect.

1. Rank your scores for the values from high to low. Do you agree with this rank order?
2. What are your top five values? Which do you think has the greatest impact on your personal goals?
3. Do you think you may want to focus more on any of the five lowest-rated values as you graduate from school and pursue a career? Explain.

The Dynamics of Values

In general, our values are relatively stable across time and situations. This means that positive employee attitudes and motivation are greatest when the work environment is consistent with employee values. For example, Airbnb, the global lodging website, tries to attract and motivate employees by offering them an annual travel and experiences credit of $2,000 to visit anywhere around the world where the company offers accommodations. The company does this because it believes Airbnb employees are driven to "embrace the adventure" and experience personal growth through traveling to different countries and communities.[5]

Values tend to vary across generations because they are influenced by events in childhood and youth. For example, the author's parents lived through the Depression, which lasted through the 1930s and part of the 1940s. This experience led them to value security and to be conservative with their money. They did not like debt, and they opposed the use of credit cards. Do you know anyone with values like these? In contrast, the values held by baby boomers, people born between 1946 and 1964, are influenced by events like the assassination of President John F. Kennedy, the Vietnam War, and the shooting deaths of student protesters at Kent State University in Ohio. In contrast, Millennials, people born between 1980 and 2001, have been influenced by events like September 11, the wars in Iraq and Afghanistan, the founding of Google, and the rise of social media. What shapes the values of Generation Z? Born between 1997 and 2012, Gen Zers have been influenced by growing up during a recession (focus on saving money); making connections on their mobile devices more than 10 hours a day; and fighting for racial equality and inclusion.[6] We discuss generational differences thoroughly in Chapter 4.

46 PART 1 Individual Behavior

p. 46

Corporate values: Tata (Integrity, Responsibility, Excellence, Pioneering, Unity); Infosys C-LIFE

write this in the margin

p. 46

WHAT'S ON THIS PAGE

Values are stable; Airbnb $2,000 travel credit; Boomers, Millennials, Gen Z values.

USE IT IN THE EXAM FOR

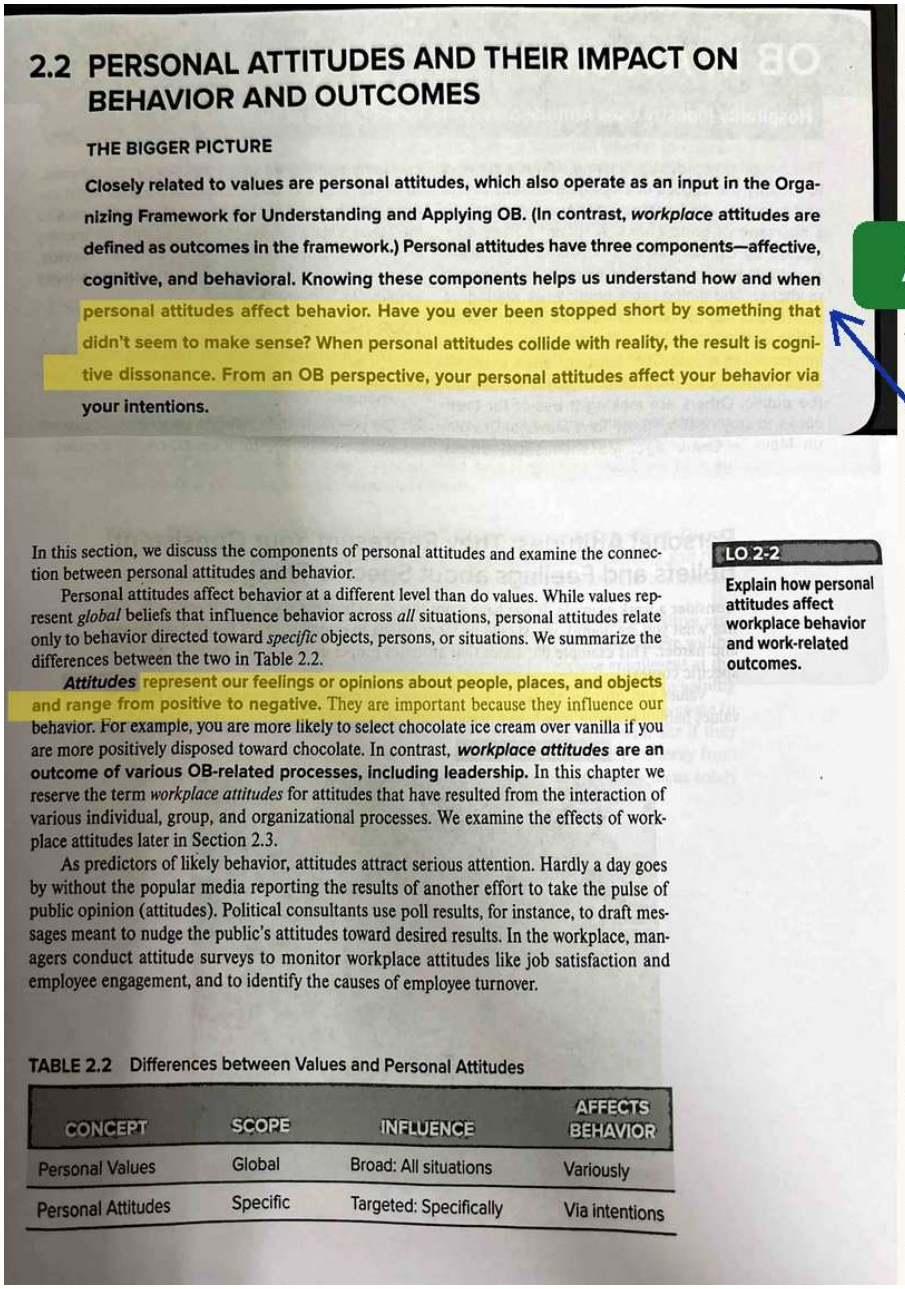
Generational & company value examples.

WRITE IN THE MARGIN

Corporate values: Tata (Integrity, Responsibility, Excellence, Pioneering, Unity); Infosys C-LIFE

HIGHLIGHT COLOURS ON THIS PAGE

- Yellow = definitions: exact words to quote
- Pink = Indian / company examples
- Blue = research numbers



2.2 PERSONAL ATTITUDES AND THEIR IMPACT ON BEHAVIOR AND OUTCOMES

THE BIGGER PICTURE

Closely related to values are personal attitudes, which also operate as an input in the Organizing Framework for Understanding and Applying OB. (In contrast, *workplace* attitudes are defined as outcomes in the framework.) Personal attitudes have three components—affective, cognitive, and behavioral. Knowing these components helps us understand how and when personal attitudes affect behavior. Have you ever been stopped short by something that didn't seem to make sense? When personal attitudes collide with reality, the result is cognitive dissonance. From an OB perspective, your personal attitudes affect your behavior via your intentions.

In this section, we discuss the components of personal attitudes and examine the connection between personal attitudes and behavior.

LO 2-2
Explain how personal attitudes affect workplace behavior and work-related outcomes.

Personal attitudes affect behavior at a different level than do values. While values represent *global* beliefs that influence behavior across *all* situations, personal attitudes relate only to behavior directed toward *specific* objects, persons, or situations. We summarize the differences between the two in Table 2.2.

Attitudes **represent our feelings or opinions about people, places, and objects and range from positive to negative.** They are important because they influence our behavior. For example, you are more likely to select chocolate ice cream over vanilla if you are more positively disposed toward chocolate. In contrast, ***workplace attitudes*** **are an outcome of various OB-related processes, including leadership.** In this chapter we reserve the term *workplace attitudes* for attitudes that have resulted from the interaction of various individual, group, and organizational processes. We examine the effects of workplace attitudes later in Section 2.3.

As predictors of likely behavior, attitudes attract serious attention. Hardly a day goes by without the popular media reporting the results of another effort to take the pulse of public opinion (attitudes). Political consultants use poll results, for instance, to draft messages meant to nudge the public's attitudes toward desired results. In the workplace, managers conduct attitude surveys to monitor workplace attitudes like job satisfaction and employee engagement, and to identify the causes of employee turnover.

TABLE 2.2 Differences between Values and Personal Attitudes

CONCEPT	SCOPE	INFLUENCE	AFFECTS BEHAVIOR
Personal Values	Global	Broad: All situations	Variously
Personal Attitudes	Specific	Targeted: Specifically	Via intentions

p. 47

Attitudes 47

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Personal attitudes = INPUTS
Workplace attitudes = OUTCOMES

write this in the margin

p. 47

WHAT'S ON THIS PAGE

Attitudes = feelings/opinions about specific things; values are global, attitudes are specific and act via intentions.

USE IT IN THE EXAM FOR

Values vs attitudes question.

STICKY TAB

Green tab, write: **Attitudes 47**

WRITE IN THE MARGIN

Personal attitudes = INPUTS
Workplace attitudes = OUTCOMES

HIGHLIGHT COLOURS ON THIS PAGE

Yellow = definitions: exact words to quote

p. 49 · ABC: affective, cognitive, behavioural components

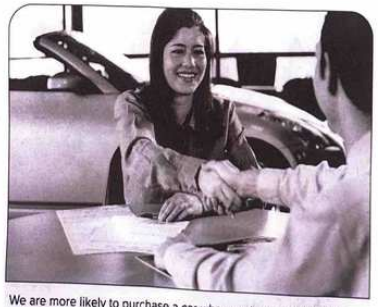
The Three Components of Attitudes: Affective, Cognitive, and Behavioral
Our overall attitudes toward someone or something are a function of the combined influence of three components of attitudes:

1. **The affective component—"I feel." The *affective component* of an attitude contains our feelings or emotions about a given object or situation.** For example, how do you *feel* about people who talk on their cell phones in restaurants? If you feel annoyed with such people, you are experiencing a negative affect toward them.
2. **The cognitive component—"I believe." The *cognitive component* of an attitude reflects our beliefs or ideas about an object or situation.** What do you *think* about people who talk on cell phones in restaurants? Your idea that such behavior is rude (or not) represents the cognitive component of your attitude.
3. **The behavioral component—"I intend." The *behavioral component* refers to the way we intend or expect to act toward someone or something.** For example, how would you intend to respond to someone talking on a cell phone during dinner at a restaurant if this individual were sitting near you and your guest?

All three components influence behavior. You are unlikely to say anything to someone using a cell phone in a restaurant if you are not irritated by this behavior (affective), if you believe cell phone use helps people manage their lives (cognitive), and if you have no intention of confronting the individual (behavioral).

When Attitudes and Reality Collide: Consistency and Cognitive Dissonance Have you ever been accused of being a hypocrite–saying one thing and then behaving differently? Like most people, you probably want to maintain consistency between your attitudes and your behavior.

But sometimes attitudes conflict with reality. Suppose Megan has a positive attitude about helping others. One day in class, Megan's instructor announces there will be a contest to come up with the best social media campaign to increase enrollment at the school. The prize for winning the contest is $500, which would go a long way to helping Megan purchase a new laptop. The rub is that Rob, one of her classmates, has come to her seeking help on *his* contest entry, agreeing to split the cash prize with her if they win. Although Megan would like to help Rob, she feels it would take time away from completing her own entry. Should she make time to help her classmate or focus solely



We are more likely to purchase a car when we have positive attitudes toward it. These attitudes might pertain to make, model, color, price, and quality. Which component of attitudes would most strongly affect your overall attitude toward buying a sleek new convertible?
John Lund/Marc Romanelli/Blend Images LLC

p. 49

Orix staff: feel undervalued (A), believe pay matters (C), intend to leave (B)

write this in the margin

p. 49

WHAT'S ON THIS PAGE

The three components of attitudes ('I feel', 'I believe', 'I intend') and the start of cognitive dissonance.

USE IT IN THE EXAM FOR

Break any attitude in a case into A-B-C.

WRITE IN THE MARGIN

Orix staff: feel undervalued (A), believe pay matters (C), intend to leave (B)

HIGHLIGHT COLOURS ON THIS PAGE

Green = lists & frameworks

on finishing her own contest entry? According to social psychologist Leon Festinger, Megan's situation is creating *cognitive dissonance*.

Cognitive dissonance represents the psychological discomfort a person experiences when simultaneously holding two or more conflicting cognitions (ideas, beliefs, values, or emotions).[9] Festinger was fascinated by the way people are motivated to maintain consistency (and avoid dissonance) among their attitudes and beliefs, and the way they resolve inconsistencies that drive cognitive dissonance. From observation, he theorized that we can reduce cognitive dissonance in three ways:

1. *Change your attitude or behavior or both.* Megan could either (a) tell herself that she can't help Rob because she wants to win the contest and the much-needed prize money or (b) schedule a little extra time to help her classmate and split the prize money.
2. *Belittle the importance of the inconsistent behavior.* Megan could belittle (in the sense of "make small") the belief that she needs to help her classmates every time they ask for assistance.
3. *Find consonant elements that outweigh dissonant ones.* Megan could tell herself that she can't help because she could really use the prize money to buy a new laptop.

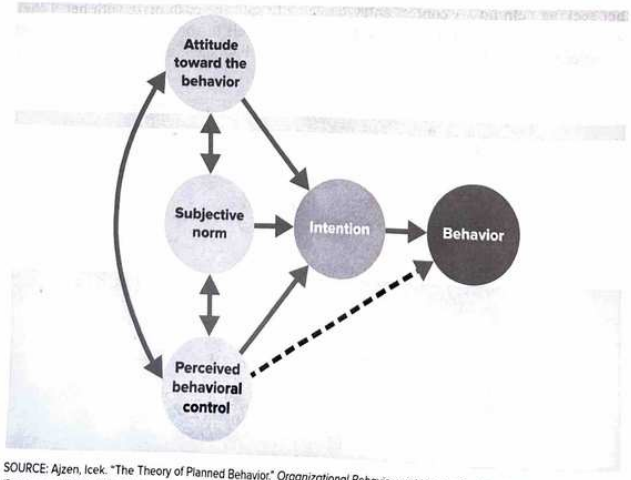
Attitudes Affect Behavior via Intentions

Psychologists I. Ajzen and M. Fishbein further explored the reasons our attitudes and behavior can be misaligned. Based on this work, Ajzen developed and refined a model focusing on intentions as the key link between attitudes and planned behavior. See Figure 2.3.

Determinants of Intention Figure 2.3 suggests that three key general motives (in the three gold circles) predict or at least influence intention and behavior.

1. *Attitude toward the behavior:* the degree to which a person has a favorable or unfavorable evaluation of the behavior in question.

FIGURE 2.3 Ajzen's Theory of Planned Behavior



SOURCE: Ajzen, Icek. "The Theory of Planned Behavior." *Organizational Behavior and Human Decision Processes* 50, no. 2 (December 1991): 179–211.

p. 50

BoB staff: targets vs integrity = dissonance -> rationalise
Ajzen: attitude + norm + control -> intention -> behaviour

write this in the margin

p. 50

WHAT'S ON THIS PAGE

Festinger's dissonance definition, 3 ways to reduce it, and Ajzen's Theory of Planned Behavior (Fig 2.3).

USE IT IN THE EXAM FOR

Explain why people act against their values.

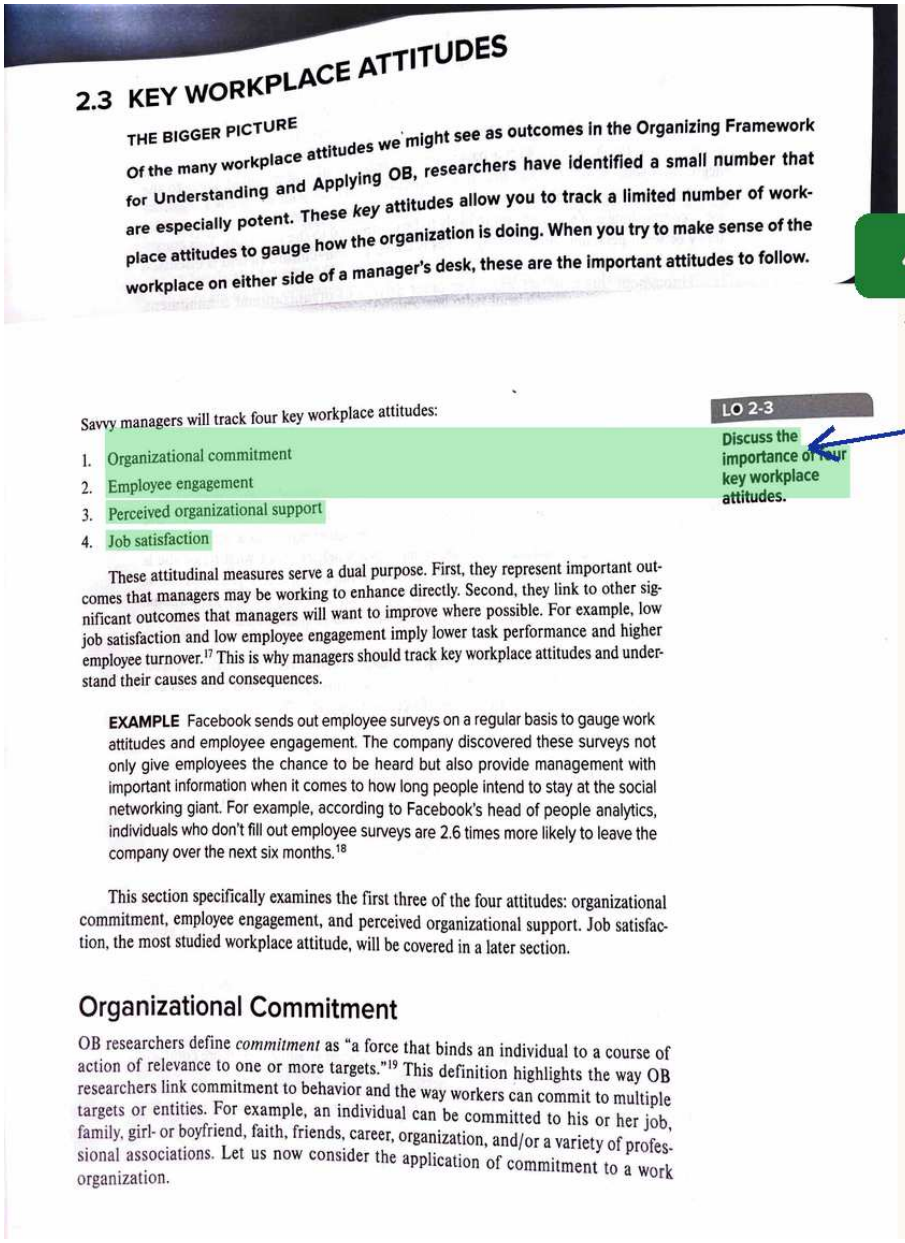
WRITE IN THE MARGIN

BoB staff: targets vs integrity
= dissonance -> rationalise
Ajzen: attitude + norm + control
-> intention -> behaviour

HIGHLIGHT COLOURS ON THIS PAGE

Yellow = definitions: exact words to quote

Green = lists & frameworks



2.3 KEY WORKPLACE ATTITUDES

THE BIGGER PICTURE

Of the many workplace attitudes we might see as outcomes in the Organizing Framework for Understanding and Applying OB, researchers have identified a small number that are especially potent. These key attitudes allow you to track a limited number of workplace attitudes to gauge how the organization is doing. When you try to make sense of the workplace on either side of a manager's desk, these are the important attitudes to follow.

Savvy managers will track four key workplace attitudes:

LO 2-3 Discuss the importance of four key workplace attitudes.

1. Organizational commitment
2. Employee engagement
3. Perceived organizational support
4. Job satisfaction

These attitudinal measures serve a dual purpose. First, they represent important outcomes that managers may be working to enhance directly. Second, they link to other significant outcomes that managers will want to improve where possible. For example, low job satisfaction and low employee engagement imply lower task performance and higher employee turnover.[17] This is why managers should track key workplace attitudes and understand their causes and consequences.

EXAMPLE Facebook sends out employee surveys on a regular basis to gauge work attitudes and employee engagement. The company discovered these surveys not only give employees the chance to be heard but also provide management with important information when it comes to how long people intend to stay at the social networking giant. For example, according to Facebook's head of people analytics, individuals who don't fill out employee surveys are 2.6 times more likely to leave the company over the next six months.[18]

This section specifically examines the first three of the four attitudes: organizational commitment, employee engagement, and perceived organizational support. Job satisfaction, the most studied workplace attitude, will be covered in a later section.

Organizational Commitment

OB researchers define *commitment* as "a force that binds an individual to a course of action of relevance to one or more targets."[19] This definition highlights the way OB researchers link commitment to behavior and the way workers can commit to multiple targets or entities. For example, an individual can be committed to his or her job, family, girl- or boyfriend, faith, friends, career, organization, and/or a variety of professional associations. Let us now consider the application of commitment to a work organization.

p. 53

4 attitudes 53

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These 4 = the 'outcome' words for Step 1 of any case

write this in the margin

p. 53

WHAT'S ON THIS PAGE

The 4 attitudes managers track: organisational commitment, employee engagement, perceived org support, job satisfaction.

USE IT IN THE EXAM FOR

Name the attitude affected in a case.

STICKY TAB

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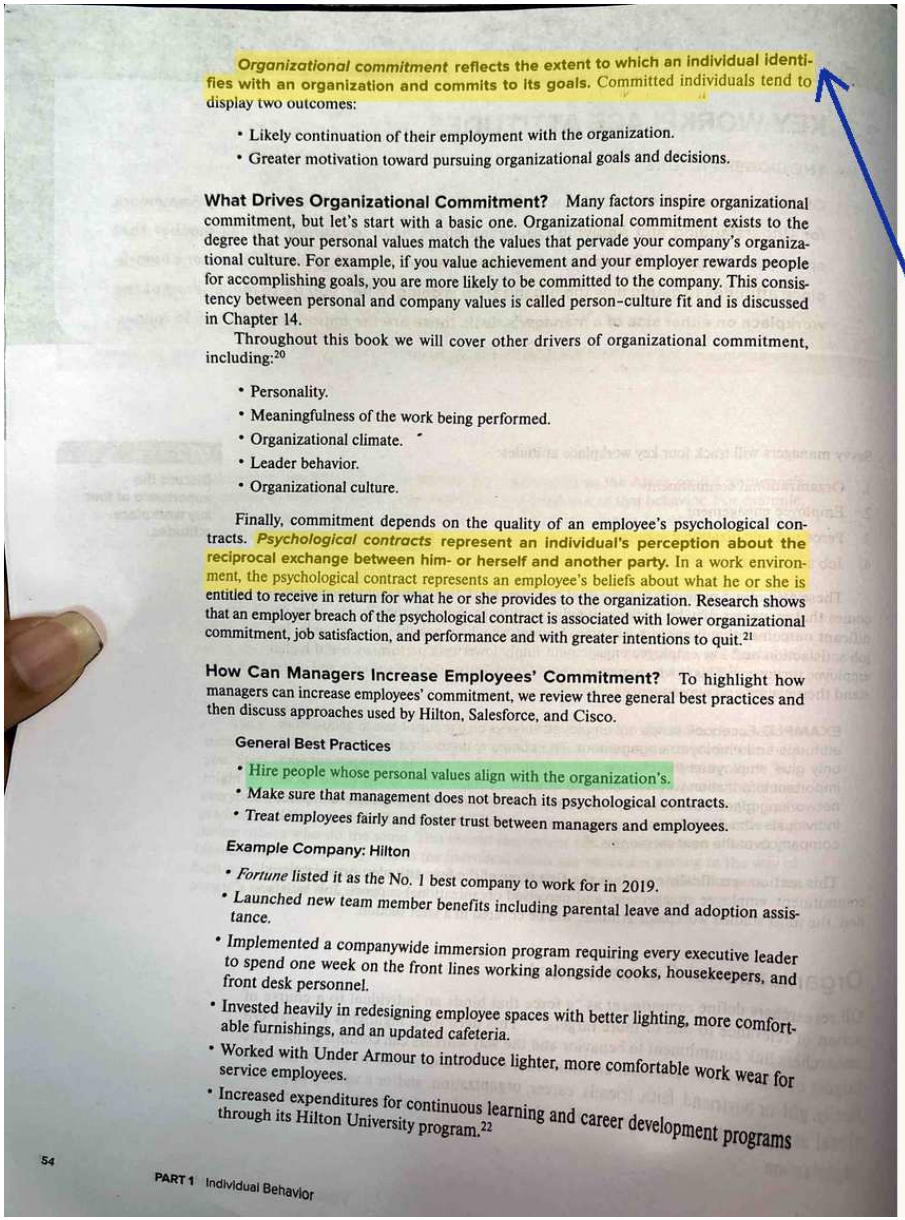
WRITE IN THE MARGIN

These 4 = the 'outcome' words for Step 1 of any case

HIGHLIGHT COLOURS ON THIS PAGE

Green = lists & frameworks

p. 54 · Organisational commitment; PSYCHOLOGICAL CONTRACT



Organizational commitment **reflects the extent to which an individual identifies with an organization and commits to its goals.** Committed individuals tend to display two outcomes:

- Likely continuation of their employment with the organization.
- Greater motivation toward pursuing organizational goals and decisions.

What Drives Organizational Commitment? Many factors inspire organizational commitment, but let's start with a basic one. Organizational commitment exists to the degree that your personal values match the values that pervade your company's organizational culture. For example, if you value achievement and your employer rewards people for accomplishing goals, you are more likely to be committed to the company. This consistency between personal and company values is called person-culture fit and is discussed in Chapter 14.

Throughout this book we will cover other drivers of organizational commitment, including:[20]

- Personality.
- Meaningfulness of the work being performed.
- Organizational climate.
- Leader behavior.
- Organizational culture.

Finally, commitment depends on the quality of an employee's psychological contracts. ***Psychological contracts*** **represent an individual's perception about the reciprocal exchange between him- or herself and another party.** In a work environment, the psychological contract represents an employee's beliefs about what he or she is entitled to receive in return for what he or she provides to the organization. Research shows that an employer breach of the psychological contract is associated with lower organizational commitment, job satisfaction, and performance and with greater intentions to quit.[21]

How Can Managers Increase Employees' Commitment? To highlight how managers can increase employees' commitment, we review three general best practices and then discuss approaches used by Hilton, Salesforce, and Cisco.

General Best Practices

- Hire people whose personal values align with the organization's.
- Make sure that management does not breach its psychological contracts.
- Treat employees fairly and foster trust between managers and employees.

Example Company: **Hilton**

- *Fortune* listed it as the No. 1 best company to work for in 2019.
- Launched new team member benefits including parental leave and adoption assistance.
- Implemented a companywide immersion program requiring every executive leader to spend one week on the front lines working alongside cooks, housekeepers, and front desk personnel.
- Invested heavily in redesigning employee spaces with better lighting, more comfortable furnishings, and an updated cafeteria.
- Worked with Under Armour to introduce lighter, more comfortable work wear for service employees.
- Increased expenditures for continuous learning and career development programs through its Hilton University program.[22]

54 PART 1 Individual Behavior

p. 54

Southwest no-layoffs = contract kept
Jet Airways unpaid salaries = breach

write this in the margin

p. 54

WHAT'S ON THIS PAGE

Commitment definition, its drivers (person-culture fit), psychological contracts and their breach, best practices, Hilton.

USE IT IN THE EXAM FOR

Commitment/retention answers.

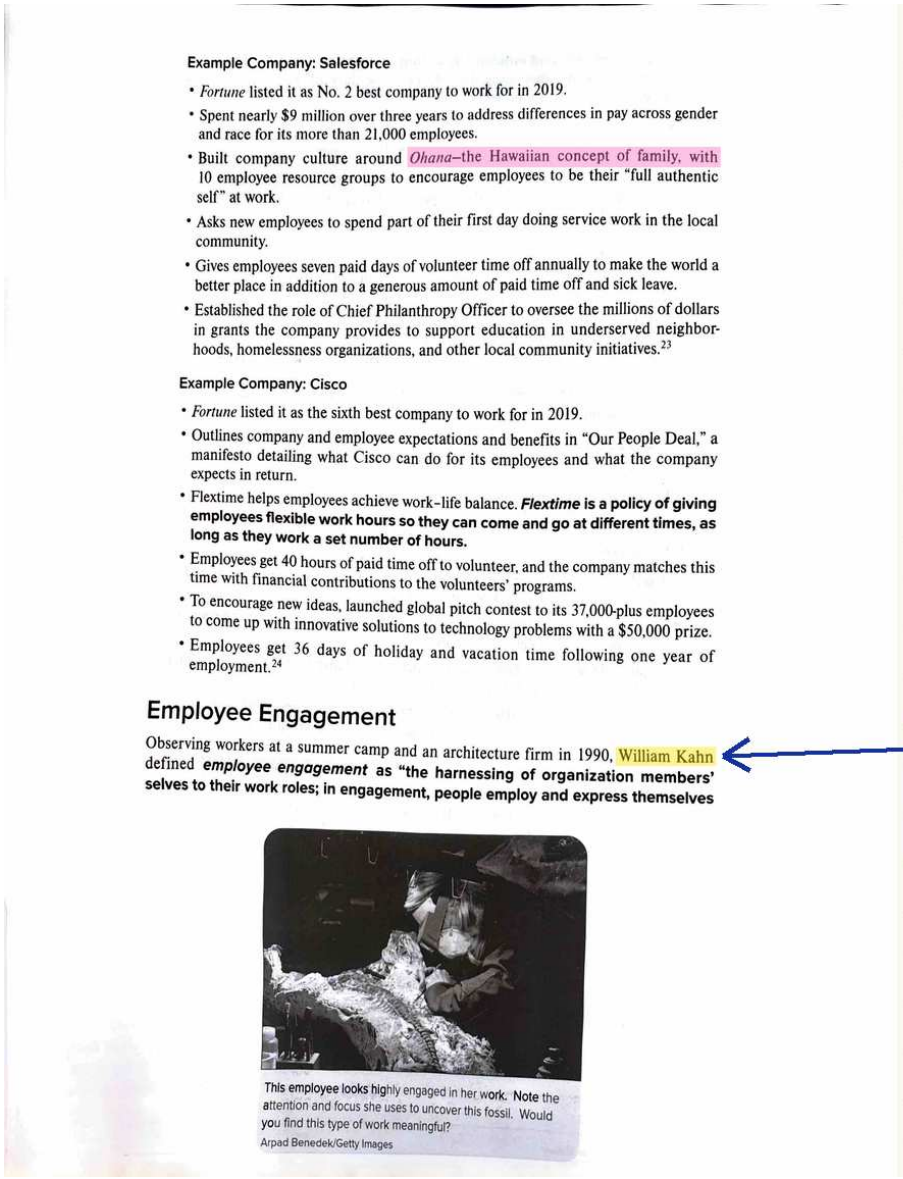
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Southwest no-layoffs = contract kept
Jet Airways unpaid salaries = breach

HIGHLIGHT COLOURS ON THIS PAGE

Yellow = definitions: exact words to quote
Green = lists & frameworks

p. 55 · Salesforce, Cisco; EMPLOYEE ENGAGEMENT (Kahn)



Example Company: Salesforce

- *Fortune* listed it as No. 2 best company to work for in 2019.
- Spent nearly $9 million over three years to address differences in pay across gender and race for its more than 21,000 employees.
- Built company culture around *Ohana*–the Hawaiian concept of family, with 10 employee resource groups to encourage employees to be their "full authentic self" at work.
- Asks new employees to spend part of their first day doing service work in the local community.
- Gives employees seven paid days of volunteer time off annually to make the world a better place in addition to a generous amount of paid time off and sick leave.
- Established the role of Chief Philanthropy Officer to oversee the millions of dollars in grants the company provides to support education in underserved neighborhoods, homelessness organizations, and other local community initiatives.[23]

Example Company: Cisco

- *Fortune* listed it as the sixth best company to work for in 2019.
- Outlines company and employee expectations and benefits in "Our People Deal," a manifesto detailing what Cisco can do for its employees and what the company expects in return.
- Flextime helps employees achieve work–life balance. ***Flextime* is a policy of giving employees flexible work hours so they can come and go at different times, as long as they work a set number of hours.**
- Employees get 40 hours of paid time off to volunteer, and the company matches this time with financial contributions to the volunteers' programs.
- To encourage new ideas, launched global pitch contest to its 37,000-plus employees to come up with innovative solutions to technology problems with a $50,000 prize.
- Employees get 36 days of holiday and vacation time following one year of employment.[24]

Employee Engagement

Observing workers at a summer camp and an architecture firm in 1990, William Kahn defined ***employee engagement* as "the harnessing of organization members' selves to their work roles; in engagement, people employ and express themselves**

This employee looks highly engaged in her work. Note the attention and focus she uses to uncover this fossil. Would you find this type of work meaningful?

Arpad Benedek/Getty Images

p. 55

Orix: annual retreat
DOR: FUN is core value #1

write this in the margin

p. 55

WHAT'S ON THIS PAGE

Company examples, then Kahn's definition of engagement.

USE IT IN THE EXAM FOR

Engagement definition.

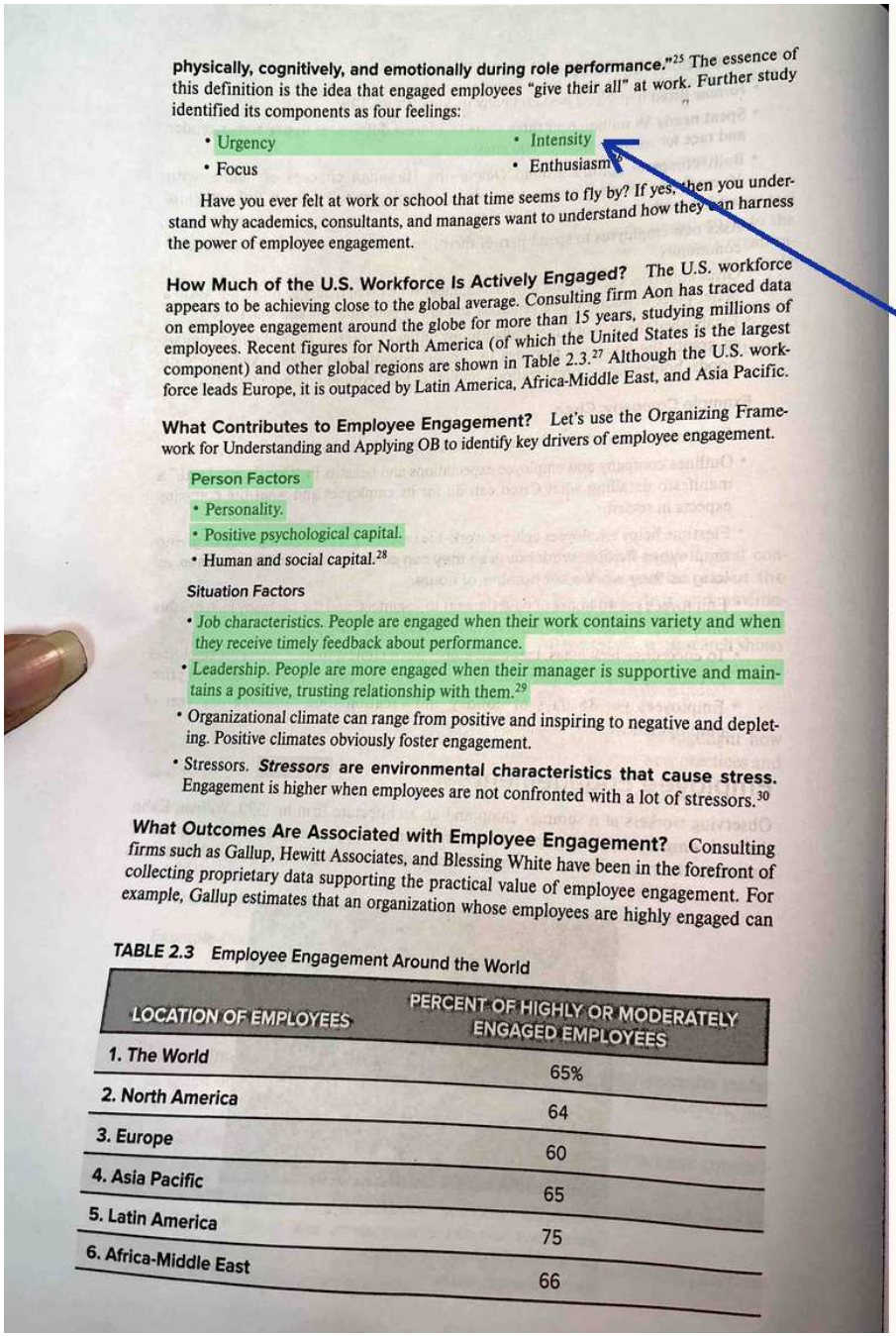
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Orix: annual retreat
DOR: FUN is core value #1

HIGHLIGHT COLOURS ON THIS PAGE

- Yellow = definitions: exact words to quote
- Pink = Indian / company examples

p. 56 • Engagement: 4 feelings and its drivers



physically, cognitively, and emotionally during role performance."[25] The essence of this definition is the idea that engaged employees "give their all" at work. Further study identified its components as four feelings:

- Urgency
- Intensity
- Focus
- Enthusiasm

Have you ever felt at work or school that time seems to fly by? If yes, then you understand why academics, consultants, and managers want to understand how they can harness the power of employee engagement.

How Much of the U.S. Workforce Is Actively Engaged? The U.S. workforce appears to be achieving close to the global average. Consulting firm Aon has traced data on employee engagement around the globe for more than 15 years, studying millions of employees. Recent figures for North America (of which the United States is the largest component) and other global regions are shown in Table 2.3.[27] Although the U.S. workforce leads Europe, it is outpaced by Latin America, Africa-Middle East, and Asia Pacific.

What Contributes to Employee Engagement? Let's use the Organizing Framework for Understanding and Applying OB to identify key drivers of employee engagement.

Person Factors

- Personality.
- Positive psychological capital.
- Human and social capital.[28]

Situation Factors

- *Job characteristics. People are engaged when their work contains variety and when they receive timely feedback about performance.*
- *Leadership. People are more engaged when their manager is supportive and maintains a positive, trusting relationship with them.*[29]
- Organizational climate can range from positive and inspiring to negative and depleting. Positive climates obviously foster engagement.
- Stressors. ***Stressors*** **are environmental characteristics that cause stress.** Engagement is higher when employees are not confronted with a lot of stressors.[30]

What Outcomes Are Associated with Employee Engagement? Consulting firms such as Gallup, Hewitt Associates, and Blessing White have been in the forefront of collecting proprietary data supporting the practical value of employee engagement. For example, Gallup estimates that an organization whose employees are highly engaged can

TABLE 2.3 Employee Engagement Around the World

LOCATION OF EMPLOYEES	PERCENT OF HIGHLY OR MODERATELY ENGAGED EMPLOYEES
1. The World	65%
2. North America	64
3. Europe	60
4. Asia Pacific	65
5. Latin America	75
6. Africa-Middle East	66

p. 56

Engagement = give their ALL (physically, cognitively, emotionally)

write this in the margin

p. 56

WHAT'S ON THIS PAGE

Urgency, focus, intensity, enthusiasm; person and situation drivers of engagement.

USE IT IN THE EXAM FOR

Drivers of engagement list.

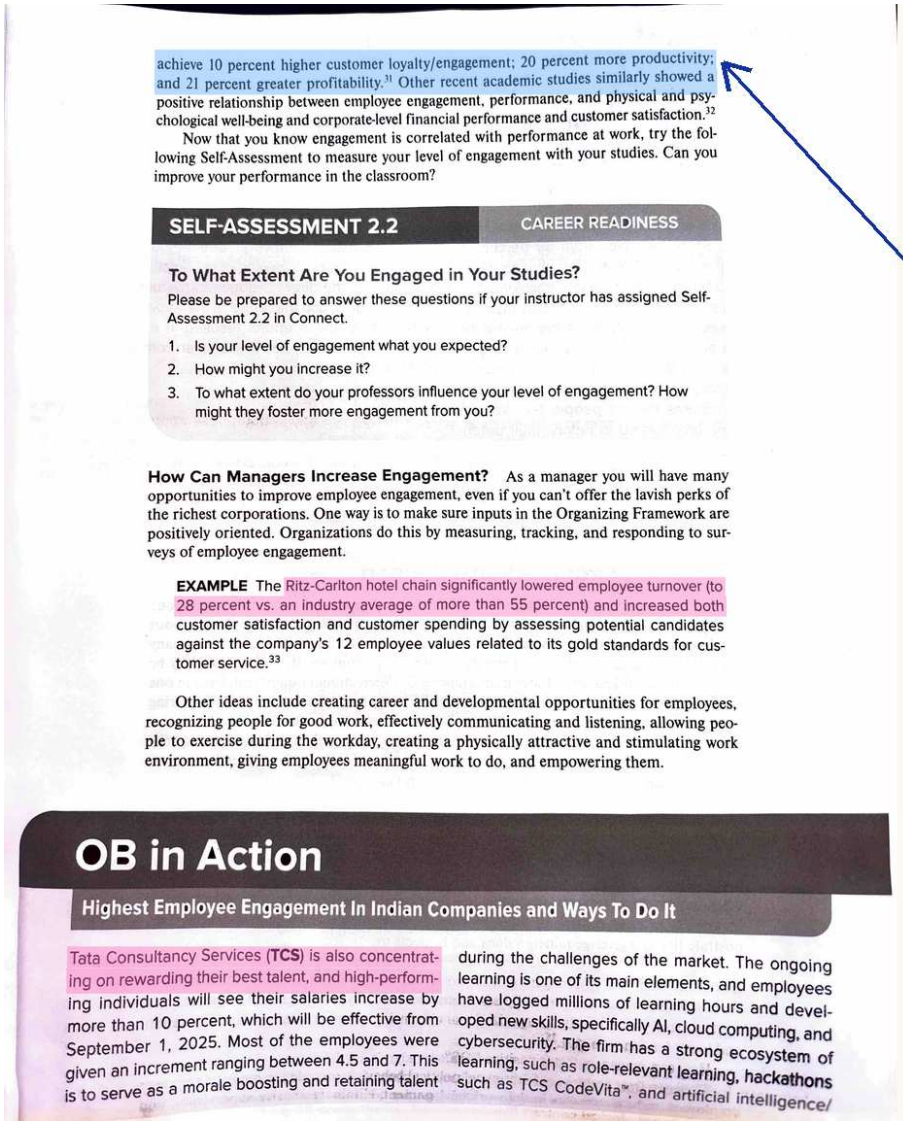
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Engagement = give their ALL (physically, cognitively, emotionally)

HIGHLIGHT COLOURS ON THIS PAGE

Green = lists & frameworks

p. 57 · Engagement outcomes; Indian companies (TCS)



achieve 10 percent higher customer loyalty/engagement; 20 percent more productivity; and 21 percent greater profitability.[31] Other recent academic studies similarly showed a positive relationship between employee engagement, performance, and physical and psychological well-being and corporate-level financial performance and customer satisfaction.[32]

Now that you know engagement is correlated with performance at work, try the following Self-Assessment to measure your level of engagement with your studies. Can you improve your performance in the classroom?

SELF-ASSESSMENT 2.2 CAREER READINESS

To What Extent Are You Engaged in Your Studies?

Please be prepared to answer these questions if your instructor has assigned Self-Assessment 2.2 in Connect.

1. Is your level of engagement what you expected?
2. How might you increase it?
3. To what extent do your professors influence your level of engagement? How might they foster more engagement from you?

How Can Managers Increase Engagement? As a manager you will have many opportunities to improve employee engagement, even if you can't offer the lavish perks of the richest corporations. One way is to make sure inputs in the Organizing Framework are positively oriented. Organizations do this by measuring, tracking, and responding to surveys of employee engagement.

EXAMPLE The Ritz-Carlton hotel chain significantly lowered employee turnover (to 28 percent vs. an industry average of more than 55 percent) and increased both customer satisfaction and customer spending by assessing potential candidates against the company's 12 employee values related to its gold standards for customer service.[33]

Other ideas include creating career and developmental opportunities for employees, recognizing people for good work, effectively communicating and listening, allowing people to exercise during the workday, creating a physically attractive and stimulating work environment, giving employees meaningful work to do, and empowering them.

OB in Action

Highest Employee Engagement In Indian Companies and Ways To Do It

Tata Consultancy Services (**TCS**) is also concentrating on rewarding their best talent, and high-performing individuals will see their salaries increase by more than 10 percent, which will be effective from September 1, 2025. Most of the employees were given an increment ranging between 4.5 and 7. This is to serve as a morale boosting and retaining talent during the challenges of the market. The ongoing learning is one of its main elements, and employees have logged millions of learning hours and developed new skills, specifically AI, cloud computing, and cybersecurity. The firm has a strong ecosystem of learning, such as role-relevant learning, hackathons such as TCS CodeVita™, and artificial intelligence/

p. 57

India: Tata Motors 59% -> 71%, Hindalco 'Bhoomika' (p.58)

write this in the margin

p. 57

WHAT'S ON THIS PAGE

Gallup: +10% loyalty, +20% productivity, +21% profit; Ritz-Carlton; TCS learning & raises.

USE IT IN THE EXAM FOR

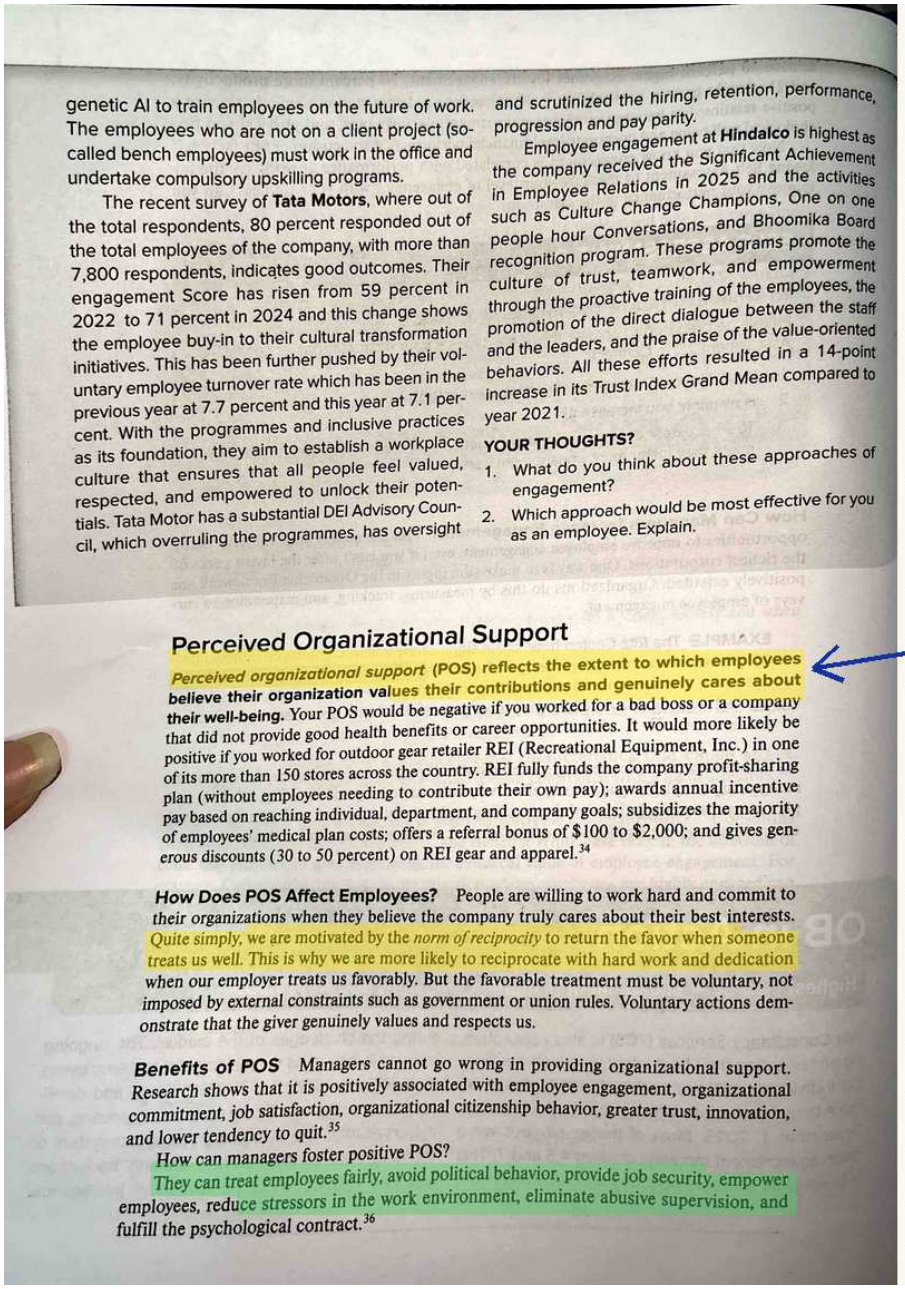
Numbers + Indian examples for engagement.

WRITE IN THE MARGIN

India: Tata Motors 59% -> 71%, Hindalco 'Bhoomika' (p.58)

HIGHLIGHT COLOURS ON THIS PAGE

- Pink = Indian / company examples
- Blue = research numbers



genetic AI to train employees on the future of work. The employees who are not on a client project (so-called bench employees) must work in the office and undertake compulsory upskilling programs.

The recent survey of **Tata Motors**, where out of the total respondents, 80 percent responded out of the total employees of the company, with more than 7,800 respondents, indicates good outcomes. Their engagement Score has risen from 59 percent in 2022 to 71 percent in 2024 and this change shows the employee buy-in to their cultural transformation initiatives. This has been further pushed by their voluntary employee turnover rate which has been in the previous year at 7.7 percent and this year at 7.1 percent. With the programmes and inclusive practices as its foundation, they aim to establish a workplace culture that ensures that all people feel valued, respected, and empowered to unlock their potentials. Tata Motor has a substantial DEI Advisory Council, which overruling the programmes, has oversight and scrutinized the hiring, retention, performance, progression and pay parity.

Employee engagement at **Hindalco** is highest as the company received the Significant Achievement in Employee Relations in 2025 and the activities such as Culture Change Champions, One on one people hour Conversations, and Bhoomika Board recognition program. These programs promote the culture of trust, teamwork, and empowerment through the proactive training of the employees, the promotion of the direct dialogue between the staff and the leaders, and the praise of the value-oriented behaviors. All these efforts resulted in a 14-point increase in its Trust Index Grand Mean compared to year 2021.

YOUR THOUGHTS?

1. What do you think about these approaches of engagement?
2. Which approach would be most effective for you as an employee. Explain.

Perceived Organizational Support

Perceived organizational support (POS) reflects the extent to which employees **believe their organization values their contributions and genuinely cares about their well-being.** Your POS would be negative if you worked for a bad boss or a company that did not provide good health benefits or career opportunities. It would more likely be positive if you worked for outdoor gear retailer REI (Recreational Equipment, Inc.) in one of its more than 150 stores across the country. REI fully funds the company profit-sharing plan (without employees needing to contribute their own pay); awards annual incentive pay based on reaching individual, department, and company goals; subsidizes the majority of employees' medical plan costs; offers a referral bonus of $100 to $2,000; and gives generous discounts (30 to 50 percent) on REI gear and apparel.[34]

How Does POS Affect Employees? People are willing to work hard and commit to their organizations when they believe the company truly cares about their best interests. Quite simply, we are motivated by the *norm of reciprocity* to return the favor when someone treats us well. This is why we are more likely to reciprocate with hard work and dedication when our employer treats us favorably. But the favorable treatment must be voluntary, not imposed by external constraints such as government or union rules. Voluntary actions demonstrate that the giver genuinely values and respects us.

Benefits of POS Managers cannot go wrong in providing organizational support. Research shows that it is positively associated with employee engagement, organizational commitment, job satisfaction, organizational citizenship behavior, greater trust, innovation, and lower tendency to quit.[35]

How can managers foster positive POS? They can treat employees fairly, avoid political behavior, provide job security, empower employees, reduce stressors in the work environment, eliminate abusive supervision, and fulfill the psychological contract.[36]

p. 58

POS examples: Southwest open books, Infosys Cares, DOR fixed chairs

write this in the margin

p. 58

WHAT'S ON THIS PAGE

POS definition, norm of reciprocity, benefits, how managers foster POS.

USE IT IN THE EXAM FOR

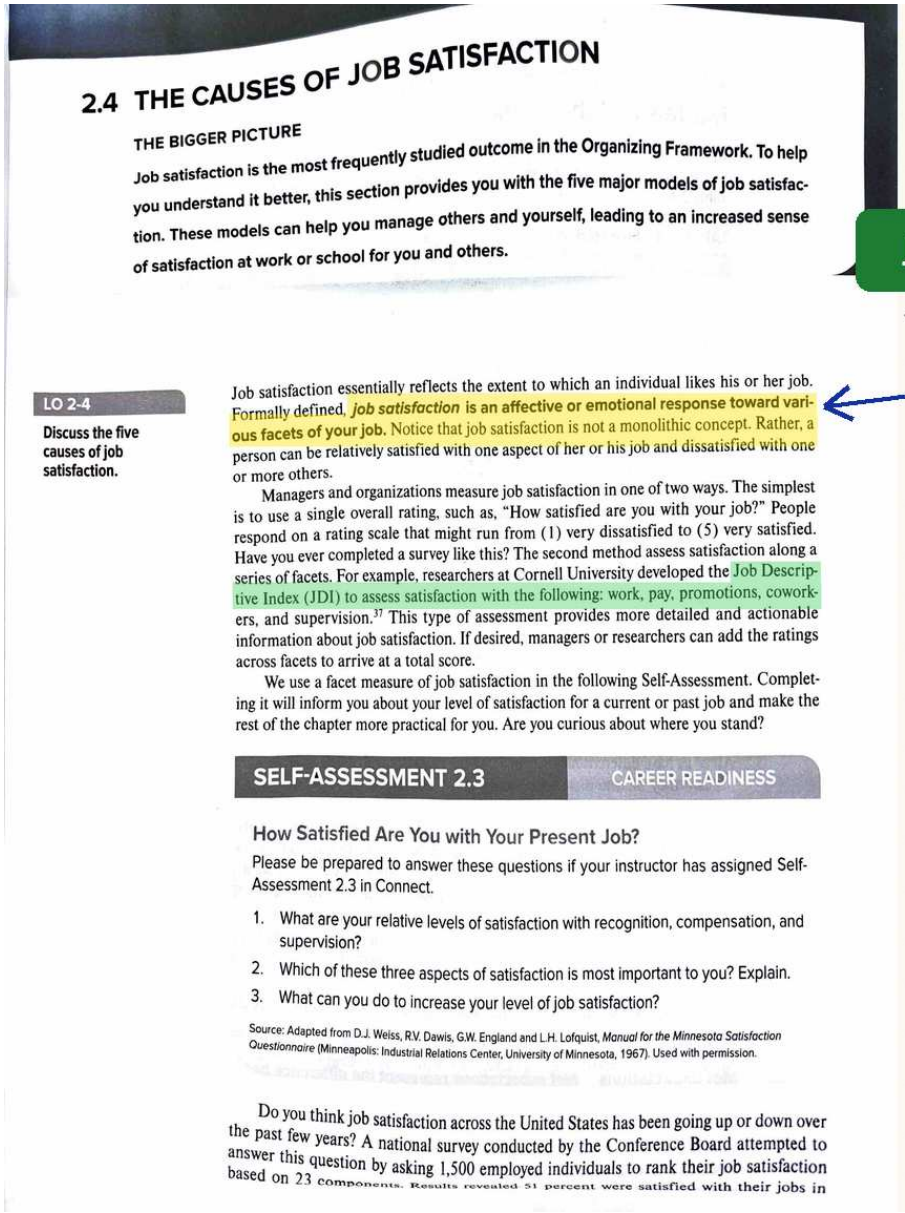
Why support makes people work harder.

WRITE IN THE MARGIN

POS examples: Southwest open books, Infosys Cares, DOR fixed chairs

HIGHLIGHT COLOURS ON THIS PAGE

- Yellow = definitions: exact words to quote
- Green = lists & frameworks



2.4 THE CAUSES OF JOB SATISFACTION

THE BIGGER PICTURE

Job satisfaction is the most frequently studied outcome in the Organizing Framework. To help you understand it better, this section provides you with the five major models of job satisfaction. These models can help you manage others and yourself, leading to an increased sense of satisfaction at work or school for you and others.

LO 2-4

Discuss the five causes of job satisfaction.

Job satisfaction essentially reflects the extent to which an individual likes his or her job. Formally defined, ***job satisfaction* is an affective or emotional response toward various facets of your job.** Notice that job satisfaction is not a monolithic concept. Rather, a person can be relatively satisfied with one aspect of her or his job and dissatisfied with one or more others.

Managers and organizations measure job satisfaction in one of two ways. The simplest is to use a single overall rating, such as, "How satisfied are you with your job?" People respond on a rating scale that might run from (1) very dissatisfied to (5) very satisfied. Have you ever completed a survey like this? The second method assess satisfaction along a series of facets. For example, researchers at Cornell University developed the Job Descriptive Index (JDI) to assess satisfaction with the following: work, pay, promotions, coworkers, and supervision.[37] This type of assessment provides more detailed and actionable information about job satisfaction. If desired, managers or researchers can add the ratings across facets to arrive at a total score.

We use a facet measure of job satisfaction in the following Self-Assessment. Completing it will inform you about your level of satisfaction for a current or past job and make the rest of the chapter more practical for you. Are you curious about where you stand?

SELF-ASSESSMENT 2.3 CAREER READINESS

How Satisfied Are You with Your Present Job?

Please be prepared to answer these questions if your instructor has assigned Self-Assessment 2.3 in Connect.

1. What are your relative levels of satisfaction with recognition, compensation, and supervision?
2. Which of these three aspects of satisfaction is most important to you? Explain.
3. What can you do to increase your level of job satisfaction?

Source: Adapted from D.J. Weiss, R.V. Dawis, G.W. England and L.H. Lofquist, *Manual for the Minnesota Satisfaction Questionnaire* (Minneapolis: Industrial Relations Center, University of Minnesota, 1967). Used with permission.

Do you think job satisfaction across the United States has been going up or down over the past few years? A national survey conducted by the Conference Board attempted to answer this question by asking 1,500 employed individuals to rank their job satisfaction based on 23 components. Results revealed 51 percent were satisfied with their jobs in

p. 59

Job sat 59

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'Reality or myth?' -> REAL: measurable, 5 causes, 10 correlates

write this in the margin

p. 59

WHAT'S ON THIS PAGE

Job satisfaction = affective response to job facets; JDI facets (work, pay, promotions, coworkers, supervision).

USE IT IN THE EXAM FOR

Define job satisfaction.

STICKY TAB

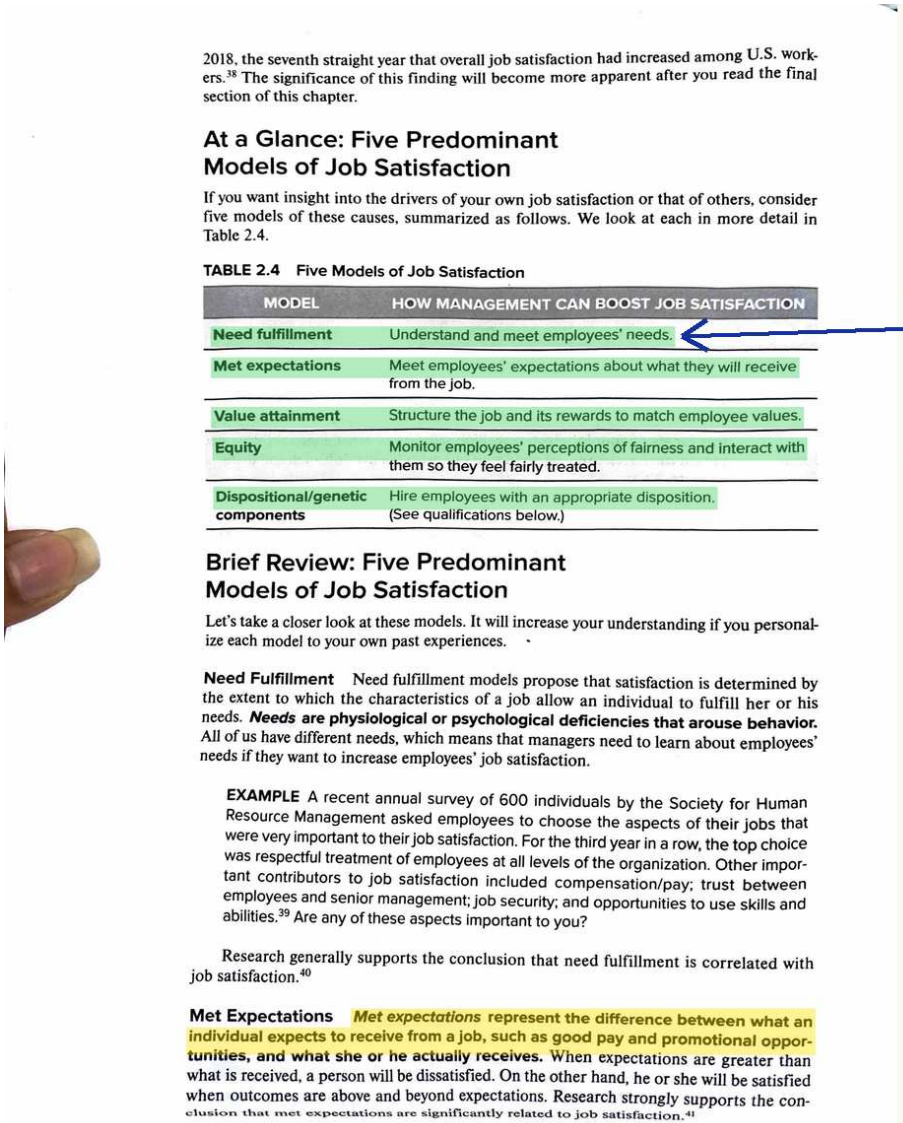
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WRITE IN THE MARGIN

'Reality or myth?' -> REAL: measurable, 5 causes, 10 correlates

HIGHLIGHT COLOURS ON THIS PAGE

- Yellow = definitions: exact words to quote
- Green = lists & frameworks



2018, the seventh straight year that overall job satisfaction had increased among U.S. workers.[38] The significance of this finding will become more apparent after you read the final section of this chapter.

At a Glance: Five Predominant Models of Job Satisfaction

If you want insight into the drivers of your own job satisfaction or that of others, consider five models of these causes, summarized as follows. We look at each in more detail in Table 2.4.

TABLE 2.4 Five Models of Job Satisfaction

MODEL	HOW MANAGEMENT CAN BOOST JOB SATISFACTION
Need fulfillment	Understand and meet employees' needs.
Met expectations	Meet employees' expectations about what they will receive from the job.
Value attainment	Structure the job and its rewards to match employee values.
Equity	Monitor employees' perceptions of fairness and interact with them so they feel fairly treated.
Dispositional/genetic components	Hire employees with an appropriate disposition. (See qualifications below.)

Brief Review: Five Predominant Models of Job Satisfaction

Let's take a closer look at these models. It will increase your understanding if you personalize each model to your own past experiences.

Need Fulfillment Need fulfillment models propose that satisfaction is determined by the extent to which the characteristics of a job allow an individual to fulfill her or his needs. ***Needs* are physiological or psychological deficiencies that arouse behavior.** All of us have different needs, which means that managers need to learn about employees' needs if they want to increase employees' job satisfaction.

EXAMPLE A recent annual survey of 600 individuals by the Society for Human Resource Management asked employees to choose the aspects of their jobs that were very important to their job satisfaction. For the third year in a row, the top choice was respectful treatment of employees at all levels of the organization. Other important contributors to job satisfaction included compensation/pay; trust between employees and senior management; job security; and opportunities to use skills and abilities.[39] Are any of these aspects important to you?

Research generally supports the conclusion that need fulfillment is correlated with job satisfaction.[40]

Met Expectations ***Met expectations* represent the difference between what an individual expects to receive from a job, such as good pay and promotional opportunities, and what she or he actually receives.** When expectations are greater than what is received, a person will be dissatisfied. On the other hand, he or she will be satisfied when outcomes are above and beyond expectations. Research strongly supports the conclusion that met expectations are significantly related to job satisfaction.[41]

p. 60

Orix: 65% wanted raise ->
met expectations / equity issue
DOR: value attainment w/o high pay

write this in the margin

p. 60

WHAT'S ON THIS PAGE

Need fulfilment, met expectations, value attainment, equity, dispositional/genetic, with how managers boost each.

USE IT IN THE EXAM FOR

Test ALL 5 causes when diagnosing dissatisfaction.

WRITE IN THE MARGIN

Orix: 65% wanted raise ->
met expectations / equity issue
DOR: value attainment w/o high pay

HIGHLIGHT COLOURS ON THIS PAGE

Yellow = definitions: exact words to quote

Green = lists & frameworks

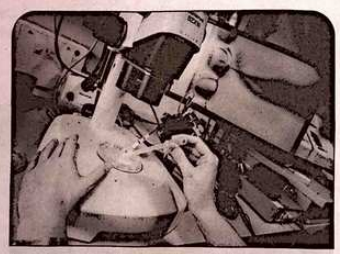
p. 61 · Value attainment, equity, dispositional (30%)

Value Attainment The idea underlying *value attainment* is that satisfaction results from the perception that a job allows for fulfillment of an individual's important values. Research consistently supports this perspective. Managers can enhance employee satisfaction by providing work assignments and rewards that reinforce employees' values.

Equity Equity theory builds on the notion that satisfaction rests on how "fairly" an individual is treated at work. If we perceive that our work outcomes, relative to our inputs, compare favorably with someone else's outcomes and inputs, we will be satisfied. Research has strongly supported the theory behind this model.[42] Managers thus are encouraged to monitor employees' fairness perceptions and to interact with employees in such a way that they feel equitably treated. Chapter 5 explores how this can be accomplished.

Dispositional/Genetic Components Ever notice that some coworkers or friends remain satisfied in situations where others always seem dissatisfied? The dispositional/genetic model posits that job satisfaction is a function of both personal traits and genetic factors. Indeed, the model implies that stable individual differences are at least as powerful as characteristics of the work environment in their impact on satisfaction.

Few studies have tested these propositions in depth, but they do show that dispositional factors are significantly associated with only selected aspects of job satisfaction. Dispositions had stronger relationships with intrinsic aspects of a job (such as having autonomy) than with extrinsic aspects (such as the receipt of rewards).[43] Genetic factors also were found to significantly predict life satisfaction, well-being, and general job satisfaction.[44] Overall, researchers estimate that 30 percent of an individual's job satisfaction is associated with dispositional and genetic components.[45]



As technology continues to advance, it's likely scientists will be able to edit the genes of human embryos to alter genetic makeup including personal traits. Is this a good thing?
Gregor Fischer/Getty Images

EXAMPLE Recent gene-editing experiments conducted in China may have an impact on personal traits and genetic factors in the future. A Chinese scientist recently announced he and his team had used a powerful gene-editing technique called Crispr to alter the genes of human embryos that were implanted in female volunteers. One of the volunteers gave birth to twin girls and another volunteer is now pregnant. In addition to the ethical issues raised by such experiments, the worldwide scientific community is questioning the long-term effects of such alterations, which if successful, would be inherited by future generations and likely change individuals' genetic makeup and personal traits.[46]

A Shorter Walk to Work

Now that we have looked at the predominant models of job satisfaction, let's highlight one element that allows people to balance their work and family lives: the opportunity to telecommute. ***Telecommuting*** **allows employees to do all or some of their work from home, using advanced telecommunications technology and Internet tools to send work electronically from home to the office, and vice versa.**

- About half of the U.S. workforce telecommutes for at least part of the time spent working.

p. 61

30% = personality/genes
70% = what managers can change

write this in the margin

p. 61

WHAT'S ON THIS PAGE

Explains the last three models; 30% of job satisfaction is dispositional/genetic; telecommuting.

USE IT IN THE EXAM FOR

Number to quote.

WRITE IN THE MARGIN

30% = personality/genes
70% = what managers can change

HIGHLIGHT COLOURS ON THIS PAGE

Yellow = definitions: exact words to quote
Blue = research numbers

p. 63 · 2.5 TEN CORRELATES of job satisfaction



2.5 MAJOR CORRELATES AND CONSEQUENCES OF JOB SATISFACTION

THE BIGGER PICTURE

The documented relationship between job satisfaction and other positive organizational outcomes is good news. It means that employers have economic reasons for fostering job satisfaction to improve results. You're about to learn four key attitudinal and behavioral outcomes and two organizational-level outcomes associated with this relationship.

LO 2-5
Describe work-related outcomes associated with job satisfaction.

Thousands of studies have examined the relationship between job satisfaction and other organizational variables. We consider a subset of the most important variables from the standpoint of managerial relevance. Ten key outcomes correlate to job satisfaction—four attitudinal and four behavioral, and two organizational-level outcomes. Job satisfaction has significant correlations with:

Attitudes
- Motivation
- Job involvement
- Withdrawal cognitions
- Perceived stress

Behavior
- Job performance
- Organizational citizenship behavior (OCB)
- Counterproductive work behavior (CWB)
- Turnover

Organizational Level
- Accounting/financial performance
- Customer service/satisfaction

Attitudinal Outcomes of Job Satisfaction

We examine four attitudinal outcomes of job satisfaction that are important to OB researchers and managers: motivation, job involvement, withdrawal cognitions, and perceived stress.

Motivation Employee motivation represents a psychological process that arouses our interest in doing something, and it directs and guides our behavior. As you might expect, employee motivation positively correlates to job satisfaction. Managers can enhance employees' motivation with a host of techniques and recommendations discussed throughout this book.

p. 63

JS outcomes 63

<- sticky tab

4 attitudinal + 4 behavioural + 2 organisational = 10

write this in the margin

p. 63

WHAT'S ON THIS PAGE

4 attitudinal (motivation, involvement, withdrawal cognitions, stress), 4 behavioural (performance, OCB, CWB, turnover), 2 organisational.

USE IT IN THE EXAM FOR

Consequences of (dis)satisfaction.

STICKY TAB

Green tab, write: **JS outcomes 63**

WRITE IN THE MARGIN

4 attitudinal + 4 behavioural + 2 organisational = 10

HIGHLIGHT COLOURS ON THIS PAGE

Green = lists & frameworks

p. 65 · Satisfaction-performance link; OCB definition

Netflix employees as well. They reportedly began deliberately staring at each other, counting to five, and looking away.

Critics also wondered how employees could network with each other for business purposes without sharing phone numbers and questioned why Netflix seemed to presume that every such request was made for the purpose of dating or in pursuit of sex.

Netflix responded by issuing this statement: "We're proud of the anti-harassment training we offer to our productions. We want every Netflix production to be a safe and respectful working environment. We believe the resources we offer empower people on our sets to speak up, and shouldn't be trivialized."[52]

Some, however, felt the policies themselves trivialized the very real problems of sexual harassment at work, which have been in especially sharp focus since the rise of the #MeToo movement. A later statement from Netflix said the five-second "rule" was not a rule but rather a suggestion raised in a training session about the new policy.[53]

Apply the 3-Step Problem-Solving Approach

Step 1: Define the problem in this case.

Step 2: Identify the OB concepts or theories that help explain the situation Netflix faced and its reaction.

Step 3: State what you would do if you were a human resource officer at Netflix responsible for setting harassment policies.

Behavioral Outcomes of Job Satisfaction

Job satisfaction has a positive association with two constructive individual-level behavioral outcomes—job performance and organizational citizenship behavior (OCB). It also has a negative relationship with two potentially negative behaviors—counterproductive work behavior (CWB) and turnover. The following discussion is more practical when you consider that these individual-level outcomes in the Organizing Framework are driven by processes at the group and organizational level, which, further upstream, are influenced by environmental characteristics.

Job Performance One of the biggest controversies within OB research centers on the relationship between job satisfaction and job performance. This is more complicated than it might first appear; OB experts have identified at least eight ways in which these variables are related. Here is what we know from research.[54]

A team of researchers analyzed data involving nearly 7,000 individuals over a three-year period.[55] They made two key findings:

- **Job satisfaction and performance are *moderately* related.** This supports the belief that employee job satisfaction is a key workplace attitude managers should consider when attempting to increase employees' job performance.
- **The relationship between them is complex.** Researchers now believe **both variables indirectly influence each other** through a host of person factors and environmental characteristics contained in the Organizing Framework.

Organizational Citizenship Behavior ***Organizational citizenship behavior (OCB)*** **is defined as "individual behavior that is discretionary, not directly or explicitly recognized by the formal reward system, and that in the aggregate promotes the effective functioning of the organization."**[56] This definition highlights two key points:

- OCBs are voluntary.
- OCBs help work groups and the organization to effectively achieve goals.

p. 65

Southwest volunteering
144,000 hrs = OCB

write this in the margin

p. 65

WHAT'S ON THIS PAGE

Satisfaction and performance are moderately related and complex; OCB is defined.

USE IT IN THE EXAM FOR

'Reality or myth' nuance + OCB definition.

WRITE IN THE MARGIN

Southwest volunteering
144,000 hrs = OCB

HIGHLIGHT COLOURS ON THIS PAGE

Yellow = definitions: exact words to quote

Examples of organizational citizenship behavior include such gestures as:

- Constructive statements about the department.
- Expression of personal interest in the work of others.
- Suggestions for improvement.
- The training of new people.
- Respect for the spirit as well as the letter of housekeeping rules.
- Care for organizational property.
- Punctuality and attendance well beyond standard or enforceable levels.[57]

Managers certainly would like employees to exhibit these behaviors, and research clearly supports their value. OCBs have a moderately positive correlation with job satisfaction.[58] Moreover, they are significantly related to both individual-level consequences (performance appraisal ratings, intentions to quit, absenteeism, and negative job attitudes) and organizational-level outcomes (productivity, efficiency, lower costs, customer satisfaction, and unit-level satisfaction and turnover).[59]

These results are important for two reasons. First, exhibiting OCBs is likely to create positive impressions about you among your colleagues and manager. In turn, these impressions affect your ability to work with others, your manager's evaluation of your performance, and ultimately your promotability. Second, the aggregate amount of employees' OCBs affects important organizational outcomes. It is thus important for managers to foster an environment that promotes organizational citizenship behaviors.

Counterproductive Work Behavior You already know from personal experience and OB research that the absence of satisfaction may be associated with some types of undesirable behavior, such as low employee engagement and performance. In contrast to the helping nature of OCBs, *counterproductive work behavior (CWB)* harms other employees, the organization as a whole, and/or organizational stakeholders such as customers and shareholders. CWBs represent a particularly negative work-related outcome. Examples include bullying, theft, gossiping, backstabbing, drug and alcohol abuse, destruction of organizational property, violence, deliberately poor or incorrect work, Internet surfing for personal reasons, excessive socializing, tardiness, sabotage, and sexual harassment.[60]



Volunteerism is a form of discretionary citizenship behavior that promotes a positive organizational image. What personal values lead someone to volunteer to tend to a local community garden?

John Lund/Marc Romanelli/Blend Images LLC

p. 66

CWB eg: Starbucks blame, BoB fake numbers

write this in the margin

p. 66

WHAT'S ON THIS PAGE

Examples of OCB, its benefits, and the definition and examples of CWB.

USE IT IN THE EXAM FOR

OCB vs CWB question.

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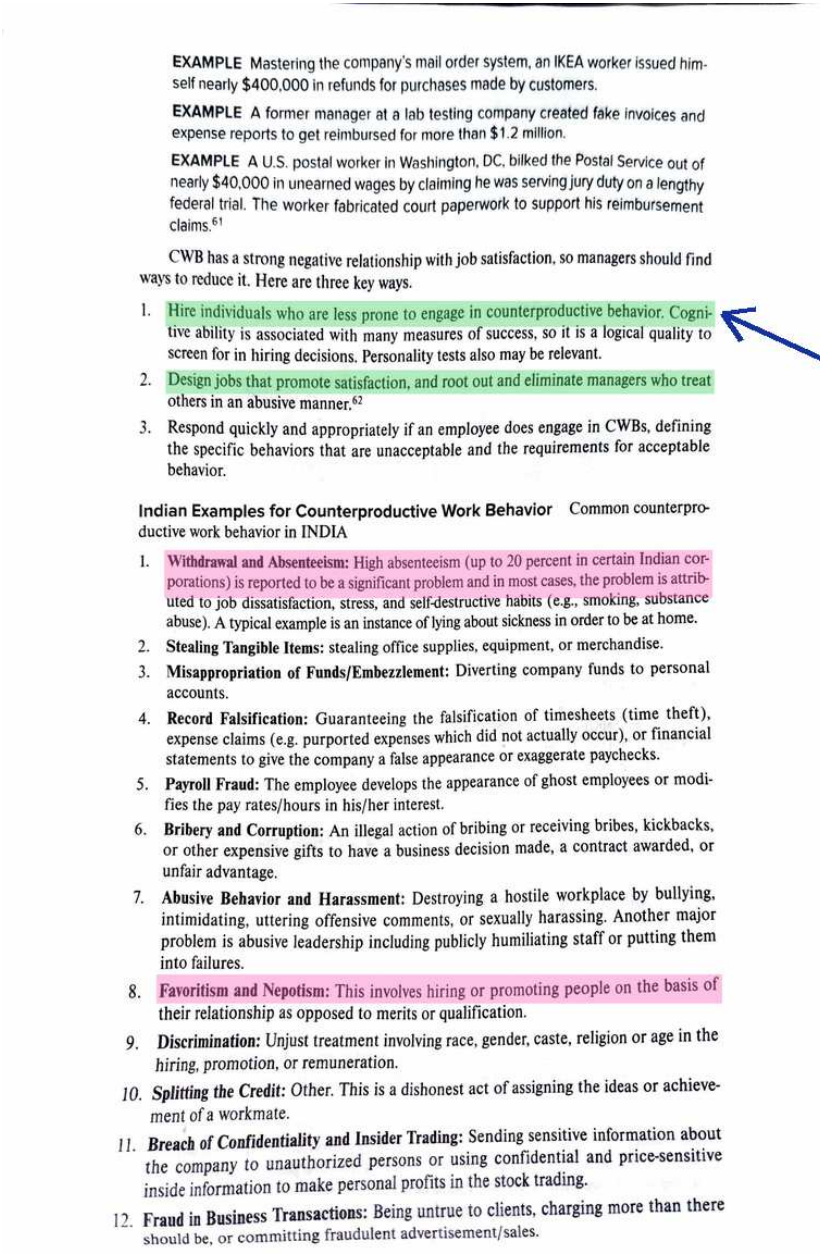
CWB eg: Starbucks blame, BoB fake numbers

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Yellow = definitions: exact words to quote

Green = lists & frameworks

p. 67 · Reducing CWB; Indian CWB examples



EXAMPLE Mastering the company's mail order system, an IKEA worker issued himself nearly $400,000 in refunds for purchases made by customers.

EXAMPLE A former manager at a lab testing company created fake invoices and expense reports to get reimbursed for more than $1.2 million.

EXAMPLE A U.S. postal worker in Washington, DC, bilked the Postal Service out of nearly $40,000 in unearned wages by claiming he was serving jury duty on a lengthy federal trial. The worker fabricated court paperwork to support his reimbursement claims.[61]

CWB has a strong negative relationship with job satisfaction, so managers should find ways to reduce it. Here are three key ways.

1. Hire individuals who are less prone to engage in counterproductive behavior. Cognitive ability is associated with many measures of success, so it is a logical quality to screen for in hiring decisions. Personality tests also may be relevant.
2. Design jobs that promote satisfaction, and root out and eliminate managers who treat others in an abusive manner.[62]
3. Respond quickly and appropriately if an employee does engage in CWBs, defining the specific behaviors that are unacceptable and the requirements for acceptable behavior.

Indian Examples for Counterproductive Work Behavior Common counterproductive work behavior in INDIA

1. **Withdrawal and Absenteeism:** High absenteeism (up to 20 percent in certain Indian corporations) is reported to be a significant problem and in most cases, the problem is attributed to job dissatisfaction, stress, and self-destructive habits (e.g., smoking, substance abuse). A typical example is an instance of lying about sickness in order to be at home.
2. **Stealing Tangible Items:** stealing office supplies, equipment, or merchandise.
3. **Misappropriation of Funds/Embezzlement:** Diverting company funds to personal accounts.
4. **Record Falsification:** Guaranteeing the falsification of timesheets (time theft), expense claims (e.g. purported expenses which did not actually occur), or financial statements to give the company a false appearance or exaggerate paychecks.
5. **Payroll Fraud:** The employee develops the appearance of ghost employees or modifies the pay rates/hours in his/her interest.
6. **Bribery and Corruption:** An illegal action of bribing or receiving bribes, kickbacks, or other expensive gifts to have a business decision made, a contract awarded, or unfair advantage.
7. **Abusive Behavior and Harassment:** Destroying a hostile workplace by bullying, intimidating, uttering offensive comments, or sexually harassing. Another major problem is abusive leadership including publicly humiliating staff or putting them into failures.
8. **Favoritism and Nepotism:** This involves hiring or promoting people on the basis of their relationship as opposed to merits or qualification.
9. **Discrimination:** Unjust treatment involving race, gender, caste, religion or age in the hiring, promotion, or remuneration.
10. ***Splitting the Credit:*** Other. This is a dishonest act of assigning the ideas or achievement of a workmate.
11. **Breach of Confidentiality and Insider Trading:** Sending sensitive information about the company to unauthorized persons or using confidential and price-sensitive inside information to make personal profits in the stock trading.
12. **Fraud in Business Transactions:** Being untrue to clients, charging more than there should be, or committing fraudulent advertisement/sales.

p. 67

India CWB 67

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India: absenteeism up to 20%, caste discrimination, nepotism

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p. 67

WHAT'S ON THIS PAGE

Three ways to reduce CWB, then a long list of common CWB in India.

USE IT IN THE EXAM FOR

Indian CWB examples.

STICKY TAB

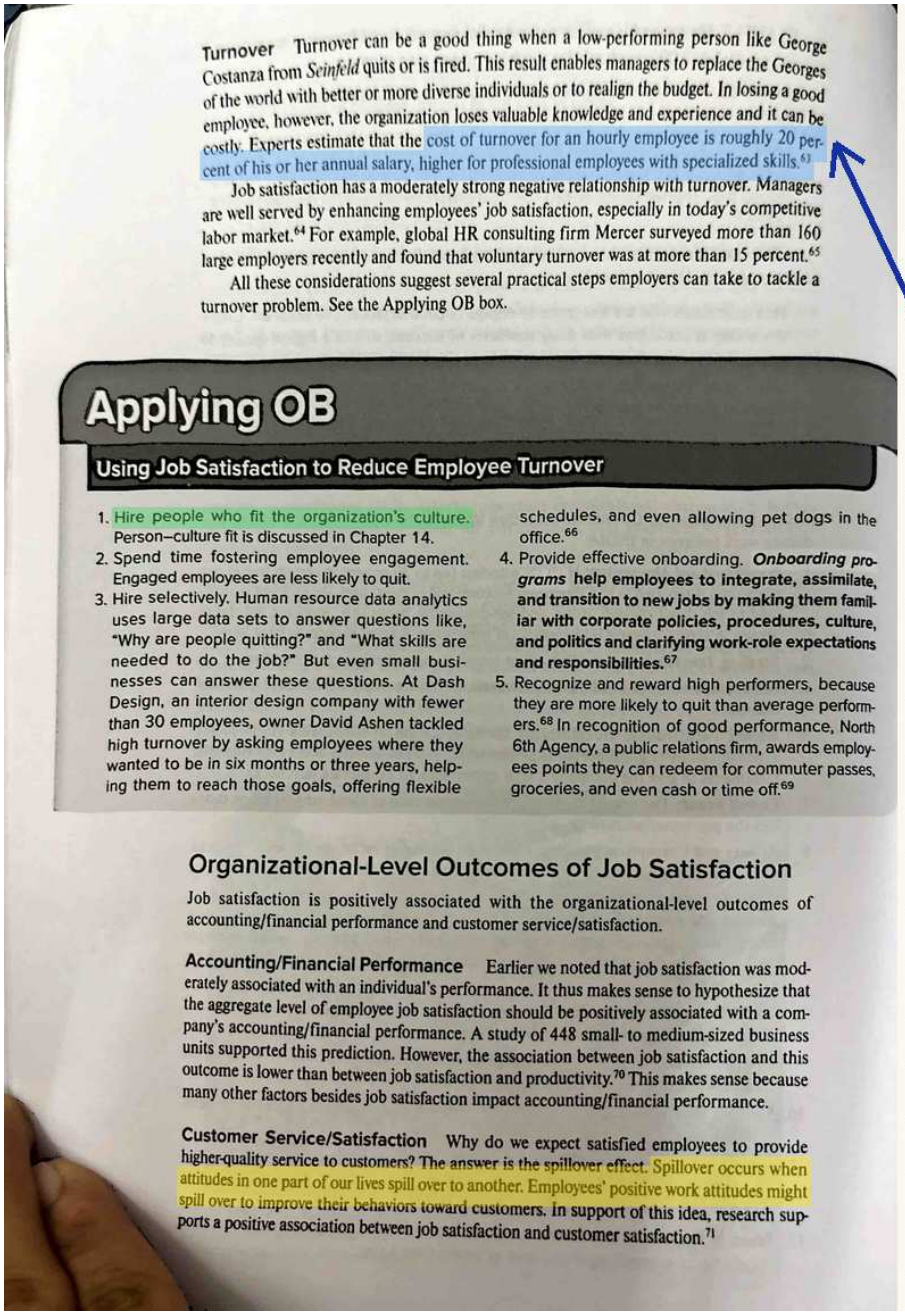
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WRITE IN THE MARGIN

India: absenteeism up to 20%, caste discrimination, nepotism

HIGHLIGHT COLOURS ON THIS PAGE

- Green = lists & frameworks
- Pink = Indian / company examples



Turnover Turnover can be a good thing when a low-performing person like George Costanza from *Seinfeld* quits or is fired. This result enables managers to replace the Georges of the world with better or more diverse individuals or to realign the budget. In losing a good employee, however, the organization loses valuable knowledge and experience and it can be costly. Experts estimate that the cost of turnover for an hourly employee is roughly 20 percent of his or her annual salary, higher for professional employees with specialized skills.[63]

Job satisfaction has a moderately strong negative relationship with turnover. Managers are well served by enhancing employees' job satisfaction, especially in today's competitive labor market.[64] For example, global HR consulting firm Mercer surveyed more than 160 large employers recently and found that voluntary turnover was at more than 15 percent.[65]

All these considerations suggest several practical steps employers can take to tackle a turnover problem. See the Applying OB box.

Applying OB

Using Job Satisfaction to Reduce Employee Turnover

1. Hire people who fit the organization's culture. Person–culture fit is discussed in Chapter 14.
2. Spend time fostering employee engagement. Engaged employees are less likely to quit.
3. Hire selectively. Human resource data analytics uses large data sets to answer questions like, "Why are people quitting?" and "What skills are needed to do the job?" But even small businesses can answer these questions. At Dash Design, an interior design company with fewer than 30 employees, owner David Ashen tackled high turnover by asking employees where they wanted to be in six months or three years, helping them to reach those goals, offering flexible schedules, and even allowing pet dogs in the office.[66]
4. Provide effective onboarding. ***Onboarding programs* help employees to integrate, assimilate, and transition to new jobs by making them familiar with corporate policies, procedures, culture, and politics and clarifying work-role expectations and responsibilities.**[67]
5. Recognize and reward high performers, because they are more likely to quit than average performers.[68] In recognition of good performance, North 6th Agency, a public relations firm, awards employees points they can redeem for commuter passes, groceries, and even cash or time off.[69]

Organizational-Level Outcomes of Job Satisfaction

Job satisfaction is positively associated with the organizational-level outcomes of accounting/financial performance and customer service/satisfaction.

Accounting/Financial Performance Earlier we noted that job satisfaction was moderately associated with an individual's performance. It thus makes sense to hypothesize that the aggregate level of employee job satisfaction should be positively associated with a company's accounting/financial performance. A study of 448 small- to medium-sized business units supported this prediction. However, the association between job satisfaction and this outcome is lower than between job satisfaction and productivity.[70] This makes sense because many other factors besides job satisfaction impact accounting/financial performance.

Customer Service/Satisfaction Why do we expect satisfied employees to provide higher-quality service to customers? The answer is the spillover effect. Spillover occurs when attitudes in one part of our lives spill over to another. Employees' positive work attitudes might spill over to improve their behaviors toward customers. In support of this idea, research supports a positive association between job satisfaction and customer satisfaction.[71]

p. 68

Southwest: happy staff ->
ACSI 78 = spillover
McKinsey: quit when NOT VALUED

write this in the margin

p. 68

WHAT'S ON THIS PAGE

Turnover costs (~20% of salary), practical steps to reduce it, and the spillover effect to customer satisfaction.

USE IT IN THE EXAM FOR

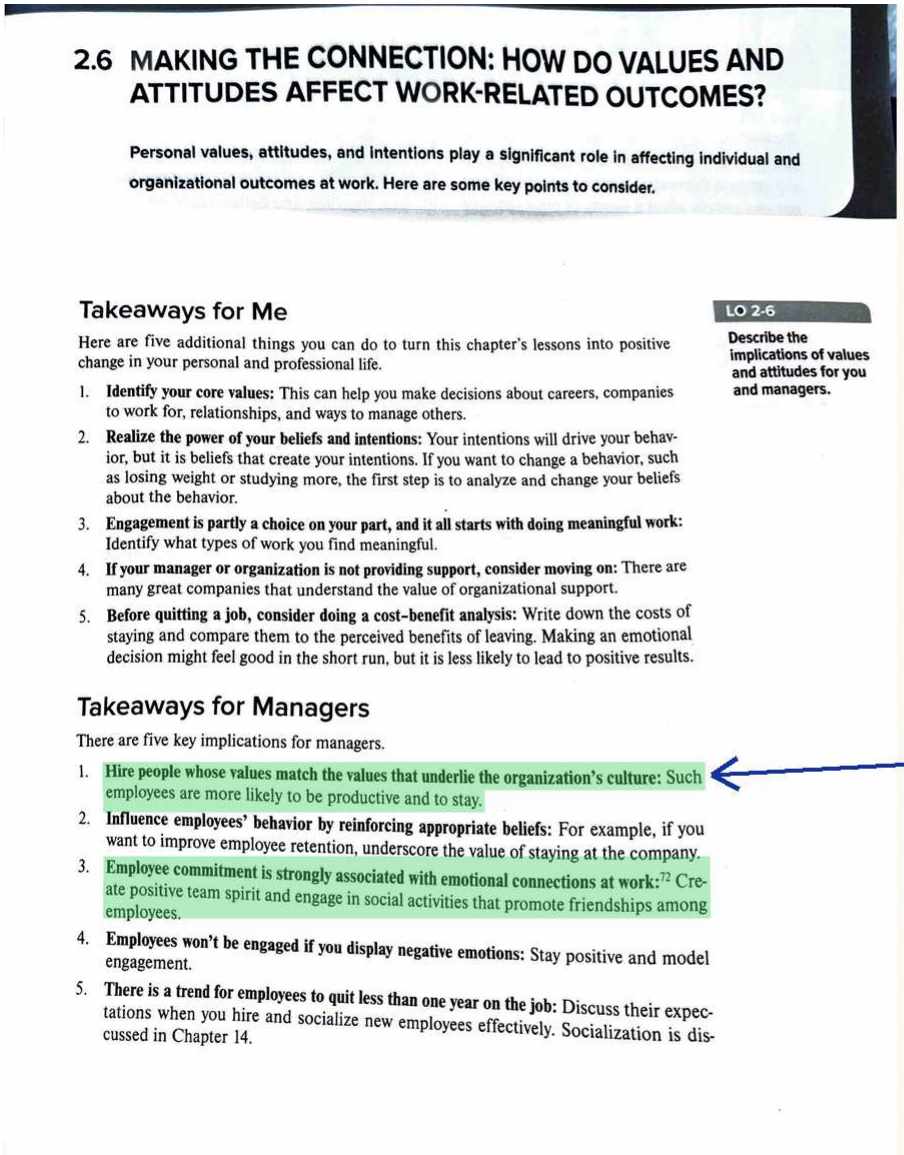
Retention answers.

WRITE IN THE MARGIN

Southwest: happy staff ->
ACSI 78 = spillover
McKinsey: quit when NOT VALUED

HIGHLIGHT COLOURS ON THIS PAGE

- Yellow = definitions: exact words to quote
- Green = lists & frameworks
- Blue = research numbers



2.6 MAKING THE CONNECTION: HOW DO VALUES AND ATTITUDES AFFECT WORK-RELATED OUTCOMES?

Personal values, attitudes, and intentions play a significant role in affecting individual and organizational outcomes at work. Here are some key points to consider.

Takeaways for Me

LO 2-6

Describe the implications of values and attitudes for you and managers.

Here are five additional things you can do to turn this chapter's lessons into positive change in your personal and professional life.

1. **Identify your core values:** This can help you make decisions about careers, companies to work for, relationships, and ways to manage others.
2. **Realize the power of your beliefs and intentions:** Your intentions will drive your behavior, but it is beliefs that create your intentions. If you want to change a behavior, such as losing weight or studying more, the first step is to analyze and change your beliefs about the behavior.
3. **Engagement is partly a choice on your part, and it all starts with doing meaningful work:** Identify what types of work you find meaningful.
4. **If your manager or organization is not providing support, consider moving on:** There are many great companies that understand the value of organizational support.
5. **Before quitting a job, consider doing a cost-benefit analysis:** Write down the costs of staying and compare them to the perceived benefits of leaving. Making an emotional decision might feel good in the short run, but it is less likely to lead to positive results.

Takeaways for Managers

There are five key implications for managers.

1. **Hire people whose values match the values that underlie the organization's culture:** Such employees are more likely to be productive and to stay.
2. **Influence employees' behavior by reinforcing appropriate beliefs:** For example, if you want to improve employee retention, underscore the value of staying at the company.
3. **Employee commitment is strongly associated with emotional connections at work:**[72] Create positive team spirit and engage in social activities that promote friendships among employees.
4. **Employees won't be engaged if you display negative emotions:** Stay positive and model engagement.
5. **There is a trend for employees to quit less than one year on the job:** Discuss their expectations when you hire and socialize new employees effectively. Socialization is discussed in Chapter 14.

p. 69

VERDICT: satisfaction is REAL, but money alone won't buy it (McKinsey, DOR, Orix)

write this in the margin

p. 69

WHAT'S ON THIS PAGE

Five takeaways for you and five implications for managers about values and attitudes.

USE IT IN THE EXAM FOR

Concluding lines for M2 answers.

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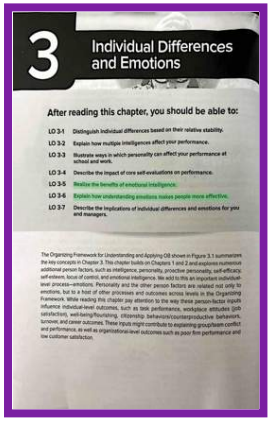
VERDICT: satisfaction is REAL, but money alone won't buy it (McKinsey, DOR, Orix)

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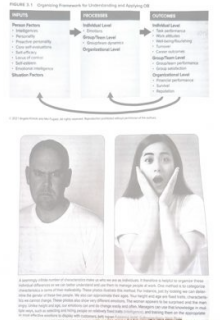
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MAP · Chapter 3 · Emotional Intelligence & Emotions (only pp.105-116)

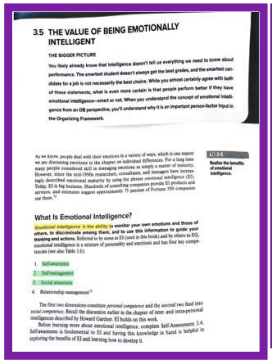
where is what coloured = annotate · grey = skim/skip



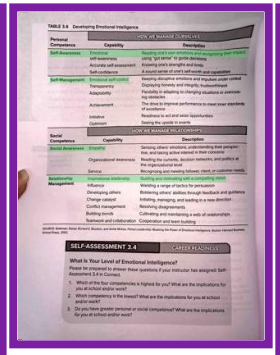
p. 77
M3 opener



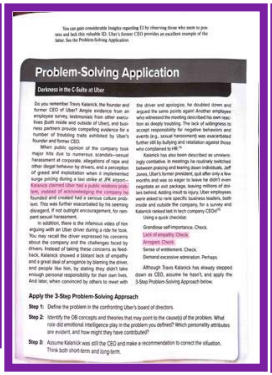
p. 78
skim



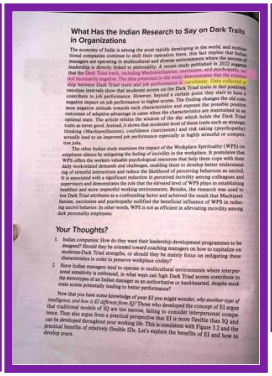
p. 105
EI 105



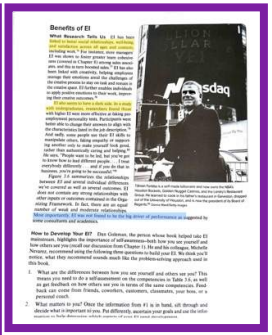
p. 106
TABLE 3.6 Developing …



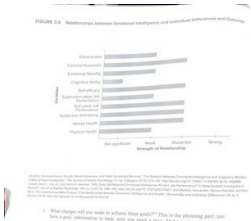
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Problem-Solving Appli…



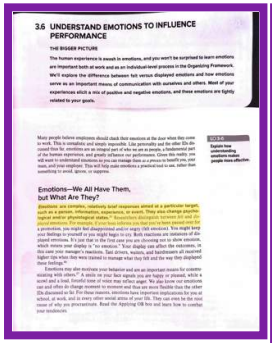
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Indian research on th…



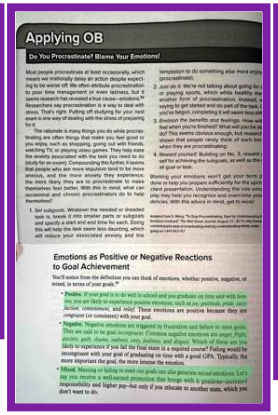
p. 109
Benefits of EI



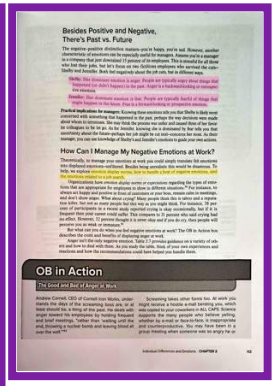
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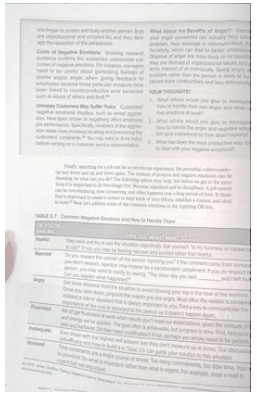
p. 111
Emotions 111



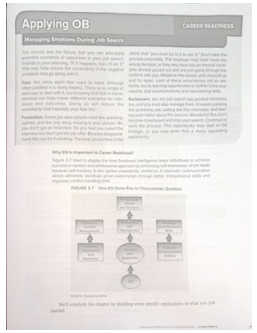
p. 112
Emotions & goals



p. 113
Past vs future emotio…

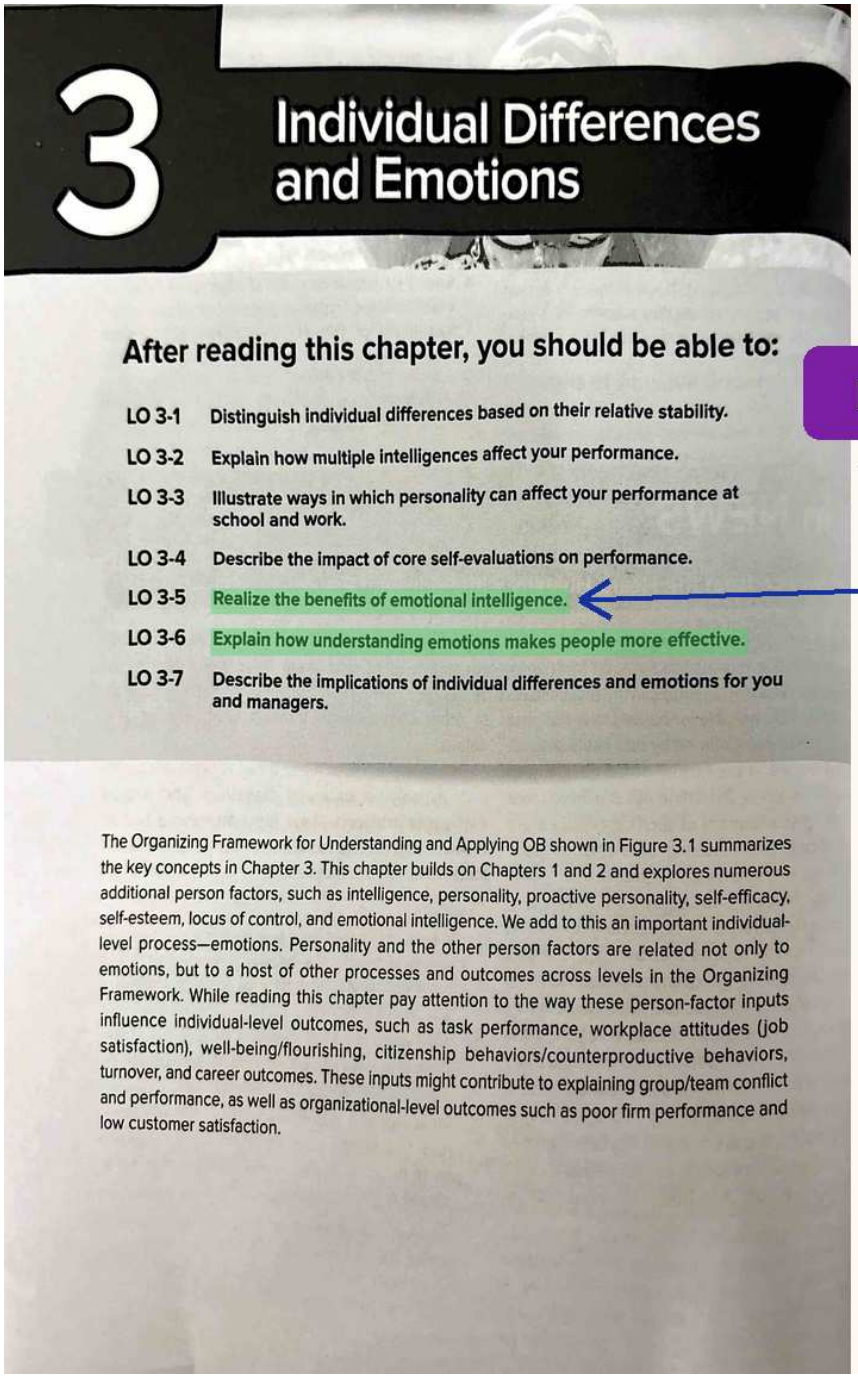


p. 114
skim



p. 115
skim

p. 77 · Chapter 3 opener (only 3.5 & 3.6 examinable)



3 Individual Differences and Emotions

After reading this chapter, you should be able to:

- LO 3-1 Distinguish individual differences based on their relative stability.
- LO 3-2 Explain how multiple intelligences affect your performance.
- LO 3-3 Illustrate ways in which personality can affect your performance at school and work.
- LO 3-4 Describe the impact of core self-evaluations on performance.
- LO 3-5 Realize the benefits of emotional intelligence.
- LO 3-6 Explain how understanding emotions makes people more effective.
- LO 3-7 Describe the implications of individual differences and emotions for you and managers.

The Organizing Framework for Understanding and Applying OB shown in Figure 3.1 summarizes the key concepts in Chapter 3. This chapter builds on Chapters 1 and 2 and explores numerous additional person factors, such as intelligence, personality, proactive personality, self-efficacy, self-esteem, locus of control, and emotional intelligence. We add to this an important individual-level process—emotions. Personality and the other person factors are related not only to emotions, but to a host of other processes and outcomes across levels in the Organizing Framework. While reading this chapter pay attention to the way these person-factor inputs influence individual-level outcomes, such as task performance, workplace attitudes (job satisfaction), well-being/flourishing, citizenship behaviors/counterproductive behaviors, turnover, and career outcomes. These inputs might contribute to explaining group/team conflict and performance, as well as organizational-level outcomes such as poor firm performance and low customer satisfaction.

p. 77

M3 start

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ONLY 3.5 (p.105) & 3.6 (p.111)
SKIP p.79-104

write this in the margin

p. 77

WHAT'S ON THIS PAGE

Chapter 3 learning objectives. Only LO 3-5 (EI) and LO 3-6 (emotions) are in your syllabus.

USE IT IN THE EXAM FOR

Module 3 entry point.

STICKY TAB

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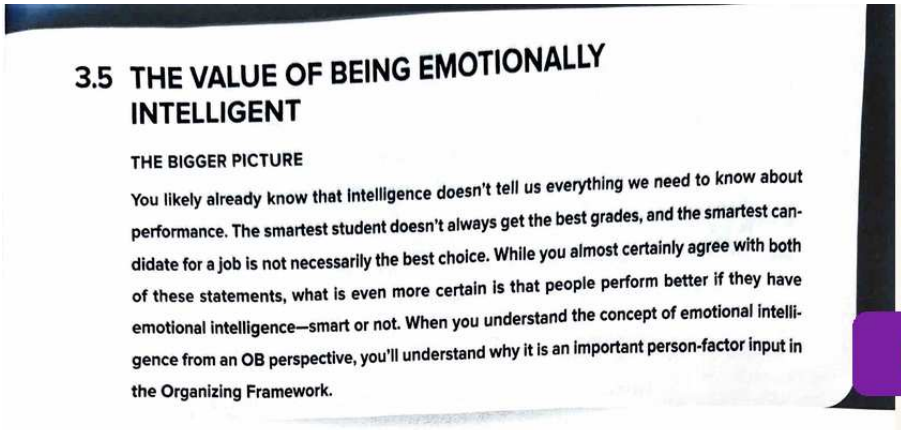
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ONLY 3.5 (p.105) & 3.6 (p.111)
SKIP p.79-104

HIGHLIGHT COLOURS ON THIS PAGE

Green = lists & frameworks

p. 105 · 3.5 EMOTIONAL INTELLIGENCE: definition + 4 competencies



3.5 THE VALUE OF BEING EMOTIONALLY INTELLIGENT

THE BIGGER PICTURE

You likely already know that intelligence doesn't tell us everything we need to know about performance. The smartest student doesn't always get the best grades, and the smartest candidate for a job is not necessarily the best choice. While you almost certainly agree with both of these statements, what is even more certain is that people perform better if they have emotional intelligence—smart or not. When you understand the concept of emotional intelligence from an OB perspective, you'll understand why it is an important person-factor input in the Organizing Framework.

p. 105

EI 105

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As we know, people deal with their emotions in a variety of ways, which is one reason we are discussing emotions in the chapter on individual differences. For a long time many people considered skill in managing emotions as simply a matter of maturity. However, since the mid-1990s researchers, consultants, and managers have increasingly described emotional maturity by using the phrase *emotional intelligence (EI)*. Today, EI is big business. Hundreds of consulting companies provide EI products and services, and estimates suggest approximately 75 percent of Fortune 500 companies use them.[72]

LO 3-5
Realize the benefits of emotional intelligence.

What Is Emotional Intelligence?

Emotional intelligence is the ability to monitor your own emotions and those of others, to discriminate among them, and to use this information to guide your thinking and actions. Referred to by some as EI (used in this book) and by others as EQ, emotional intelligence is a mixture of personality and emotions and has four key competencies (see also Table 3.6):

1. Self-awareness
2. Self-management
3. Social awareness
4. Relationship management[73]

The first two dimensions constitute *personal competence* and the second two feed into *social competence*. Recall the discussion earlier in the chapter of inter- and intra-personal intelligences described by Howard Gardner. EI builds on this work.

Before learning more about emotional intelligence, complete Self-Assessment 3.4. Self-awareness is fundamental to EI and having this knowledge in hand is helpful in exploring the benefits of EI and learning how to develop it.

Goleman. 1+2 = personal,
3+4 = social competence
Uber Kalanick = no empathy

write this in the margin

p. 105

WHAT'S ON THIS PAGE

EI definition; self-awareness, self-management, social awareness, relationship management.

USE IT IN THE EXAM FOR

Define EI; Uber, Alex (Starbucks).

STICKY TAB

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WRITE IN THE MARGIN

Goleman. 1+2 = personal,
3+4 = social competence
Uber Kalanick = no empathy

HIGHLIGHT COLOURS ON THIS PAGE

- Yellow = definitions: exact words to quote
- Green = lists & frameworks

p. 106 • TABLE 3.6 Developing EI (all capabilities)

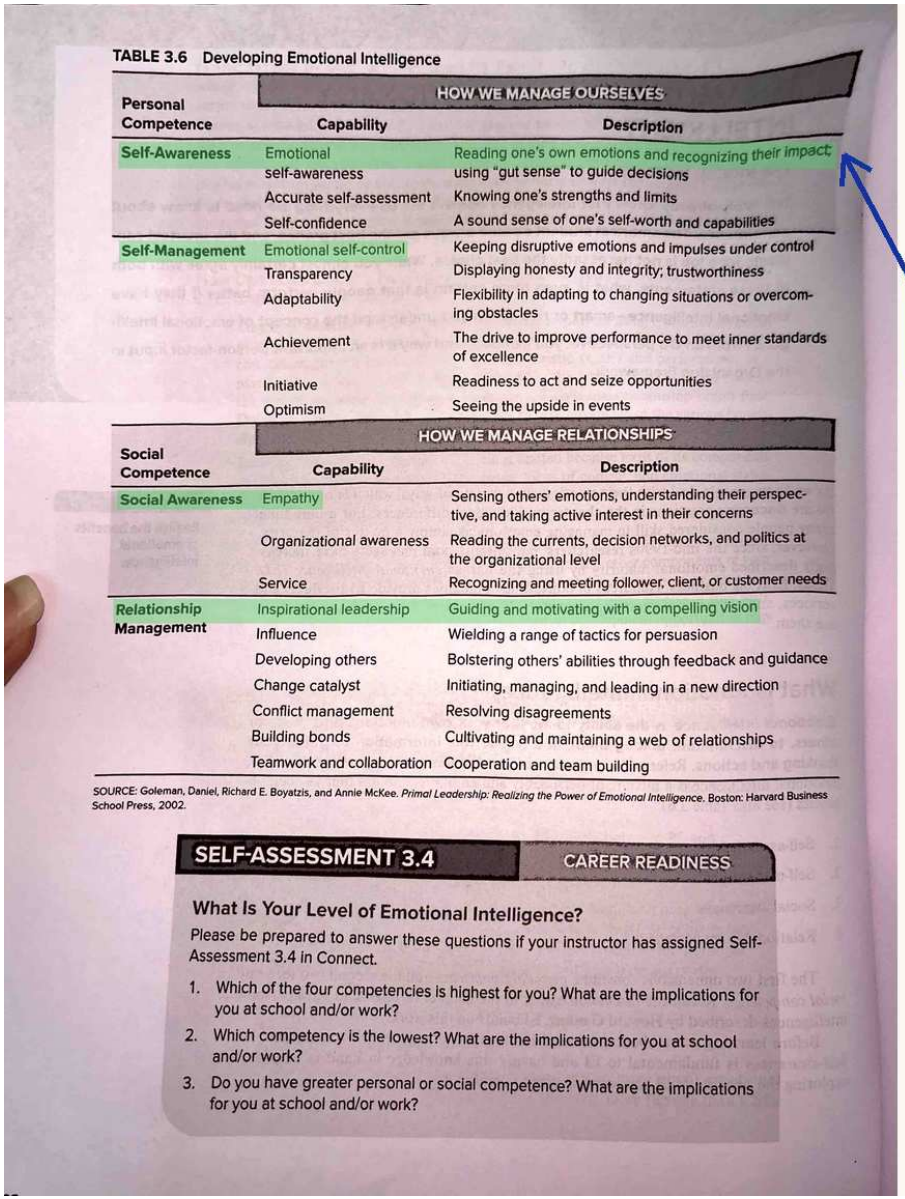


TABLE 3.6 Developing Emotional Intelligence

Personal Competence	Capability	Description
	HOW WE MANAGE OURSELVES	
Self-Awareness	Emotional self-awareness	Reading one's own emotions and recognizing their impact; using "gut sense" to guide decisions
	Accurate self-assessment	Knowing one's strengths and limits
	Self-confidence	A sound sense of one's self-worth and capabilities
Self-Management	Emotional self-control	Keeping disruptive emotions and impulses under control
	Transparency	Displaying honesty and integrity; trustworthiness
	Adaptability	Flexibility in adapting to changing situations or overcoming obstacles
	Achievement	The drive to improve performance to meet inner standards of excellence
	Initiative	Readiness to act and seize opportunities
	Optimism	Seeing the upside in events
Social Competence	**Capability**	**Description**
	HOW WE MANAGE RELATIONSHIPS	
Social Awareness	Empathy	Sensing others' emotions, understanding their perspective, and taking active interest in their concerns
	Organizational awareness	Reading the currents, decision networks, and politics at the organizational level
	Service	Recognizing and meeting follower, client, or customer needs
Relationship Management	Inspirational leadership	Guiding and motivating with a compelling vision
	Influence	Wielding a range of tactics for persuasion
	Developing others	Bolstering others' abilities through feedback and guidance
	Change catalyst	Initiating, managing, and leading in a new direction
	Conflict management	Resolving disagreements
	Building bonds	Cultivating and maintaining a web of relationships
	Teamwork and collaboration	Cooperation and team building

SOURCE: Goleman, Daniel, Richard E. Boyatzis, and Annie McKee. *Primal Leadership: Realizing the Power of Emotional Intelligence*. Boston: Harvard Business School Press, 2002.

SELF-ASSESSMENT 3.4 CAREER READINESS

What Is Your Level of Emotional Intelligence?

Please be prepared to answer these questions if your instructor has assigned Self-Assessment 3.4 in Connect.

1. Which of the four competencies is highest for you? What are the implications for you at school and/or work?
2. Which competency is the lowest? What are the implications for you at school and/or work?
3. Do you have greater personal or social competence? What are the implications for you at school and/or work?

p. 106

Starbucks Alex lacks empathy + conflict mgmt -> silence, blame

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p. 106

WHAT'S ON THIS PAGE

Each EI domain broken into capabilities (empathy, influence, conflict management…).

USE IT IN THE EXAM FOR

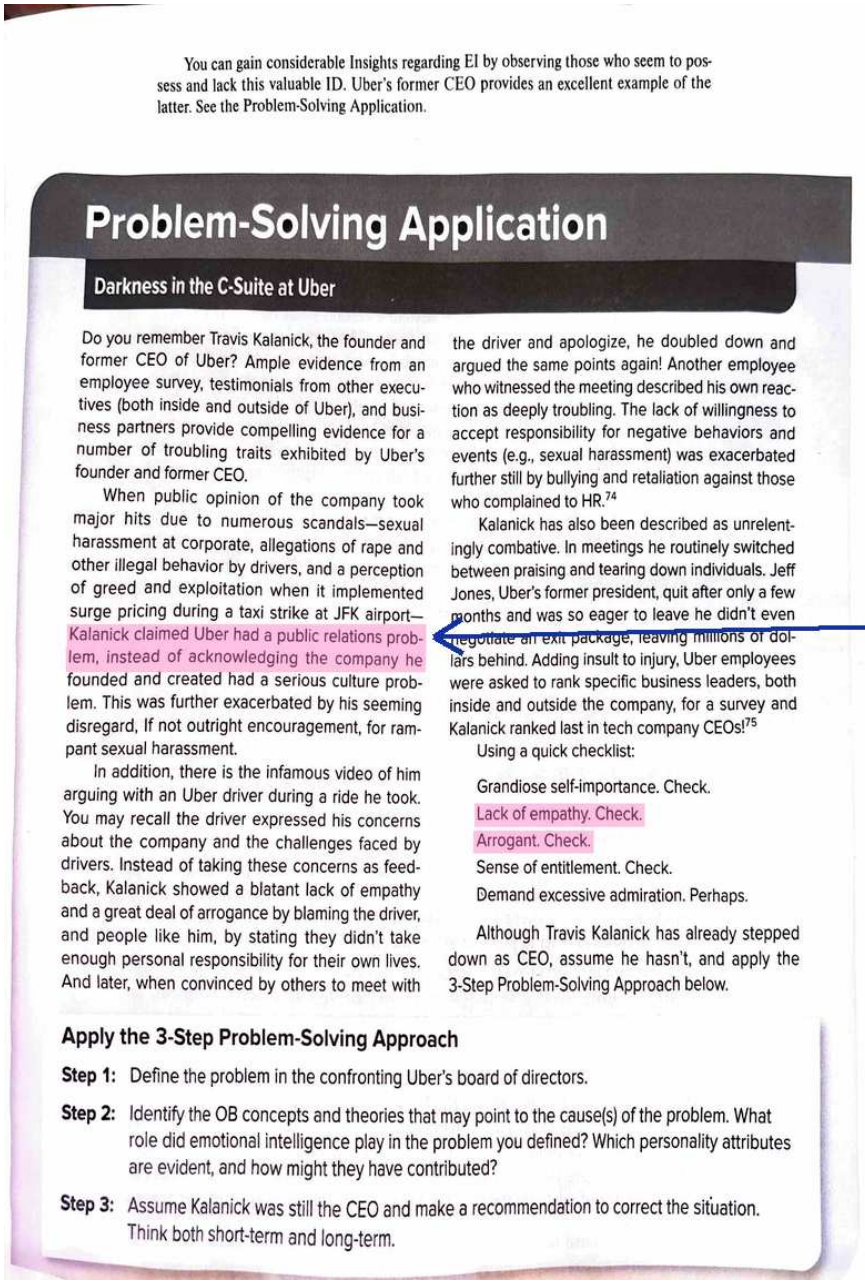
List of EI skills to cite.

WRITE IN THE MARGIN

Starbucks Alex lacks empathy + conflict mgmt -> silence, blame

HIGHLIGHT COLOURS ON THIS PAGE

Green = lists & frameworks



You can gain considerable Insights regarding EI by observing those who seem to possess and lack this valuable ID. Uber's former CEO provides an excellent example of the latter. See the Problem-Solving Application.

Problem-Solving Application

Darkness in the C-Suite at Uber

Do you remember Travis Kalanick, the founder and former CEO of Uber? Ample evidence from an employee survey, testimonials from other executives (both inside and outside of Uber), and business partners provide compelling evidence for a number of troubling traits exhibited by Uber's founder and former CEO.

When public opinion of the company took major hits due to numerous scandals—sexual harassment at corporate, allegations of rape and other illegal behavior by drivers, and a perception of greed and exploitation when it implemented surge pricing during a taxi strike at JFK airport—Kalanick claimed Uber had a public relations problem, instead of acknowledging the company he founded and created had a serious culture problem. This was further exacerbated by his seeming disregard, If not outright encouragement, for rampant sexual harassment.

In addition, there is the infamous video of him arguing with an Uber driver during a ride he took. You may recall the driver expressed his concerns about the company and the challenges faced by drivers. Instead of taking these concerns as feedback, Kalanick showed a blatant lack of empathy and a great deal of arrogance by blaming the driver, and people like him, by stating they didn't take enough personal responsibility for their own lives. And later, when convinced by others to meet with the driver and apologize, he doubled down and argued the same points again! Another employee who witnessed the meeting described his own reaction as deeply troubling. The lack of willingness to accept responsibility for negative behaviors and events (e.g., sexual harassment) was exacerbated further still by bullying and retaliation against those who complained to HR.[74]

Kalanick has also been described as unrelentingly combative. In meetings he routinely switched between praising and tearing down individuals. Jeff Jones, Uber's former president, quit after only a few months and was so eager to leave he didn't even negotiate an exit package, leaving millions of dollars behind. Adding insult to injury, Uber employees were asked to rank specific business leaders, both inside and outside the company, for a survey and Kalanick ranked last in tech company CEOs![75]

Using a quick checklist:

Grandiose self-importance. Check.
Lack of empathy. Check.
Arrogant. Check.
Sense of entitlement. Check.
Demand excessive admiration. Perhaps.

Although Travis Kalanick has already stepped down as CEO, assume he hasn't, and apply the 3-Step Problem-Solving Approach below.

Apply the 3-Step Problem-Solving Approach

Step 1: Define the problem in the confronting Uber's board of directors.

Step 2: Identify the OB concepts and theories that may point to the cause(s) of the problem. What role did emotional intelligence play in the problem you defined? Which personality attributes are evident, and how might they have contributed?

Step 3: Assume Kalanick was still the CEO and make a recommendation to correct the situation. Think both short-term and long-term.

p. 107

3 steps: toxic culture -> low EI + dark traits + blames drivers (FAE) -> coaching, 360, new leader

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p. 107

WHAT'S ON THIS PAGE

Kalanick's lack of empathy, arrogance, bullying; checklist of narcissistic traits.

USE IT IN THE EXAM FOR

Low-EI leader example.

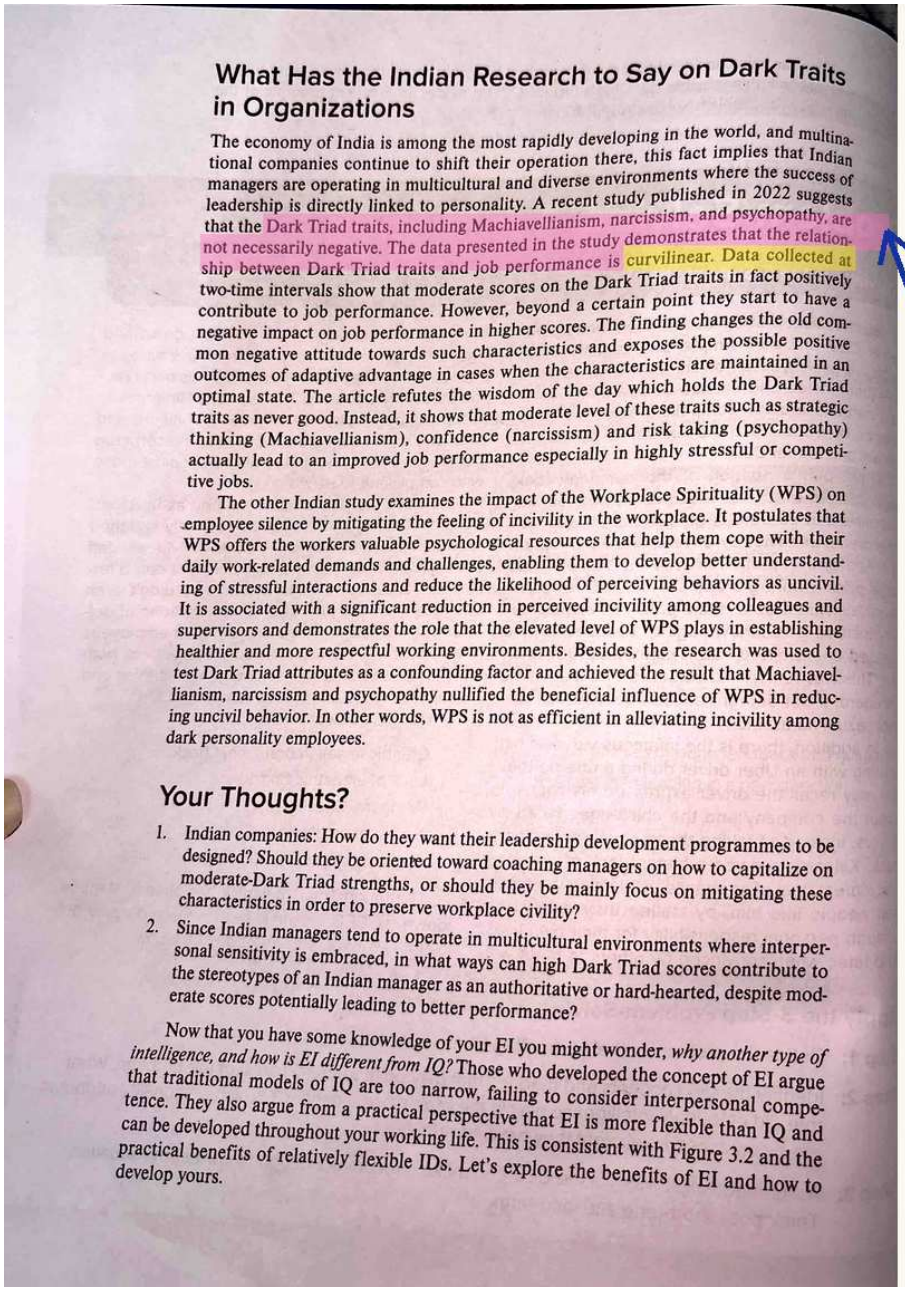
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3 steps: toxic culture -> low EI + dark traits + blames drivers (FAE) -> coaching, 360, new leader

HIGHLIGHT COLOURS ON THIS PAGE

Pink = Indian / company examples

p. 108 · Indian research on the Dark Triad



What Has the Indian Research to Say on Dark Traits in Organizations

The economy of India is among the most rapidly developing in the world, and multinational companies continue to shift their operation there, this fact implies that Indian managers are operating in multicultural and diverse environments where the success of leadership is directly linked to personality. A recent study published in 2022 suggests that the Dark Triad traits, including Machiavellianism, narcissism, and psychopathy, are not necessarily negative. The data presented in the study demonstrates that the relationship between Dark Triad traits and job performance is curvilinear. Data collected at two-time intervals show that moderate scores on the Dark Triad traits in fact positively contribute to job performance. However, beyond a certain point they start to have a negative impact on job performance in higher scores. The finding changes the old common negative attitude towards such characteristics and exposes the possible positive outcomes of adaptive advantage in cases when the characteristics are maintained in an optimal state. The article refutes the wisdom of the day which holds the Dark Triad traits as never good. Instead, it shows that moderate level of these traits such as strategic thinking (Machiavellianism), confidence (narcissism) and risk taking (psychopathy) actually lead to an improved job performance especially in highly stressful or competitive jobs.

The other Indian study examines the impact of the Workplace Spirituality (WPS) on employee silence by mitigating the feeling of incivility in the workplace. It postulates that WPS offers the workers valuable psychological resources that help them cope with their daily work-related demands and challenges, enabling them to develop better understanding of stressful interactions and reduce the likelihood of perceiving behaviors as uncivil. It is associated with a significant reduction in perceived incivility among colleagues and supervisors and demonstrates the role that the elevated level of WPS plays in establishing healthier and more respectful working environments. Besides, the research was used to test Dark Triad attributes as a confounding factor and achieved the result that Machiavellianism, narcissism and psychopathy nullified the beneficial influence of WPS in reducing uncivil behavior. In other words, WPS is not as efficient in alleviating incivility among dark personality employees.

Your Thoughts?

1. *Indian companies:* How do they want their leadership development programmes to be designed? Should they be oriented toward coaching managers on how to capitalize on moderate-Dark Triad strengths, or should they be mainly focus on mitigating these characteristics in order to preserve workplace civility?
2. Since Indian managers tend to operate in multicultural environments where interpersonal sensitivity is embraced, in what ways can high Dark Triad scores contribute to the stereotypes of an Indian manager as an authoritative or hard-hearted, despite moderate scores potentially leading to better performance?

Now that you have some knowledge of your EI you might wonder, *why another type of intelligence, and how is EI different from IQ?* Those who developed the concept of EI argue that traditional models of IQ are too narrow, failing to consider interpersonal competence. They also argue from a practical perspective that EI is more flexible than IQ and can be developed throughout your working life. This is consistent with Figure 3.2 and the practical benefits of relatively flexible IDs. Let's explore the benefits of EI and how to develop yours.

p. 108

Dark Triad = Mach, narcissism, psychopathy; moderate helps, high hurts

write this in the margin

p. 108

WHAT'S ON THIS PAGE

Moderate Machiavellianism/narcissism/psychopathy can help performance (curvilinear); workplace spirituality reduces incivility.

USE IT IN THE EXAM FOR

Indian research angle.

WRITE IN THE MARGIN

Dark Triad = Mach, narcissism, psychopathy; moderate helps, high hurts

HIGHLIGHT COLOURS ON THIS PAGE

- Yellow = definitions: exact words to quote
- Pink = Indian / company examples

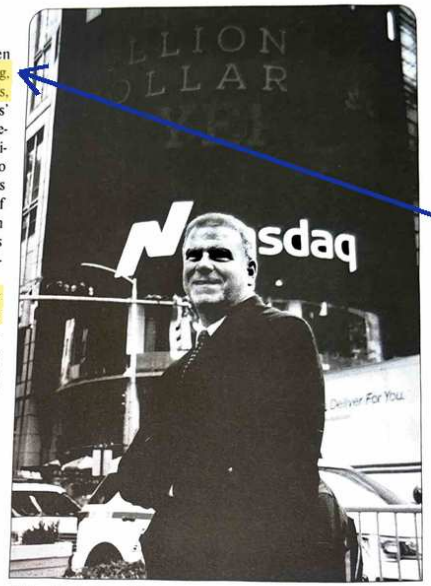
Benefits of EI

What Research Tells Us EI has been linked to better social relationships, well-being, and satisfaction across all ages and contexts, including work.[76] For instance, store managers' EI was shown to foster greater team cohesiveness (covered in Chapter 8) among sales associates, and this in turn boosted sales.[77] EI has also been linked with creativity, helping employees manage their emotions amid the challenges of the creative process to stay on task and remain in the creative space. EI further enables individuals to apply positive emotions to their work, improving their creative outcomes.[78]

EI also seems to have a dark side. In a study with undergraduates, researchers found those with higher EI were more effective at faking pre-employment personality tests. Participants were better able to change their answers to align with the characteristics listed in the job description.[79] And sadly, some people use their EI skills to manipulate others, faking empathy or supporting another only to make yourself look good, rather than authentically caring and helping.[80] He says, "People want to be led, but you've got to know how to lead different people. . . . I treat everybody differently . . . and if you do that in business, you're going to be successful."[81]

Figure 3.6 summarizes the relationships between EI and several individual differences we've covered as well as several outcomes. EI does not contain any strong relationships with other inputs or outcomes contained in the Organizing Framework. In fact, there are an equal number of weak and moderate relationships.

Most importantly, EI was not found to be the big driver of performance as suggested by some consultants and academics.



Tillman Fertitta is a self-made billionaire and now owns the NBA's Houston Rockets, Golden Nugget Casinos, and the Landry's Restaurant Group. He learned to cook in his father's restaurant in Galveston, dropped out of the University of Houston, and is now the president of its Board of Regents.[82] Donna Ward/Getty Images

How to Develop Your EI? Dan Goleman, the person whose book helped take EI mainstream, highlights the importance of self-awareness—both how you see yourself and how others see you (recall our discussion from Chapter 1). He and his colleague, Michelle Nevarez, recommend using the following three questions to build your EI. We think you'll notice, what they recommend sounds much like the problem-solving approach used in this book.

1. What are the differences between how you see yourself and others see you? This means you need to do a self-assessment on the competencies in Table 3.6, as well as get feedback on how others see you in terms of the same competencies. Feedback can come from friends, coworkers, customers, classmates, your boss, or a personal coach.
2. What matters to you? Once the information from #1 is in hand, sift through and decide what is important to you. Put differently, ascertain your goals and use the information to help determine which aspects of your EI need development.

p. 109

EI is NOT the big driver of performance (Fig 3.6)

write this in the margin

p. 109

WHAT'S ON THIS PAGE

EI improves relationships, cohesion, creativity; can be used to manipulate; three questions to develop EI.

USE IT IN THE EXAM FOR

Balanced view of EI.

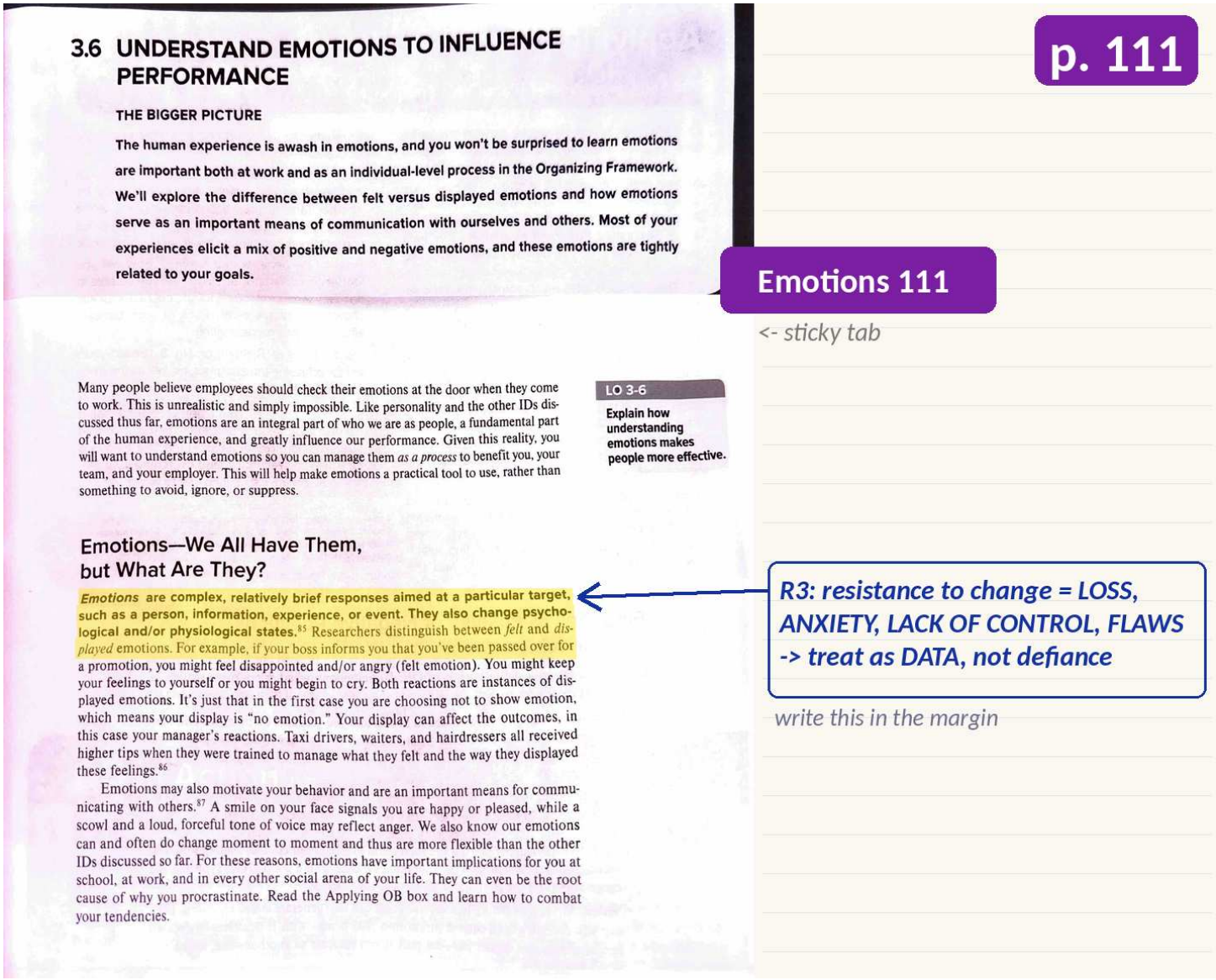
WRITE IN THE MARGIN

EI is NOT the big driver of performance (Fig 3.6)

HIGHLIGHT COLOURS ON THIS PAGE

- Yellow = definitions: exact words to quote
- Blue = research numbers

p. 111 · 3.6 EMOTIONS: definition; felt vs displayed



3.6 UNDERSTAND EMOTIONS TO INFLUENCE PERFORMANCE

THE BIGGER PICTURE

The human experience is awash in emotions, and you won't be surprised to learn emotions are important both at work and as an individual-level process in the Organizing Framework. We'll explore the difference between felt versus displayed emotions and how emotions serve as an important means of communication with ourselves and others. Most of your experiences elicit a mix of positive and negative emotions, and these emotions are tightly related to your goals.

Many people believe employees should check their emotions at the door when they come to work. This is unrealistic and simply impossible. Like personality and the other IDs discussed thus far, emotions are an integral part of who we are as people, a fundamental part of the human experience, and greatly influence our performance. Given this reality, you will want to understand emotions so you can manage them *as a process* to benefit you, your team, and your employer. This will help make emotions a practical tool to use, rather than something to avoid, ignore, or suppress.

LO 3-6
Explain how understanding emotions makes people more effective.

Emotions—We All Have Them, but What Are They?

Emotions **are complex, relatively brief responses aimed at a particular target, such as a person, information, experience, or event. They also change psychological and/or physiological states.**[85] Researchers distinguish between *felt* and *displayed* emotions. For example, if your boss informs you that you've been passed over for a promotion, you might feel disappointed and/or angry (felt emotion). You might keep your feelings to yourself or you might begin to cry. Both reactions are instances of displayed emotions. It's just that in the first case you are choosing not to show emotion, which means your display is "no emotion." Your display can affect the outcomes, in this case your manager's reactions. Taxi drivers, waiters, and hairdressers all received higher tips when they were trained to manage what they felt and the way they displayed these feelings.[86]

Emotions may also motivate your behavior and are an important means for communicating with others.[87] A smile on your face signals you are happy or pleased, while a scowl and a loud, forceful tone of voice may reflect anger. We also know our emotions can and often do change moment to moment and thus are more flexible than the other IDs discussed so far. For these reasons, emotions have important implications for you at school, at work, and in every other social arena of your life. They can even be the root cause of why you procrastinate. Read the Applying OB box and learn how to combat your tendencies.

p. 111

Emotions 111

<- sticky tab

R3: resistance to change = LOSS, ANXIETY, LACK OF CONTROL, FLAWS -> treat as DATA, not defiance

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p. 111

WHAT'S ON THIS PAGE

Emotions are brief responses aimed at a target; felt vs displayed emotions.

USE IT IN THE EXAM FOR

Write R3 here.

STICKY TAB

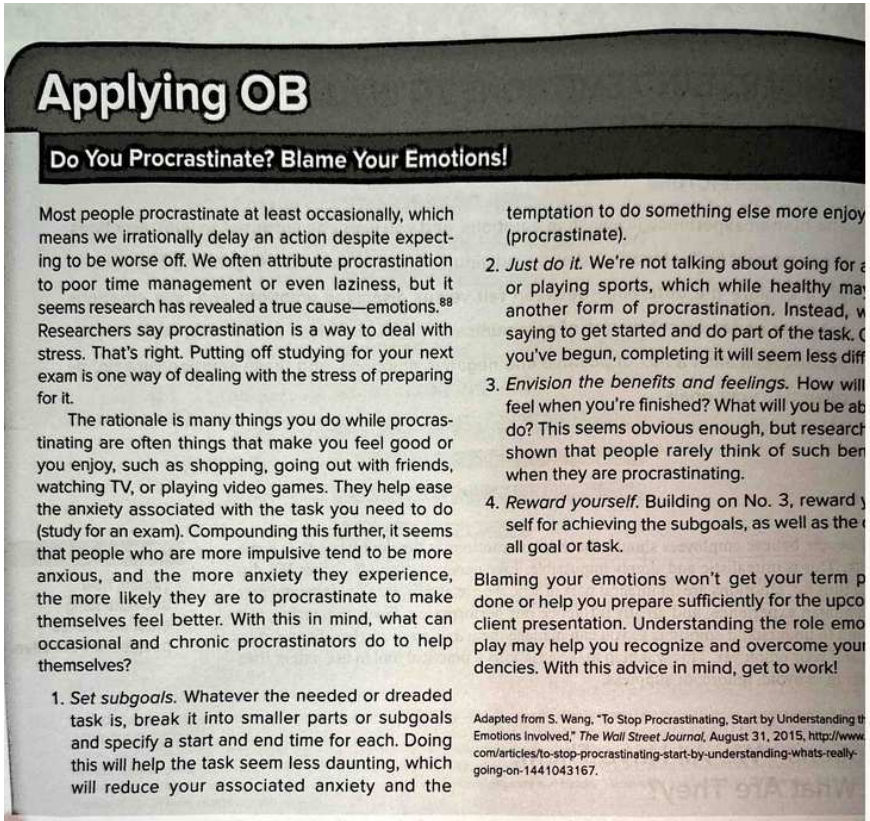
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WRITE IN THE MARGIN

R3: resistance to change = LOSS, ANXIETY, LACK OF CONTROL, FLAWS -> treat as DATA, not defiance

HIGHLIGHT COLOURS ON THIS PAGE

Yellow = definitions: exact words to quote



Applying OB

Do You Procrastinate? Blame Your Emotions!

Most people procrastinate at least occasionally, which means we irrationally delay an action despite expecting to be worse off. We often attribute procrastination to poor time management or even laziness, but it seems research has revealed a true cause—emotions.[88] Researchers say procrastination is a way to deal with stress. That's right. Putting off studying for your next exam is one way of dealing with the stress of preparing for it.

The rationale is many things you do while procrastinating are often things that make you feel good or you enjoy, such as shopping, going out with friends, watching TV, or playing video games. They help ease the anxiety associated with the task you need to do (study for an exam). Compounding this further, it seems that people who are more impulsive tend to be more anxious, and the more anxiety they experience, the more likely they are to procrastinate to make themselves feel better. With this in mind, what can occasional and chronic procrastinators do to help themselves?

1. *Set subgoals.* Whatever the needed or dreaded task is, break it into smaller parts or subgoals and specify a start and end time for each. Doing this will help the task seem less daunting, which will reduce your associated anxiety and the temptation to do something else more enjoy (procrastinate).
2. *Just do it.* We're not talking about going for a or playing sports, which while healthy ma another form of procrastination. Instead, w saying to get started and do part of the task. (you've begun, completing it will seem less diff
3. *Envision the benefits and feelings.* How will feel when you're finished? What will you be ab do? This seems obvious enough, but research shown that people rarely think of such ben when they are procrastinating.
4. *Reward yourself.* Building on No. 3, reward y self for achieving the subgoals, as well as the all goal or task.

Blaming your emotions won't get your term p done or help you prepare sufficiently for the upco client presentation. Understanding the role emo play may help you recognize and overcome you dencies. With this advice in mind, get to work!

Adapted from S. Wang, "To Stop Procrastinating, Start by Understanding th Emotions Involved," *The Wall Street Journal*, August 31, 2015, http://www. com/articles/to-stop-procrastinating-start-by-understanding-whats-really-going-on-1441043167.

Emotions as Positive or Negative Reactions to Goal Achievement

You'll notice from the definition you can think of emotions, whether positive, negative, or mixed, in terms of your goals.[89]

- **Positive.** If your goal is to do well in school and you graduate on time and with honors, you are likely to experience positive emotions, such as *joy, gratitude, pride, satisfaction, contentment,* and *relief.* These emotions are positive because they are *congruent* (or consistent) with your goal.
- **Negative.** Negative emotions are triggered by frustration and failure to meet goals. They are said to be goal *incongruent.* Common negative emotions are *anger, fright, anxiety, guilt, shame, sadness, envy, jealousy,* and *disgust.* Which of these are you likely to experience if you fail the final exam in a required course? Failing would be incongruent with your goal of graduating on time with a good GPA. Typically, the more important the goal, the more intense the emotion.
- **Mixed.** Meeting or failing to meet our goals can also generate *mixed* emotions. Let's say you receive a well-earned promotion that brings with it positives–increased responsibility and higher pay–but only if you relocate to another state, which you don't want to do.

p. 112

Prudence: exhaustion, unease, imposter syndrome (self-doubt)

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p. 112

WHAT'S ON THIS PAGE

Positive emotions are goal-congruent, negative are goal-incongruent, mixed; procrastination box.

USE IT IN THE EXAM FOR

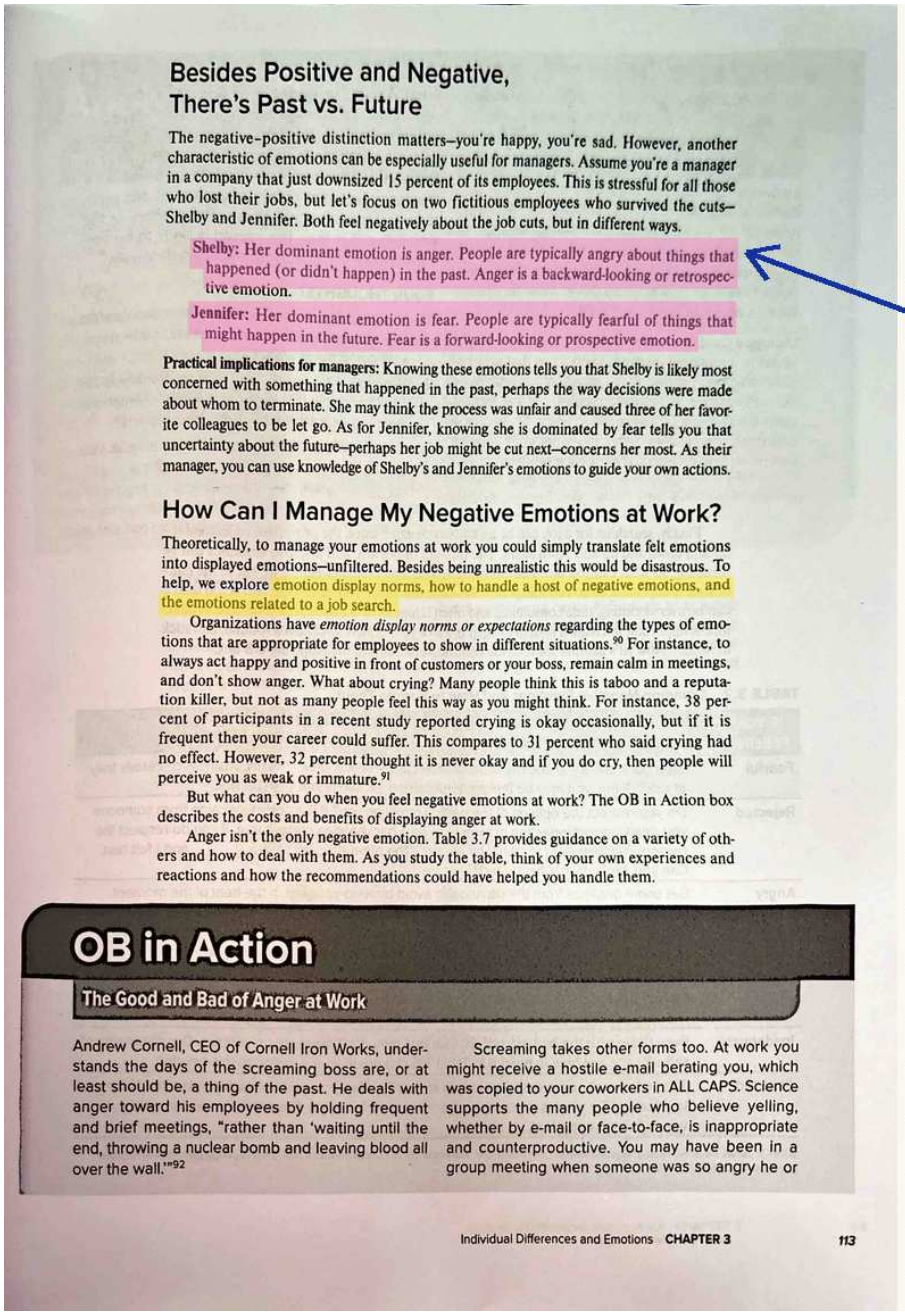
Classify emotions in a case.

WRITE IN THE MARGIN

Prudence: exhaustion, unease, imposter syndrome (self-doubt)

HIGHLIGHT COLOURS ON THIS PAGE

Green = lists & frameworks



Besides Positive and Negative, There's Past vs. Future

The negative–positive distinction matters—you're happy, you're sad. However, another characteristic of emotions can be especially useful for managers. Assume you're a manager in a company that just downsized 15 percent of its employees. This is stressful for all those who lost their jobs, but let's focus on two fictitious employees who survived the cuts—Shelby and Jennifer. Both feel negatively about the job cuts, but in different ways.

Shelby: Her dominant emotion is anger. People are typically angry about things that happened (or didn't happen) in the past. Anger is a backward-looking or retrospective emotion.

Jennifer: Her dominant emotion is fear. People are typically fearful of things that might happen in the future. Fear is a forward-looking or prospective emotion.

Practical implications for managers: Knowing these emotions tells you that Shelby is likely most concerned with something that happened in the past, perhaps the way decisions were made about whom to terminate. She may think the process was unfair and caused three of her favorite colleagues to be let go. As for Jennifer, knowing she is dominated by fear tells you that uncertainty about the future—perhaps her job might be cut next—concerns her most. As their manager, you can use knowledge of Shelby's and Jennifer's emotions to guide your own actions.

How Can I Manage My Negative Emotions at Work?

Theoretically, to manage your emotions at work you could simply translate felt emotions into displayed emotions—unfiltered. Besides being unrealistic this would be disastrous. To help, we explore emotion display norms, how to handle a host of negative emotions, and the emotions related to a job search.

Organizations have *emotion display norms or expectations* regarding the types of emotions that are appropriate for employees to show in different situations.[90] For instance, to always act happy and positive in front of customers or your boss, remain calm in meetings, and don't show anger. What about crying? Many people think this is taboo and a reputation killer, but not as many people feel this way as you might think. For instance, 38 percent of participants in a recent study reported crying is okay occasionally, but if it is frequent then your career could suffer. This compares to 31 percent who said crying had no effect. However, 32 percent thought it is never okay and if you do cry, then people will perceive you as weak or immature.[91]

But what can you do when you feel negative emotions at work? The OB in Action box describes the costs and benefits of displaying anger at work.

Anger isn't the only negative emotion. Table 3.7 provides guidance on a variety of others and how to deal with them. As you study the table, think of your own experiences and reactions and how the recommendations could have helped you handle them.

OB in Action

The Good and Bad of Anger at Work

Andrew Cornell, CEO of Cornell Iron Works, understands the days of the screaming boss are, or at least should be, a thing of the past. He deals with anger toward his employees by holding frequent and brief meetings, "rather than 'waiting until the end, throwing a nuclear bomb and leaving blood all over the wall.'"[92]

Screaming takes other forms too. At work you might receive a hostile e-mail berating you, which was copied to your coworkers in ALL CAPS. Science supports the many people who believe yelling, whether by e-mail or face-to-face, is inappropriate and counterproductive. You may have been in a group meeting when someone was so angry he or

p. 113

Anger -> fix fairness of process
Fear -> reduce uncertainty
(= R3 'anxiety')

write this in the margin

p. 113

WHAT'S ON THIS PAGE

Shelby (anger, backward-looking) vs Jennifer (fear, forward-looking) after downsizing; emotion display norms.

USE IT IN THE EXAM FOR

Emotions after change/layoffs.

WRITE IN THE MARGIN

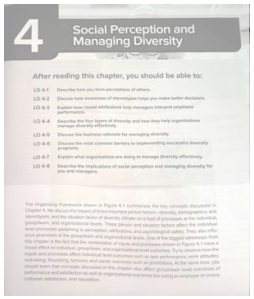
Anger -> fix fairness of process
Fear -> reduce uncertainty
(= R3 'anxiety')

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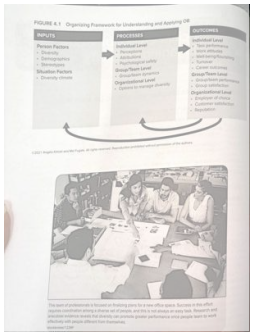
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Pink = Indian / company examples

MAP · Chapter 4 · Social Perception (only pp.125-137)

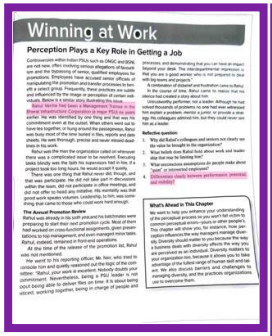
where is what: coloured = annotate · grey = skim/skip



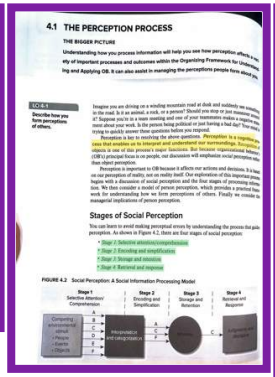
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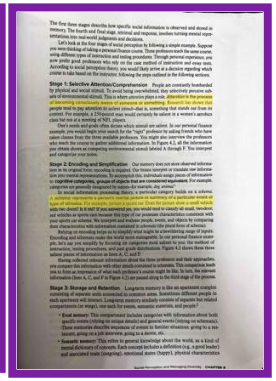
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p. 125
Rahul PSU 125



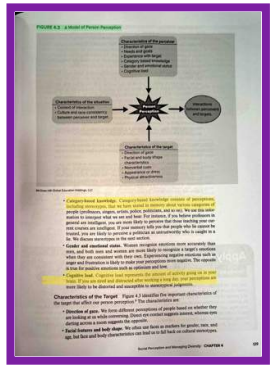
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Perception 126



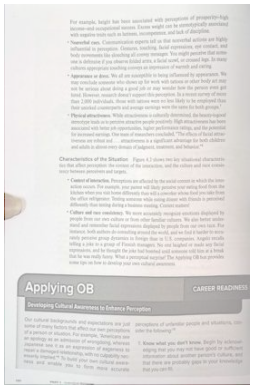
p. 127
Stages 1-2 explained



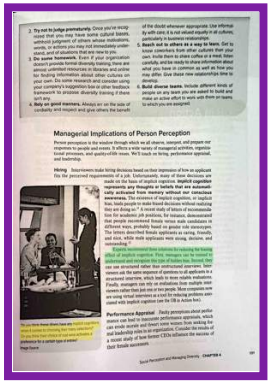
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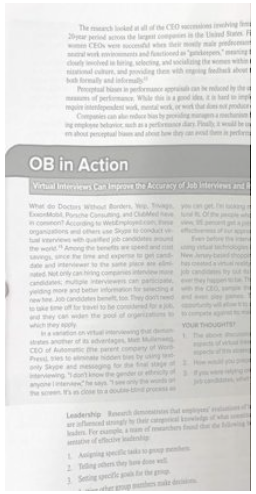
p. 129
Fig 4.3 129



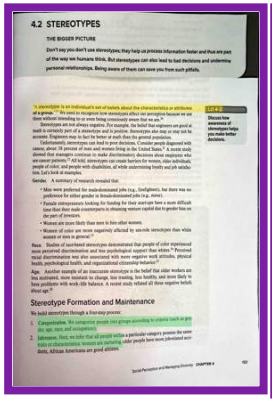
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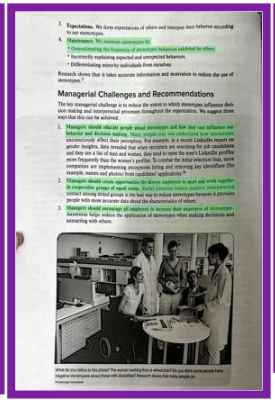
p. 131
Yelp link 131



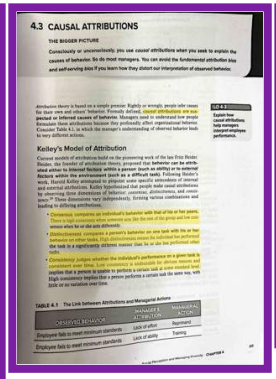
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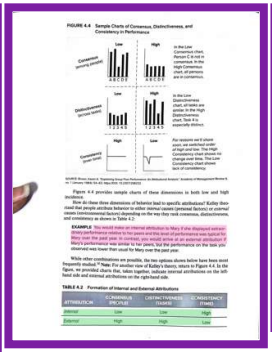
p. 133
Stereotypes 133



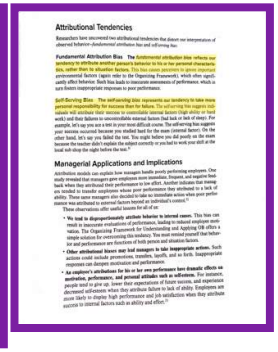
p. 134
Stereotype maintenance



p. 135
Attribution 135

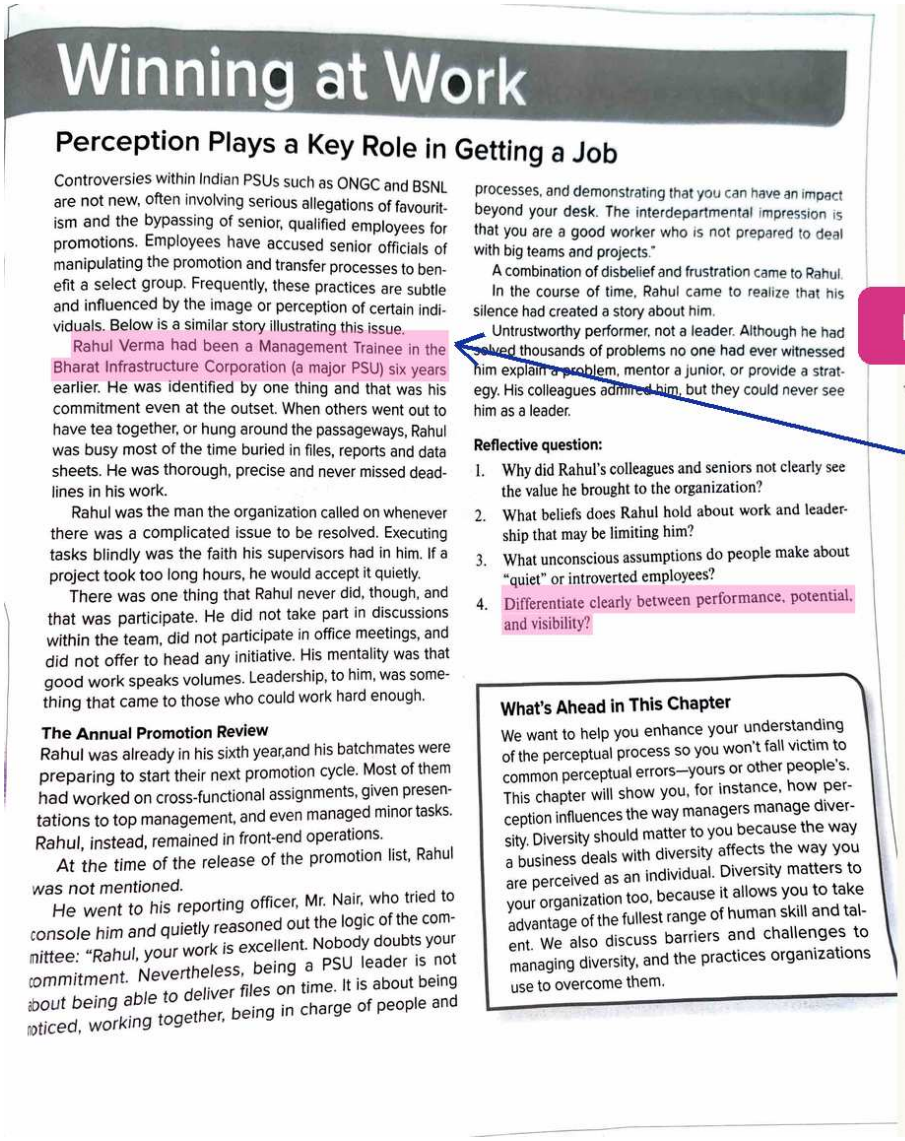


p. 136
TABLE 4.2



p. 137
Fundamental attributi…

p. 125 · Winning at Work: Rahul Verma, Indian PSU



Winning at Work

Perception Plays a Key Role in Getting a Job

Controversies within Indian PSUs such as ONGC and BSNL are not new, often involving serious allegations of favouritism and the bypassing of senior, qualified employees for promotions. Employees have accused senior officials of manipulating the promotion and transfer processes to benefit a select group. Frequently, these practices are subtle and influenced by the image or perception of certain individuals. Below is a similar story illustrating this issue.

Rahul Verma had been a Management Trainee in the Bharat Infrastructure Corporation (a major PSU) six years earlier. He was identified by one thing and that was his commitment even at the outset. When others went out to have tea together, or hung around the passageways, Rahul was busy most of the time buried in files, reports and data sheets. He was thorough, precise and never missed deadlines in his work.

Rahul was the man the organization called on whenever there was a complicated issue to be resolved. Executing tasks blindly was the faith his supervisors had in him. If a project took too long hours, he would accept it quietly.

There was one thing that Rahul never did, though, and that was participate. He did not take part in discussions within the team, did not participate in office meetings, and did not offer to head any initiative. His mentality was that good work speaks volumes. Leadership, to him, was something that came to those who could work hard enough.

The Annual Promotion Review

Rahul was already in his sixth year,and his batchmates were preparing to start their next promotion cycle. Most of them had worked on cross-functional assignments, given presentations to top management, and even managed minor tasks. Rahul, instead, remained in front-end operations.

At the time of the release of the promotion list, Rahul was not mentioned.

He went to his reporting officer, Mr. Nair, who tried to console him and quietly reasoned out the logic of the committee: "Rahul, your work is excellent. Nobody doubts your commitment. Nevertheless, being a PSU leader is not about being able to deliver files on time. It is about being noticed, working together, being in charge of people and processes, and demonstrating that you can have an impact beyond your desk. The interdepartmental impression is that you are a good worker who is not prepared to deal with big teams and projects."

A combination of disbelief and frustration came to Rahul.

In the course of time, Rahul came to realize that his silence had created a story about him.

Untrustworthy performer, not a leader. Although he had solved thousands of problems no one had ever witnessed him explain a problem, mentor a junior, or provide a strategy. His colleagues admired him, but they could never see him as a leader.

Reflective question:

1. Why did Rahul's colleagues and seniors not clearly see the value he brought to the organization?
2. What beliefs does Rahul hold about work and leadership that may be limiting him?
3. What unconscious assumptions do people make about "quiet" or introverted employees?
4. Differentiate clearly between performance, potential, and visibility?

What's Ahead in This Chapter

We want to help you enhance your understanding of the perceptual process so you won't fall victim to common perceptual errors—yours or other people's. This chapter will show you, for instance, how perception influences the way managers manage diversity. Diversity should matter to you because the way a business deals with diversity affects the way you are perceived as an individual. Diversity matters to your organization too, because it allows you to take advantage of the fullest range of human skill and talent. We also discuss barriers and challenges to managing diversity, and the practices organizations use to overcome them.

p. 125

Rahul PSU 125

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Perception: quiet = 'not a leader'
Performance != potential != visibility

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p. 125

WHAT'S ON THIS PAGE

An excellent but invisible employee is passed over for promotion because of how others perceive him.

USE IT IN THE EXAM FOR

Indian perception example.

STICKY TAB

Pink tab, write: **Rahul PSU 125**

WRITE IN THE MARGIN

Perception: quiet = 'not a leader'
Performance != potential != visibility

HIGHLIGHT COLOURS ON THIS PAGE

Pink = Indian / company examples

p. 126 • 4.1 PERCEPTION: definition + 4 stages (Fig 4.2)

4.1 THE PERCEPTION PROCESS

THE BIGGER PICTURE

Understanding how you process information will help you see how perception affects a variety of important processes and outcomes within the Organizing Framework for Understanding and Applying OB. It can also assist in managing the perceptions people form about you.

LO 4-1

Describe how you form perceptions of others.

Imagine you are driving on a winding mountain road at dusk and suddenly see so in the road. Is it an animal, a rock, or a person? Should you stop or just maneuver it? Suppose you're in a team meeting and one of your teammates makes a negati ment about your work. Is the person being political or just having a bad day? Your mind is trying to quickly answer these questions before you respond.

Perception is key to resolving the above questions. ***Perception*** **is a cognitive p cess that enables us to interpret and understand our surroundings.** Recognition of objects is one of this process's major functions. But because organizational behavior's (OB's) principal focus is on people, our discussion will emphasize *social* perception rather than object perception.

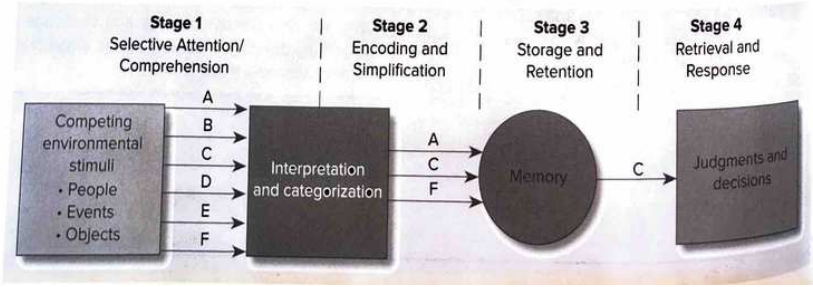
Perception is important to OB because it affects our actions and decisions. It is based on our perception of reality, not on reality itself. Our exploration of this important process begins with a discussion of social perception and the four stages of processing information. We then consider a model of person perception, which provides a practical framework for understanding how we form perceptions of others. Finally we consider the managerial implications of person perception.

Stages of Social Perception

You can learn to avoid making perceptual errors by understanding the process that guides perception. As shown in Figure 4.2, there are four stages of social perception:

- *Stage 1:* Selective attention/comprehension
- *Stage 2:* Encoding and simplification
- *Stage 3:* Storage and retention
- *Stage 4:* Retrieval and response

FIGURE 4.2 Social Perception: A Social Information Processing Model



p. 126

Perception 126

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We act on PERCEPTION of reality, not reality itself

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p. 126

WHAT'S ON THIS PAGE

Perception definition and the 4 stages of social information processing.

USE IT IN THE EXAM FOR

Define perception; list stages.

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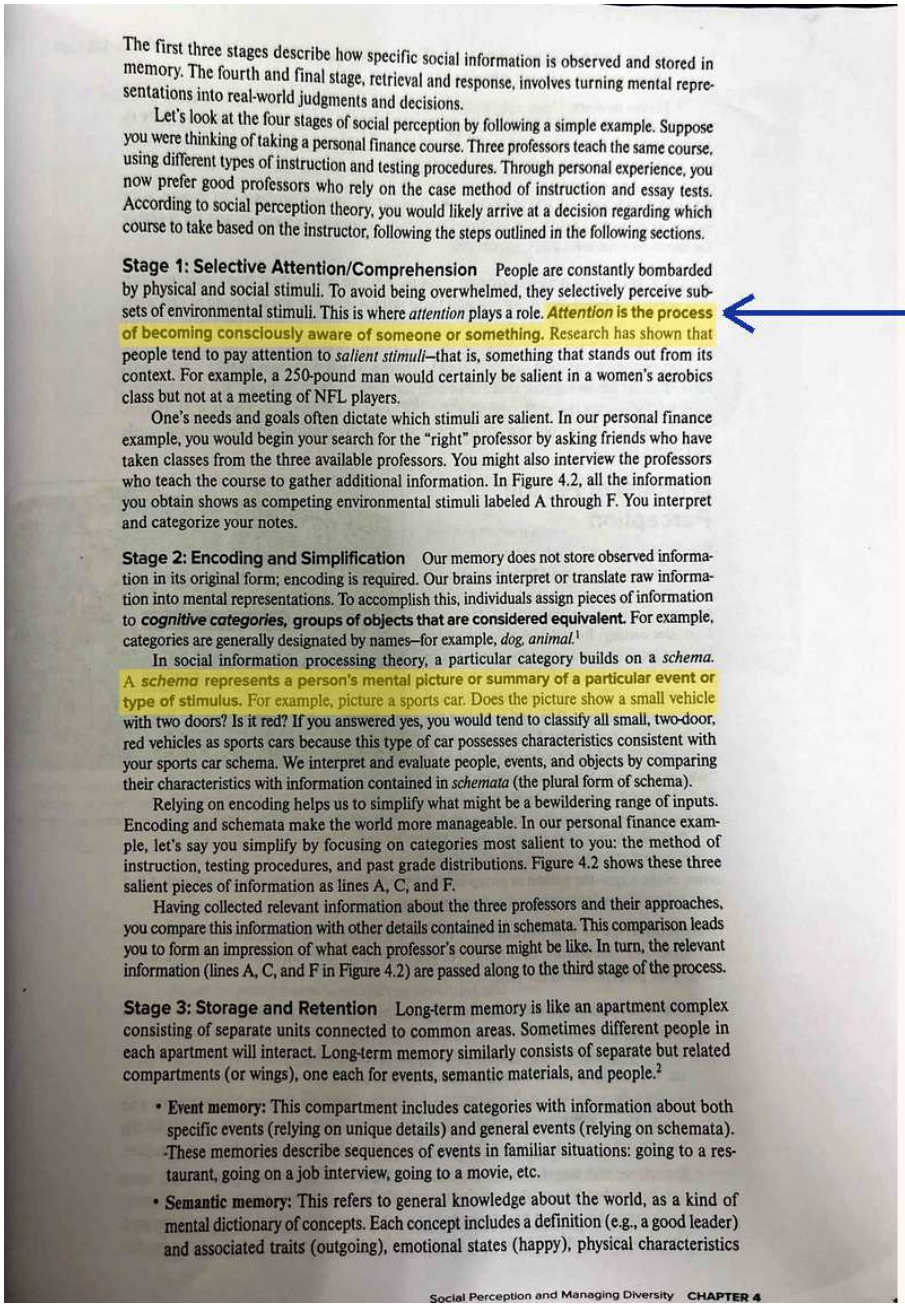
WRITE IN THE MARGIN

We act on PERCEPTION of reality, not reality itself

HIGHLIGHT COLOURS ON THIS PAGE

- Yellow = definitions: exact words to quote
- Green = lists & frameworks

p. 127 · Stages 1-2 explained; SCHEMA



The first three stages describe how specific social information is observed and stored in memory. The fourth and final stage, retrieval and response, involves turning mental representations into real-world judgments and decisions.

Let's look at the four stages of social perception by following a simple example. Suppose you were thinking of taking a personal finance course. Three professors teach the same course, using different types of instruction and testing procedures. Through personal experience, you now prefer good professors who rely on the case method of instruction and essay tests. According to social perception theory, you would likely arrive at a decision regarding which course to take based on the instructor, following the steps outlined in the following sections.

Stage 1: Selective Attention/Comprehension People are constantly bombarded by physical and social stimuli. To avoid being overwhelmed, they selectively perceive subsets of environmental stimuli. This is where *attention* plays a role. ***Attention* is the process of becoming consciously aware of someone or something.** Research has shown that people tend to pay attention to *salient stimuli*—that is, something that stands out from its context. For example, a 250-pound man would certainly be salient in a women's aerobics class but not at a meeting of NFL players.

One's needs and goals often dictate which stimuli are salient. In our personal finance example, you would begin your search for the "right" professor by asking friends who have taken classes from the three available professors. You might also interview the professors who teach the course to gather additional information. In Figure 4.2, all the information you obtain shows as competing environmental stimuli labeled A through F. You interpret and categorize your notes.

Stage 2: Encoding and Simplification Our memory does not store observed information in its original form; encoding is required. Our brains interpret or translate raw information into mental representations. To accomplish this, individuals assign pieces of information to ***cognitive categories*, groups of objects that are considered equivalent.** For example, categories are generally designated by names—for example, *dog, animal.*[1]

In social information processing theory, a particular category builds on a *schema.* **A *schema* represents a person's mental picture or summary of a particular event or type of stimulus.** For example, picture a sports car. Does the picture show a small vehicle with two doors? Is it red? If you answered yes, you would tend to classify all small, two-door, red vehicles as sports cars because this type of car possesses characteristics consistent with your sports car schema. We interpret and evaluate people, events, and objects by comparing their characteristics with information contained in *schemata* (the plural form of schema).

Relying on encoding helps us to simplify what might be a bewildering range of inputs. Encoding and schemata make the world more manageable. In our personal finance example, let's say you simplify by focusing on categories most salient to you: the method of instruction, testing procedures, and past grade distributions. Figure 4.2 shows these three salient pieces of information as lines A, C, and F.

Having collected relevant information about the three professors and their approaches, you compare this information with other details contained in schemata. This comparison leads you to form an impression of what each professor's course might be like. In turn, the relevant information (lines A, C, and F in Figure 4.2) are passed along to the third stage of the process.

Stage 3: Storage and Retention Long-term memory is like an apartment complex consisting of separate units connected to common areas. Sometimes different people in each apartment will interact. Long-term memory similarly consists of separate but related compartments (or wings), one each for events, semantic materials, and people.[2]

- **Event memory:** This compartment includes categories with information about both specific events (relying on unique details) and general events (relying on schemata). These memories describe sequences of events in familiar situations: going to a restaurant, going on a job interview, going to a movie, etc.
- **Semantic memory:** This refers to general knowledge about the world, as a kind of mental dictionary of concepts. Each concept includes a definition (e.g., a good leader) and associated traits (outgoing), emotional states (happy), physical characteristics

p. 127

Schema = mental picture (red 2-door = sports car)

write this in the margin

p. 127

WHAT'S ON THIS PAGE

Selective attention and salient stimuli; encoding into categories and schemas.

USE IT IN THE EXAM FOR

Define schema/salience.

WRITE IN THE MARGIN

Schema = mental picture
(red 2-door = sports car)

HIGHLIGHT COLOURS ON THIS PAGE

Yellow = definitions: exact words to quote

p. 129 · FIGURE 4.3 Model of person perception

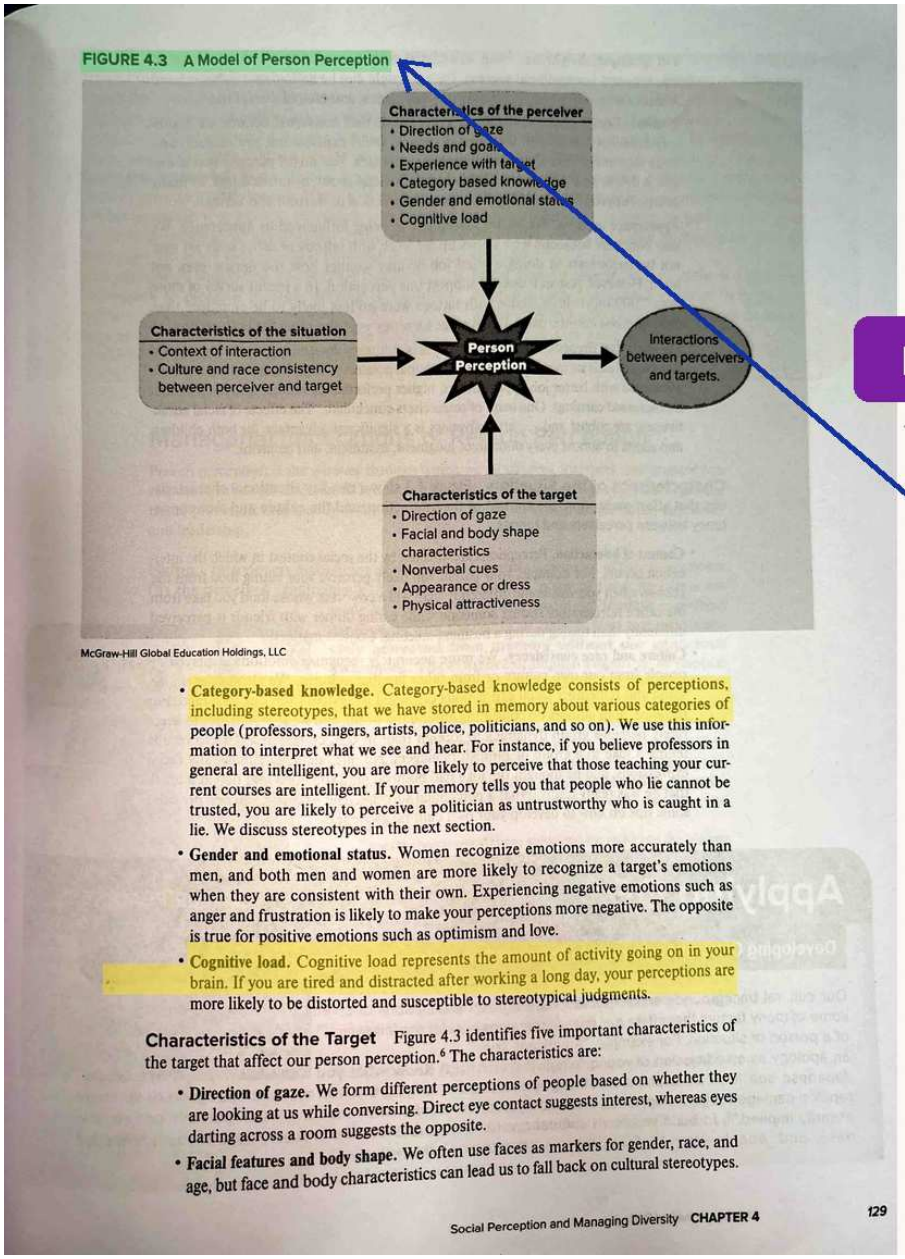


FIGURE 4.3 A Model of Person Perception

McGraw-Hill Global Education Holdings, LLC

• **Category-based knowledge.** Category-based knowledge consists of perceptions, including stereotypes, that we have stored in memory about various categories of people (professors, singers, artists, police, politicians, and so on). We use this information to interpret what we see and hear. For instance, if you believe professors in general are intelligent, you are more likely to perceive that those teaching your current courses are intelligent. If your memory tells you that people who lie cannot be trusted, you are likely to perceive a politician as untrustworthy who is caught in a lie. We discuss stereotypes in the next section.

• **Gender and emotional status.** Women recognize emotions more accurately than men, and both men and women are more likely to recognize a target's emotions when they are consistent with their own. Experiencing negative emotions such as anger and frustration is likely to make your perceptions more negative. The opposite is true for positive emotions such as optimism and love.

• **Cognitive load.** Cognitive load represents the amount of activity going on in your brain. If you are tired and distracted after working a long day, your perceptions are more likely to be distorted and susceptible to stereotypical judgments.

Characteristics of the Target Figure 4.3 identifies five important characteristics of the target that affect our person perception.[6] The characteristics are:

• **Direction of gaze.** We form different perceptions of people based on whether they are looking at us while conversing. Direct eye contact suggests interest, whereas eyes darting across a room suggests the opposite.

• **Facial features and body shape.** We often use faces as markers for gender, race, and age, but face and body characteristics can lead us to fall back on cultural stereotypes.

p. 129

Fig 4.3 129

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Perceiver 6 / target 5 / situation 2 characteristics

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p. 129

WHAT'S ON THIS PAGE

Perceiver (6), target (5) and situation (2) characteristics that shape how we see people.

USE IT IN THE EXAM FOR

Explain why two people see the same employee differently.

STICKY TAB

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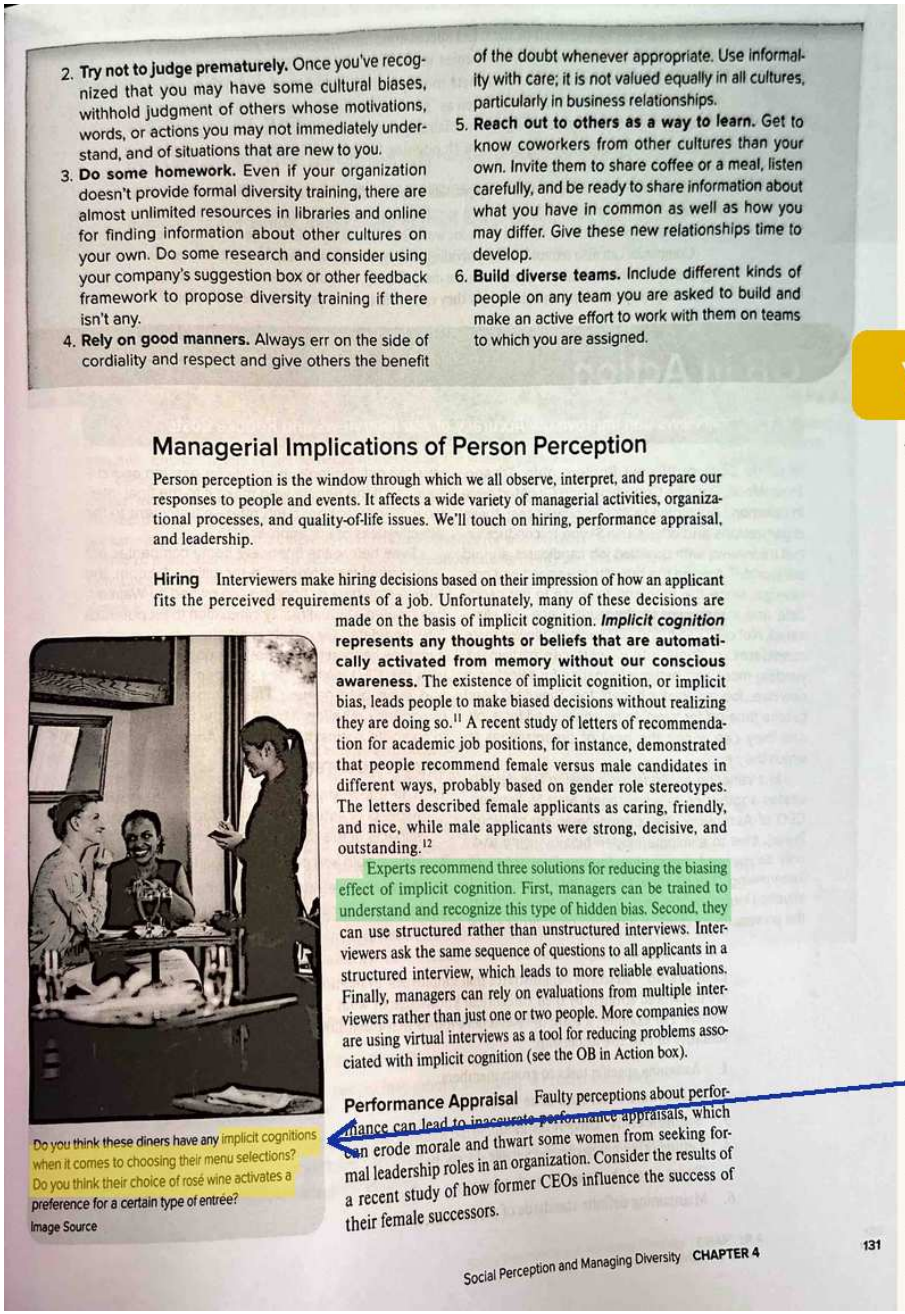
Perceiver 6 / target 5 / situation 2 characteristics

HIGHLIGHT COLOURS ON THIS PAGE

Yellow = definitions: exact words to quote

Green = lists & frameworks

p. 131 · Hiring & IMPLICIT COGNITION



2. **Try not to judge prematurely.** Once you've recognized that you may have some cultural biases, withhold judgment of others whose motivations, words, or actions you may not immediately understand, and of situations that are new to you.
3. **Do some homework.** Even if your organization doesn't provide formal diversity training, there are almost unlimited resources in libraries and online for finding information about other cultures on your own. Do some research and consider using your company's suggestion box or other feedback framework to propose diversity training if there isn't any.
4. **Rely on good manners.** Always err on the side of cordiality and respect and give others the benefit of the doubt whenever appropriate. Use informality with care; it is not valued equally in all cultures, particularly in business relationships.
5. **Reach out to others as a way to learn.** Get to know coworkers from other cultures than your own. Invite them to share coffee or a meal, listen carefully, and be ready to share information about what you have in common as well as how you may differ. Give these new relationships time to develop.
6. **Build diverse teams.** Include different kinds of people on any team you are asked to build and make an active effort to work with them on teams to which you are assigned.

Managerial Implications of Person Perception

Person perception is the window through which we all observe, interpret, and prepare our responses to people and events. It affects a wide variety of managerial activities, organizational processes, and quality-of-life issues. We'll touch on hiring, performance appraisal, and leadership.

Hiring Interviewers make hiring decisions based on their impression of how an applicant fits the perceived requirements of a job. Unfortunately, many of these decisions are made on the basis of implicit cognition. ***Implicit cognition*** **represents any thoughts or beliefs that are automatically activated from memory without our conscious awareness.** The existence of implicit cognition, or implicit bias, leads people to make biased decisions without realizing they are doing so.[11] A recent study of letters of recommendation for academic job positions, for instance, demonstrated that people recommend female versus male candidates in different ways, probably based on gender role stereotypes. The letters described female applicants as caring, friendly, and nice, while male applicants were strong, decisive, and outstanding.[12]

Experts recommend three solutions for reducing the biasing effect of implicit cognition. First, managers can be trained to understand and recognize this type of hidden bias. Second, they can use structured rather than unstructured interviews. Interviewers ask the same sequence of questions to all applicants in a structured interview, which leads to more reliable evaluations. Finally, managers can rely on evaluations from multiple interviewers rather than just one or two people. More companies now are using virtual interviews as a tool for reducing problems associated with implicit cognition (see the OB in Action box).

Do you think these diners have any implicit cognitions when it comes to choosing their menu selections? Do you think their choice of rosé wine activates a preference for a certain type of entrée?
Image Source

Performance Appraisal Faulty perceptions about performance can lead to inaccurate performance appraisals, which can erode morale and thwart some women from seeking formal leadership roles in an organization. Consider the results of a recent study of how former CEOs influence the success of their female successors.

p. 131

Yelp link 131

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YELP: audio screen reveals gender, 'culture fit' onsite, Stoppelgangers -> structured interviews, blind CVs

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p. 131

WHAT'S ON THIS PAGE

Implicit cognition (hidden bias) in hiring and three ways to reduce it.

USE IT IN THE EXAM FOR

Core page for the Yelp case.

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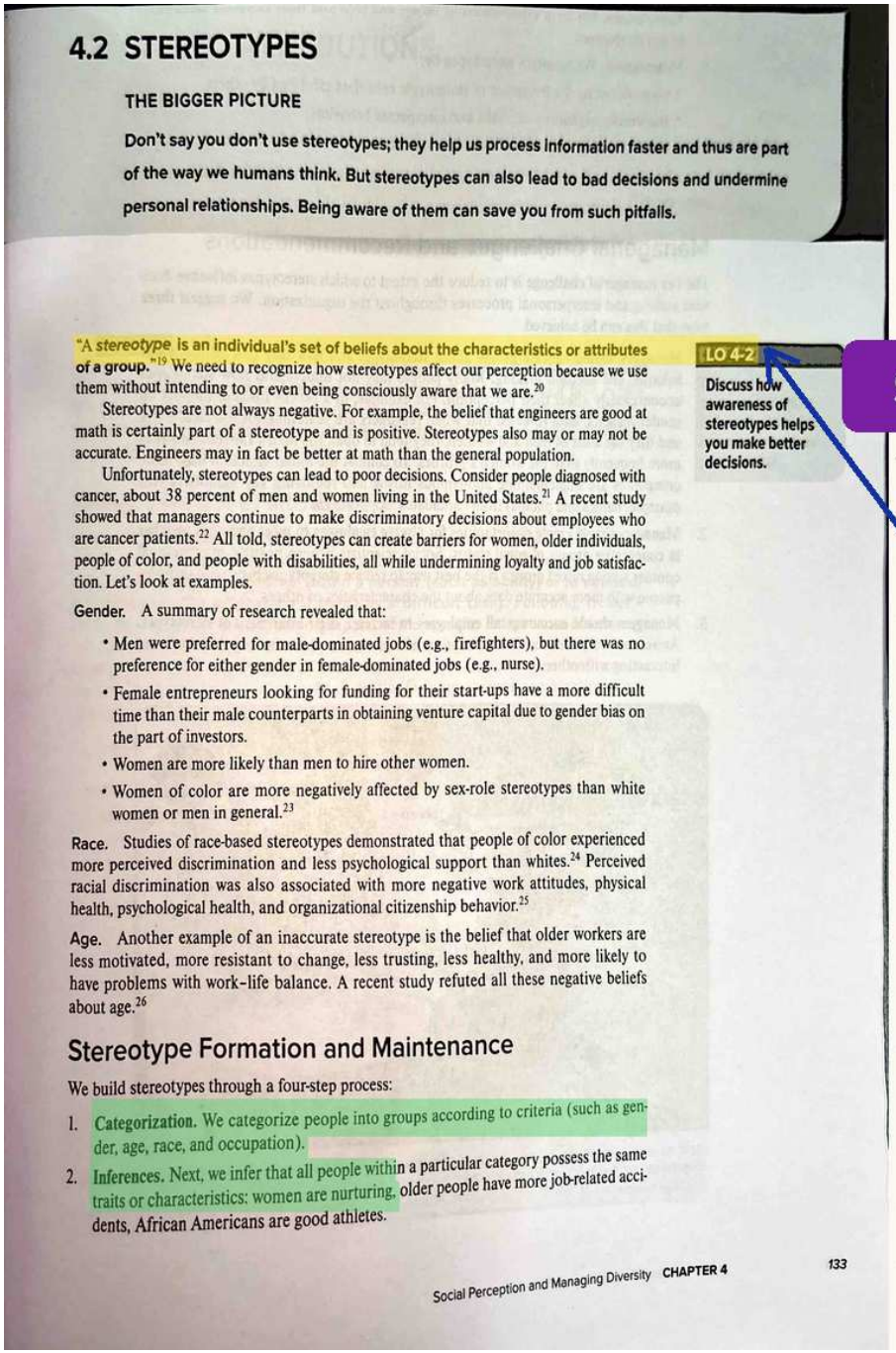
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YELP: audio screen reveals gender, 'culture fit' onsite, Stoppelgangers -> structured interviews, blind CVs

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- Yellow = definitions: exact words to quote
- Green = lists & frameworks



4.2 STEREOTYPES

THE BIGGER PICTURE

Don't say you don't use stereotypes; they help us process information faster and thus are part of the way we humans think. But stereotypes can also lead to bad decisions and undermine personal relationships. Being aware of them can save you from such pitfalls.

"A *stereotype* is an individual's set of beliefs about the characteristics or attributes of a group."[19] We need to recognize how stereotypes affect our perception because we use them without intending to or even being consciously aware that we are.[20]

Stereotypes are not always negative. For example, the belief that engineers are good at math is certainly part of a stereotype and is positive. Stereotypes also may or may not be accurate. Engineers may in fact be better at math than the general population.

Unfortunately, stereotypes can lead to poor decisions. Consider people diagnosed with cancer, about 38 percent of men and women living in the United States.[21] A recent study showed that managers continue to make discriminatory decisions about employees who are cancer patients.[22] All told, stereotypes can create barriers for women, older individuals, people of color, and people with disabilities, all while undermining loyalty and job satisfaction. Let's look at examples.

LO 4-2 Discuss how awareness of stereotypes helps you make better decisions.

Gender. A summary of research revealed that:

- Men were preferred for male-dominated jobs (e.g., firefighters), but there was no preference for either gender in female-dominated jobs (e.g., nurse).
- Female entrepreneurs looking for funding for their start-ups have a more difficult time than their male counterparts in obtaining venture capital due to gender bias on the part of investors.
- Women are more likely than men to hire other women.
- Women of color are more negatively affected by sex-role stereotypes than white women or men in general.[23]

Race. Studies of race-based stereotypes demonstrated that people of color experienced more perceived discrimination and less psychological support than whites.[24] Perceived racial discrimination was also associated with more negative work attitudes, physical health, psychological health, and organizational citizenship behavior.[25]

Age. Another example of an inaccurate stereotype is the belief that older workers are less motivated, more resistant to change, less trusting, less healthy, and more likely to have problems with work–life balance. A recent study refuted all these negative beliefs about age.[26]

Stereotype Formation and Maintenance

We build stereotypes through a four-step process:

1. **Categorization.** We categorize people into groups according to criteria (such as gender, age, race, and occupation).
2. **Inferences.** Next, we infer that all people within a particular category possess the same traits or characteristics: women are nurturing, older people have more job-related accidents, African Americans are good athletes.

Social Perception and Managing Diversity CHAPTER 4 133

p. 133

Stereotypes 133

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Prudence: double bind, motherhood penalty, queen bee = gender stereotypes

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p. 133

WHAT'S ON THIS PAGE

Stereotype definition; gender, race and age stereotypes; the 4-step formation process.

USE IT IN THE EXAM FOR

Prudence & Yelp.

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WRITE IN THE MARGIN

Prudence: double bind, motherhood penalty, queen bee = gender stereotypes

HIGHLIGHT COLOURS ON THIS PAGE

- Yellow = definitions: exact words to quote
- Green = lists & frameworks

3. **Expectations.** We form expectations of others and interpret their behavior according to our stereotypes.
4. **Maintenance.** We maintain stereotypes by:
   - Overestimating the frequency of stereotypic behaviors exhibited by others.
   - Incorrectly explaining expected and unexpected behaviors.
   - Differentiating minority individuals from ourselves.

Research shows that it takes accurate information and motivation to reduce the use of stereotypes.[27]

Managerial Challenges and Recommendations

The key managerial challenge is to reduce the extent to which stereotypes influence decision making and interpersonal processes throughout the organization. We suggest three ways that this can be achieved.

1. **Managers should educate people about stereotypes and how they can influence our behavior and decision making.** Many people may not understand how stereotypes unconsciously affect their perception. For example, in a recent LinkedIn report on gender insights, data revealed that when recruiters are searching for job candidates and they see a list of men and women, they tend to open the men's LinkedIn profiles more frequently than the women's profiles. To combat the initial selection bias, more companies are implementing anonymous hiring and removing key identifiers (for example, names and photos) from candidates' applications.[28]
2. **Managers should create opportunities for diverse employees to meet and work together in cooperative groups of equal status.** Social scientists believe positive interpersonal contact among mixed groups is the best way to reduce stereotypes because it provides people with more accurate data about the characteristics of others.
3. **Managers should encourage all employees to increase their awareness of stereotypes.** Awareness helps reduce the application of stereotypes when making decisions and interacting with others.



What do you notice in this photo? The woman working from a wheelchair? Do you think some people have negative stereotypes about those with disabilities? Research shows that many people do.

Pixtal/age fotostock

p. 134

LinkedIn: recruiters open men's profiles more -> anonymous hiring

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p. 134

WHAT'S ON THIS PAGE

How stereotypes are maintained and three recommendations (educate, cooperative equal-status contact, awareness).

USE IT IN THE EXAM FOR

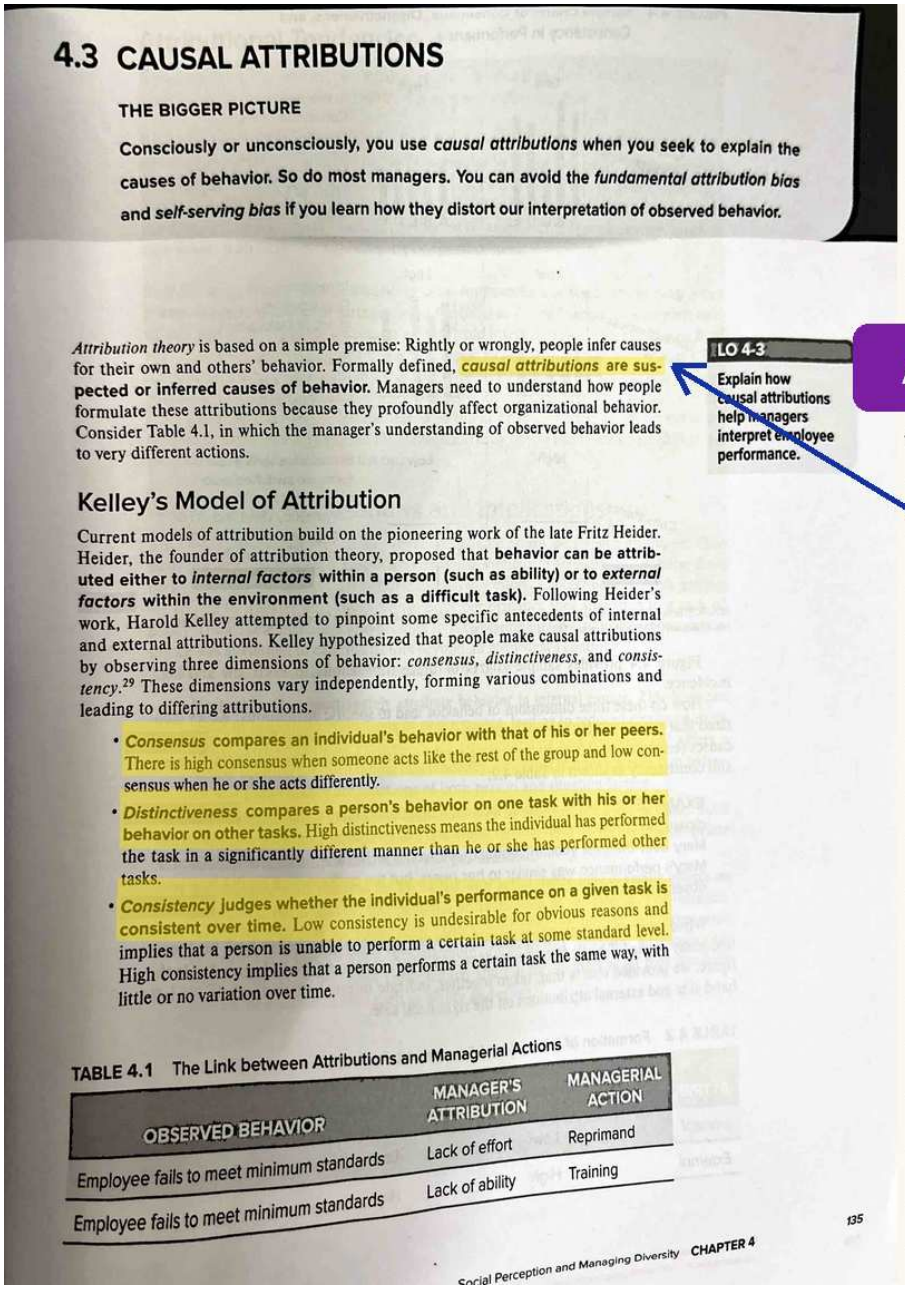
Recommendations for bias problems.

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LinkedIn: recruiters open men's profiles more -> anonymous hiring

HIGHLIGHT COLOURS ON THIS PAGE

Green = lists & frameworks



4.3 CAUSAL ATTRIBUTIONS

THE BIGGER PICTURE

Consciously or unconsciously, you use *causal attributions* when you seek to explain the causes of behavior. So do most managers. You can avoid the *fundamental attribution bias* and *self-serving bias* if you learn how they distort our interpretation of observed behavior.

Attribution theory is based on a simple premise: Rightly or wrongly, people infer causes for their own and others' behavior. Formally defined, ***causal attributions* are suspected or inferred causes of behavior.** Managers need to understand how people formulate these attributions because they profoundly affect organizational behavior. Consider Table 4.1, in which the manager's understanding of observed behavior leads to very different actions.

LO 4-3 Explain how causal attributions help managers interpret employee performance.

Kelley's Model of Attribution

Current models of attribution build on the pioneering work of the late Fritz Heider. Heider, the founder of attribution theory, proposed that **behavior can be attributed either to *internal factors* within a person (such as ability) or to *external factors* within the environment (such as a difficult task).** Following Heider's work, Harold Kelley attempted to pinpoint some specific antecedents of internal and external attributions. Kelley hypothesized that people make causal attributions by observing three dimensions of behavior: *consensus*, *distinctiveness*, and *consistency*.[29] These dimensions vary independently, forming various combinations and leading to differing attributions.

- ***Consensus* compares an individual's behavior with that of his or her peers.** There is high consensus when someone acts like the rest of the group and low consensus when he or she acts differently.
- ***Distinctiveness* compares a person's behavior on one task with his or her behavior on other tasks.** High distinctiveness means the individual has performed the task in a significantly different manner than he or she has performed other tasks.
- ***Consistency* judges whether the individual's performance on a given task is consistent over time.** Low consistency is undesirable for obvious reasons and implies that a person is unable to perform a certain task at some standard level. High consistency implies that a person performs a certain task the same way, with little or no variation over time.

TABLE 4.1 The Link between Attributions and Managerial Actions

OBSERVED BEHAVIOR	MANAGER'S ATTRIBUTION	MANAGERIAL ACTION
Employee fails to meet minimum standards	Lack of effort	Reprimand
Employee fails to meet minimum standards	Lack of ability	Training

p. 135

Attribution 135

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R3: calling resistance 'knee-jerk' = blaming the PERSON (FAE)

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p. 135

WHAT'S ON THIS PAGE

Attribution definition; Heider internal vs external; Kelley's consensus, distinctiveness, consistency.

USE IT IN THE EXAM FOR

Kelley's model.

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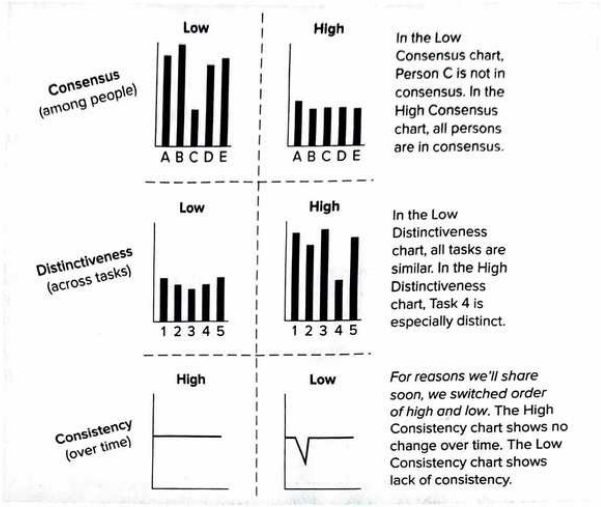
R3: calling resistance 'knee-jerk' = blaming the PERSON (FAE)

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Yellow = definitions: exact words to quote

p. 136 • TABLE 4.2: internal vs external attributions

FIGURE 4.4 Sample Charts of Consensus, Distinctiveness, and Consistency in Performance



SOURCE: Brown, Karen A. "Explaining Group Poor Performance: An Attributional Analysis." *Academy of Management Review* 9, no. 1 (January 1984): 54–63. https://DOI: 10.2307/258232.

Figure 4.4 provides sample charts of these dimensions in both low and high incidence.

How do these three dimensions of behavior lead to specific attributions? Kelley theorized that people attribute behavior to either *internal* causes (personal factors) or *external* causes (environmental factors) depending on the way they rank consensus, distinctiveness, and consistency as shown in Table 4.2:

EXAMPLE You would make an internal attribution to Mary if she displayed extraordinary performance relative to her peers and this level of performance was typical for Mary over the past year. In contrast, you would arrive at an external attribution if Mary's performance was similar to her peers, but the performance on the task you observed was lower than usual for Mary over the past year.

While other combinations are possible, the two options shown below have been most frequently studied.[30] **Note:** For another view of Kelley's theory, return to Figure 4.4. In the figure, we provided charts that, taken together, indicate internal attributions on the left-hand side and external attributions on the right-hand side.

TABLE 4.2 Formation of Internal and External Attributions

ATTRIBUTION	CONSENSUS (PEOPLE)	DISTINCTIVENESS (TASKS)	CONSISTENCY (TIME)
Internal	Low	Low	High
External	High	High	Low

p. 136

INTERNAL = Low, Low, High
EXTERNAL = High, High, Low

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p. 136

WHAT'S ON THIS PAGE

Mary example; Table 4.2: internal = low consensus, low distinctiveness, high consistency.

USE IT IN THE EXAM FOR

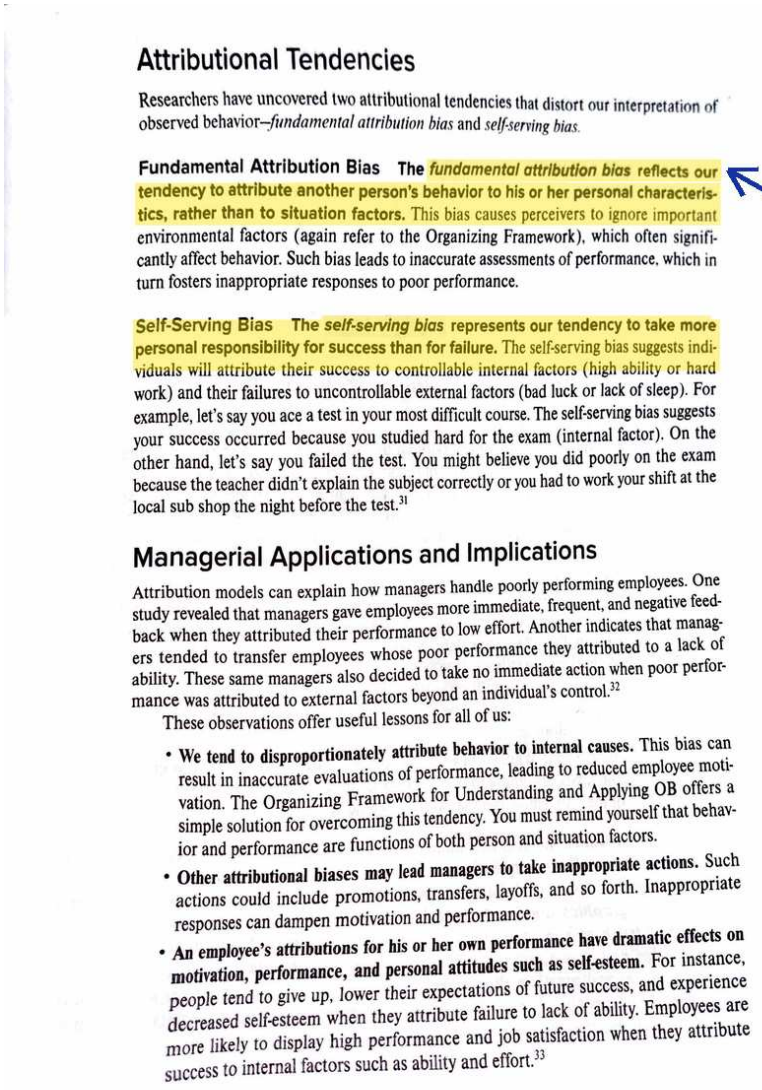
Solve attribution scenarios.

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INTERNAL = Low, Low, High
EXTERNAL = High, High, Low

HIGHLIGHT COLOURS ON THIS PAGE

- Green = lists & frameworks
- Pink = Indian / company examples



Attributional Tendencies

Researchers have uncovered two attributional tendencies that distort our interpretation of observed behavior—*fundamental attribution bias* and *self-serving bias*.

Fundamental Attribution Bias **The *fundamental attribution bias* reflects our tendency to attribute another person's behavior to his or her personal characteristics, rather than to situation factors.** This bias causes perceivers to ignore important environmental factors (again refer to the Organizing Framework), which often significantly affect behavior. Such bias leads to inaccurate assessments of performance, which in turn fosters inappropriate responses to poor performance.

Self-Serving Bias **The *self-serving bias* represents our tendency to take more personal responsibility for success than for failure.** The self-serving bias suggests individuals will attribute their success to controllable internal factors (high ability or hard work) and their failures to uncontrollable external factors (bad luck or lack of sleep). For example, let's say you ace a test in your most difficult course. The self-serving bias suggests your success occurred because you studied hard for the exam (internal factor). On the other hand, let's say you failed the test. You might believe you did poorly on the exam because the teacher didn't explain the subject correctly or you had to work your shift at the local sub shop the night before the test.[31]

Managerial Applications and Implications

Attribution models can explain how managers handle poorly performing employees. One study revealed that managers gave employees more immediate, frequent, and negative feedback when they attributed their performance to low effort. Another indicates that managers tended to transfer employees whose poor performance they attributed to a lack of ability. These same managers also decided to take no immediate action when poor performance was attributed to external factors beyond an individual's control.[32]

These observations offer useful lessons for all of us:

- **We tend to disproportionately attribute behavior to internal causes.** This bias can result in inaccurate evaluations of performance, leading to reduced employee motivation. The Organizing Framework for Understanding and Applying OB offers a simple solution for overcoming this tendency. You must remind yourself that behavior and performance are functions of both person and situation factors.
- **Other attributional biases may lead managers to take inappropriate actions.** Such actions could include promotions, transfers, layoffs, and so forth. Inappropriate responses can dampen motivation and performance.
- **An employee's attributions for his or her own performance have dramatic effects on motivation, performance, and personal attitudes such as self-esteem.** For instance, people tend to give up, lower their expectations of future success, and experience decreased self-esteem when they attribute failure to lack of ability. Employees are more likely to display high performance and job satisfaction when they attribute success to internal factors such as ability and effort.[33]

p. 137

Kalanick blames drivers (FAE)
Prudence's boss: 'low commitment' (FAE)

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p. 137

WHAT'S ON THIS PAGE

The two attribution biases and lessons for managers dealing with poor performers.

USE IT IN THE EXAM FOR

Bias in judging employees.

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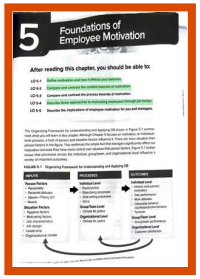
Kalanick blames drivers (FAE)
Prudence's boss: 'low commitment' (FAE)

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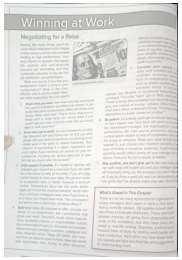
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MAP • Chapter 5 • Foundations of Employee Motivation

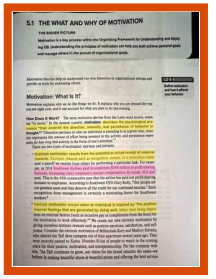
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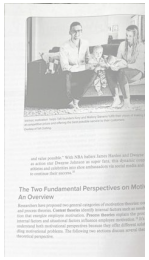
p. 165
M4 opener



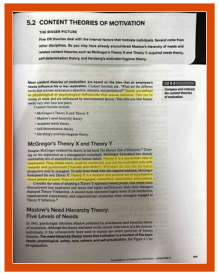
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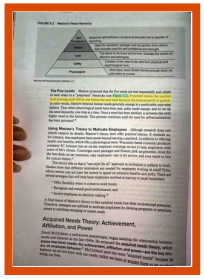
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Motivation 167



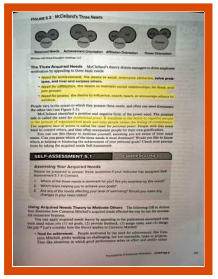
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p. 169
Content 169



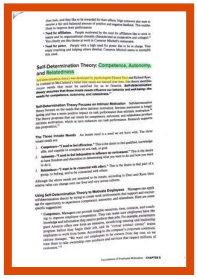
p. 170
MASLOW's need ...



p. 171
McCLELLAND's 3...



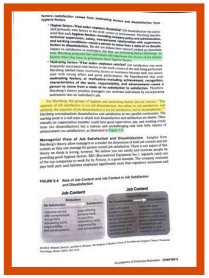
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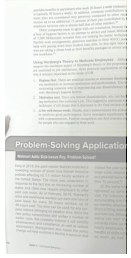
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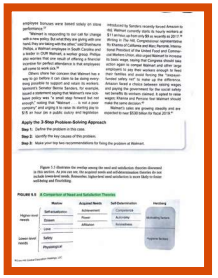
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Herzberg 174



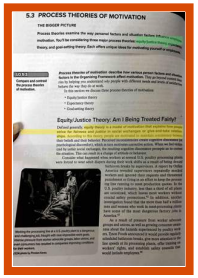
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Hygiene factor...



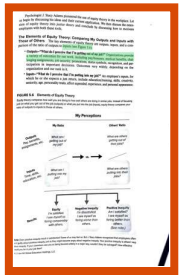
p. 176
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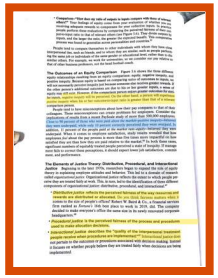
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FIGURE 5.5 Com...



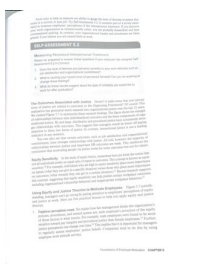
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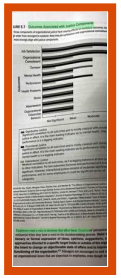
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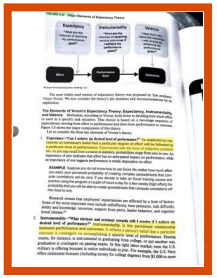
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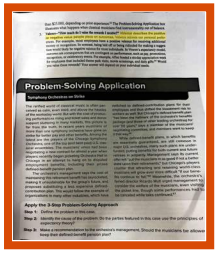
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Figure 5.7 jus...



p. 183
Expectancy 183



p. 184
FIGURE 5.8 Exp...



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VALENCE



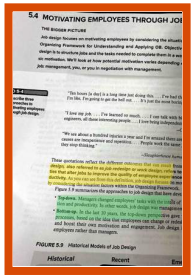
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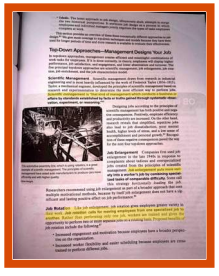
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Goals 188



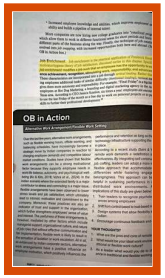
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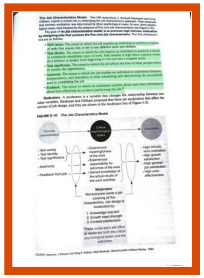
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Job design 190



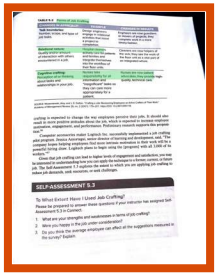
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Scientific mgmt



p. 192
Job ENRICHMENT...



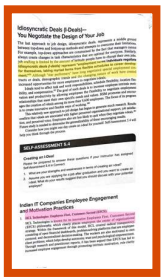
p. 193
JCM 193



p. 195
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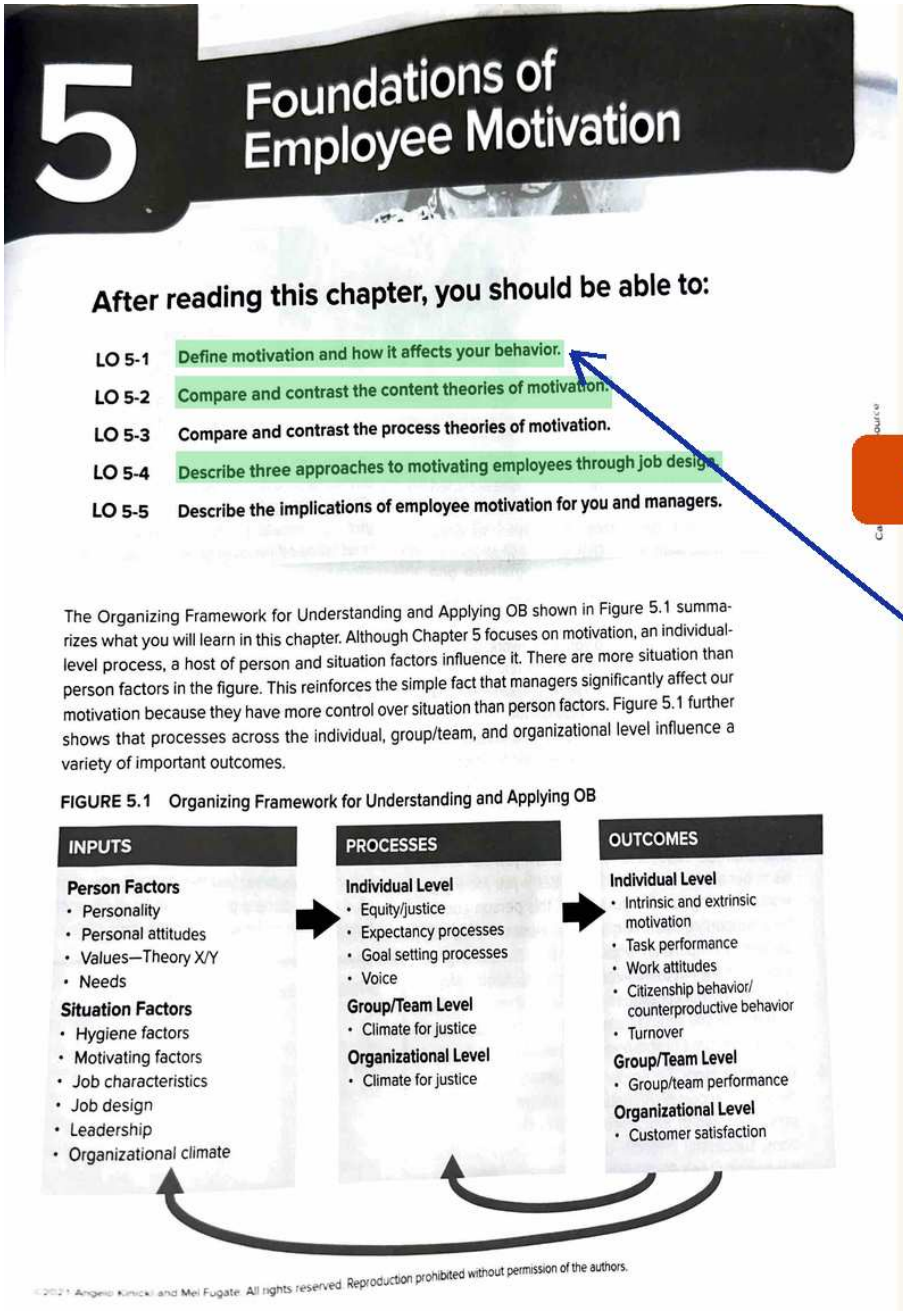


p. 194
JCM in practice



p. 196
i-deals/HCL 196

p. 165 · Chapter 5 opener: Motivation (Figure 5.1)



5 Foundations of Employee Motivation

After reading this chapter, you should be able to:

- LO 5-1 Define motivation and how it affects your behavior.
- LO 5-2 Compare and contrast the content theories of motivation.
- LO 5-3 Compare and contrast the process theories of motivation.
- LO 5-4 Describe three approaches to motivating employees through job design.
- LO 5-5 Describe the implications of employee motivation for you and managers.

The Organizing Framework for Understanding and Applying OB shown in Figure 5.1 summarizes what you will learn in this chapter. Although Chapter 5 focuses on motivation, an individual-level process, a host of person and situation factors influence it. There are more situation than person factors in the figure. This reinforces the simple fact that managers significantly affect our motivation because they have more control over situation than person factors. Figure 5.1 further shows that processes across the individual, group/team, and organizational level influence a variety of important outcomes.

FIGURE 5.1 Organizing Framework for Understanding and Applying OB

INPUTS	PROCESSES	OUTCOMES
Person Factors • Personality • Personal attitudes • Values—Theory X/Y • Needs **Situation Factors** • Hygiene factors • Motivating factors • Job characteristics • Job design • Leadership • Organizational climate	**Individual Level** • Equity/justice • Expectancy processes • Goal setting processes • Voice **Group/Team Level** • Climate for justice **Organizational Level** • Climate for justice	**Individual Level** • Intrinsic and extrinsic motivation • Task performance • Work attitudes • Citizenship behavior/ counterproductive behavior • Turnover **Group/Team Level** • Group/team performance **Organizational Level** • Customer satisfaction

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p. 165

M4 start

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M4 = Ch 5 + ORIX (Case 5)
+ Motivation PPT
Orix notes on p.198-204

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p. 165

WHAT'S ON THIS PAGE

Learning objectives LO 5-1 to 5-5 and the Organizing Framework for motivation.

USE IT IN THE EXAM FOR

Module 4 entry point.

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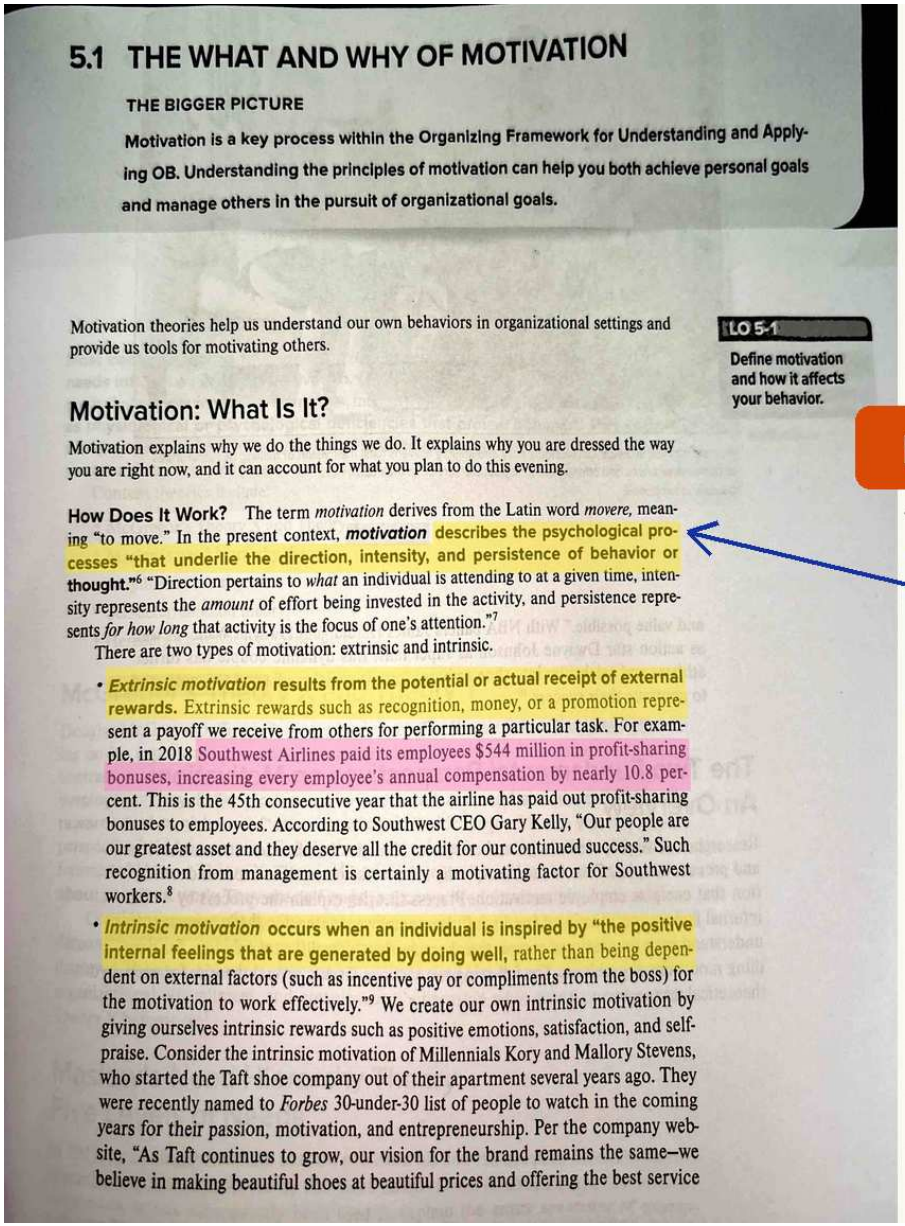
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p. 167 · 5.1 MOTIVATION definition; extrinsic vs intrinsic



5.1 THE WHAT AND WHY OF MOTIVATION

THE BIGGER PICTURE

Motivation is a key process within the Organizing Framework for Understanding and Applying OB. Understanding the principles of motivation can help you both achieve personal goals and manage others in the pursuit of organizational goals.

Motivation theories help us understand our own behaviors in organizational settings and provide us tools for motivating others.

LO 5-1 Define motivation and how it affects your behavior.

Motivation: What Is It?

Motivation explains why we do the things we do. It explains why you are dressed the way you are right now, and it can account for what you plan to do this evening.

How Does It Work? The term *motivation* derives from the Latin word *movere,* meaning "to move." In the present context, ***motivation*** **describes the psychological processes "that underlie the direction, intensity, and persistence of behavior or thought."**[6] "Direction pertains to *what* an individual is attending to at a given time, intensity represents the *amount* of effort being invested in the activity, and persistence represents *for how long* that activity is the focus of one's attention."[7]

There are two types of motivation: extrinsic and intrinsic.

- ***Extrinsic motivation*** **results from the potential or actual receipt of external rewards.** Extrinsic rewards such as recognition, money, or a promotion represent a payoff we receive from others for performing a particular task. For example, in 2018 Southwest Airlines paid its employees $544 million in profit-sharing bonuses, increasing every employee's annual compensation by nearly 10.8 percent. This is the 45th consecutive year that the airline has paid out profit-sharing bonuses to employees. According to Southwest CEO Gary Kelly, "Our people are our greatest asset and they deserve all the credit for our continued success." Such recognition from management is certainly a motivating factor for Southwest workers.[8]
- ***Intrinsic motivation*** **occurs when an individual is inspired by "the positive internal feelings that are generated by doing well,** rather than being dependent on external factors (such as incentive pay or compliments from the boss) for the motivation to work effectively."[9] We create our own intrinsic motivation by giving ourselves intrinsic rewards such as positive emotions, satisfaction, and self-praise. Consider the intrinsic motivation of Millennials Kory and Mallory Stevens, who started the Taft shoe company out of their apartment several years ago. They were recently named to *Forbes* 30-under-30 list of people to watch in the coming years for their passion, motivation, and entrepreneurship. Per the company website, "As Taft continues to grow, our vision for the brand remains the same—we believe in making beautiful shoes at beautiful prices and offering the best service

p. 167

Motivation 167

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Reluctant analyst (PPT): good pay, boring job -> design problem, not laziness

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p. 167

WHAT'S ON THIS PAGE

Direction, intensity, persistence; extrinsic vs intrinsic motivation; Southwest profit sharing.

USE IT IN THE EXAM FOR

Define motivation.

STICKY TAB

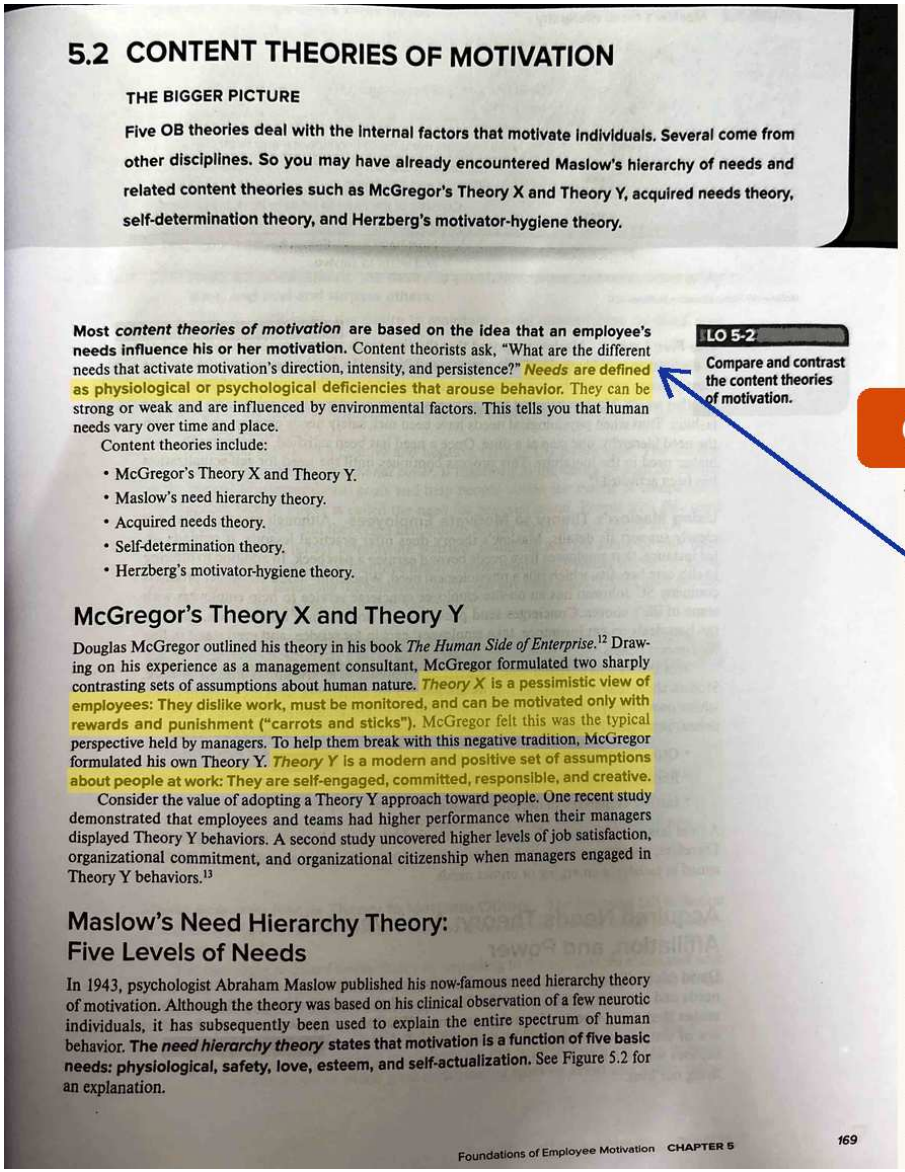
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Reluctant analyst (PPT): good pay, boring job -> design problem, not laziness

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- Pink = Indian / company examples



5.2 CONTENT THEORIES OF MOTIVATION

THE BIGGER PICTURE

Five OB theories deal with the internal factors that motivate individuals. Several come from other disciplines. So you may have already encountered Maslow's hierarchy of needs and related content theories such as McGregor's Theory X and Theory Y, acquired needs theory, self-determination theory, and Herzberg's motivator-hygiene theory.

Most *content theories of motivation* are based on the idea that an employee's needs influence his or her motivation. Content theorists ask, "What are the different needs that activate motivation's direction, intensity, and persistence?" ***Needs* are defined as physiological or psychological deficiencies that arouse behavior.** They can be strong or weak and are influenced by environmental factors. This tells you that human needs vary over time and place.

LO 5-2
Compare and contrast the content theories of motivation.

Content theories include:

- McGregor's Theory X and Theory Y.
- Maslow's need hierarchy theory.
- Acquired needs theory.
- Self-determination theory.
- Herzberg's motivator-hygiene theory.

McGregor's Theory X and Theory Y

Douglas McGregor outlined his theory in his book *The Human Side of Enterprise*.[12] Drawing on his experience as a management consultant, McGregor formulated two sharply contrasting sets of assumptions about human nature. ***Theory X* is a pessimistic view of employees: They dislike work, must be monitored, and can be motivated only with rewards and punishment ("carrots and sticks").** McGregor felt this was the typical perspective held by managers. To help them break with this negative tradition, McGregor formulated his own Theory Y. ***Theory Y* is a modern and positive set of assumptions about people at work: They are self-engaged, committed, responsible, and creative.**

Consider the value of adopting a Theory Y approach toward people. One recent study demonstrated that employees and teams had higher performance when their managers displayed Theory Y behaviors. A second study uncovered higher levels of job satisfaction, organizational commitment, and organizational citizenship when managers engaged in Theory Y behaviors.[13]

Maslow's Need Hierarchy Theory: Five Levels of Needs

In 1943, psychologist Abraham Maslow published his now-famous need hierarchy theory of motivation. Although the theory was based on his clinical observation of a few neurotic individuals, it has subsequently been used to explain the entire spectrum of human behavior. **The *need hierarchy theory* states that motivation is a function of five basic needs: physiological, safety, love, esteem, and self-actualization.** See Figure 5.2 for an explanation.

Foundations of Employee Motivation CHAPTER 5 169

p. 169

Content 169

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DOR before = Theory X (time clocks)
DOR after = Theory Y (trust)

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p. 169

WHAT'S ON THIS PAGE

Needs; list of content theories; McGregor's Theory X (pessimistic) and Theory Y (positive).

USE IT IN THE EXAM FOR

X/Y and content theories.

STICKY TAB

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WRITE IN THE MARGIN

DOR before = Theory X (time clocks)
DOR after = Theory Y (trust)

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p. 170 · MASLOW's need hierarchy (Figure 5.2)

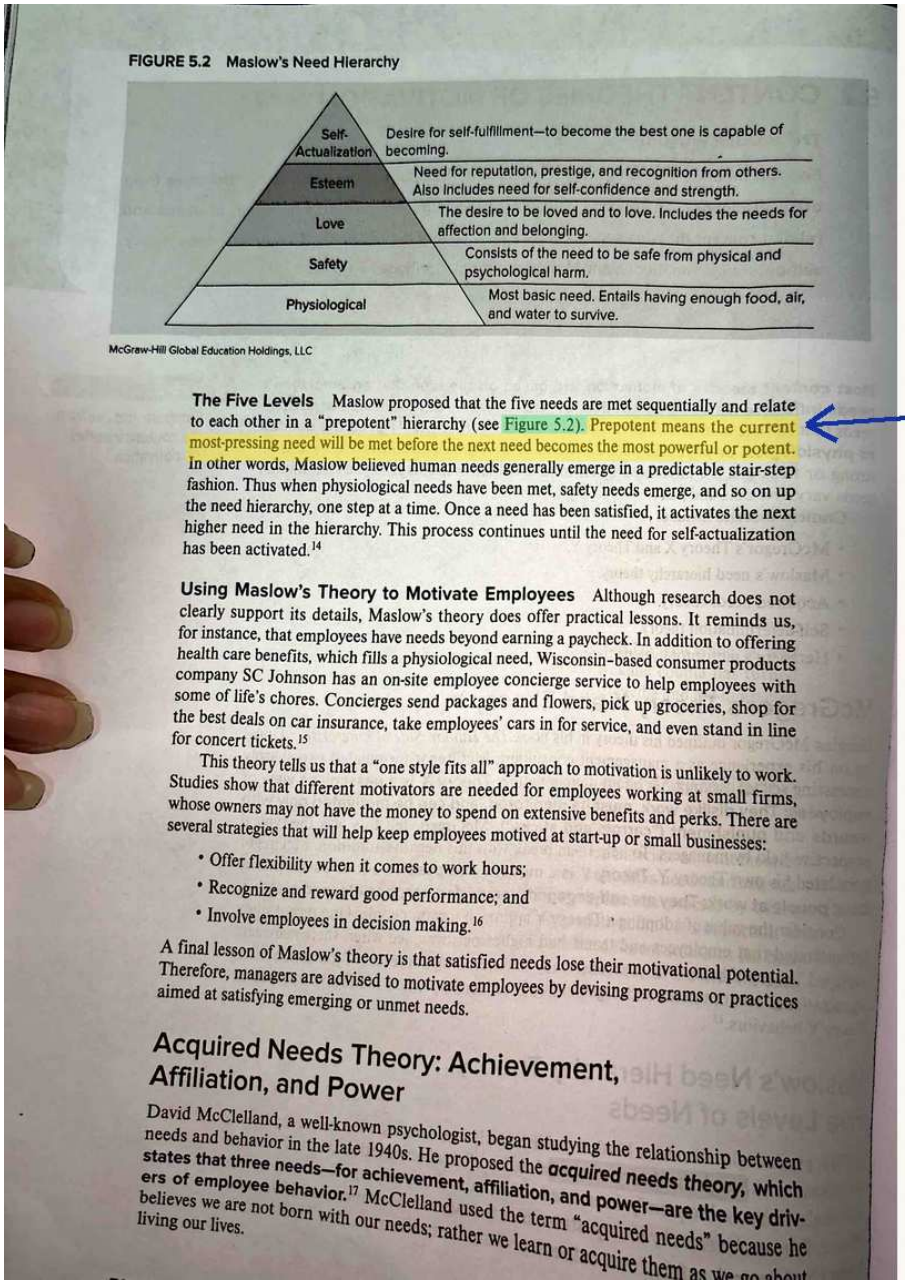


FIGURE 5.2 Maslow's Need Hierarchy

McGraw-Hill Global Education Holdings, LLC

The Five Levels Maslow proposed that the five needs are met sequentially and relate to each other in a "prepotent" hierarchy (see Figure 5.2). Prepotent means the current most-pressing need will be met before the next need becomes the most powerful or potent. In other words, Maslow believed human needs generally emerge in a predictable stair-step fashion. Thus when physiological needs have been met, safety needs emerge, and so on up the need hierarchy, one step at a time. Once a need has been satisfied, it activates the next higher need in the hierarchy. This process continues until the need for self-actualization has been activated.[14]

Using Maslow's Theory to Motivate Employees Although research does not clearly support its details, Maslow's theory does offer practical lessons. It reminds us, for instance, that employees have needs beyond earning a paycheck. In addition to offering health care benefits, which fills a physiological need, Wisconsin-based consumer products company SC Johnson has an on-site employee concierge service to help employees with some of life's chores. Concierges send packages and flowers, pick up groceries, shop for the best deals on car insurance, take employees' cars in for service, and even stand in line for concert tickets.[15]

This theory tells us that a "one style fits all" approach to motivation is unlikely to work. Studies show that different motivators are needed for employees working at small firms, whose owners may not have the money to spend on extensive benefits and perks. There are several strategies that will help keep employees motived at start-up or small businesses:

- Offer flexibility when it comes to work hours;
- Recognize and reward good performance; and
- Involve employees in decision making.[16]

A final lesson of Maslow's theory is that satisfied needs lose their motivational potential. Therefore, managers are advised to motivate employees by devising programs or practices aimed at satisfying emerging or unmet needs.

Acquired Needs Theory: Achievement, Affiliation, and Power

David McClelland, a well-known psychologist, began studying the relationship between needs and behavior in the late 1940s. He proposed the **acquired needs theory, which states that three needs—for achievement, affiliation, and power—are the key drivers of employee behavior.**[17] McClelland used the term "acquired needs" because he believes we are not born with our needs; rather we learn or acquire them as we go about living our lives.

p. 170

India (PPT): early career = safety, belonging; mid = esteem; senior = meaning, legacy

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p. 170

WHAT'S ON THIS PAGE

Five needs from physiological to self-actualisation; satisfied needs stop motivating.

USE IT IN THE EXAM FOR

Maslow.

WRITE IN THE MARGIN

India (PPT): early career = safety, belonging; mid = esteem; senior = meaning, legacy

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- Green = lists & frameworks

p. 171 · McCLELLAND's 3 acquired needs (Figure 5.3)

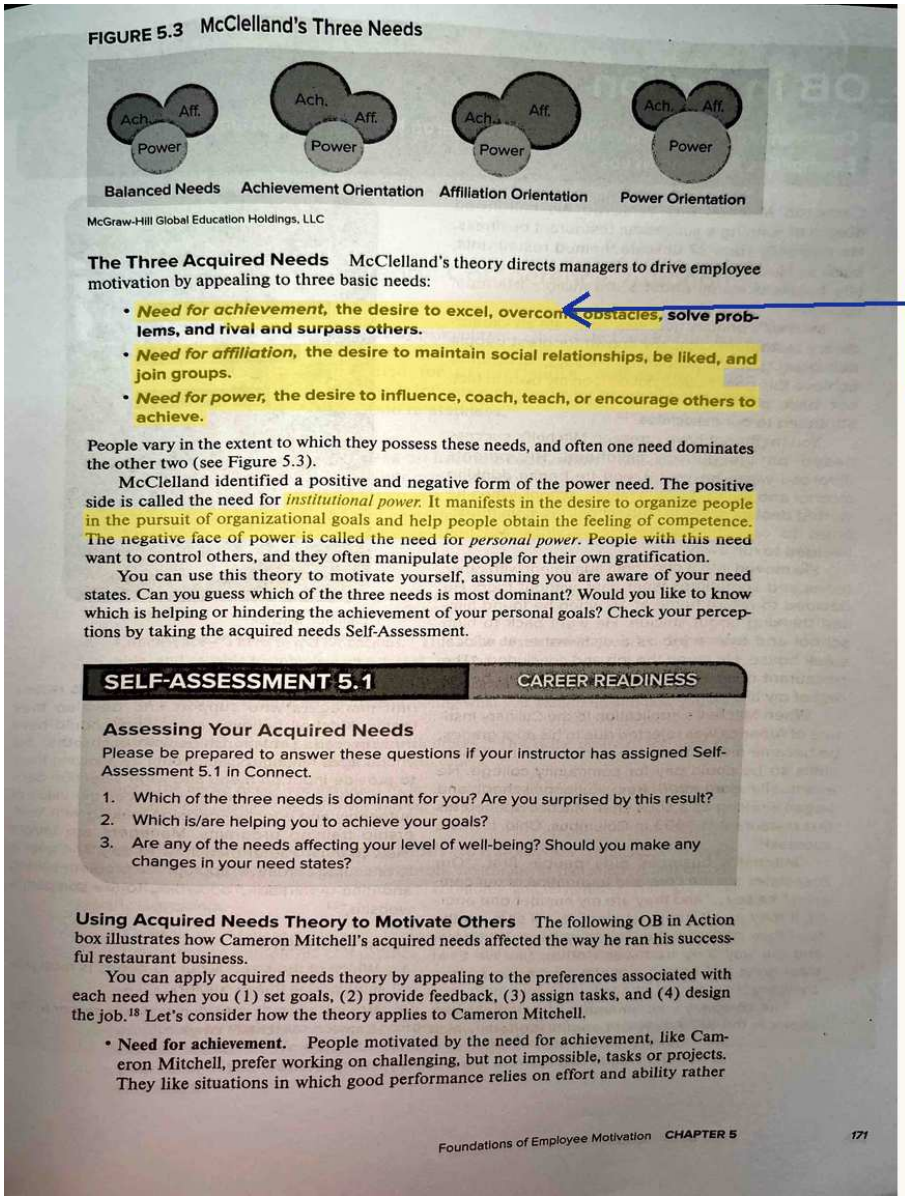


FIGURE 5.3 McClelland's Three Needs

McGraw-Hill Global Education Holdings, LLC

The Three Acquired Needs McClelland's theory directs managers to drive employee motivation by appealing to three basic needs:

- *Need for achievement,* the desire to excel, overcome obstacles, solve problems, and rival and surpass others.
- *Need for affiliation,* the desire to maintain social relationships, be liked, and join groups.
- *Need for power,* the desire to influence, coach, teach, or encourage others to achieve.

People vary in the extent to which they possess these needs, and often one need dominates the other two (see Figure 5.3).

McClelland identified a positive and negative form of the power need. The positive side is called the need for *institutional power.* It manifests in the desire to organize people in the pursuit of organizational goals and help people obtain the feeling of competence. The negative face of power is called the need for *personal power.* People with this need want to control others, and they often manipulate people for their own gratification.

You can use this theory to motivate yourself, assuming you are aware of your need states. Can you guess which of the three needs is most dominant? Would you like to know which is helping or hindering the achievement of your personal goals? Check your perceptions by taking the acquired needs Self-Assessment.

SELF-ASSESSMENT 5.1 CAREER READINESS

Assessing Your Acquired Needs

Please be prepared to answer these questions if your instructor has assigned Self-Assessment 5.1 in Connect.

1. Which of the three needs is dominant for you? Are you surprised by this result?
2. Which is/are helping you to achieve your goals?
3. Are any of the needs affecting your level of well-being? Should you make any changes in your need states?

Using Acquired Needs Theory to Motivate Others The following OB in Action box illustrates how Cameron Mitchell's acquired needs affected the way he ran his successful restaurant business.

You can apply acquired needs theory by appealing to the preferences associated with each need when you (1) set goals, (2) provide feedback, (3) assign tasks, and (4) design the job.[18] Let's consider how the theory applies to Cameron Mitchell.

- **Need for achievement.** People motivated by the need for achievement, like Cameron Mitchell, prefer working on challenging, but not impossible, tasks or projects. They like situations in which good performance relies on effort and ability rather

Foundations of Employee Motivation CHAPTER 5 171

p. 171

Cameron Mitchell (p.172): nAch + nAff + institutional power

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p. 171

WHAT'S ON THIS PAGE

Need for achievement, affiliation, power; institutional vs personal power.

USE IT IN THE EXAM FOR

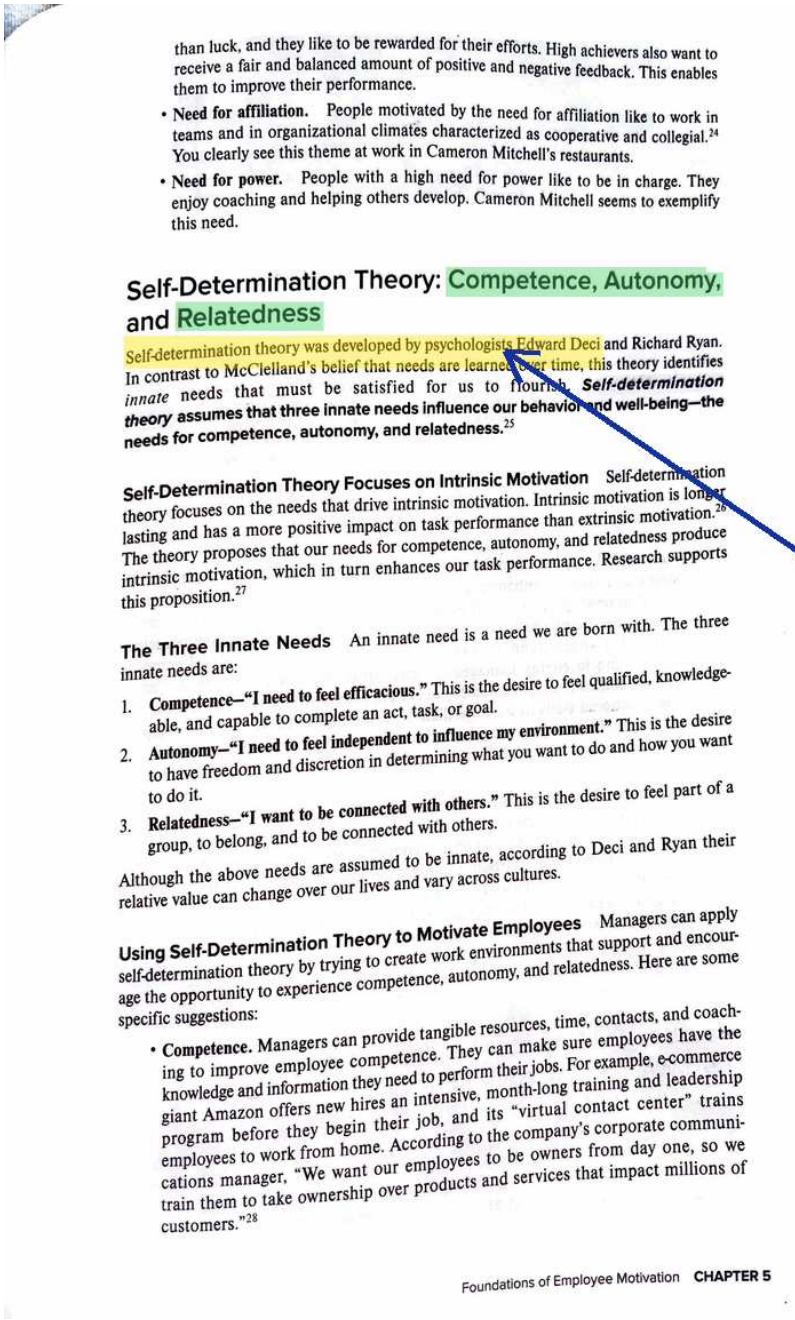
Matching roles to needs.

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Cameron Mitchell (p.172): nAch + nAff + institutional power

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Yellow = definitions: exact words to quote



than luck, and they like to be rewarded for their efforts. High achievers also want to receive a fair and balanced amount of positive and negative feedback. This enables them to improve their performance.

- **Need for affiliation.** People motivated by the need for affiliation like to work in teams and in organizational climates characterized as cooperative and collegial.[24] You clearly see this theme at work in Cameron Mitchell's restaurants.
- **Need for power.** People with a high need for power like to be in charge. They enjoy coaching and helping others develop. Cameron Mitchell seems to exemplify this need.

Self-Determination Theory: Competence, Autonomy, and Relatedness

Self-determination theory was developed by psychologists Edward Deci and Richard Ryan. In contrast to McClelland's belief that needs are learned over time, this theory identifies *innate* needs that must be satisfied for us to flourish. ***Self-determination theory* assumes that three innate needs influence our behavior and well-being—the needs for competence, autonomy, and relatedness.**[25]

Self-Determination Theory Focuses on Intrinsic Motivation Self-determination theory focuses on the needs that drive intrinsic motivation. Intrinsic motivation is longer lasting and has a more positive impact on task performance than extrinsic motivation.[26] The theory proposes that our needs for competence, autonomy, and relatedness produce intrinsic motivation, which in turn enhances our task performance. Research supports this proposition.[27]

The Three Innate Needs An innate need is a need we are born with. The three innate needs are:

1. **Competence—"I need to feel efficacious."** This is the desire to feel qualified, knowledgeable, and capable to complete an act, task, or goal.
2. **Autonomy—"I need to feel independent to influence my environment."** This is the desire to have freedom and discretion in determining what you want to do and how you want to do it.
3. **Relatedness—"I want to be connected with others."** This is the desire to feel part of a group, to belong, and to be connected with others.

Although the above needs are assumed to be innate, according to Deci and Ryan their relative value can change over our lives and vary across cultures.

Using Self-Determination Theory to Motivate Employees Managers can apply self-determination theory by trying to create work environments that support and encourage the opportunity to experience competence, autonomy, and relatedness. Here are some specific suggestions:

- **Competence.** Managers can provide tangible resources, time, contacts, and coaching to improve employee competence. They can make sure employees have the knowledge and information they need to perform their jobs. For example, e-commerce giant Amazon offers new hires an intensive, month-long training and leadership program before they begin their job, and its "virtual contact center" trains employees to work from home. According to the company's corporate communications manager, "We want our employees to be owners from day one, so we train them to take ownership over products and services that impact millions of customers."[28]

p. 173

SDT 173

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Orix: autonomy (own priorities), competence (EMBA, peer review), relatedness (retreats)

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p. 173

WHAT'S ON THIS PAGE

Three innate needs (competence, autonomy, relatedness) drive intrinsic motivation.

USE IT IN THE EXAM FOR

Intrinsic motivation answers.

STICKY TAB

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Orix: autonomy (own priorities), competence (EMBA, peer review), relatedness (retreats)

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Yellow = definitions: exact words to quote

Green = lists & frameworks



At Amazon, managers apply the self-determination theory by trying to create a work environment that supports and encourages the opportunity to experience competence, autonomy, and relatedness. New hires undergo an intensive, month-long training and leadership program before they start their new job, which helps them take ownership of the products and services delivered to millions of customers every day.
Jeramey Lende/Shutterstock

- **Autonomy.** Managers can empower employees and delegate meaningful assignments and tasks to enhance feelings of autonomy. This in turn suggests they should support decisions their employees make. A recent study confirmed this conclusion. Employees' intrinsic motivation was higher when they perceived that their manager supported them.[29] Schneider Electric is a global company specializing in energy management and automation and it offers dedicated courses for leadership, customer education, energy solutions, sales excellence, and functional skills to its more than 160,000 employees worldwide. Company executives believe providing high-potential, early-career opportunities for its workforce encourages autonomy and paves the way for strong and future leaders of the organization.[30]
- **Relatedness.** Many companies use fun and camaraderie to foster relatedness. In addition, a positive and inspiring corporate vision can create a feeling of commitment to a common purpose. At 23andMe, a consumer genetic testing company, founder and CEO Anne Wojcicki believes in using her influence to further the position of women in the biotech industry, which has long been a male-dominated field. The company has a policy of hiring equal numbers of men and women, maintains a balance of men and women at the leadership level, and fosters a workplace culture that supports liberal parental leave policies, a robust employee onboarding process, and a strong sense of belonging and relatedness.[31]

Herzberg's Motivator-Hygiene Theory: Two Ways to Improve Satisfaction

Frederick Herzberg's theory is based on a landmark study in which he interviewed 203 accountants and engineers.[32] These interviews, meant to determine the factors responsible for job satisfaction and dissatisfaction, uncovered separate and distinct clusters of factors associated with each. This pattern led to the ***motivator-hygiene theory,*** which proposes that job satisfaction and dissatisfaction arise from two different sets of

PART 1 Individual Behavior

p. 174

Herzberg 174

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HERZBERG: hygiene removes dissatisfaction; motivators create satisfaction

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p. 174

WHAT'S ON THIS PAGE

Amazon, Schneider Electric, 23andMe examples; start of Herzberg's motivator-hygiene theory.

USE IT IN THE EXAM FOR

Herzberg starts here.

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HERZBERG: hygiene removes dissatisfaction; motivators create satisfaction

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- Yellow = definitions: exact words to quote
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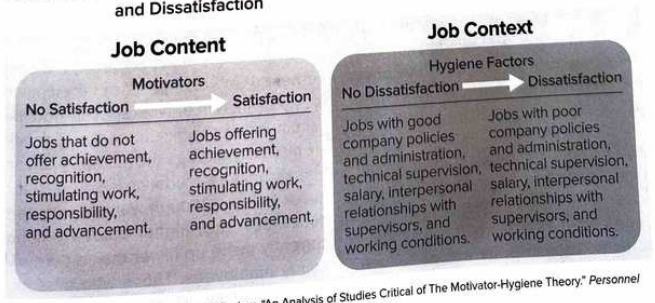
factors—satisfaction comes from *motivating factors* and dissatisfaction from *hygiene factors*.

- **Hygiene factors—What makes employees dissatisfied?** Job dissatisfaction was associated primarily with factors in the work *context* or environment. Herzberg hypothesized that such ***hygiene factors*—including company policy and administration, technical supervision, salary, interpersonal relationships with supervisors, and working conditions—cause a person to move from a state of no dissatisfaction to dissatisfaction.** He did not believe their removal created an immediate impact on satisfaction or motivation (for that, see motivating factors following). At best, Herzberg proposed that individuals will experience the *absence* of job dissatisfaction when they have no grievances about hygiene factors.
- **Motivating factors—What makes employees satisfied?** Job satisfaction was more frequently associated with factors in the work *content* of the task being performed. Herzberg labeled these *motivating factors* or *motivators* because each was associated with strong effort and good performance. He hypothesized that such ***motivating factors, or motivators*—including achievement, recognition, characteristics of the work, responsibility, and advancement—cause a person to move from a state of no satisfaction to satisfaction.** Therefore, Herzberg's theory predicts managers can motivate individuals by incorporating motivators into an individual's job.

For Herzberg, the groups of hygiene and motivating factors did not interact. "The opposite of job satisfaction is not job dissatisfaction, but rather no job satisfaction; and similarly, the opposite of job dissatisfaction is not job satisfaction, but no dissatisfaction."[33] Herzberg conceptualizes dissatisfaction and satisfaction as two parallel continuums. The starting point is a null state in which *both* dissatisfaction and satisfaction are absent. Theoretically an organization member could have good supervision, pay, and working conditions (no dissatisfaction) but a tedious and unchallenging task with little chance of advancement (no satisfaction), as illustrated in Figure 5.4.

Managerial View of Job Satisfaction and Dissatisfaction Insights from Herzberg's theory allow managers to consider the dimensions of both job content and job context so they can manage for greater overall job satisfaction. There is one aspect of this theory we think is wrong, however. We believe you can satisfy and motivate people by providing good hygiene factors. REI (Recreational Equipment Inc.), regularly rated one of the top companies to work for by *Fortune*, is a good example. The company routinely pays both part- and full-time employees significantly more than regulatory minimums and

FIGURE 5.4 Role of Job Content and Job Context in Job Satisfaction and Dissatisfaction



SOURCE: Whitsett, David A., and Erik K. Winslow. "An Analysis of Studies Critical of The Motivator-Hygiene Theory." *Personnel Psychology*, Winter (1997): 391–415.

p. 175

ORIX: pay at industry avg = hygiene; retreats, growth = motivators
DOR: job security = hygiene only

write this in the margin

p. 175

WHAT'S ON THIS PAGE

Hygiene = job context (pay, policy, supervision); motivators = job content (achievement, recognition, responsibility).

USE IT IN THE EXAM FOR

Core page for Orix & DOR.

WRITE IN THE MARGIN

ORIX: pay at industry avg = hygiene; retreats, growth = motivators
DOR: job security = hygiene only

HIGHLIGHT COLOURS ON THIS PAGE

Yellow = definitions: exact words to quote
Green = lists & frameworks

employee bonuses were based solely on store performance.[37]

"Walmart is responding to our call for change with a new policy. But what they are giving with one hand, they are taking with the other," said Shashauna Phillips, a Walmart employee in South Carolina and a leader in OUR Walmart, a worker group. Phillips also worries that one result of offering a financial incentive for perfect attendance is that employees will come to work sick.[38]

Others share her concern that Walmart has a way to go before it can claim to be doing everything possible to support and retain its workers. Vermont's Senator Bernie Sanders, for example, issued a statement saying that Walmart's new sick-leave policy was "a small step forward but not enough," noting that "Walmart . . . is not a poor company" and urging it to raise its starting pay to $15 an hour (as a public outcry and legislation introduced by Sanders recently forced Amazon to do). Walmart currently starts its hourly workers at $11 an hour, up from only $9 as recently as 2017.[39] Writing in *The Hill*, Congressional representative Ro Khanna of California and Marc Perrone, International President of the United Food and Commercial Workers Union, also urged Walmart to increase its basic wage, saying that Congress should take action again to compel Walmart and other large employers to pay their workers enough to feed their families and avoid forcing the "taxpayer-funded safety net" to make up the difference. Amazon faced a choice between raising wages and paying the government for the social safety net benefits its workers claimed. It opted to raise wages; Khanna and Perrone feel Walmart should make the same decision.[40]

Walmart's sales are growing steadily and are expected to near $530 billion for fiscal 2019.[41]

Apply the 3-Step Problem-Solving Approach

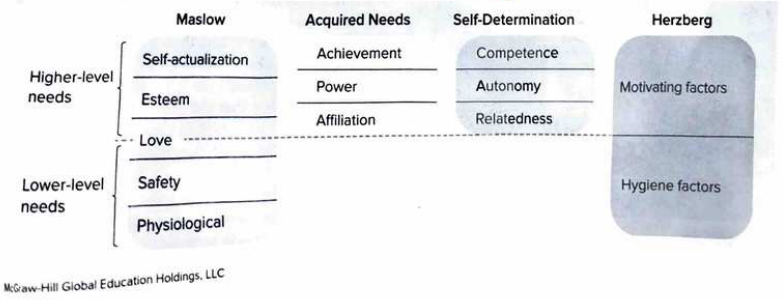
Step 1: Define the problem in this case.

Step 2: Identify the key causes of this problem.

Step 3: Make your top two recommendations for fixing the problem at Walmart.

Figure 5.5 illustrates the overlap among the need and satisfaction theories discussed in this section. As you can see, the acquired needs and self-determination theories do not include lower-level needs. Remember, higher-level need satisfaction is more likely to foster well-being and flourishing.

FIGURE 5.5 A Comparison of Need and Satisfaction Theories



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p. 177

Draw this to compare content theories in 30 seconds

write this in the margin

p. 177

WHAT'S ON THIS PAGE

Lines up Maslow, McClelland, SDT and Herzberg (higher vs lower-level needs).

USE IT IN THE EXAM FOR

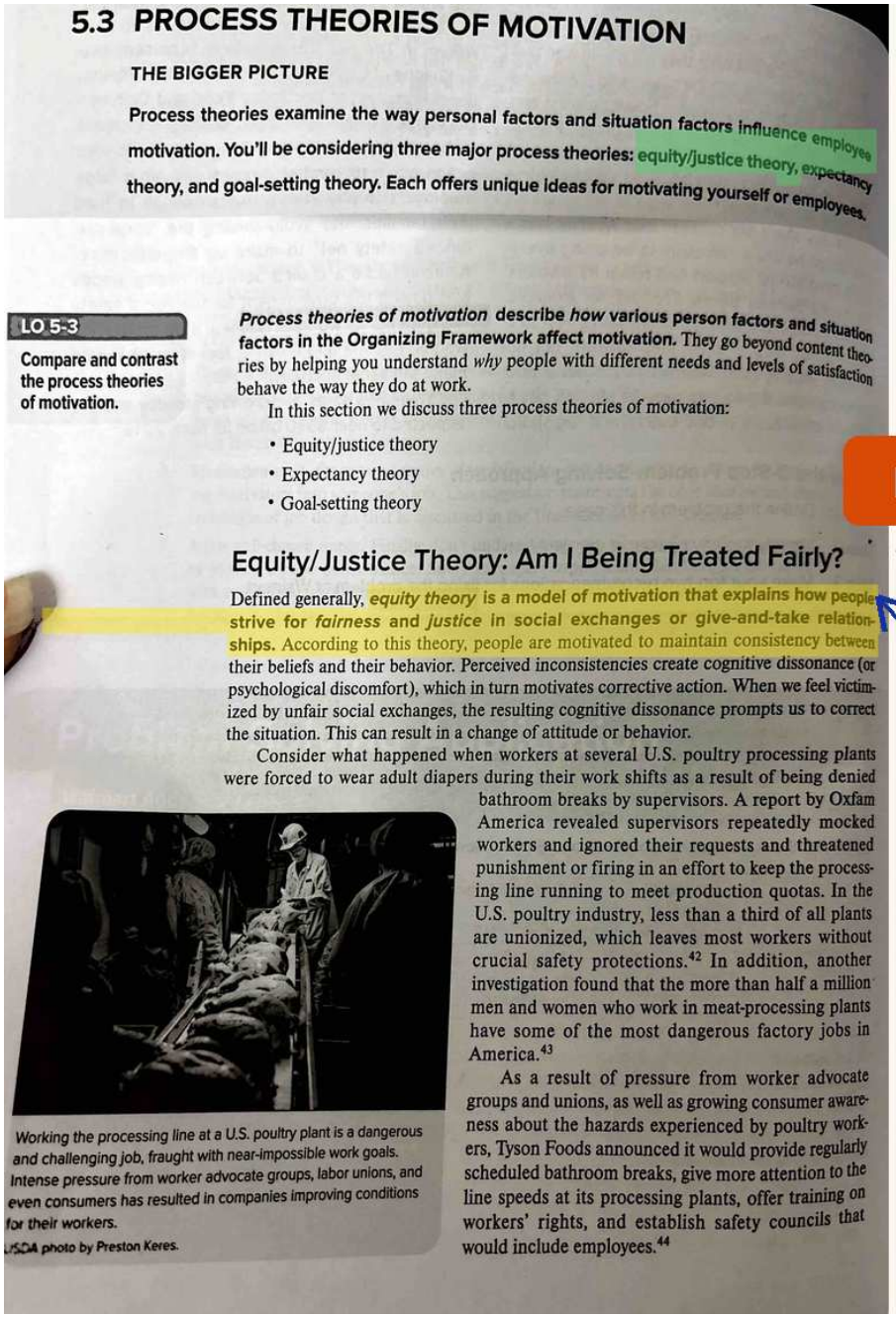
Compare content theories.

WRITE IN THE MARGIN

Draw this to compare content theories in 30 seconds

HIGHLIGHT COLOURS ON THIS PAGE

Green = lists & frameworks



5.3 PROCESS THEORIES OF MOTIVATION

THE BIGGER PICTURE

Process theories examine the way personal factors and situation factors influence employee motivation. You'll be considering three major process theories: equity/justice theory, expectancy theory, and goal-setting theory. Each offers unique ideas for motivating yourself or employees.

LO 5-3

Compare and contrast the process theories of motivation.

Process theories of motivation **describe *how* various person factors and situation factors in the Organizing Framework affect motivation.** They go beyond content theories by helping you understand *why* people with different needs and levels of satisfaction behave the way they do at work.

In this section we discuss three process theories of motivation:

- Equity/justice theory
- Expectancy theory
- Goal-setting theory

Equity/Justice Theory: Am I Being Treated Fairly?

Defined generally, ***equity theory*** **is a model of motivation that explains how people strive for *fairness* and *justice* in social exchanges or give-and-take relationships.** According to this theory, people are motivated to maintain consistency between their beliefs and their behavior. Perceived inconsistencies create cognitive dissonance (or psychological discomfort), which in turn motivates corrective action. When we feel victimized by unfair social exchanges, the resulting cognitive dissonance prompts us to correct the situation. This can result in a change of attitude or behavior.

Consider what happened when workers at several U.S. poultry processing plants were forced to wear adult diapers during their work shifts as a result of being denied bathroom breaks by supervisors. A report by Oxfam America revealed supervisors repeatedly mocked workers and ignored their requests and threatened punishment or firing in an effort to keep the processing line running to meet production quotas. In the U.S. poultry industry, less than a third of all plants are unionized, which leaves most workers without crucial safety protections.[42] In addition, another investigation found that the more than half a million men and women who work in meat-processing plants have some of the most dangerous factory jobs in America.[43]

Working the processing line at a U.S. poultry plant is a dangerous and challenging job, fraught with near-impossible work goals. Intense pressure from worker advocate groups, labor unions, and even consumers has resulted in companies improving conditions for their workers.

USDA photo by Preston Keres.

As a result of pressure from worker advocate groups and unions, as well as growing consumer awareness about the hazards experienced by poultry workers, Tyson Foods announced it would provide regularly scheduled bathroom breaks, give more attention to the line speeds at its processing plants, offer training on workers' rights, and establish safety councils that would include employees.[44]

p. 178

Equity 178

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Orix: customised pay -> inequity risk. Southwest union: 'exploiting loyalty'

write this in the margin

p. 178

WHAT'S ON THIS PAGE

Process theories list; equity theory definition; Tyson poultry example.

USE IT IN THE EXAM FOR

Equity theory.

STICKY TAB

Orange tab, write: **Equity 178**

WRITE IN THE MARGIN

Orix: customised pay -> inequity risk. Southwest union: 'exploiting loyalty'

HIGHLIGHT COLOURS ON THIS PAGE

Yellow = definitions: exact words to quote

Green = lists & frameworks

p. 179 · Elements of equity: outcomes, inputs (Figure 5.6)

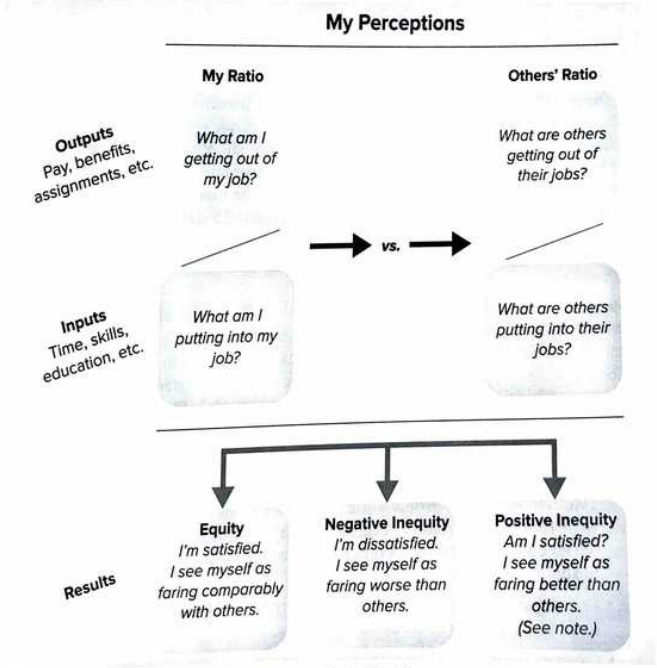
Psychologist J. Stacy Adams pioneered the use of equity theory in the workplace. Let us begin by discussing his ideas and their current application. We then discuss the extension of equity theory into *justice theory* and conclude by discussing how to motivate employees with both these tools.

The Elements of Equity Theory: Comparing My Outputs and Inputs with Those of Others The key elements of equity theory are outputs, inputs, and a comparison of the ratio of outputs to inputs (see Figure 5.6).

- **Outputs—"What do I perceive that I'm getting out of my job?"** Organizations provide a variety of outcomes for our work, including pay/bonuses, medical benefits, challenging assignments, job security, promotions, status symbols, recognition, and participation in important decisions. Outcomes vary widely, depending on the organization and our rank in it.
- **Inputs—"What do I perceive that I'm putting into my job?"** An employee's inputs, for which he or she expects a just return, include education/training, skills, creativity, seniority, age, personality traits, effort expended, experience, and personal appearance.

FIGURE 5.6 Elements of Equity Theory

Equity theory compares how well you are doing to how well others are doing in similar jobs. Instead of focusing just on what you get out of the job (outputs) or what you put into the job (inputs), equity theory compares your ratio of outputs to inputs to those of others.



Note: Does positive inequity result in satisfaction? Some of us may feel so. But J. Stacy Adams recognized that employees often feel guilty about positive inequity, just as they might become angry about negative inequity. Your positive inequity is others' negative inequity. If your coworkers saw you as being favored unfairly in a major way, wouldn't they be outraged? How effective could you be in your job then?

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p. 179

MY outcomes/inputs vs OTHERS' outcomes/inputs

write this in the margin

p. 179

WHAT'S ON THIS PAGE

Outcomes (pay, recognition…) and inputs (effort, skills…) compared with others' ratio.

USE IT IN THE EXAM FOR

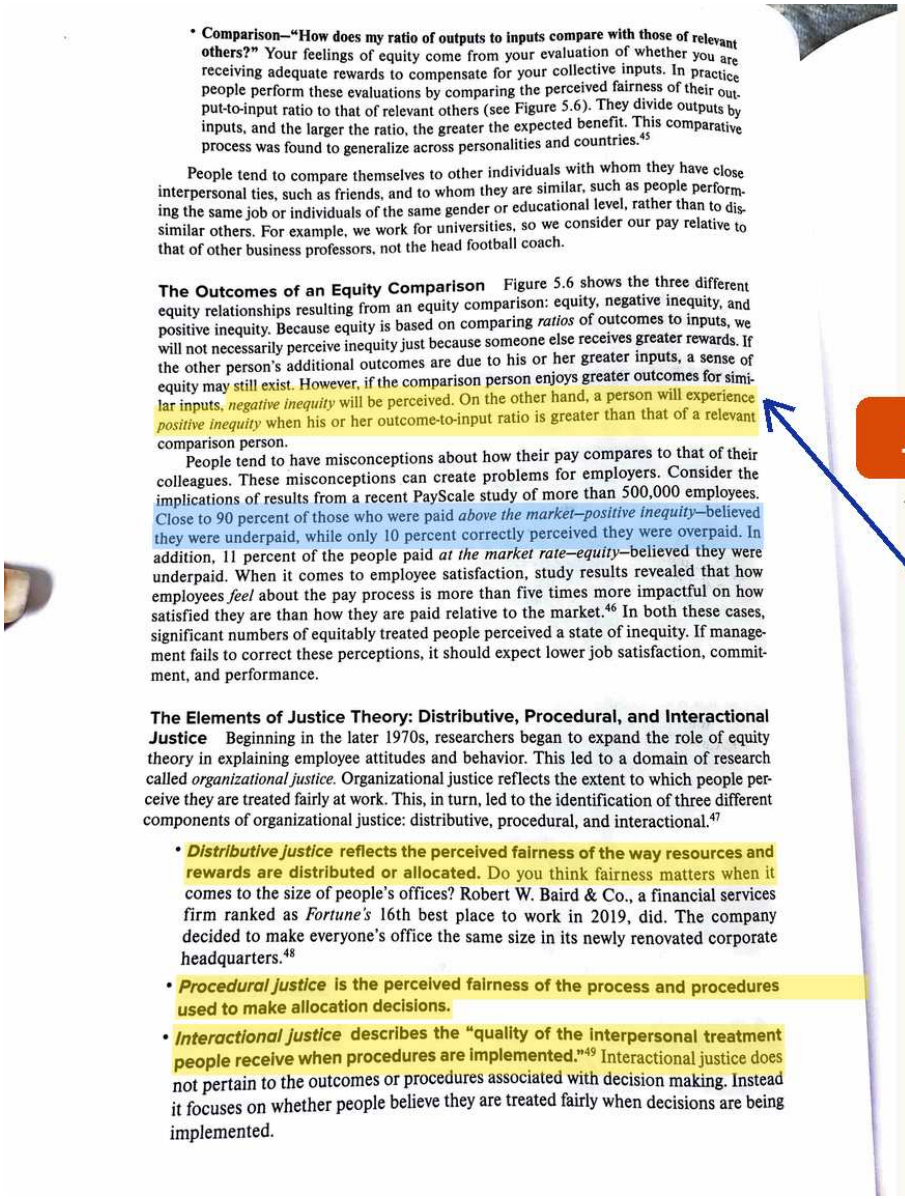
Draw the ratio.

WRITE IN THE MARGIN

MY outcomes/inputs vs OTHERS' outcomes/inputs

HIGHLIGHT COLOURS ON THIS PAGE

Green = lists & frameworks



• **Comparison—"How does my ratio of outputs to inputs compare with those of relevant others?"** Your feelings of equity come from your evaluation of whether you are receiving adequate rewards to compensate for your collective inputs. In practice people perform these evaluations by comparing the perceived fairness of their output-to-input ratio to that of relevant others (see Figure 5.6). They divide outputs by inputs, and the larger the ratio, the greater the expected benefit. This comparative process was found to generalize across personalities and countries.[45]

People tend to compare themselves to other individuals with whom they have close interpersonal ties, such as friends, and to whom they are similar, such as people performing the same job or individuals of the same gender or educational level, rather than to dissimilar others. For example, we work for universities, so we consider our pay relative to that of other business professors, not the head football coach.

The Outcomes of an Equity Comparison Figure 5.6 shows the three different equity relationships resulting from an equity comparison: equity, negative inequity, and positive inequity. Because equity is based on comparing *ratios* of outcomes to inputs, we will not necessarily perceive inequity just because someone else receives greater rewards. If the other person's additional outcomes are due to his or her greater inputs, a sense of equity may still exist. However, if the comparison person enjoys greater outcomes for similar inputs, *negative inequity* will be perceived. On the other hand, a person will experience *positive inequity* when his or her outcome-to-input ratio is greater than that of a relevant comparison person.

People tend to have misconceptions about how their pay compares to that of their colleagues. These misconceptions can create problems for employers. Consider the implications of results from a recent PayScale study of more than 500,000 employees. Close to 90 percent of those who were paid *above the market—positive inequity*—believed they were underpaid, while only 10 percent correctly perceived they were overpaid. In addition, 11 percent of the people paid *at the market rate—equity*—believed they were underpaid. When it comes to employee satisfaction, study results revealed that how employees *feel* about the pay process is more than five times more impactful on how satisfied they are than how they are paid relative to the market.[46] In both these cases, significant numbers of equitably treated people perceived a state of inequity. If management fails to correct these perceptions, it should expect lower job satisfaction, commitment, and performance.

The Elements of Justice Theory: Distributive, Procedural, and Interactional Justice Beginning in the later 1970s, researchers began to expand the role of equity theory in explaining employee attitudes and behavior. This led to a domain of research called *organizational justice*. Organizational justice reflects the extent to which people perceive they are treated fairly at work. This, in turn, led to the identification of three different components of organizational justice: distributive, procedural, and interactional.[47]

- ***Distributive justice*** **reflects the perceived fairness of the way resources and rewards are distributed or allocated.** Do you think fairness matters when it comes to the size of people's offices? Robert W. Baird & Co., a financial services firm ranked as *Fortune's* 16th best place to work in 2019, did. The company decided to make everyone's office the same size in its newly renovated corporate headquarters.[48]
- ***Procedural justice*** **is the perceived fairness of the process and procedures used to make allocation decisions.**
- ***Interactional justice*** **describes the "quality of the interpersonal treatment people receive when procedures are implemented."**[49] Interactional justice does not pertain to the outcomes or procedures associated with decision making. Instead it focuses on whether people believe they are treated fairly when decisions are being implemented.

p. 180

Justice 180

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Distributive = outcomes
Procedural = process
Interactional = treatment

write this in the margin

p. 180

WHAT'S ON THIS PAGE

Negative/positive inequity; PayScale data; distributive, procedural, interactional justice.

USE IT IN THE EXAM FOR

Fairness answers.

STICKY TAB

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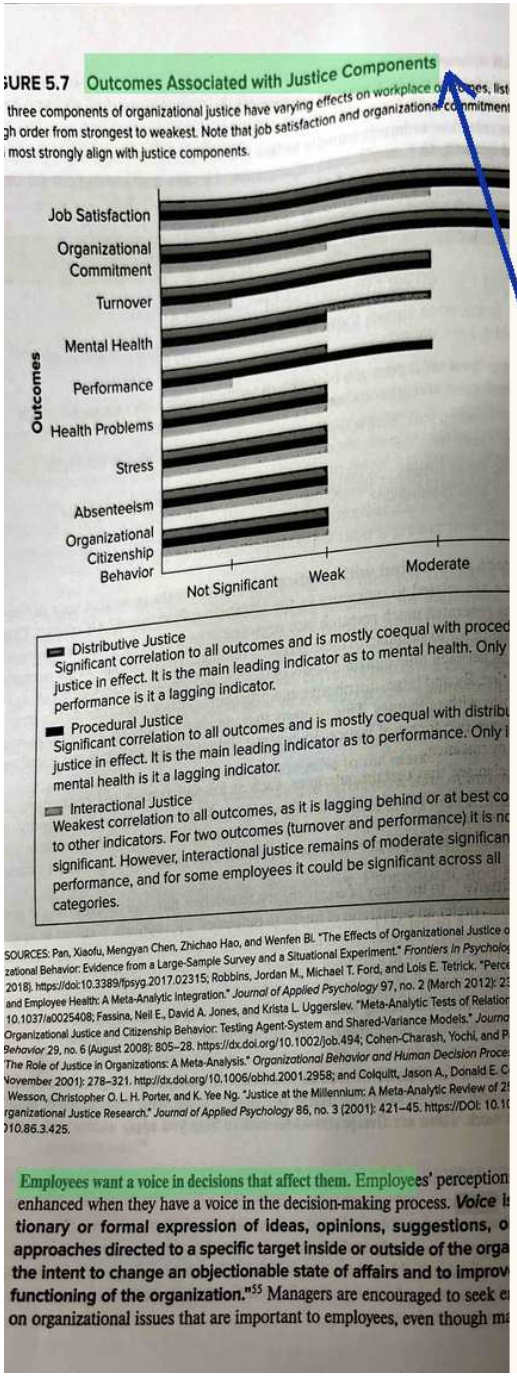
WRITE IN THE MARGIN

Distributive = outcomes
Procedural = process
Interactional = treatment

HIGHLIGHT COLOURS ON THIS PAGE

Yellow = definitions: exact words to quote

Blue = research numbers



p. 182

WHAT'S ON THIS PAGE

Distributive & procedural justice relate most strongly to outcomes; employees want a voice.

USE IT IN THE EXAM FOR

Voice & justice.

WRITE IN THE MARGIN

R3 'faux-inclusion' = no real voice
= procedural injustice

HIGHLIGHT COLOURS ON THIS PAGE

Green = lists & frameworks

are reluctant to use their "voice." Consider how Saleforce's CEO Marc Benioff addressed the issue of employees wanting their voices heard on an important topic. Faced with employee objections to the company's recent work with the U.S. Border Patrol (which has been separating children of illegal immigrants from their parents), Benioff created Silicon Valley's first-ever Office of Ethical and Humane Use of Technology. With advisers from Georgetown, Harvard, Amnesty International, and other organizations, this initiative provides Salesforce and its employees with a solid framework for discussing the thorny ethical issues that technological advances can raise. "We may not all agree," Benioff said, "but we can have that discussion and figure out how to move forward together."[56] Managers can overcome issues such as these by creating a voice climate. **A *voice climate* is one in which employees are encouraged to freely express their opinions and feelings.**[57]

3. **Employees should have an appeals process.** Employees should be given the opportunity to appeal decisions that affect their welfare. This opportunity fosters perceptions of distributive and procedural justice.

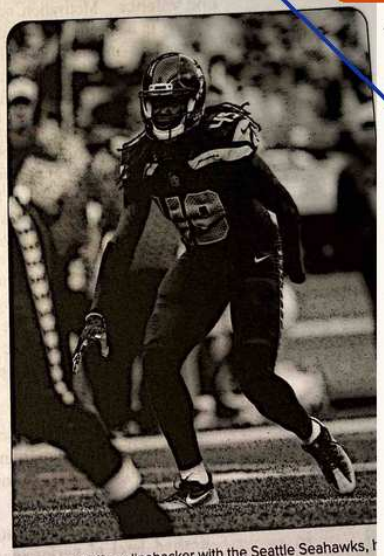
4. **Leader behavior matters.** Employees' perceptions of justice are strongly influenced by their managers' leadership behavior and the justice-related implications of their decisions, actions, and public communications.[58] For example, Kenneth Frazier, CEO of pharmaceutical giant Merck, took a stand against extremism when he resigned from President Trump's advisory business council after the president refused to criticize a group of white nationalist protesters in Charlottesville, Virginia. The grandson of a man born into slavery, Frazier said he resigned from the council because the president's response, "was one that I felt was not in concordance with my views or the views we claim to hold as a country."[59]

5. **A climate for justice makes a difference.** Team performance was found to be higher in companies that possessed a climate for justice.[60] Do you think it's OK for customers to yell at retail or service employees or treat them rudely? We don't! A climate for justice incorporates relationships between employees and customers. Employees are more likely to provide poor customer service when managers allow customers to treat employees rudely or disrespectfully.[61]

And as for you? You can work to improve equity ratios through your behavior or your perceptions. For example, you could work to resolve negative inequity by asking for a raise or a promotion (raising your outputs) or by working fewer hours or exerting less effort (reducing your inputs). You could also resolve the inequity cognitively, by adjusting your perceptions of the value of your salary or other benefits (outcomes) or the value of the actual work you and your coworkers do (inputs).

Expectancy Theory: Does My Effort Lead to Desired Outcomes?

Expectancy theory holds that people are motivated to behave in ways that produce desired combinations of expected outcomes. Generally, expectancy theory can predict behavior in any situation in which a choice between two or more alternatives must be made. For instance, it can predict whether we should quit or stay at a job, exert substantial or minimal effort at a task, and major in management, computer science, accounting, marketing, psychology, or communication.



Shaquem Griffin, a linebacker with the Seattle Seahawks, h all the motivation he needs to become a successful player the NFL. A congenital birth defect resulted in his left hand being amputated when he was 4 years old, but Griffin see that life-changing event as the reason he continues to wo so hard to succeed.
Otto Greule Jr/Getty Images

p. 183

Expectancy 183

<- sticky tab

Motivation = E x I x V
any zero -> no motivation

write this in the margin

p. 183

WHAT'S ON THIS PAGE

Remaining justice lessons, then the definition of expectancy theory.

USE IT IN THE EXAM FOR

Expectancy theory.

STICKY TAB

Orange tab, write: **Expectancy 183**

WRITE IN THE MARGIN

Motivation = E x I x V
any zero -> no motivation

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Yellow = definitions: exact words to quote
Green = lists & frameworks

p. 184 · FIGURE 5.8 Expectancy & instrumentality

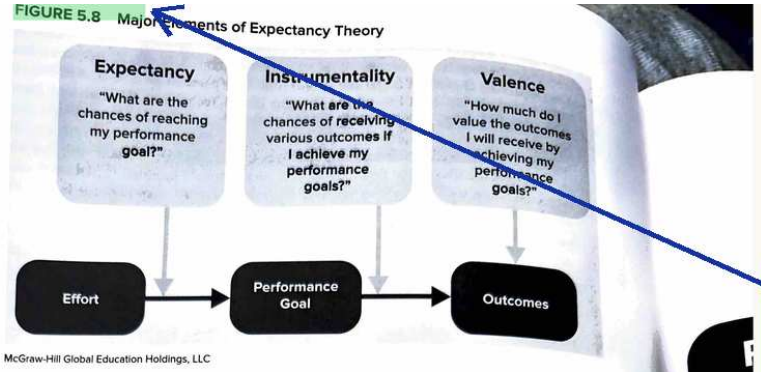


FIGURE 5.8 Major Elements of Expectancy Theory

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The most widely used version of expectancy theory was proposed by Yale professor Victor Vroom. We now consider the theory's key elements and recommendations for its application.

The Elements of Vroom's Expectancy Theory: Expectancy, Instrumentality, and Valence Motivation, according to Vroom, boils down to deciding how much effort to exert in a specific task situation. This choice is based on a two-stage sequence of expectations—moving from effort to performance and then from performance to outcome. Figure 5.8 shows the major components of this theory.

Let us consider the three key elements of Vroom's theory.

1. **Expectancy—"Can I achieve my desired level of performance?"** An *expectancy* represents an individual's belief that a particular degree of effort will be followed by a particular level of performance. Expectancies take the form of subjective probabilities. As you may recall from a course in statistics, probabilities range from zero to one. An expectancy of zero indicates that effort has no anticipated impact on performance, while an expectancy of one suggests performance is totally dependent on effort.

   EXAMPLE Suppose you do not know how to use Excel. No matter how much effort you exert, your perceived probability of creating complex spreadsheets that compute correlations will be zero. If you decide to take an Excel training course and practice using the program a couple of hours a day for a few weeks (high effort), the probability that you will be able to create spreadsheets that compute correlations will rise close to one.

   Research reveals that employees' expectancies are affected by a host of factors. Some of the more important ones include self-efficacy, time pressures, task difficulty, ability and knowledge, resources, support from peers, leader behavior, and organizational climate.[62]

2. **Instrumentality—"What intrinsic and extrinsic rewards will I receive if I achieve my desired level of performance?"** *Instrumentality* is the perceived relationship between performance and outcomes. It reflects a person's belief that a particular outcome is contingent on accomplishing a specific level of performance. Passing exams, for instance, is instrumental in graduating from college, or put another way, graduation is contingent on passing exams. In this tight labor market, even the U.S. military is offering bonuses to entice individuals to join. For example, the U.S. Navy offers enlistment bonuses (including money for college degrees) from $5,000 to more

p. 184

PPT sales case: E ok, I broken (delayed payouts), V low

write this in the margin

p. 184

WHAT'S ON THIS PAGE

Effort -> performance -> outcomes diagram; expectancy and instrumentality defined.

USE IT IN THE EXAM FOR

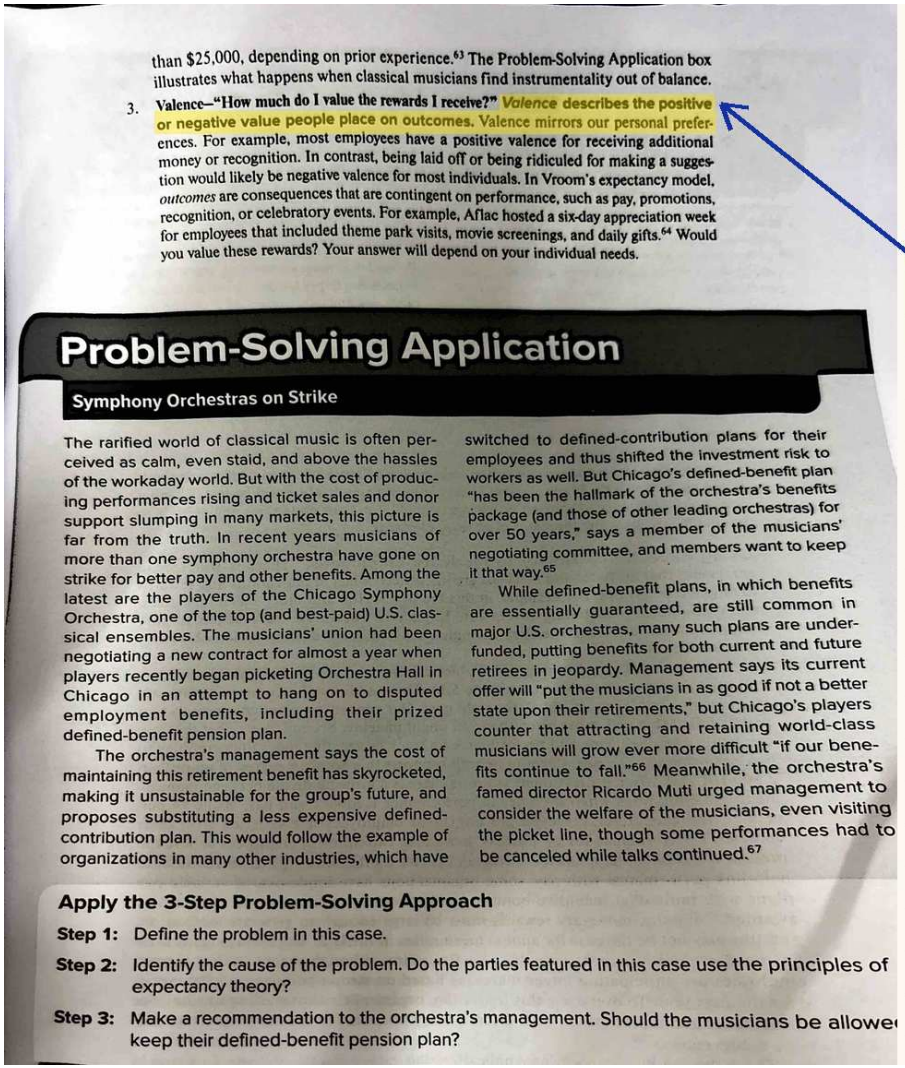
Diagnose E, I, V in a case.

WRITE IN THE MARGIN

PPT sales case: E ok, I broken (delayed payouts), V low

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- Yellow = definitions: exact words to quote
- Green = lists & frameworks



than $25,000, depending on prior experience.[63] The Problem-Solving Application box illustrates what happens when classical musicians find instrumentality out of balance.

3. **Valence—"How much do I value the rewards I receive?"** *Valence* describes the positive or negative value people place on outcomes. Valence mirrors our personal preferences. For example, most employees have a positive valence for receiving additional money or recognition. In contrast, being laid off or being ridiculed for making a suggestion would likely be negative valence for most individuals. In Vroom's expectancy model, *outcomes* are consequences that are contingent on performance, such as pay, promotions, recognition, or celebratory events. For example, Aflac hosted a six-day appreciation week for employees that included theme park visits, movie screenings, and daily gifts.[64] Would you value these rewards? Your answer will depend on your individual needs.

Problem-Solving Application

Symphony Orchestras on Strike

The rarified world of classical music is often perceived as calm, even staid, and above the hassles of the workaday world. But with the cost of producing performances rising and ticket sales and donor support slumping in many markets, this picture is far from the truth. In recent years musicians of more than one symphony orchestra have gone on strike for better pay and other benefits. Among the latest are the players of the Chicago Symphony Orchestra, one of the top (and best-paid) U.S. classical ensembles. The musicians' union had been negotiating a new contract for almost a year when players recently began picketing Orchestra Hall in Chicago in an attempt to hang on to disputed employment benefits, including their prized defined-benefit pension plan.

The orchestra's management says the cost of maintaining this retirement benefit has skyrocketed, making it unsustainable for the group's future, and proposes substituting a less expensive defined-contribution plan. This would follow the example of organizations in many other industries, which have switched to defined-contribution plans for their employees and thus shifted the investment risk to workers as well. But Chicago's defined-benefit plan "has been the hallmark of the orchestra's benefits package (and those of other leading orchestras) for over 50 years," says a member of the musicians' negotiating committee, and members want to keep it that way.[65]

While defined-benefit plans, in which benefits are essentially guaranteed, are still common in major U.S. orchestras, many such plans are underfunded, putting benefits for both current and future retirees in jeopardy. Management says its current offer will "put the musicians in as good if not a better state upon their retirements," but Chicago's players counter that attracting and retaining world-class musicians will grow ever more difficult "if our benefits continue to fall."[66] Meanwhile, the orchestra's famed director Ricardo Muti urged management to consider the welfare of the musicians, even visiting the picket line, though some performances had to be canceled while talks continued.[67]

Apply the 3-Step Problem-Solving Approach

Step 1: Define the problem in this case.

Step 2: Identify the cause of the problem. Do the parties featured in this case use the principles of expectancy theory?

Step 3: Make a recommendation to the orchestra's management. Should the musicians be allowe keep their defined-benefit pension plan?

p. 185

Orix: rewards have high VALENCE, but instrumentality unclear

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p. 185

WHAT'S ON THIS PAGE

Valence definition and a problem-solving case about orchestra pensions.

USE IT IN THE EXAM FOR

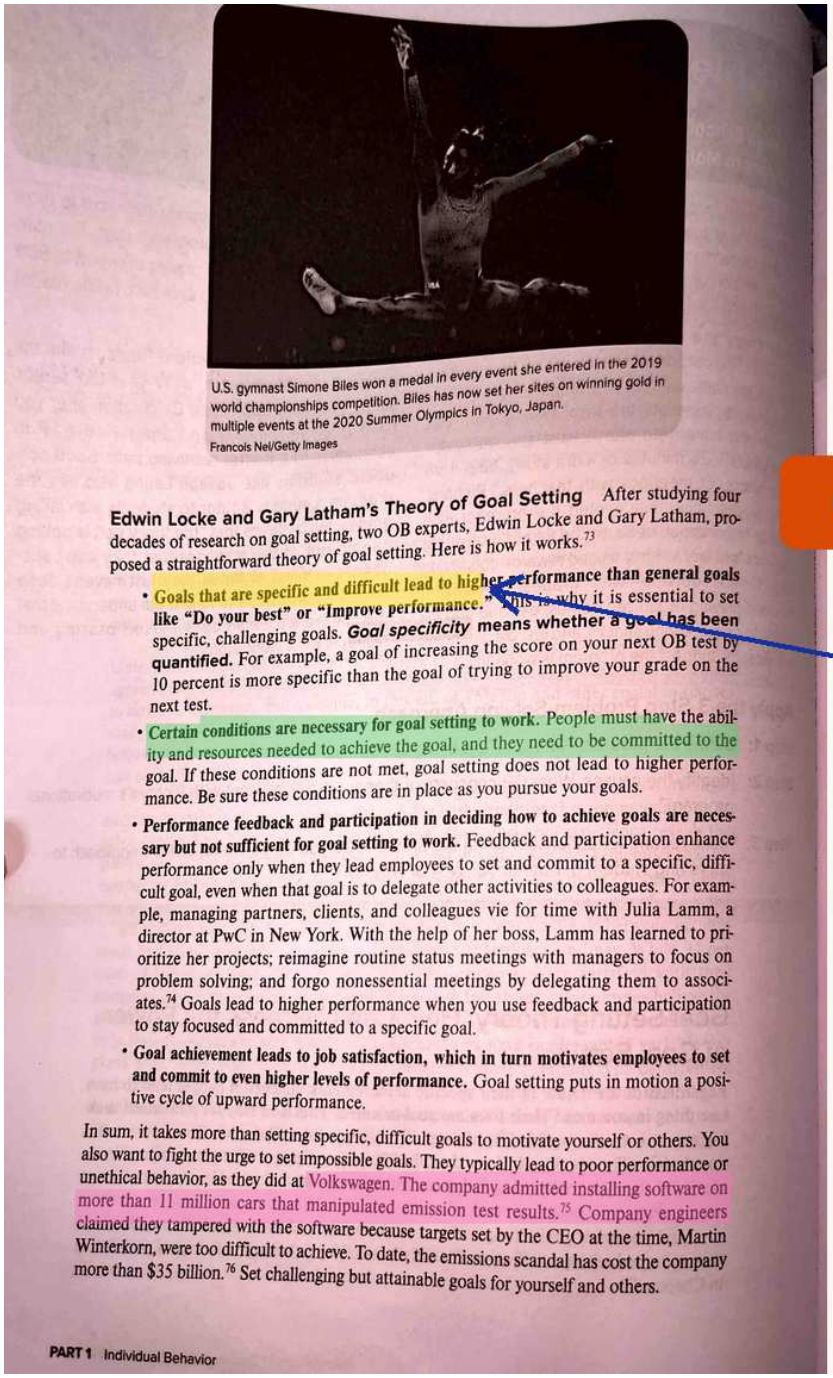
Valence.

WRITE IN THE MARGIN

Orix: rewards have high VALENCE, but instrumentality unclear

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Yellow = definitions: exact words to quote



U.S. gymnast Simone Biles won a medal in every event she entered in the 2019 world championships competition. Biles has now set her sites on winning gold in multiple events at the 2020 Summer Olympics in Tokyo, Japan.

Francois Nel/Getty Images

Edwin Locke and Gary Latham's Theory of Goal Setting After studying four decades of research on goal setting, two OB experts, Edwin Locke and Gary Latham, proposed a straightforward theory of goal setting. Here is how it works.[73]

- **Goals that are specific and difficult lead to higher performance than general goals like "Do your best" or "Improve performance."** This is why it is essential to set specific, challenging goals. ***Goal specificity*** **means whether a goal has been quantified.** For example, a goal of increasing the score on your next OB test by 10 percent is more specific than the goal of trying to improve your grade on the next test.
- **Certain conditions are necessary for goal setting to work.** People must have the ability and resources needed to achieve the goal, and they need to be committed to the goal. If these conditions are not met, goal setting does not lead to higher performance. Be sure these conditions are in place as you pursue your goals.
- **Performance feedback and participation in deciding how to achieve goals are necessary but not sufficient for goal setting to work.** Feedback and participation enhance performance only when they lead employees to set and commit to a specific, difficult goal, even when that goal is to delegate other activities to colleagues. For example, managing partners, clients, and colleagues vie for time with Julia Lamm, a director at PwC in New York. With the help of her boss, Lamm has learned to prioritize her projects; reimagine routine status meetings with managers to focus on problem solving; and forgo nonessential meetings by delegating them to associates.[74] Goals lead to higher performance when you use feedback and participation to stay focused and committed to a specific goal.
- **Goal achievement leads to job satisfaction, which in turn motivates employees to set and commit to even higher levels of performance.** Goal setting puts in motion a positive cycle of upward performance.

In sum, it takes more than setting specific, difficult goals to motivate yourself or others. You also want to fight the urge to set impossible goals. They typically lead to poor performance or unethical behavior, as they did at Volkswagen. The company admitted installing software on more than 11 million cars that manipulated emission test results.[75] Company engineers claimed they tampered with the software because targets set by the CEO at the time, Martin Winterkorn, were too difficult to achieve. To date, the emissions scandal has cost the company more than $35 billion.[76] Set challenging but attainable goals for yourself and others.

p. 188

Goals 188

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SMART: 4.1 -> 4.4 next quarter
Risk: VW, Bank of Baroda (p.17)

write this in the margin

p. 188

WHAT'S ON THIS PAGE

Specific, difficult goals beat 'do your best'; conditions (ability, resources, commitment); Volkswagen warning.

USE IT IN THE EXAM FOR

Goal setting & its risks.

STICKY TAB

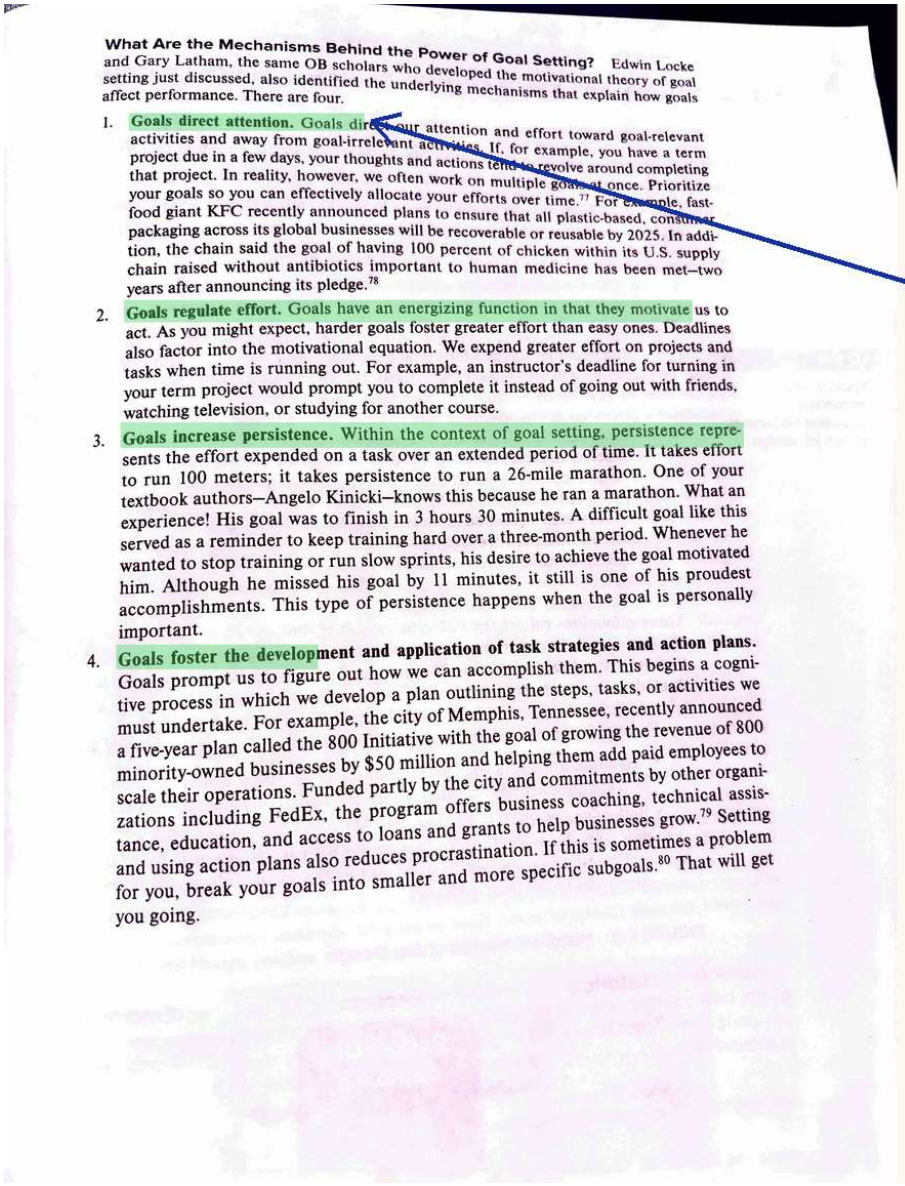
Orange tab, write: **Goals 188**

WRITE IN THE MARGIN

SMART: 4.1 -> 4.4 next quarter
Risk: VW, Bank of Baroda (p.17)

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- Yellow = definitions: exact words to quote
- Green = lists & frameworks
- Pink = Indian / company examples



What Are the Mechanisms Behind the Power of Goal Setting? Edwin Locke and Gary Latham, the same OB scholars who developed the motivational theory of goal setting just discussed, also identified the underlying mechanisms that explain how goals affect performance. There are four.

1. **Goals direct attention.** Goals direct our attention and effort toward goal-relevant activities and away from goal-irrelevant activities. If, for example, you have a term project due in a few days, your thoughts and actions tend to revolve around completing that project. In reality, however, we often work on multiple goals at once. Prioritize your goals so you can effectively allocate your efforts over time.[77] For example, fast-food giant KFC recently announced plans to ensure that all plastic-based, consumer packaging across its global businesses will be recoverable or reusable by 2025. In addition, the chain said the goal of having 100 percent of chicken within its U.S. supply chain raised without antibiotics important to human medicine has been met—two years after announcing its pledge.[78]
2. **Goals regulate effort.** Goals have an energizing function in that they motivate us to act. As you might expect, harder goals foster greater effort than easy ones. Deadlines also factor into the motivational equation. We expend greater effort on projects and tasks when time is running out. For example, an instructor's deadline for turning in your term project would prompt you to complete it instead of going out with friends, watching television, or studying for another course.
3. **Goals increase persistence.** Within the context of goal setting, persistence represents the effort expended on a task over an extended period of time. It takes effort to run 100 meters; it takes persistence to run a 26-mile marathon. One of your textbook authors—Angelo Kinicki—knows this because he ran a marathon. What an experience! His goal was to finish in 3 hours 30 minutes. A difficult goal like this served as a reminder to keep training hard over a three-month period. Whenever he wanted to stop training or run slow sprints, his desire to achieve the goal motivated him. Although he missed his goal by 11 minutes, it still is one of his proudest accomplishments. This type of persistence happens when the goal is personally important.
4. **Goals foster the development and application of task strategies and action plans.** Goals prompt us to figure out how we can accomplish them. This begins a cognitive process in which we develop a plan outlining the steps, tasks, or activities we must undertake. For example, the city of Memphis, Tennessee, recently announced a five-year plan called the 800 Initiative with the goal of growing the revenue of 800 minority-owned businesses by $50 million and helping them add paid employees to scale their operations. Funded partly by the city and commitments by other organizations including FedEx, the program offers business coaching, technical assistance, education, and access to loans and grants to help businesses grow.[79] Setting and using action plans also reduces procrastination. If this is sometimes a problem for you, break your goals into smaller and more specific subgoals.[80] That will get you going.

p. 189

Why goals work: attention, effort, persistence, strategy

write this in the margin

p. 189

WHAT'S ON THIS PAGE

Goals direct attention, regulate effort, increase persistence, foster strategies.

USE IT IN THE EXAM FOR

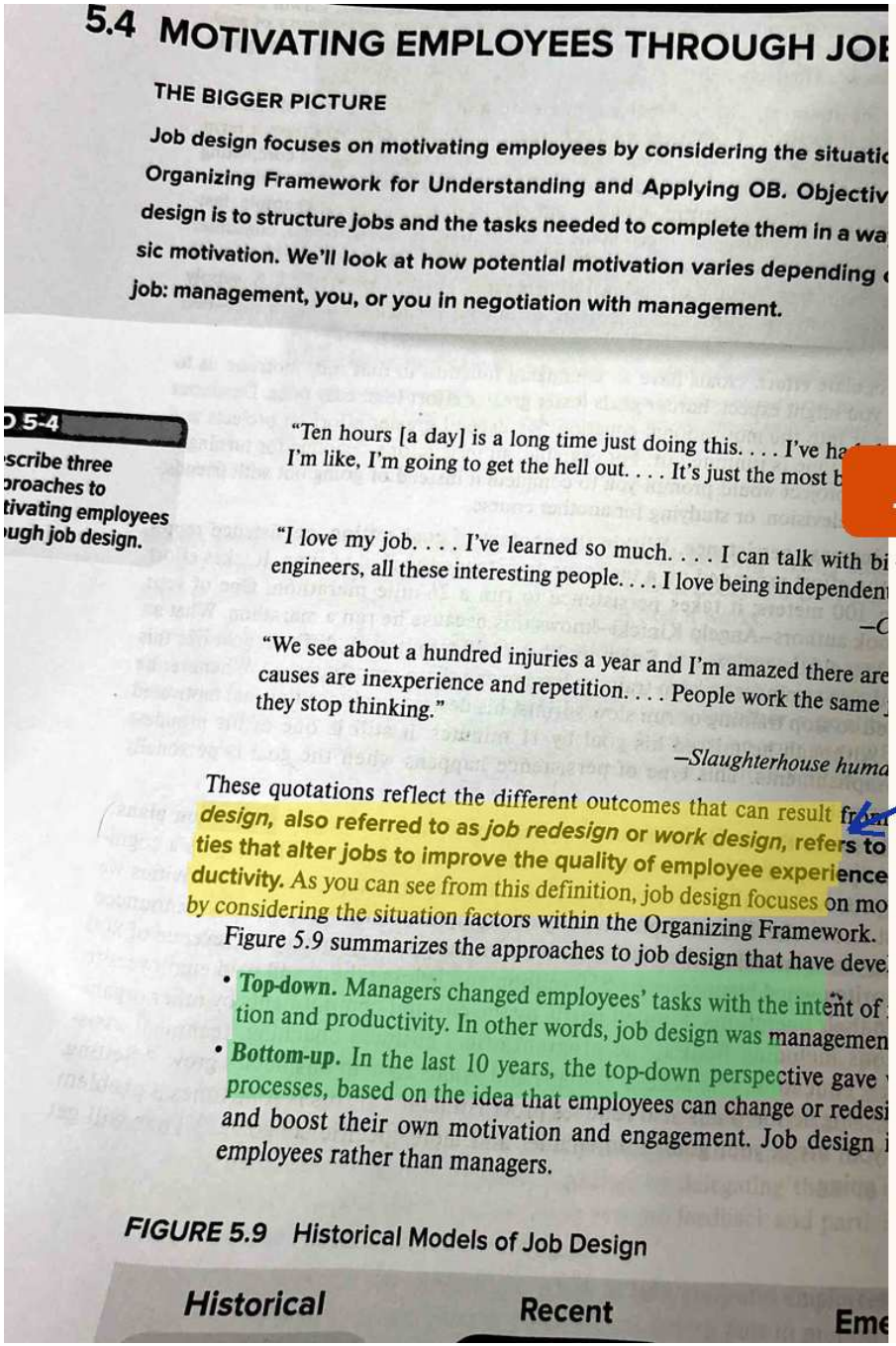
List the 4 mechanisms.

WRITE IN THE MARGIN

Why goals work: attention, effort, persistence, strategy

HIGHLIGHT COLOURS ON THIS PAGE

Green = lists & frameworks



5.4 MOTIVATING EMPLOYEES THROUGH JOB

THE BIGGER PICTURE

Job design focuses on motivating employees by considering the situatio
Organizing Framework for Understanding and Applying OB. Objectiv
design is to structure jobs and the tasks needed to complete them in a wa
sic motivation. We'll look at how potential motivation varies depending
job: management, you, or you in negotiation with management.

O 5-4
scribe three
proaches to
tivating employees
ugh job design.

"Ten hours [a day] is a long time just doing this. . . . I've ha
I'm like, I'm going to get the hell out. . . . It's just the most b

"I love my job. . . . I've learned so much. . . . I can talk with bi
engineers, all these interesting people. . . . I love being independen
—C

"We see about a hundred injuries a year and I'm amazed there are
causes are inexperience and repetition. . . . People work the same
they stop thinking."

—*Slaughterhouse huma*

These quotations reflect the different outcomes that can result fr
design, also referred to as job redesign or work design, refers to
ties that alter jobs to improve the quality of employee experience
ductivity. As you can see from this definition, job design focuses on mo
by considering the situation factors within the Organizing Framework.
Figure 5.9 summarizes the approaches to job design that have deve

- **Top-down.** Managers changed employees' tasks with the intent of
tion and productivity. In other words, job design was managemen
- **Bottom-up.** In the last 10 years, the top-down perspective gave
processes, based on the idea that employees can change or redesi
and boost their own motivation and engagement. Job design
employees rather than managers.

FIGURE 5.9 Historical Models of Job Design

Historical Recent Eme

p. 190

Job design 190

<- sticky tab

Top-down = manager designs
Bottom-up = job crafting
Middle = i-deals

write this in the margin

p. 190

WHAT'S ON THIS PAGE

Job design definition and Figure 5.9 (three approaches).

USE IT IN THE EXAM FOR

Job design overview.

STICKY TAB

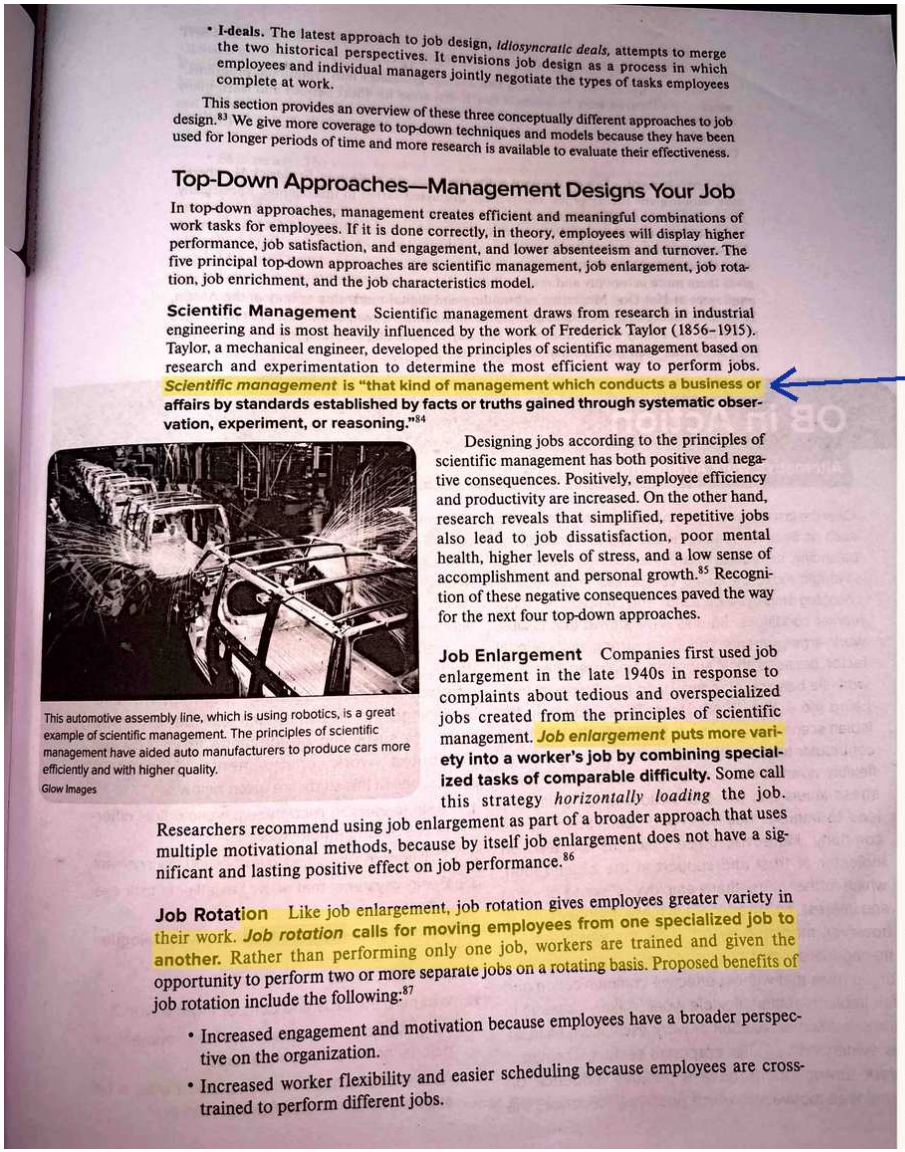
Orange tab, write: **Job design 190**

WRITE IN THE MARGIN

Top-down = manager designs
Bottom-up = job crafting
Middle = i-deals

HIGHLIGHT COLOURS ON THIS PAGE

- Yellow = definitions: exact words to quote
- Green = lists & frameworks



• **I-deals.** The latest approach to job design, *idiosyncratic deals*, attempts to merge the two historical perspectives. It envisions job design as a process in which employees and individual managers jointly negotiate the types of tasks employees complete at work.

This section provides an overview of these three conceptually different approaches to job design.[83] We give more coverage to top-down techniques and models because they have been used for longer periods of time and more research is available to evaluate their effectiveness.

Top-Down Approaches—Management Designs Your Job

In top-down approaches, management creates efficient and meaningful combinations of work tasks for employees. If it is done correctly, in theory, employees will display higher performance, job satisfaction, and engagement, and lower absenteeism and turnover. The five principal top-down approaches are scientific management, job enlargement, job rotation, job enrichment, and the job characteristics model.

Scientific Management Scientific management draws from research in industrial engineering and is most heavily influenced by the work of Frederick Taylor (1856–1915). Taylor, a mechanical engineer, developed the principles of scientific management based on research and experimentation to determine the most efficient way to perform jobs. ***Scientific management* is "that kind of management which conducts a business or affairs by standards established by facts or truths gained through systematic observation, experiment, or reasoning."**[84]

This automotive assembly line, which is using robotics, is a great example of scientific management. The principles of scientific management have aided auto manufacturers to produce cars more efficiently and with higher quality.
Glow Images

Designing jobs according to the principles of scientific management has both positive and negative consequences. Positively, employee efficiency and productivity are increased. On the other hand, research reveals that simplified, repetitive jobs also lead to job dissatisfaction, poor mental health, higher levels of stress, and a low sense of accomplishment and personal growth.[85] Recognition of these negative consequences paved the way for the next four top-down approaches.

Job Enlargement Companies first used job enlargement in the late 1940s in response to complaints about tedious and overspecialized jobs created from the principles of scientific management. ***Job enlargement* puts more variety into a worker's job by combining specialized tasks of comparable difficulty.** Some call this strategy *horizontally loading* the job. Researchers recommend using job enlargement as part of a broader approach that uses multiple motivational methods, because by itself job enlargement does not have a significant and lasting positive effect on job performance.[86]

Job Rotation Like job enlargement, job rotation gives employees greater variety in their work. ***Job rotation* calls for moving employees from one specialized job to another.** Rather than performing only one job, workers are trained and given the opportunity to perform two or more separate jobs on a rotating basis. Proposed benefits of job rotation include the following:[87]

- Increased engagement and motivation because employees have a broader perspective on the organization.
- Increased worker flexibility and easier scheduling because employees are cross-trained to perform different jobs.

p. 191

Enlargement = horizontal (more of the same)

write this in the margin

p. 191

WHAT'S ON THIS PAGE

Taylor's scientific management; enlargement (horizontal loading); rotation.

USE IT IN THE EXAM FOR

Job design definitions.

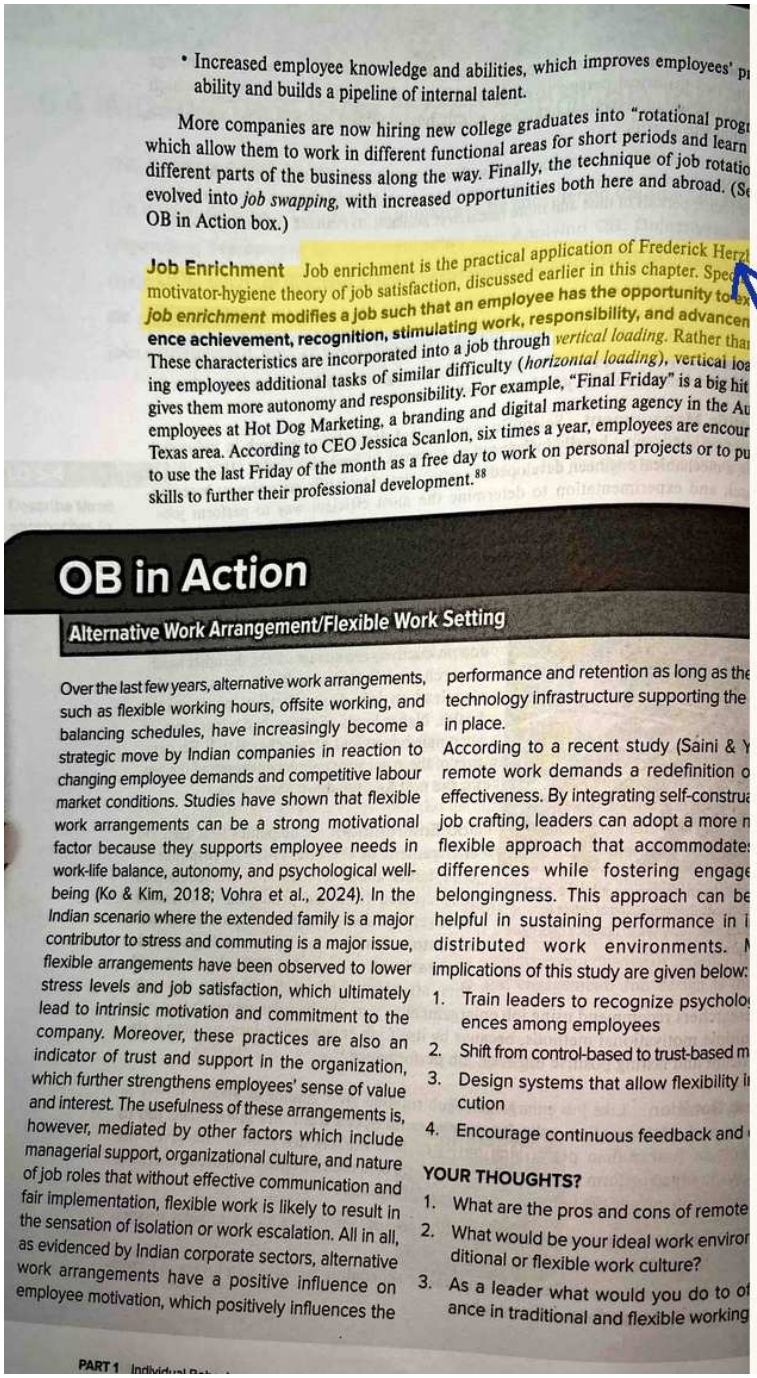
WRITE IN THE MARGIN

Enlargement = horizontal (more of the same)

HIGHLIGHT COLOURS ON THIS PAGE

Yellow = definitions: exact words to quote

p. 192 · Job ENRICHMENT (vertical loading)



• Increased employee knowledge and abilities, which improves employees' p
ability and builds a pipeline of internal talent.

More companies are now hiring new college graduates into "rotational progr
which allow them to work in different functional areas for short periods and learn
different parts of the business along the way. Finally, the technique of job rotatio
evolved into *job swapping*, with increased opportunities both here and abroad. (Se
OB in Action box.)

Job Enrichment Job enrichment is the practical application of Frederick Herz
motivator-hygiene theory of job satisfaction, discussed earlier in this chapter. Spec
***job enrichment* modifies a job such that an employee has the opportunity to ex**
ence achievement, recognition, stimulating work, responsibility, and advancem
These characteristics are incorporated into a job through *vertical loading*. Rather tha
ing employees additional tasks of similar difficulty (*horizontal loading*), vertical loa
gives them more autonomy and responsibility. For example, "Final Friday" is a big hit
employees at Hot Dog Marketing, a branding and digital marketing agency in the Au
Texas area. According to CEO Jessica Scanlon, six times a year, employees are encour
to use the last Friday of the month as a free day to work on personal projects or to pu
skills to further their professional development.[88]

OB in Action

Alternative Work Arrangement/Flexible Work Setting

Over the last few years, alternative work arrangements, such as flexible working hours, offsite working, and balancing schedules, have increasingly become a strategic move by Indian companies in reaction to changing employee demands and competitive labour market conditions. Studies have shown that flexible work arrangements can be a strong motivational factor because they supports employee needs in work-life balance, autonomy, and psychological well-being (Ko & Kim, 2018; Vohra et al., 2024). In the Indian scenario where the extended family is a major contributor to stress and commuting is a major issue, flexible arrangements have been observed to lower stress levels and job satisfaction, which ultimately lead to intrinsic motivation and commitment to the company. Moreover, these practices are also an indicator of trust and support in the organization, which further strengthens employees' sense of value and interest. The usefulness of these arrangements is, however, mediated by other factors which include managerial support, organizational culture, and nature of job roles that without effective communication and fair implementation, flexible work is likely to result in the sensation of isolation or work escalation. All in all, as evidenced by Indian corporate sectors, alternative work arrangements have a positive influence on employee motivation, which positively influences the performance and retention as long as the technology infrastructure supporting the in place.

According to a recent study (Saini & Y remote work demands a redefinition o effectiveness. By integrating self-construa job crafting, leaders can adopt a more n flexible approach that accommodates differences while fostering engage belongingness. This approach can be helpful in sustaining performance in i distributed work environments. N implications of this study are given below:

1. Train leaders to recognize psycholo ences among employees
2. Shift from control-based to trust-based m
3. Design systems that allow flexibility i cution
4. Encourage continuous feedback and

YOUR THOUGHTS?

1. What are the pros and cons of remote
2. What would be your ideal work environ ditional or flexible work culture?
3. As a leader what would you do to ot ance in traditional and flexible working

PART 1 Individual Beh

p. 192

Enrichment = vertical
= Herzberg applied

write this in the margin

p. 192

WHAT'S ON THIS PAGE

Job enrichment applies Herzberg: more responsibility and autonomy; Indian flexible-work box.

USE IT IN THE EXAM FOR

Enrichment vs enlargement.

WRITE IN THE MARGIN

Enrichment = vertical
= Herzberg applied

HIGHLIGHT COLOURS ON THIS PAGE

Yellow = definitions: exact words to quote

p. 193 • JOB CHARACTERISTICS MODEL (Figure 5.10)

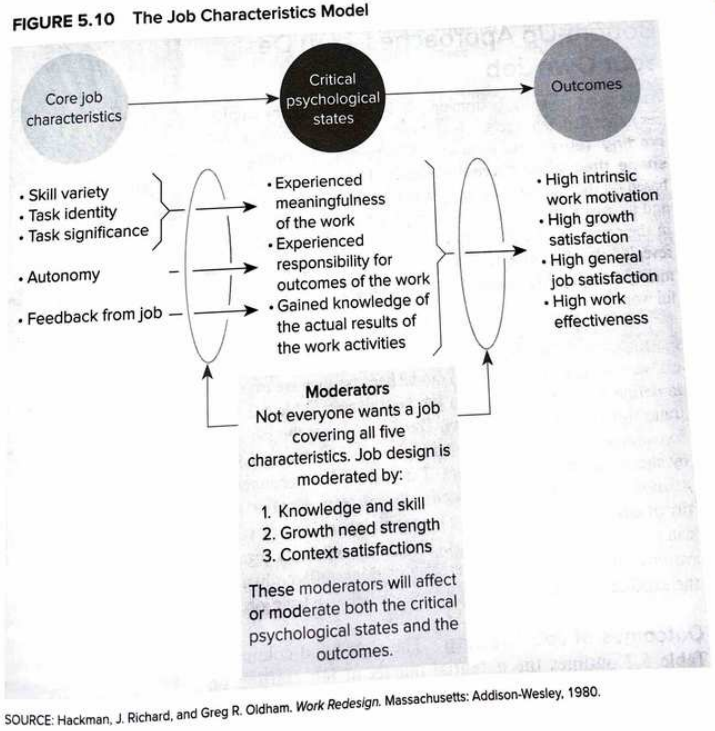
The Job Characteristics Model Two OB researchers, J. Richard Hackman and Greg Oldham, played a central role in developing the job characteristics approach. They proposed that intrinsic motivation was determined by three psychological states. In turn, these psychological states were fostered by the presence of five core job characteristics (see Figure 5.10).

The goal of the ***job characteristics model*** **is to promote high intrinsic motivation by designing jobs that possess the five core job characteristics.** The five characteristics are as follows:

- **Skill variety.** The extent to which the job requires an individual to perform a variety of tasks that require him or her to use different skills and abilities.
- **Task identity.** The extent to which the job requires an individual to perform a whole or completely identifiable piece of work. Task identity is high when a person works on a product or project from beginning to end and sees a tangible result.
- **Task significance.** The extent to which the job affects the lives of other people within or outside the organization.
- **Autonomy.** The extent to which the job enables an individual to experience freedom, independence, and discretion in both scheduling and determining the procedures used in completing the job.
- **Feedback.** The extent to which an individual receives direct and clear information about how effectively he or she is performing the job.[89]

Moderators. A moderator is a variable that changes the relationship between two other variables. Hackman and Oldham proposed that there are moderators that affect the success of job design, and they are shown in the moderator box of Figure 5.10.

FIGURE 5.10 The Job Characteristics Model



SOURCE: Hackman, J. Richard, and Greg R. Oldham. *Work Redesign.* Massachusetts: Addison-Wesley, 1980.

p. 193

JCM 193

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MPS = (SV+TI+TS)/3 x A x F
Moderator: growth need strength

write this in the margin

p. 193

WHAT'S ON THIS PAGE

5 core characteristics -> 3 psychological states -> outcomes; moderators.

USE IT IN THE EXAM FOR

Redesigning a boring job.

STICKY TAB

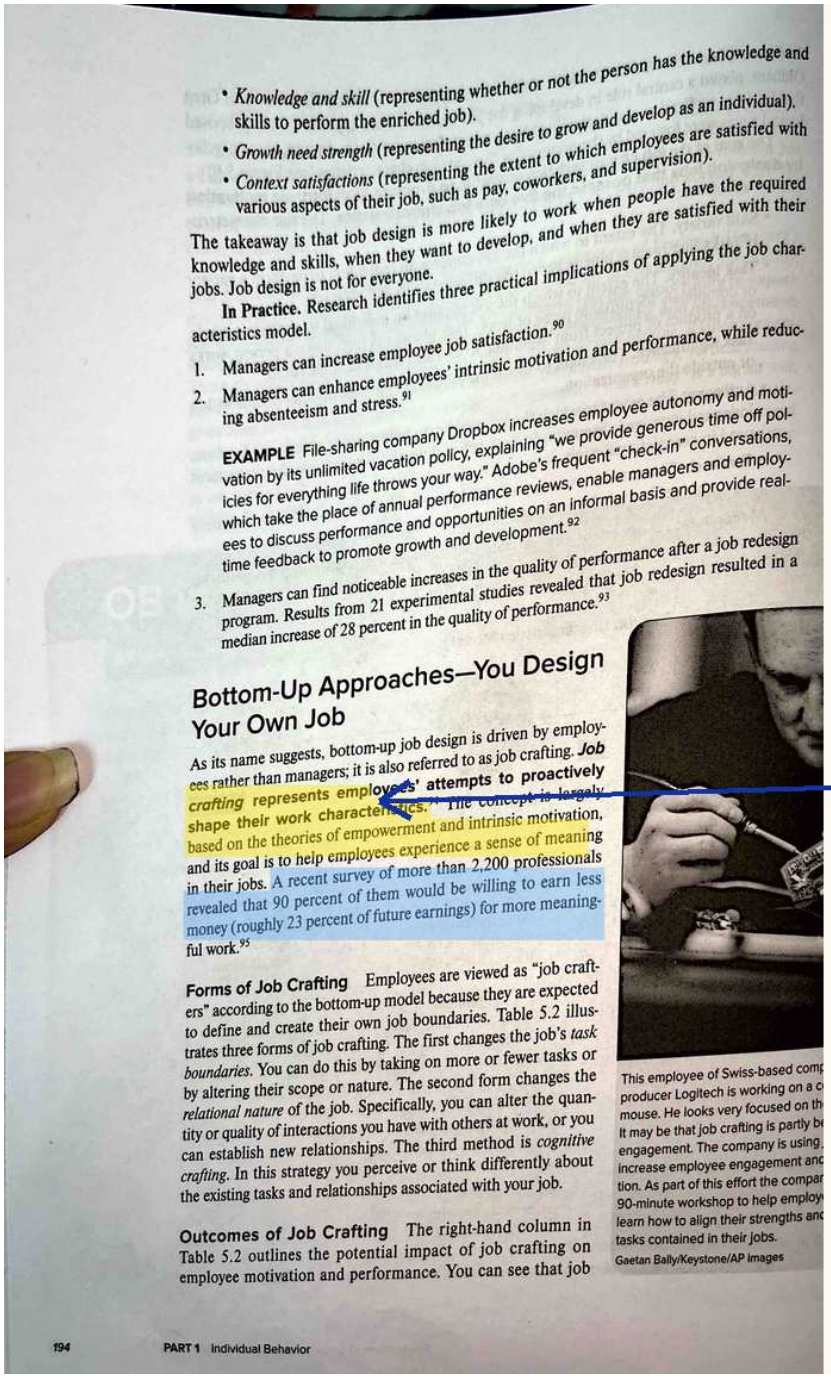
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WRITE IN THE MARGIN

MPS = (SV+TI+TS)/3 x A x F
Moderator: growth need strength

HIGHLIGHT COLOURS ON THIS PAGE

Green = lists & frameworks



- *Knowledge and skill* (representing whether or not the person has the knowledge and skills to perform the enriched job).
- *Growth need strength* (representing the desire to grow and develop as an individual).
- *Context satisfactions* (representing the extent to which employees are satisfied with various aspects of their job, such as pay, coworkers, and supervision).

The takeaway is that job design is more likely to work when people have the required knowledge and skills, when they want to develop, and when they are satisfied with their jobs. Job design is not for everyone.

In Practice. Research identifies three practical implications of applying the job characteristics model.

1. Managers can increase employee job satisfaction.[90]
2. Managers can enhance employees' intrinsic motivation and performance, while reducing absenteeism and stress.[91]

EXAMPLE File-sharing company Dropbox increases employee autonomy and motivation by its unlimited vacation policy, explaining "we provide generous time off policies for everything life throws your way." Adobe's frequent "check-in" conversations, which take the place of annual performance reviews, enable managers and employees to discuss performance and opportunities on an informal basis and provide real-time feedback to promote growth and development.[92]

3. Managers can find noticeable increases in the quality of performance after a job redesign program. Results from 21 experimental studies revealed that job redesign resulted in a median increase of 28 percent in the quality of performance.[93]

Bottom-Up Approaches—You Design Your Own Job

As its name suggests, bottom-up job design is driven by employees rather than managers; it is also referred to as job crafting. ***Job crafting* represents employees' attempts to proactively shape their work characteristics.**[94] The concept is largely based on the theories of empowerment and intrinsic motivation, and its goal is to help employees experience a sense of meaning in their jobs. A recent survey of more than 2,200 professionals revealed that 90 percent of them would be willing to earn less money (roughly 23 percent of future earnings) for more meaningful work.[95]

Forms of Job Crafting Employees are viewed as "job crafters" according to the bottom-up model because they are expected to define and create their own job boundaries. Table 5.2 illustrates three forms of job crafting. The first changes the job's *task boundaries*. You can do this by taking on more or fewer tasks or by altering their scope or nature. The second form changes the *relational nature* of the job. Specifically, you can alter the quantity or quality of interactions you have with others at work, or you can establish new relationships. The third method is *cognitive crafting*. In this strategy you perceive or think differently about the existing tasks and relationships associated with your job.

Outcomes of Job Crafting The right-hand column in Table 5.2 outlines the potential impact of job crafting on employee motivation and performance. You can see that job

This employee of Swiss-based comp producer Logitech is working on a c mouse. He looks very focused on th It may be that job crafting is partly b engagement. The company is using increase employee engagement anc tion. As part of this effort the compar 90-minute workshop to help employ learn how to align their strengths anc tasks contained in their jobs.

Gaetan Bally/Keystone/AP Images

194 PART 1 Individual Behavior

p. 194

Job crafting = employee reshapes tasks, relationships, meaning

write this in the margin

p. 194

WHAT'S ON THIS PAGE

Practical implications of JCM, Dropbox example, and job crafting (bottom-up).

USE IT IN THE EXAM FOR

Bottom-up job design.

WRITE IN THE MARGIN

Job crafting = employee reshapes tasks, relationships, meaning

HIGHLIGHT COLOURS ON THIS PAGE

Yellow = definitions: exact words to quote

Blue = research numbers

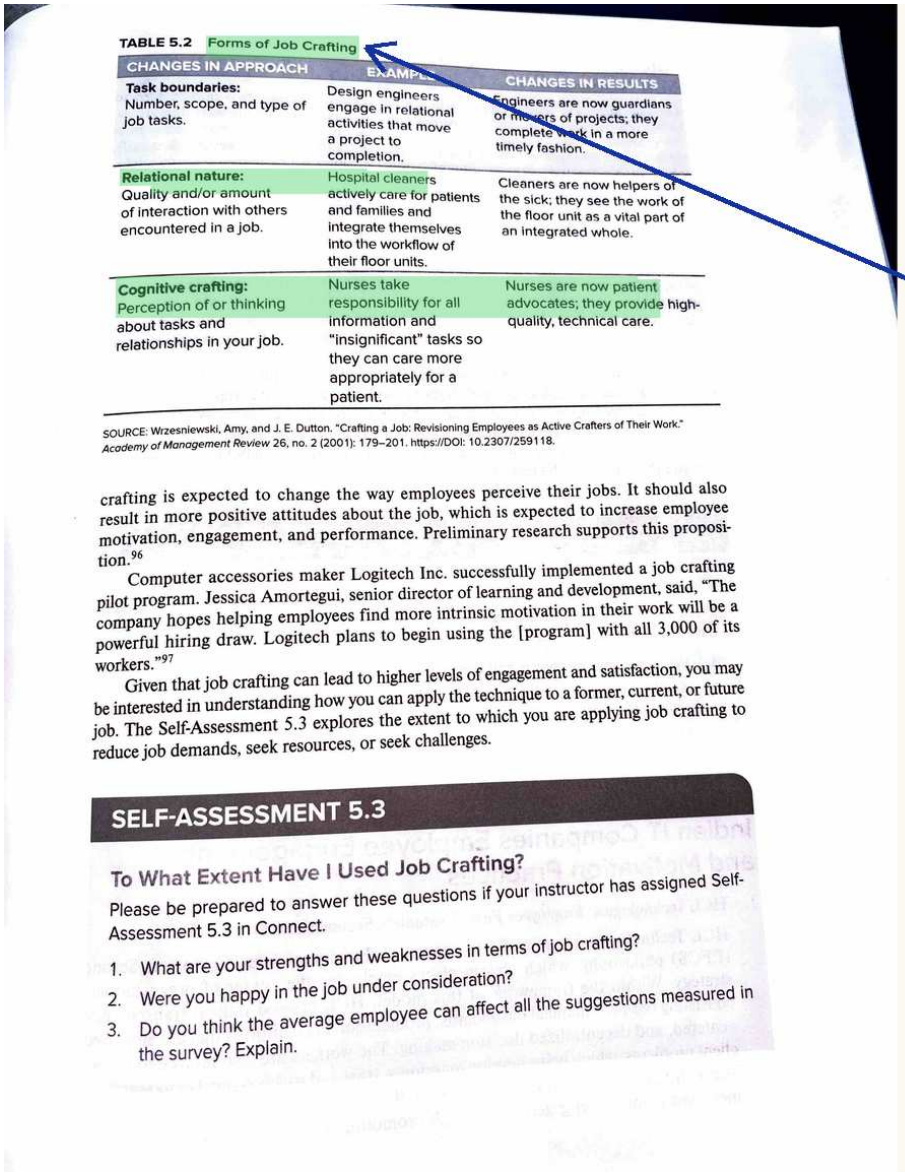


TABLE 5.2 Forms of Job Crafting

CHANGES IN APPROACH	EXAMPLE	CHANGES IN RESULTS
Task boundaries: Number, scope, and type of job tasks.	Design engineers engage in relational activities that move a project to completion.	Engineers are now guardians or movers of projects; they complete work in a more timely fashion.
Relational nature: Quality and/or amount of interaction with others encountered in a job.	Hospital cleaners actively care for patients and families and integrate themselves into the workflow of their floor units.	Cleaners are now helpers of the sick; they see the work of the floor unit as a vital part of an integrated whole.
Cognitive crafting: Perception of or thinking about tasks and relationships in your job.	Nurses take responsibility for all information and "insignificant" tasks so they can care more appropriately for a patient.	Nurses are now patient advocates; they provide high-quality, technical care.

SOURCE: Wrzesniewski, Amy, and J. E. Dutton. "Crafting a Job: Revisioning Employees as Active Crafters of Their Work." *Academy of Management Review* 26, no. 2 (2001): 179–201. https://DOI: 10.2307/259118.

crafting is expected to change the way employees perceive their jobs. It should also result in more positive attitudes about the job, which is expected to increase employee motivation, engagement, and performance. Preliminary research supports this proposition.[96]

Computer accessories maker Logitech Inc. successfully implemented a job crafting pilot program. Jessica Amortegui, senior director of learning and development, said, "The company hopes helping employees find more intrinsic motivation in their work will be a powerful hiring draw. Logitech plans to begin using the [program] with all 3,000 of its workers."[97]

Given that job crafting can lead to higher levels of engagement and satisfaction, you may be interested in understanding how you can apply the technique to a former, current, or future job. The Self-Assessment 5.3 explores the extent to which you are applying job crafting to reduce job demands, seek resources, or seek challenges.

SELF-ASSESSMENT 5.3

To What Extent Have I Used Job Crafting?

Please be prepared to answer these questions if your instructor has assigned Self-Assessment 5.3 in Connect.

1. What are your strengths and weaknesses in terms of job crafting?
2. Were you happy in the job under consideration?
3. Do you think the average employee can affect all the suggestions measured in the survey? Explain.

p. 195

Hospital cleaner = cognitive crafting (PPT)

write this in the margin

p. 195

WHAT'S ON THIS PAGE

Task crafting, relational crafting, cognitive crafting with examples (hospital cleaners, nurses).

USE IT IN THE EXAM FOR

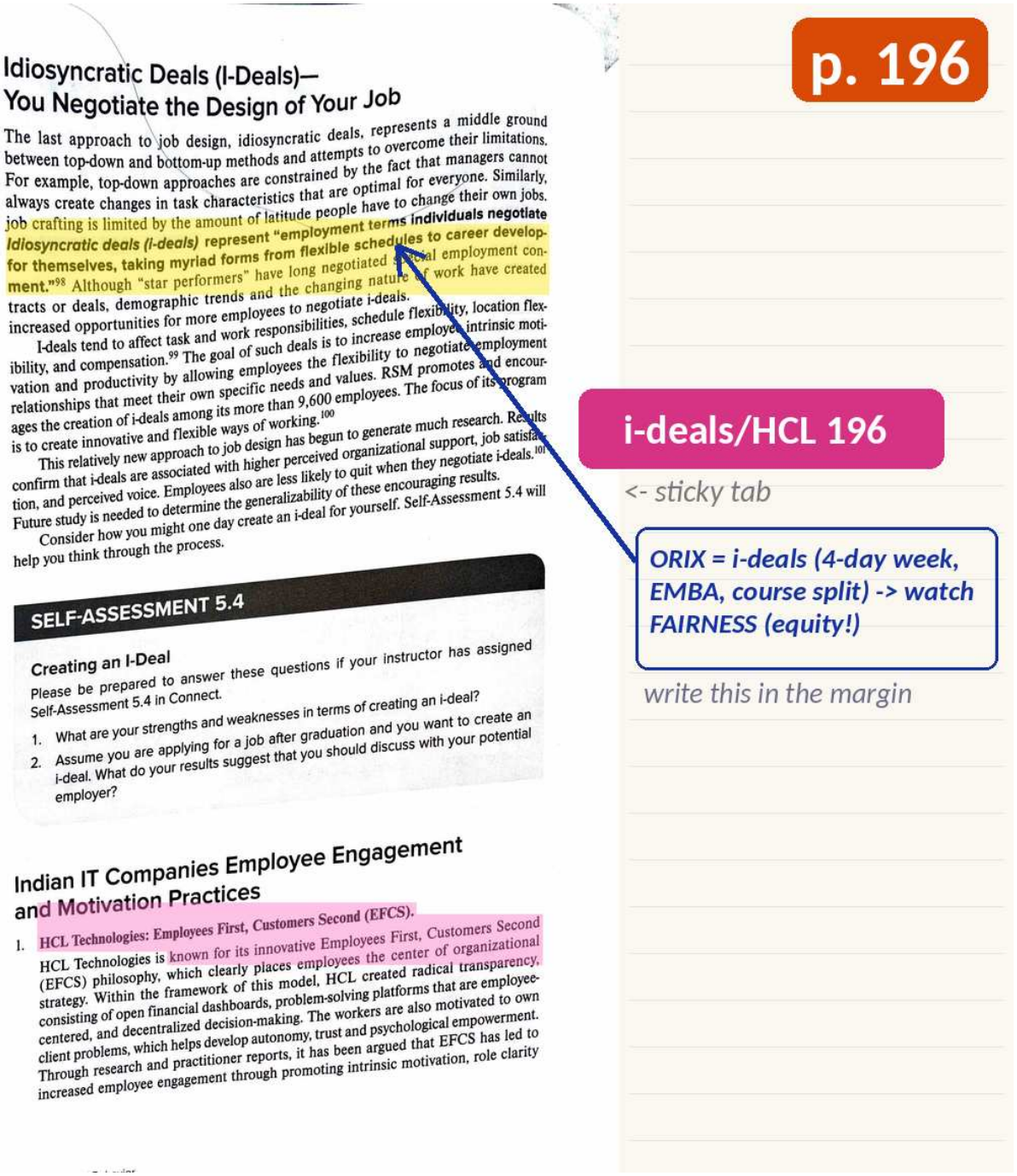
Job crafting examples.

WRITE IN THE MARGIN

Hospital cleaner = cognitive crafting (PPT)

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Green = lists & frameworks



Idiosyncratic Deals (I-Deals)—You Negotiate the Design of Your Job

The last approach to job design, idiosyncratic deals, represents a middle ground between top-down and bottom-up methods and attempts to overcome their limitations. For example, top-down approaches are constrained by the fact that managers cannot always create changes in task characteristics that are optimal for everyone. Similarly, job crafting is limited by the amount of latitude people have to change their own jobs. ***Idiosyncratic deals (i-deals)*** **represent "employment terms individuals negotiate for themselves, taking myriad forms from flexible schedules to career development."**[98] Although "star performers" have long negotiated special employment contracts or deals, demographic trends and the changing nature of work have created increased opportunities for more employees to negotiate i-deals.

I-deals tend to affect task and work responsibilities, schedule flexibility, location flexibility, and compensation.[99] The goal of such deals is to increase employee intrinsic motivation and productivity by allowing employees the flexibility to negotiate employment relationships that meet their own specific needs and values. RSM promotes and encourages the creation of i-deals among its more than 9,600 employees. The focus of its program is to create innovative and flexible ways of working.[100]

This relatively new approach to job design has begun to generate much research. Results confirm that i-deals are associated with higher perceived organizational support, job satisfaction, and perceived voice. Employees also are less likely to quit when they negotiate i-deals.[101] Future study is needed to determine the generalizability of these encouraging results.

Consider how you might one day create an i-deal for yourself. Self-Assessment 5.4 will help you think through the process.

SELF-ASSESSMENT 5.4

Creating an I-Deal

Please be prepared to answer these questions if your instructor has assigned Self-Assessment 5.4 in Connect.

1. What are your strengths and weaknesses in terms of creating an i-deal?
2. Assume you are applying for a job after graduation and you want to create an i-deal. What do your results suggest that you should discuss with your potential employer?

Indian IT Companies Employee Engagement and Motivation Practices

1. **HCL Technologies: Employees First, Customers Second (EFCS).**

HCL Technologies is known for its innovative Employees First, Customers Second (EFCS) philosophy, which clearly places employees the center of organizational strategy. Within the framework of this model, HCL created radical transparency, consisting of open financial dashboards, problem-solving platforms that are employee-centered, and decentralized decision-making. The workers are also motivated to own client problems, which helps develop autonomy, trust and psychological empowerment. Through research and practitioner reports, it has been argued that EFCS has led to increased employee engagement through promoting intrinsic motivation, role clarity

p. 196

i-deals/HCL 196

<- sticky tab

ORIX = i-deals (4-day week, EMBA, course split) -> watch FAIRNESS (equity!)

write this in the margin

p. 196

WHAT'S ON THIS PAGE

Idiosyncratic deals defined; HCL's EFCS philosophy.

USE IT IN THE EXAM FOR

Orix analysis.

STICKY TAB

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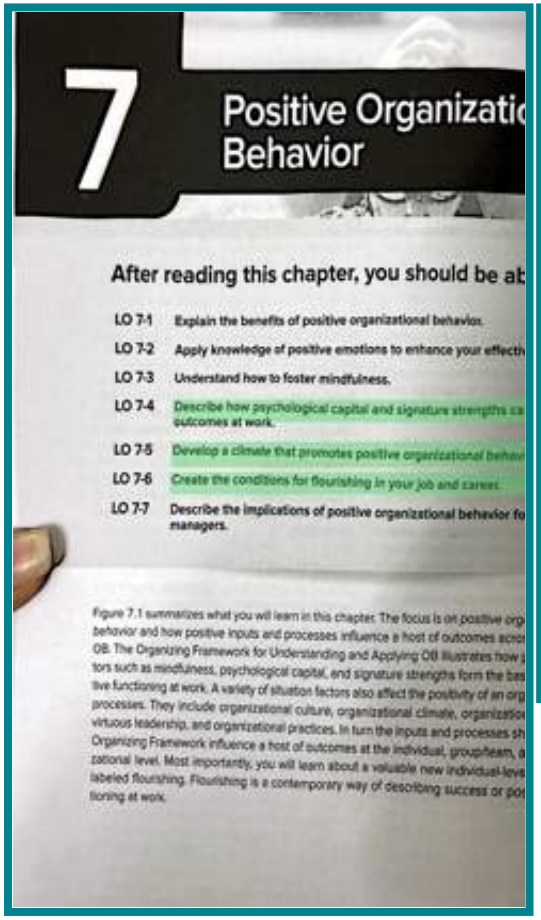
ORIX = i-deals (4-day week, EMBA, course split) -> watch FAIRNESS (equity!)

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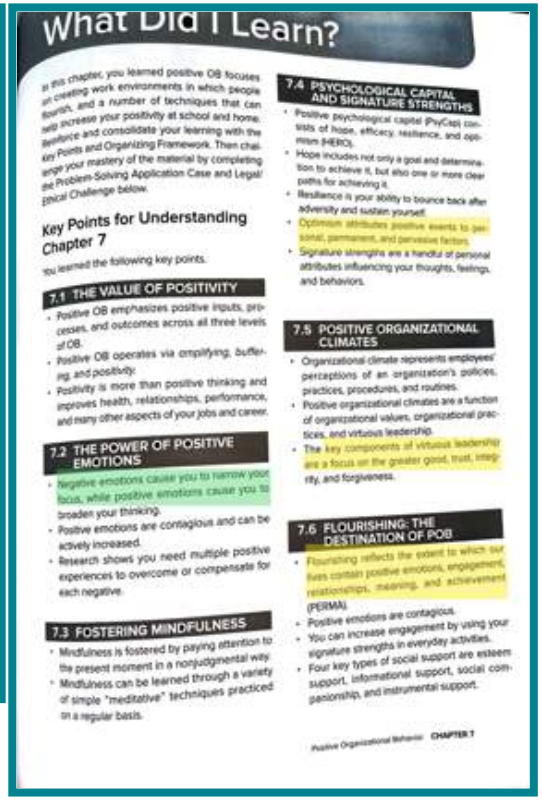
- Yellow = definitions: exact words to quote
- Pink = Indian / company examples

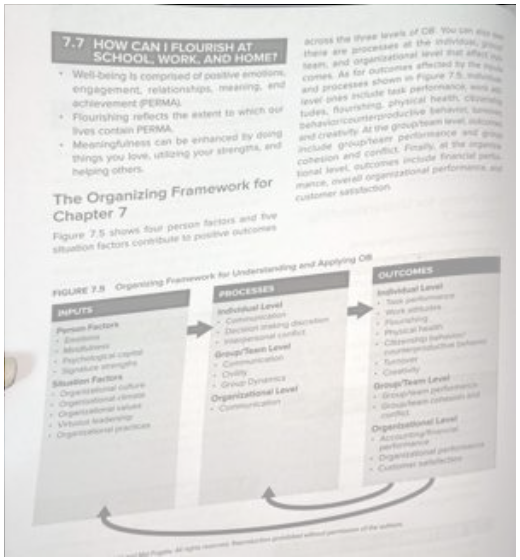
MAP · Chapter 7 · Positive OB (your PDF has 4 pages)

where is what: coloured = annotate · grey = skim/skip







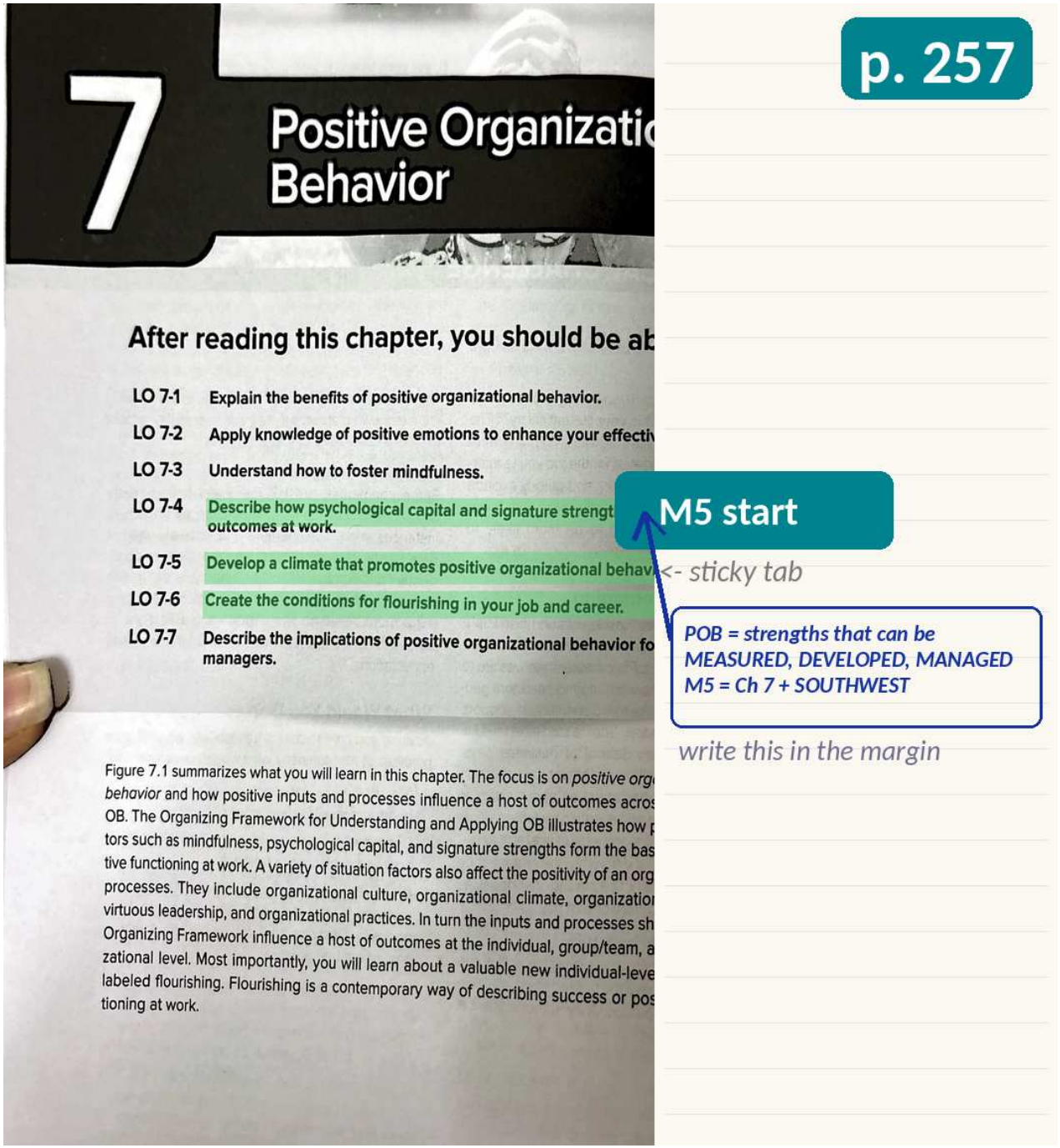


p. 257
M5 opener

p. 258
Figure 7.1 Organizing…

p. 294
POB summary 294

p. 295
skim



p. 257

WHAT'S ON THIS PAGE

Learning objectives for Positive OB; introduces flourishing.

USE IT IN THE EXAM FOR

Module 5 entry point.

STICKY TAB

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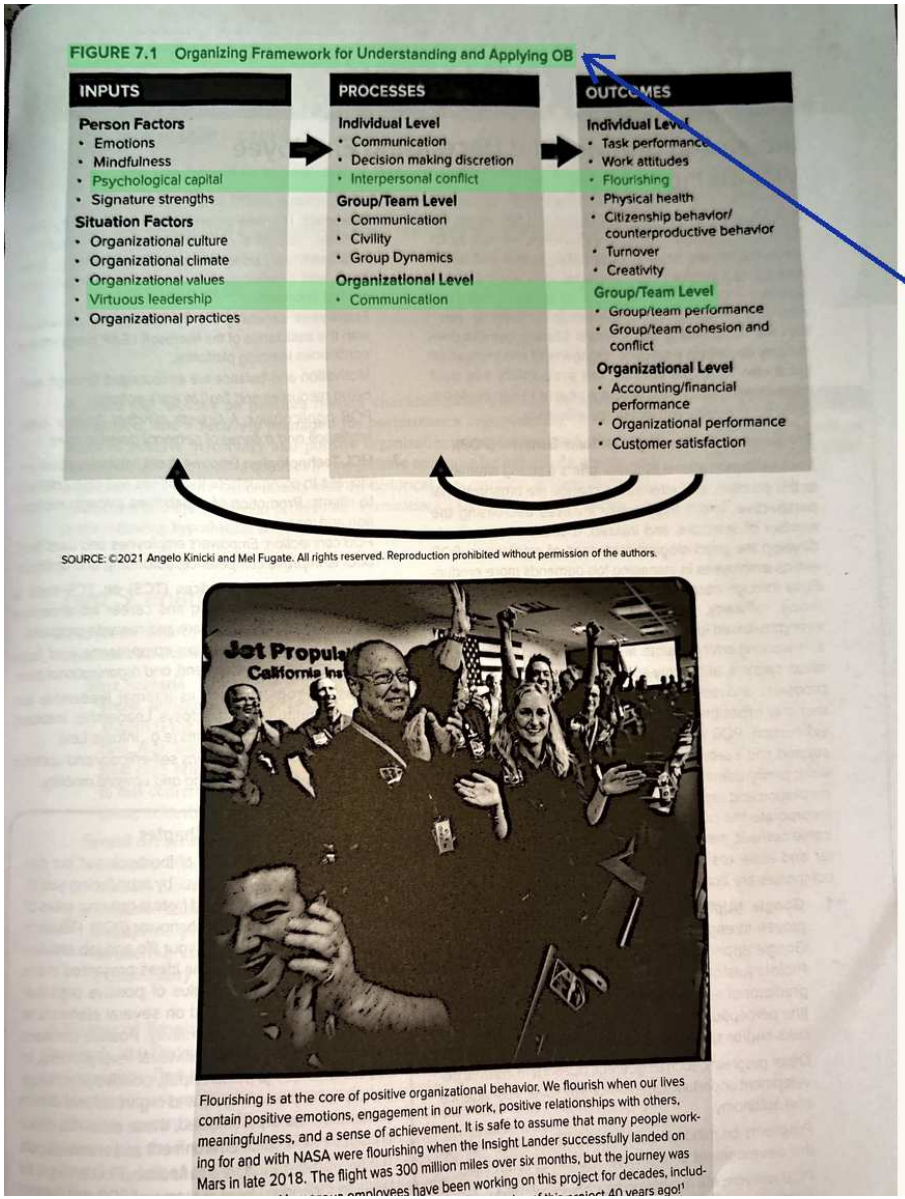
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POB = strengths that can be MEASURED, DEVELOPED, MANAGED
M5 = Ch 7 + SOUTHWEST

HIGHLIGHT COLOURS ON THIS PAGE

Green = lists & frameworks

p. 258 · Figure 7.1 Organizing Framework for POB



Flourishing is at the core of positive organizational behavior. We flourish when our lives contain positive emotions, engagement in our work, positive relationships with others, meaningfulness, and a sense of achievement. It is safe to assume that many people working for and with NASA were flourishing when the Insight Lander successfully landed on Mars in late 2018. The flight was 300 million miles over six months, but the journey was

p. 258

HERO = Hope, Efficacy, Resilience, Optimism (p.280)
PERMA (p.290)

write this in the margin

p. 258

WHAT'S ON THIS PAGE

Person factors (mindfulness, PsyCap, strengths) + situation factors (culture, climate, virtuous leadership) -> flourishing.

USE IT IN THE EXAM FOR

POB framework.

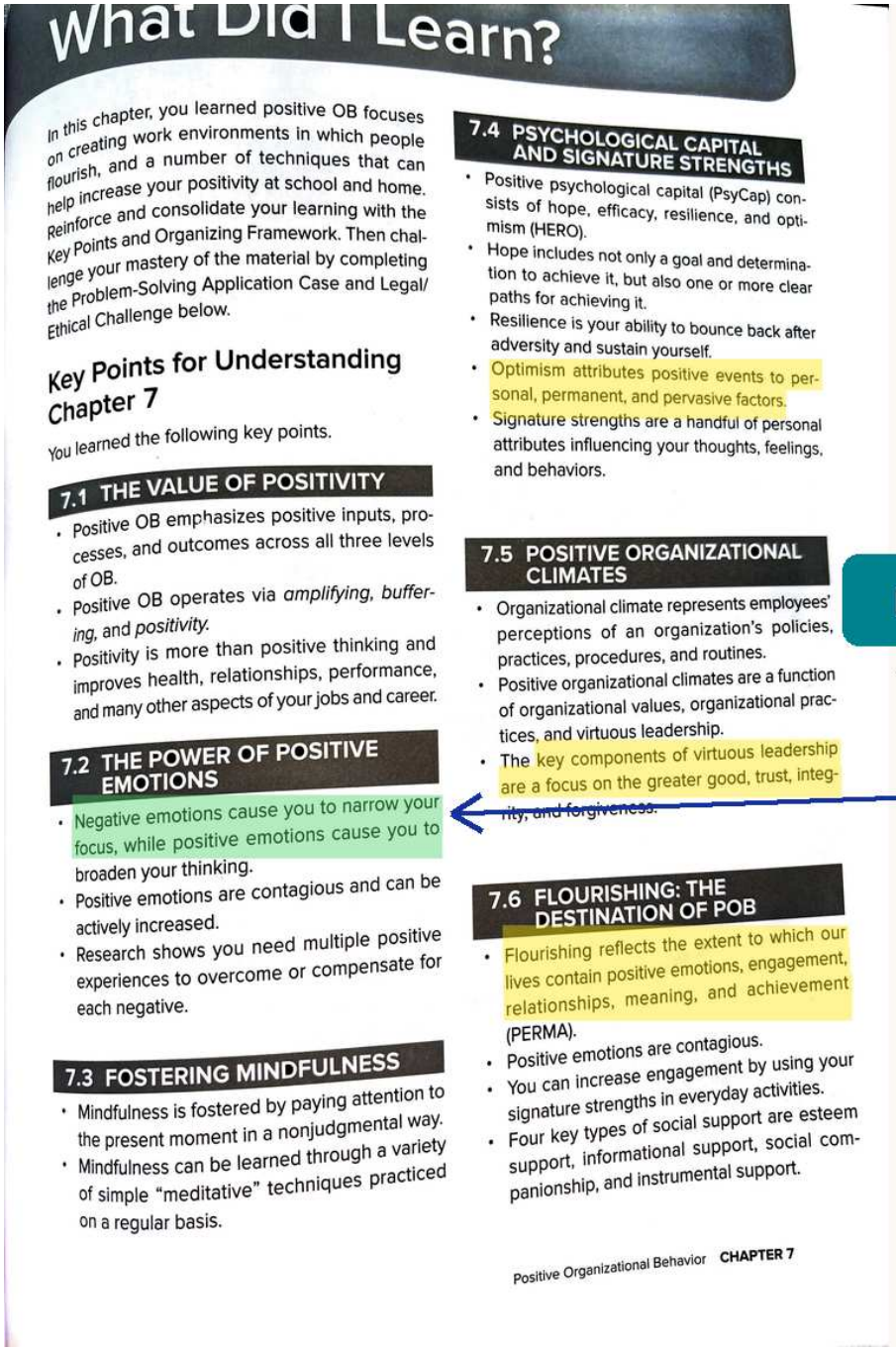
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HERO = Hope, Efficacy, Resilience, Optimism (p.280)
PERMA (p.290)

HIGHLIGHT COLOURS ON THIS PAGE

Green = lists & frameworks

p. 294 · Ch 7 Key Points (great 1-page summary)



What Did I Learn?

In this chapter, you learned positive OB focuses on creating work environments in which people flourish, and a number of techniques that can help increase your positivity at school and home. Reinforce and consolidate your learning with the Key Points and Organizing Framework. Then challenge your mastery of the material by completing the Problem-Solving Application Case and Legal/Ethical Challenge below.

Key Points for Understanding Chapter 7

You learned the following key points.

7.1 THE VALUE OF POSITIVITY

- Positive OB emphasizes positive inputs, processes, and outcomes across all three levels of OB.
- Positive OB operates via *amplifying, buffering,* and *positivity.*
- Positivity is more than positive thinking and improves health, relationships, performance, and many other aspects of your jobs and career.

7.2 THE POWER OF POSITIVE EMOTIONS

- Negative emotions cause you to narrow your focus, while positive emotions cause you to broaden your thinking.
- Positive emotions are contagious and can be actively increased.
- Research shows you need multiple positive experiences to overcome or compensate for each negative.

7.3 FOSTERING MINDFULNESS

- Mindfulness is fostered by paying attention to the present moment in a nonjudgmental way.
- Mindfulness can be learned through a variety of simple "meditative" techniques practiced on a regular basis.

7.4 PSYCHOLOGICAL CAPITAL AND SIGNATURE STRENGTHS

- Positive psychological capital (PsyCap) consists of hope, efficacy, resilience, and optimism (HERO).
- Hope includes not only a goal and determination to achieve it, but also one or more clear paths for achieving it.
- Resilience is your ability to bounce back after adversity and sustain yourself.
- Optimism attributes positive events to personal, permanent, and pervasive factors.
- Signature strengths are a handful of personal attributes influencing your thoughts, feelings, and behaviors.

7.5 POSITIVE ORGANIZATIONAL CLIMATES

- Organizational climate represents employees' perceptions of an organization's policies, practices, procedures, and routines.
- Positive organizational climates are a function of organizational values, organizational practices, and virtuous leadership.
- The key components of virtuous leadership are a focus on the greater good, trust, integrity, and forgiveness.

7.6 FLOURISHING: THE DESTINATION OF POB

- Flourishing reflects the extent to which our lives contain positive emotions, engagement, relationships, meaning, and achievement (PERMA).
- Positive emotions are contagious.
- You can increase engagement by using your signature strengths in everyday activities.
- Four key types of social support are esteem support, informational support, social companionship, and instrumental support.

p. 294

POB summary 294

<- sticky tab

SOUTHWEST: fun & contagion, no layoffs, Kelleher = virtuous leader, PsyCap

write this in the margin

p. 294

WHAT'S ON THIS PAGE

Summary of every Chapter 7 section: positivity, emotions, mindfulness, PsyCap, climates, flourishing.

USE IT IN THE EXAM FOR

Use this page as the Ch 7 cheat-sheet.

STICKY TAB

Teal tab, write: **POB summary 294**

WRITE IN THE MARGIN

SOUTHWEST: fun & contagion, no layoffs, Kelleher = virtuous leader, PsyCap

HIGHLIGHT COLOURS ON THIS PAGE

- Yellow = definitions: exact words to quote
- Green = lists & frameworks

Pages NOT in your PDF: Chapter 7 middle (pp. 259-293)

check page numbers against your copy

Pages	What's there (from the contents page)	Tab	Write in margin
259-261	7.1 Value of positivity: amplifying, buffering, positivity; positive deviance; benefits	**TEAL 'POB 259'**	Traditional OB asks what's wrong; POB asks what strengths can we build. Not blind positivity.
262	Applying OB: how to build positivity (4 strategies)	**-**	connections, kindness, distractions, dispute negative self-talk; NOT fake happiness
265	What companies in India are doing (+ ESG box)	**PINK 'India POB 265'**	Tata COVID (Apr 2020) built HERO; Infosys + NIMHANS mental-health first aiders
268-274	7.2 Power of positive emotions; contagion; positivity ratio; fun	**TEAL 'Emotions 268'**	Positive = broaden & build; negative = narrow. Need several positives per negative. Southwest fun = contagion
275-279	7.3 Mindfulness: definition, inhibitors, benefits, practice	**-**	Mindful = attention on purpose, present, non-judgemental. Inhibitors: attentional deficit, hyperactivity
280-285	7.4 PsyCap: Hope (willpower + waypower), Efficacy, Resilience, Optimism; signature strengths	**TEAL 'HERO 280'**	HERO. Optimism = good events personal, permanent, pervasive. Southwest resilience after 9/11 (no layoffs)
286-289	7.5 Positive climates: values, practices, VIRTUOUS LEADERSHIP	**TEAL 'Virtuous 289'**	Virtuous leader = greater good, trust, integrity, forgiveness. Kelleher (Southwest), Krupp & Grennes (DOR)
290-293	7.6 Flourishing: PERMA; engagement & flow; 4 types of social support	**TEAL 'PERMA 290'**	P-E-R-M-A. Support: esteem, informational, companionship, instrumental
294-297	Key points (see annotated p.294) + end case	**YELLOW 'Case notes'**	Write the SOUTHWEST case summary in these margins

Master index: copy onto the INSIDE FRONT COVER

your 10-second lookup table

M1 OB def p.4 · Contingency p.5 · Hard/soft skills p.7 · Ethics p.11 · Unethical≠illegal p.14 · Satyam p.15 · Dilemma p.16 · Bank of Baroda p.17 · TABLE 1.2 causes p.18 · What you can do p.20 · 3-STEP p.21-22 · Person-situation p.24 · FRAMEWORK p.27 · Resolve/solve/dissolve p.30

M2 Values p.43 · Schwartz p.44-45 · Generations p.46 · Attitudes p.47 · ABC p.49 · Dissonance & Ajzen p.50-52 · 4 attitudes p.53 · Commitment & psych contract p.54 · Engagement p.55-57 · POS p.58 · Job sat p.59 · 5 CAUSES p.60-61 · 10 correlates p.63 · OCB p.65-66 · CWB p.66-67 · Turnover p.68

M3 EI p.105-110 (Table 3.6 p.106, Uber p.107) · Emotions p.111-113 · Rahul p.125 · Perception p.126-127 · Fig 4.3 p.129 · Implicit cognition p.131 · Stereotypes p.133-134 · Kelley p.135-136 · FAE & self-serving p.137

M4 Motivation p.167 · X/Y p.169 · Maslow p.170 · McClelland p.171 · SDT p.173 · HERZBERG p.174-175 · Fig 5.5 p.177 · Equity p.178-180 · Justice p.180-183 · EXPECTANCY p.183-185 · Goals p.188-189 · Job design p.190-193 · JCM p.193 · Crafting p.194-195 · i-deals/HCL p.196

M5 POB p.257-262 · Positive emotions p.268 · Mindfulness p.275 · HERO p.280 · Virtuous leadership p.289 · PERMA p.290 · Summary p.294

CASES R1 DOR & R2 Carucci -> notes p.36-40 · Hofstede/GLOBE/McKinsey -> p.70-75 · R3 & Prudence -> p.116-122 · Yelp -> p.159-164 (+ p.131) · Orix -> p.198-204 (+ p.175, 196) · Southwest -> p.294-297

ANSWER (1) Define the outcome gap (2) Causes with 2-4 theories (person/situation; indiv/group/org) + page cite (3) Recommendations mapped to causes + ethics check + how to measure success